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TITLE 7—AGRICULTURE

Chapter IX—Agricultural Marketing Service (Marketing Agreements and Orders), Department of Agriculture

PART 974—MILK IN COLUMBUS, OHIO, MARKETING AREA

ORDER AMENDING ORDER, AS AMENDED

§ 974.0 *Findings and determinations.* The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order, and of the previously issued amendments thereto, and all of said previous findings and determinations are hereby ratified and affirmed, except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) *Findings upon the basis of the hearing record.* Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held upon certain proposed amendments to the tentative marketing agreement and to the order, as amended, regulating the handling of milk in the Columbus, Ohio, marketing area. Upon the basis of the evidence introduced at such hearing and the record thereof, it is found that:

(1) The said order, as amended, and as hereby further amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(2) The parity prices of milk produced for sale in the said marketing area as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds and other economic conditions which affect market supplies of and demand for such milk, and the minimum prices specified in the order, as amended, and as hereby further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk and be in the public interest; and

(3) The said order, as amended, and as hereby further amended, regulates the handling of milk in the same manner as, and is applicable only to persons in the respective classes of industrial and commercial activity specified in, a marketing agreement upon which a hearing has been held.

(b) *Additional findings.* It is necessary in the public interest to make this order amending the order, as amended, effective not later than January 1, 1957. Any delay beyond that date in the effective date of this order would tend to disrupt the orderly marketing of milk in the aforesaid marketing area and would defeat the purpose of the amendment. The amendment action of this order amending the order is known to handlers. The public hearing was held on March 6–9, 1956, and the recommended decision was issued October 12, 1956 (21 F. R. 7949). The final decision was issued by the Assistant Secretary on December 3, 1956 (21 F. R. 9716). Reasonable time under the circumstances has been afforded persons affected to prepare for its effective date. In view of the foregoing, it is hereby found and determined that good cause exists for not delaying the effective date of this order for 30 days after its publication in the FEDERAL REGISTER (Section 4 (c) Administrative Procedure Act, 5 U. S. C. 1001 et seq.).

(c) *Determinations.* It is hereby determined that handlers (excluding cooperative associations of producers who are not engaged in processing, distributing or shipping milk covered by this order amending the order, as amended, which is marketed within the Columbus, Ohio, marketing area) of more than 50 percent of the volume of milk covered by this order, amending the order, as amended, which is marketed within the said marketing area, refused or failed to sign the proposed marketing agreement regulating the handling of milk in the said marketing area, and it is hereby further determined that:

(1) The refusal or failure of such handlers to sign said proposed marketing agreement tends to prevent the effectuation of the declared policy of the act;

(2) The issuance of this order amending the order, as amended, is the only practical means, pursuant to the de-

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FEDERAL REGISTER

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clared policy of the act, of advancing the interests of producers of milk which is produced for sale in the said marketing area; and

(3) The issuance of this order amending the order, as amended, is approved or favored by at least two-thirds of the producers who, during the determined representative period (October 1956), were engaged in the production of milk for sale in the said marketing area.

Order relative to handling. It is therefore ordered, that on and after the effective date hereof the handling of milk in the Columbus, Ohio, marketing area shall be in conformity to and in compliance with the terms and conditions of the aforesaid order, as amended, and as hereby further amended as follows:

1. Delete § 974.41 (a) and (b) and substitute therefor the following:

(a) Class I milk shall be all skim milk and butterfat:

(1) Disposed of (except that which has been dumped or disposed of as livestock feed) as milk, skim milk, buttermilk, flavored milk or flavored milk drinks,

(2) Disposed of for consumption as sweet or sour cream, and mixtures of cream or milk (or skim milk) containing more than 6 percent butterfat other than eggnog,

(3) Used to produce concentrated milk (excluding those products commonly known as evaporated milk and condensed milk) for fluid consumption, and

(4) Not specifically accounted for under subparagraphs (1), (2), and (3) of this paragraph, or as Class II milk, Class III milk, and Class IV milk.

(b) Class II milk shall be all skim milk and butterfat used to produce cottage cheese, eggnog, and any mixture containing skim milk or butterfat disposed of in containers or dispensers under pressure for the purpose of dispensing an aerated product (such as "Reddi-Wip," "Instant Whip," etc.),

2. Delete from § 974.43 (a) the phrase "milk, skim milk, flavored milk, flavored milk drinks, or buttermilk" and insert in lieu thereof the following: "products specified in § 974.41 (a)".

3. Delete § 974.43 (b) and renumber the present § 974.43 (c) as § 974.43 (b) and § 974.43 (d) as § 974.43 (c).

4. In § 974.43 (a) delete the phrase "paragraphs (c) and (d)" and substitute therefor the phrase "paragraphs (b) and (c)".

4a. Delete from § 974.43 (c) the cross-reference which reads as follows: "and (b) (1) and (2)".

5. Delete § 974.44 (g) (1) and substitute therefor the following:

(1) Computing the aggregate amount of skim milk and butterfat (in whatever form) in items used to produce each of the several items of Class II milk; and

6. Delete from § 974.45 (a) the following phrase: "(other than butterfat used in butter making)".

7. Delete § 974.51 (a) (1), (2) and (3) and substitute the following:

(1) Compute a "current utilization percentage" by dividing the total receipts of producer milk in the month for which a price is being computed and the first preceding month by the total gross volume of Class I milk (less interhandler transfers and inventory variations) for the same months, multiplying the result by 100, and rounding to the nearest whole number. The total gross volume of Class I milk to be used in this computation should include the volume of any milk which was previously classified as other than Class I milk and was reclassified pursuant to § 974.42 (b) during the above described two-month period as Class I milk.

(2) Compute a "net utilization percentage" by subtracting from the current utilization percentage as computed pursuant to subparagraph (1) of this paragraph the appropriate standard utilization percentage shown:

Month for which a price is being computed:	*Standard utilization percentage*
January	128
February	127
March	130
April	135
May	144
June	152
July	147
August	143
September	131
October	128
November	128
December	124

(3) Determine the amount of the supply-demand adjustment as follows:

If the net utilization percentage is:	*Supply-demand adjustment*
+16 or over	−38
+12 or + 13	−28
+8 or +9	−20
+4 or +5	−10
+1 or −1	0
−4 or −5	+10
−8 or −9	+20
−12 or −13	+28
−16 or under	+38

When the net utilization percentage does not fall within a tabulated bracket, the supply-demand adjustment shall be determined by the adjacent bracket which is the same or nearest to the bracket used in the previous month. If in the first month this supply-demand adjustment is in effect the net utilization percentage does not fall within a tabulated bracket, the supply-demand adjustment shall be determined by the adjacent bracket which would have been used in determining the supply-demand adjustment had it been in effect in the previous month.

8. Delete § 974.52 (a) and substitute therefor the following:

(a) Add to the basic formula price $0.70 in each month, and add or subtract the supply-demand adjustment as computed in § 974.51 (a) (1), (2) and (3).

9. Delete the proviso in § 974.52 (b) and substitute therefor as follows: "*Provided,* That in no event shall the price of butterfat pursuant to this subparagraph be less than the price computed pursuant to § 974.53 (a) (2) and (b) (2)."

10. Delete § 974.53 and substitute therefor the following:

§ 974.53 *Class III milk price.* The respective minimum prices per hundredweight to be paid by each handler for skim milk and butterfat in producer milk received at his fluid milk plant and classified as Class III milk shall be as follows, as computed by the market administrator:

(a) For each of the months of August through March the prices for skim milk and butterfat shall be computed as follows:

(1) Add to the basic formula price $0.60 in each month and add or subtract the supply-demand adjustment as computed in § 974.51 (a) (1), (2), and (3);

(2) Multiply the price computed in subparagraph (1) of this paragraph by the percentage computed in § 974.51 (b), and then divide by 0.035; the resulting amount shall be the Class III butterfat price per hundredweight: *Provided,* That in no event shall the price of Class III butterfat be less than $0.06 per pound above the price computed pursuant to § 974.54 (b);

(3) Subtract from the price computed pursuant to subparagraph (1) of this paragraph the amount computed in subparagraph (2) of this paragraph multiplied by 0.035, and divide the result by 0.965; the resulting amount shall be the Class III skim milk price per hundredweight.

(b) For each of the months of April through July the prices for skim milk and butterfat shall be computed as follows:

(1) Add to the basic formula price $0.30 in each month;

(2) Compute the prices per hundredweight of butterfat and skim milk in accordance with the procedure outlined in subparagraphs (2) and (3) of paragraph (a) of this section.

11. Delete § 974.54 (b) and substitute therefor the following:

(b) The price per hundredweight of butterfat shall be computed as follows: From the arithmetical average of the daily wholesale prices per pound (using the midpoint of any price range as one price) of Grade A (92-score) bulk creamery butter for the month, as reported by the Department of Agriculture for the Chicago market, subtract 3.5 cents, then multiply by 120.

12. Delete § 974.76 and substitute therefor the following:

§ 974.76 *Butterfat differential.* For each month the market administrator shall compute (to the nearest one-tenth cent) a butterfat differential by subtracting from the weighted average price per hundredweight of all butterfat from producer milk in Class II milk, Class III milk, and Class IV milk, the weighted average price per hundredweight of all skim milk from producer milk in Class II milk, Class III milk and Class IV milk, and dividing the remainder by 1,000.

(Sec. 5, 49 Stat. 753, as amended; 7 U. S. C. 608c)

Issued at Washington, D. C., this 17th day of December 1956, to be effective on and after January 1, 1957.

[SEAL] EARL L. BUTZ,
Assistant Secretary.

[F. R. Doc. 56-10348; Filed, Dec. 19, 1956; 8:47 a. m.]

TITLE 14—CIVIL AVIATION

Chapter I—Civil Aeronautics Board

Subchapter A—Civil Air Regulations

PART 14—AIRCRAFT PROPELLER AIRWORTHINESS

REVISION OF PART

Because of the number of changes resulting from current amendments to Part 14, there follows a revision of Part 14 incorporating all changes thereto which were in effect on December 15, 1956.

By the Civil Aeronautics Board.

[SEAL] M. C. MULLIGAN, *Secretary.*

Subpart A—General

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14.0 Applicability of this part.
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AUTHORITY: §§ 14.0 to 14.157 issued under sec. 205, 52 Stat. 984; 49 U. S. C. 425. Interpret or apply secs. 601, 603, 52 Stat. 1007, as amended, 1009, as amended; 49 U. S. C. 551, 558.

SUBPART A—GENERAL

APPLICABILITY AND DEFINITIONS

§ 14.0 *Applicability of this part.* This part establishes standards with which compliance shall be demonstrated for the issuance of and changes to type certificates for propellers[1] used on aircraft. This part, until superseded or rescinded, shall apply to all propellers for which applications for type certification are made after the effective date of this part (August 20, 1938).

§ 14.1 *Definitions.* As used in this part, terms are defined as follows:

(a) *Administration*—(1) *Administrator.* The Administrator is the Administrator of Civil Aeronautics.

(2) *Applicant.* An applicant is a person or persons applying for approval of a propeller or any part thereof.

(3) *Approved.* Approved, when used alone or as modifying terms such as means, devices, specifications, etc., means approved by the Administrator. (See § 14.18.)

(b) *General design*—(1) *Propeller.* A propeller includes all parts, appurtenances, and accessories thereof.[2]

(2) *Propeller accessories.* Propeller accessories are those necessary for the control and operation of the propeller.

(3) *Pitch setting.* Pitch setting is the propeller blade setting determined by the blade angle measured in a manner, and at a radius, specified in the instruction manual for the propeller.

(4) *Fixed-pitch propeller.* A fixed-pitch propeller is a propeller the pitch setting of which cannot be changed except by processes constituting a workshop operation.

(5) *Adjustable-pitch propeller.* An adjustable-pitch propeller is a propeller the pitch setting of which can be conveniently changed in the course of ordinary field maintenance but which cannot be changed when the propeller is rotating.

(6) *Variable-pitch propeller.* A variable-pitch propeller is a propeller the pitch setting of which can be changed by the flight crew or by automatic means while the propeller is rotating.

(7) *Feathered pitch.* Feathered pitch is the propeller pitch setting which in flight, with the engines stopped, gives approximately the minimum drag and corresponds with a wind-milling torque of approximately zero.

(8) *Reverse pitch.* Reverse pitch is the propeller pitch setting for any blade angle used beyond zero pitch (e. g. the negative angle used for reverse thrust).

CERTIFICATION

§ 14.10 *Eligibility for type certificates.* A propeller shall be eligible for type certification under the provisions of this part if it complies with the airworthiness provisions hereinafter established or if the Administrator finds that the provision or provisions not complied with are compensated for by factors which provide an equivalent level of safety: *Provided,* That the Administrator finds no feature or characteristic of the propeller which renders it unsafe for use on aircraft.

§ 14.11 *Designation of applicable regulations.* The provisions of this section shall apply to all propeller types certificated under this part irrespective of the date of application for type certificate.

(a) Unless otherwise established by the Board, the propeller shall comply with the provisions of this part together with all amendments thereto effective on the date of application for type certificate, except that compliance with later effective amendments may be elected or required pursuant to paragraphs (c), (d), and (e) of this section.

(b) If the interval between the date of application for type certificate and the issuance of the corresponding type certificate exceeds three years, a new application for type certificate shall be required, except that for applications pending on May 1, 1954, such three-year period shall commence on that date. At the option of the applicant, a new application may be filed prior to the expiration of the three-year period. In either instance the applicable regulations shall be those effective on the date of the new application in accordance with paragraph (a) of this section.

(c) During the interval between filing the application and the issuance of a type certificate, the applicant may elect to show compliance with any amendment of this part which becomes effective during that interval, in which case all other amendments found by the Administrator to be directly related shall be complied with.

(d) Except as otherwise provided by the Board, or by the Administrator pursuant to § 1.24 of this subchapter, a change to the type certificate (see § 14.13 (b)) may be accomplished, at the option of the holder of the type certificate, either in accordance with the regulations incorporated by reference in the type certificate pursuant to § 14.13 (c), or in accordance with subsequent amendments to such regulations in effect on the date of application for approval of the change, subject to the following provisions:

(1) When the applicant elects to show compliance with an amendment to the regulations in effect on the date of application for approval of a change, he shall show compliance with all amendments which the Administrator finds are directly related to the particular amendment selected by the applicant.

(2) When the change consists of a new design or a substantially complete redesign of a major component of the propeller and the Administrator finds that the regulations incorporated by reference in the type certificate pursuant to § 14.13 (c) do not provide complete standards with respect to such change, he shall require compliance with such provisions of the regulations in effect on the date of application for approval of the change as he finds will provide a level of safety equal to that established by the regulations incorporated by reference at the time of issuance of the type certificate.

(e) If changes listed in subparagraphs (1) through (3) of this paragraph are made, the propeller shall be considered as a new type, in which case a new application for type certificate shall be required and the regulations together with all amendments thereto effective on the date of the new application shall be made applicable in accordance with paragraphs (a), (b), (c), and (d) of this section.

(1) A change in number of blades;

(2) A change in the principle of pitch change operation;

(3) A change in design which the Administrator finds is so extensive as to require a substantially complete investigation of compliance with the regulations.

[1] Applicable to both reciprocating and turbine engines, unless otherwise stated.

[2] As defined in Section 1 of the Civil Aeronautics Act of 1938, as amended.

§ 14.12 *Recording of applicable regulations.* The Administrator, upon the issuance of a type certificate, shall record the applicable regulations with which compliance was demonstrated. Thereafter, the Administrator shall record the applicable regulations for each change in the type certificate which is accomplished in accordance with regulations other than those recorded at the time of issuance of the type certificate. (See § 14.11.)

§ 14.13 *Type certificate.* (a) An applicant shall be issued a type certificate when he demonstrates the eligibility of the propeller by complying with the requirements of this part in addition to the applicable requirements in Part 1 of this subchapter.[3]

(b) The type certificate shall be deemed to include the type design (see § 14.14 (b), the operating limitations for the propeller (see § 14.16), and any other conditions or limitations prescribed by the regulations in this subchapter.

(c) The applicable provisions of this part recorded by the Administrator in accordance with § 14.12 shall be considered as incorporated in the type certificate as though set forth in full.

§ 14.14 *Data required.* (a) The applicant for a type certificate shall submit to the Administrator such descriptive data, test reports, and computations as are necessary to demonstrate that the propeller complies with the requirements of this part.

(b) The descriptive data required in paragraph (a) of this section shall be known as the type design and shall consist of such drawings and specifications as are necessary to disclose the configuration of the propeller and all the design features covered in the requirements of this part, such information on dimensions, materials, and processes as is necessary to define the structural strength of the propeller, and such other data as are necessary to permit by comparison the determination of the airworthiness of subsequent propellers of the same type.

§ 14.15 *Inspections and tests.* Inspections and tests shall include all those found necessary by the Administrator to insure that the propeller complies with the applicable airworthiness requirements and conforms to the following:

(a) All materials and products are in accordance with the specifications in the type design,

(b) All parts of the propeller are constructed in accordance with the drawings in the type design,

(c) All manufacturing processes, construction, and assembly are as specified in the type design.

§ 14.16 *Required tests.* The tests prescribed in this part shall be conducted to establish the propeller operating limitations, as chosen by the applicant, and the reliability of the propeller to operate within those limitations. The provisions of paragraphs (a) through (c) of this section shall be applicable.

(a) The applicant shall furnish all testing facilities, including equipment and competent personnel, to conduct the prescribed tests.

(b) An authorized representative of the Administrator shall witness such of the tests as are necessary to verify the test report.

(c) The Administrator shall establish propeller operating limitations determined on the basis of the propeller operating conditions demonstrated during the tests.

§ 14.17 *Production certificates.* (For requirements with regard to production certificates see Part 1 of this subchapter.)

§ 14.18 *Approval of materials, parts, processes, and appliances.* (a) Materials, parts, processes, and appliances shall be approved upon a basis and in a manner found necessary by the Administrator to implement the pertinent provisions of the regulations in this subchapter. The Administrator may adopt and publish such specifications as he finds necessary to administer this regulation, and shall incorporate therein such portions of the aviation industry, Federal, and military specifications respecting such materials, parts, processes, and appliances as he finds appropriate.

NOTE: The provisions of this paragraph are intended to allow approval of materials, parts, processes, and appliances under the system of Technical Standard Orders, or in conjunction with type certification procedures for a propeller, or by any other form of approval by the Administrator.

(b) Any material, part, process, or appliance shall be deemed to have met the requirements for approval when it meets the pertinent specifications adopted by the Administrator, and the manufacturer so certifies in a manner prescribed by the Administrator.

§ 14.19 *Changes in type design.* (For requirements with regard to changes in type design and the designation of applicable regulations therefor, see § 14.11 (d) and (e), and Part 1 of this subchapter.)

IDENTIFICATION AND INSTRUCTION MANUAL

§ 14.20 *Propeller identification data.* A certificated propeller, propeller blade, or propeller hub shall have displayed upon it conspicuously the identification data required by § 1.50 of this subchapter. The identification data shall be permanently attached upon a noncritical surface of the propeller, blade, or hub by means of a plate, stamping, engraving, etching, or other approved method. When such data are not visible when the propeller is assembled or installed on an aircraft, they shall also be painted or printed on the propeller, blade, or hub.

§ 14.21 *Instruction manual.* The applicant shall prepare and make available an approved manual containing instructions for the installation, operation, servicing, maintenance, repair, and overhaul of the propeller.

NOTE: It is not intended to limit the form of the manual to a single document.

SUBPART B—AIRWORTHINESS

DESIGN AND CONSTRUCTION

§ 14.100 *Scope.* (a) The propeller shall not incorporate design features or details which experience has shown to be hazardous or unreliable. The suitability of all questionable design details or parts shall be established by tests.

(b) The design and construction provisions of this part shall be applicable to the propeller when it is installed, operated, and maintained in accordance with the instruction manual prescribed in § 14.21.

§ 14.101 *Materials.* The suitability and durability of all materials used in the propeller shall be established on a basis of experience or tests. All materials used in the propeller shall conform to approved specifications which will insure their having the strength and other properties assumed in the design data.

§ 14.102 *Durability.* All parts of the propeller shall be designed and constructed to minimize the development of an unsafe condition of the propeller between overhaul periods.

§ 14.103 *Reversible propellers.* Reversible propellers shall be adaptable for use with a reversing system in an airplane so that no single failure or malfunctioning of the reversing system during normal or emergency operation will result in unwanted travel of the propeller blades to a position substantially below the normal flight low-pitch stop. Failure of structural elements need not be considered if the occurrence of such failure is expected to be extremely remote.

TESTS

§ 14.150 *General.* The tests and inspections prescribed in §§ 14.151 through 14.157 shall be applicable to propellers, including all essential accessories. The propeller shall complete the prescribed tests without evidence of failure or malfunctioning.

§ 14.151 *Centrifugal load test.* The hub and blade retention arrangement of propellers with detachable blades shall be subjected to a centrifugal load equal to twice the centrifugal force to which the propeller is to be subjected in normal operation. Either one of the following two test methods shall be acceptable:

(a) A one-hour whirl test, or

(b) A static pull test.

§ 14.152 *Vibration test.* Propellers with metal blades and/or metal hubs shall be subjected to a vibration test under sufficient conditions to establish the level of vibratory stresses in the blade and/or hub when the propeller is operated under all conditions of rotational speed and engine power which are to be established for the propeller. The test shall be conducted on the same or equivalent engine and the test stand configuration on which the endurance tests are conducted.

§ 14.153 *Endurance test*—(a) *Fixed-pitch wood propellers.* Fixed-pitch wood

[3] Prior to approval for use of a type certificated propeller on a certificated aircraft, the propeller will be required to comply with pertinent provisions of the applicable aircraft airworthiness parts of the regulations in this subchapter.

propellers shall be subjected to one of the following endurance tests:

(1) A 10-hour endurance block test on an engine shall be conducted with a propeller of the greatest pitch and diameter for which certification is sought at the rated rotational speed.

(2) A 50-hour flight test shall be conducted in level flight or in climb. At least 5 hours of this flight test shall be conducted with the propeller operated at the rated rotational speed, and the remainder of the 50 hours shall be conducted with the propeller operated at not less than 90 percent of the rated rotational speed.

(3) A 50-hour endurance block test on an engine shall be conducted at the power and propeller rotational speed for which certification is sought.

(b) *Fixed-pitch metal propellers and adjustable-pitch propellers.* Fixed-pitch propellers with metal blades and adjustable-pitch propellers shall be subjected to one of the endurance tests prescribed in paragraphs (a) (2) and (3) of this section.

(c) *Variable-pitch propellers.* Variable-pitch propellers shall be subjected to one of the following endurance tests:

(1) A 100-hour endurance test shall be conducted on an engine of the same power and rotational speed characteristics as the engine or engines with which the propeller is intended to be used. The endurance test shall be conducted at the maximum continuous rotational speed and power rating of the propeller, except that, in the event a rotational speed(s) and power condition(s) is found to be critical on the basis of the vibration test prescribed in § 14.152, such portion of the 100 hours as the Administrator finds necessary, but not in excess of 50 hours, shall be conducted at the critical rotational speed(s) and power condition(s). If a take-off rating greater than the maximum continuous rating is to be established, a 10-hour block test in addition to the 100 hours shall be conducted at the maximum power and rotational speed for the take-off rating.

(2) The propeller shall be operated throughout the engine endurance tests prescribed in Part 13 of this subchapter.

§ 14.154 *Functional test.* Variable-pitch propellers shall be subjected to the following functional tests as applicable. The same propeller as used in the endurance test shall be used in the functional tests and shall be driven by an engine mounted on a test stand or on an aircraft.

(a) *Manually controllable propellers.* 500 complete cycles of control shall be applied throughout the pitch and rotational speed ranges.

(b) *Automatically controllable propellers.* 1,500 complete cycles of control by means of automatic control mechanism shall be applied throughout the pitch and rotational speed ranges.

(c) *Feathering propellers.* 50 cycles of feathering operation shall be applied.

(d) *Reversible-pitch propellers.* 200 complete cycles of control shall be applied from the lowest normal pitch to the maximum reverse pitch. At the end of each cycle the propeller shall be operated in reverse pitch for a period of one minute at the reverse pitch maximum rotational speed and power.

§ 14.155 *Special tests.* Such tests shall be conducted as the Administrator finds necessary to substantiate the use of any unconventional features of design, material, or construction.

§ 14.156 *Teardown inspection.* After completion of the tests, the propeller shall be completely disassembled and a detailed inspection shall be made of the propeller parts to check for fatigue, wear, and distortion.

§ 14.157 *Propeller adjustments and parts replacements.* During the tests servicing and minor repairs of the propeller shall be permissible. If major repairs or replacement of parts are found necessary during the tests or in the teardown inspection, the parts in question shall be subjected to such additional tests as are found by the Administrator to be necessary.

[F. R. Doc. 56-10369; Filed, Dec. 19, 1956; 8:50 a. m.]

TITLE 24—HOUSING AND HOUSING CREDIT

Chapter II—Federal Housing Administration, Housing and Home Finance Agency

MISCELLANEOUS AMENDMENTS TO CHAPTER

Chapter II of this title is amended as follows:

Subchapter C—Mutual Mortgage Insurance and Servicemen's Mortgage Insurance

PART 222—MUTUAL MORTGAGE INSURANCE; RIGHTS AND OBLIGATIONS OF MORTGAGE UNDER THE INSURANCE CONTRACT

Section 222.13 (a) (1) (vi) is amended to read as follows:

§ 222.13 *Condition of property when transferred: delivery of debentures and certificate of claim.* (a) * * *

(1) * * *

(vi) Bear interest from the date of issue, payable semiannually on the first day of January and the first day of July of each year at the rate in effect as of the date the commitment was issued, or as of the date the mortgage was endorsed for insurance, whichever rate is the higher. The following interest rates are effective for the dates listed:

Effective rate (percent)	On or after—	Prior to—
2¾	Aug. 9, 1954	Sept. 1, 1954
2½	Sept. 1, 1954	Jan. 1, 1955
2⅞	Jan. 1, 1955	July 1, 1955
2⅞	July 1, 1955	July 1, 1956
3	July 1, 1956	Jan. 1, 1957
3¼	Jan. 1, 1957	

Subchapter D—Multifamily and Group Housing Insurance

PART 233—RENTAL HOUSING INSURANCE; RIGHTS AND OBLIGATIONS OF MORTGAGEE UNDER INSURANCE CONTRACT

Section 233.9 (a) (1) (vii) is amended to read as follows:

§ 233.9 *Insurance benefits.* (a) * * *

(1) * * *

(vii) Bear interest from the date of issue, payable semiannually on the first day of January and the first day of July of each year at the rate in effect as of the date the commitment was issued, or as of the date of initial insurance endorsement of the mortgage, whichever rate is the higher. The following interest rates are effective for the dates listed:

Effective rate (percent)	On or after—	Prior to—
2½	Aug. 13, 1954	Jan. 1, 1955
2⅝	Jan. 1, 1955	July 1, 1955
2⅞	July 1, 1955	July 1, 1956
3	July 1, 1956	Jan. 1, 1957
3¼	Jan. 1, 1957	

Subchapter M—Military and Armed Services Housing Mortgage Insurance

PART 293a—ARMED SERVICES HOUSING INSURANCE; RIGHTS AND OBLIGATIONS OF THE MORTGAGEE UNDER THE INSURANCE CONTRACT

Section 293a.9 (a) (1) (vii) is amended to read as follows:

§ 293a.9 *Delivery of debentures and certificate of claim.* (a) * * *

(1) * * *

(vii) Bear interest from the date of issue, payable semiannually on the first day of January and the first day of July of each year at the rate in effect as of the date the commitment was issued, or as of the date of initial insurance endorsement of the mortgage, whichever rate is the higher. The following interest rates are effective for the dates listed:

Effective rate (percent)	On or after—	Prior to—
2⅞	July 1, 1955	July 1, 1956
3	July 1, 1956	Jan. 1, 1957
3¼	Jan. 1, 1957	

Subchapter N—National Defense Housing Insurance

PART 295—NATIONAL DEFENSE HOUSING INSURANCE; RIGHTS AND OBLIGATIONS OF MORTGAGEE UNDER INSURANCE CONTRACT

Section 295.11 (a) (1) (vi) is amended to read as follows:

§ 295.11 *Condition of property when transferred; delivery of debentures and certificates of claim.* (a) * * *

(1) * * *

(vi) Bear interest from the date of issue, payable semiannually on the first day of January and the first day of July of each year at the rate in effect as of the date the commitment was issued, or as of the date the mortgage was endorsed for insurance, whichever rate is the higher. The following interest rates are effective for the dates listed:

Effective rate (percent)	On or after—	Prior to—
2¼	Sept. 1, 1951	July 8, 1953
2¾	July 8, 1953	May 29, 1954
2½	May 29, 1954	Jan. 1, 1955
2⅝	Jan. 1, 1955	July 1, 1955
2⅞	July 1, 1955	July 1, 1956
3	July 1, 1956	Jan. 1, 1957
3¼	Jan. 1, 1957	

(Sec. 211, 52 Stat. 23 as amended; 12 U. S. C. 1715b. Interpret or apply sec. 207, 48 Stat. 1252, as amended, sec. 907, 65 Stat. 301, sec. 401, 69 Stat. 651, 12 U. S. C. 1713, 1750f, 1748f)

Issued at Washington, D. C., December 17, 1956.

[SEAL] NORMAN P. MASON,
Federal Housing Commissioner.

[F. R. Doc. 56-10371; Filed, Dec. 19, 1956; 8:51 a. m.]

TITLE 25—INDIANS

Chapter I—Bureau of Indian Affairs, Department of the Interior

Subchapter L—Irrigation Projects: Operation and Maintenance

PART 130—OPERATION AND MAINTENANCE CHARGES

FORT HALL INDIAN IRRICATION PROJECT, IDAHO

DECEMBER 11, 1956.

On November 9, 1956, there was published in the daily issue of the FEDERAL REGISTER, Volume 21, No. 219, page 8662, notice of intention to modify § 130.32, Subchapter L, Chapter I of the Code of Federal Regulations, Title 25. This section deals with the operation and maintenance charges on assessable lands at the Fort Hall Indian Reservation, Idaho. The Modification consisted of the establishment of a basic water charge for the Minor Units on the Fort Hall Indian Reservation. Interested persons were thereby given opportunity to participate in preparing the proposed amendment by submitting their views and data or argument in writing to Don C. Foster, Area Director, within thirty days from the publication of the Notice. No such written comments or protests were received during this period. Accordingly, § 130.32 of Title 25, Code of Federal Regulations, Chapter I, Bureau of Indian Affairs, Subchapter L, Irrigation Projects: Operation and Maintenance, is amended to read as follows:

§ 130.32 *Basic and other water charges.* (a) In compliance with the provisions of the act of March 1, 1907 (34 Stat. 1024) the annual basic water charges for the operation and maintenance of the lands in non-Indian ownership of the Fort Hall Indian Reservation, Idaho, to which water can be delivered for irrigation are hereby fixed for the calendar year 1957 and subsequent years until further notice as follows:

(1) Fort Hall Project	$3.25 per acre
(2) Minor Units, Fort Hall	1.25 per acre

(b) In addition to the charges in paragraph (a) of this section, there shall be collected annually a minimum charge of $3.00 for the first acre or fraction thereof on each tract of land for which operation and maintenance bills are prepared. No bill shall be rendered for less than $6.00.

(c) Indian lands, leased, as discussed in the letter from the Commissioner of Indian Affairs of December 1, 1938, and approved by the Assistant Secretary of the Interior on December 17, 1938, are subject to the payment of the foregoing charges as therein provided.

(Secs. 1, 3, 36 Stat. 270, 272, as amended; 25 U. S. C. 385)

H. L. MOORE,
Acting Area Director.

[F. R. Doc. 56-10338; Filed, Dec. 19, 1956; 8:45 a. m.]

TITLE 26—INTERNAL REVENUE, 1954

Chapter I—Internal Revenue Service, Department of the Treasury

[T. D. 6217]

Subchapter A—Income Tax

PART 1—INCOME TAX; TAXABLE YEARS BEGINNING AFTER DECEMBER 31, 1953

Notices of proposed rule making regarding the regulations for taxable years beginning after December 31, 1953, and ending after August 16, 1954, except where otherwise provided, under sections 641 through 678 and section 683 of the Internal Revenue Code of 1954, were published in the FEDERAL REGISTER as follows:

Sections; Date; and Volume and Page Nos.

641 through 663, and 683; May 2, 1956 (21 F. R. 2865).

665 through 668; May 25, 1956 (21 F. R. 3579).

671 through 678; May 25, 1956 (21 F. R. 3590).

After consideration of all such relevent matter as was presented by interested persons regarding the rules proposed, the following regulations, which supersede paragraph 16 of T. D. 6118 (19 F. R. 9896), approved December 30, 1954, are hereby adopted:

ESTATES, TRUSTS, BENEFICIARIES, AND DECEDENTS

Sec.

1.641-1 Scope of subchapter J.

ESTATES, TRUSTS, AND BENEFICIARIES

1.641-2 Scope of subparts A, B, C, and D.

General Rules for Taxation of Estates and Trusts

1.641 (a) Statutory provisions; estates and trusts; imposition of tax; application of tax.
1.641 (a)-1 Imposition of tax; application of tax.
1.641 (a)-2 Gross income of estates and trusts.
1.641 (b) Statutory provisions; estates and trusts; computation and payment of tax.
1.641 (b)-1 Computation and payment of tax; deductions and credits of estates and trusts.
1.641 (b)-2 Filing of returns and payment of the tax.
1.641 (b)-3 Termination of estates and trusts.
1.642 (a) (1) Statutory provisions; estates and trusts; special rules for credits and deductions; partially tax-exempt interest.
1.642 (a) (1)-1 Partially tax-exempt interest.
1.642 (a) (2) Statutory provisions; estates and trusts; special rules for credits and deductions; foreign taxes.
1.642 (a) (2)-1 Foreign taxes.
1.642 (a) (3) Statutory provisions; estates and trusts; special rules for credits and deductions; dividends.
1.642 (a) (3)-1 Dividends received by an estate or trust.
1.642 (a) (3)-2 Time of receipt of dividends by beneficiary.
1.642 (a) (3)-3 Cross reference.
1.642 (b) Statutory provisions; estates and trusts; special rules for credits and deductions; personal exemption.
1.642 (b)-1 Deduction for personal exemption.
1.642 (c) Statutory provisions; estates and trusts; special rules for credits and deductions; charitable contributions deduction.
1.642 (c)-1 Charitable contributions deduction.
1.642 (c)-2 Reduction of charitable contributions deduction by exempt income.
1.642 (c)-3 Capital gains included in charitable contribution.
1.642 (c)-4 Cross reference.
1.642 (d) Statutory provisions; estates and trusts; special rules for credits and deductions; net operating loss deduction.
1.642 (d)-1 Net operating loss deduction.
1.642 (e) Statutory provisions; estates and trusts; special rules for credits and deductions; deduction for depreciation and depletion.
1.642 (e)-1 Depreciation and depletion.
1.642 (f) Statutory provisions; estates and trusts; special rules for credits and deductions; amortization of emergency or grain storage facilities.
1.642 (f)-1 Amortization of emergency or grain storage facilities.
1.642 (g) Statutory provisions; estates and trusts; special rules for credits and deductions; disallowance of double deductions.
1.642 (g)-1 Disallowance of double deductions; in general.
1.642 (g)-2 Deductions included.
1.642 (h) Statutory provisions; estates and trusts; special rules for credits and deductions; unused loss carryovers and excess deductions.
1.642 (h)-1 Unused loss carryovers on termination of an estate or trust.
1.642 (h)-2 Excess deductions on termination of an estate or trust.
1.642 (h)-3 Meaning of "beneficiaries succeeding to the property of the estate or trust".
1.642 (h)-4 Allocation.
1.642 (h)-5 Example.
1.642 (i) Statutory provisions; estates and trusts; special rules for credits and deductions; disallowance of standard deduction.
1.642 (i)-1 Disallowance of standard deduction (cross reference).
1.643-1 Distributable net income; deduction for distributions; in general.
1.643 (a) Statutory provisions; estates and trusts; definition of distributable net income.
1.643 (a)-1 Deduction for distributions.
1.643 (a)-2 Deduction for personal exemption.
1.643 (a)-3 Capital gains and losses.
1.643 (a)-4 Extraordinary dividends and taxable stock dividends.
1.643 (a)-5 Tax-exempt interest.
1.643 (a)-6 Foreign income.
1.643 (a)-7 Dividends.
1.643 (b) Statutory provisions; estates and trusts; definition of income.
1.643 (b)-1 Definition of "income".
1.643 (b)-2 Dividends allocated to corpus.
1.643 (c) Statutory provisions; estates and trusts; definition of beneficiary.
1.643 (c)-1 Definition of "beneficiary".
1.643 (c)-2 Illustration of the provisions of section 643.

Trusts Which Distribute Current Income Only

Sec.
1.651 (a) Statutory provisions; trusts which distribute current income only; deduction for amounts required to be distributed currently.
1.651 (a)-1 Simple trusts; deduction for distributions; in general.
1.651 (a)-2 Income required to be distributed currently.
1.651 (a)-3 Distribution of amounts other than income.
1.651 (a)-4 Charitable purposes.
1.651 (a)-5 Estates.
1.651 (b) Statutory provisions; trusts which distribute current income only; limitation on deduction for amounts required to be distributed currently.
1.651 (b)-1 Deduction for distributions to beneficiaries.
1.652 (a) Statutory provisions; trusts which distribute current income only; inclusion of amounts in gross income of beneficiaries.
1.652 (a)-1 Simple trusts; inclusion of amounts in income of beneficiaries.
1.652 (a)-2 Distributions in excess of distributable net income.
1.652 (b) Statutory provisions; trusts which distribute current income only; character of amounts in the hands of beneficiaries.
1.652 (b)-1 Character of amounts.
1.652 (b)-2 Allocation of income items.
1.652 (b)-3 Allocation of deductions.
1.652 (c) Statutory provisions; trusts which distribute current income only; inclusion of amounts in gross income of beneficiaries; different taxable years.
1.652 (c)-1 Different taxable years.
1.652 (c)-2 Death of individual beneficiaries.
1.652 (c)-3 Termination of existence of other beneficiaries.
1.652 (c)-4 Illustration of the provisions of sections 651 and 652.

Estates and Trusts Which May Accumulate Income or Which Distribute Corpus

1.661 (a) Statutory provisions; estates and trusts accumulating income or distributing corpus; deduction for amounts required to be distributed currently and other amounts distributed.
1.661 (a)-1 Estates and trusts accumulating income or distributing corpus; general.
1.661 (a)-2 Deduction for distributions to beneficiaries.
1.661 (b) Statutory provisions; estates and trusts accumulating income or distributing corpus; character of amounts distributed to beneficiaries.
1.661 (b)-1 Character of amounts distributed; in general.
1.661 (b)-2 Character of amounts distributed when charitable contributions are made.
1.661 (c) Statutory provisions; estates and trusts accumulating income or distributing corpus; limitation on deduction for amounts distributed to beneficiaries.
1.661 (c)-1 Limitation on deduction.
1.661 (c)-2 Illustration of the provisions of section 661.
1.662 (a) Statutory provisions; estates and trusts which may accumulate income or which distribute corpus; inclusion of amounts in gross income of beneficiaries.
1.662 (a)-1 Inclusion of amounts in gross income of beneficiaries of estates and complex trusts; general.
1.662 (a)-2 Currently distributable income.
1.662 (a)-3 Other amounts distributed.
1.662 (a)-4 Amounts used in discharge of a legal obligation.
1.662 (b) Statutory provisions; estates and trusts which may accumulate income or which distribute corpus; character of amounts in the hands of beneficiaries.
1.662 (b)-1 Character of amounts; when no charitable contributions are made.
1.662 (b)-2 Character of amounts; when charitable contributions are made.
1.662 (c) Statutory provisions; estates and trusts which may accumulate income or which distribute corpus; different taxable years.
1.662 (c)-1 Different taxable years.
1.662 (c)-2 Death of individual beneficiary.
1.662 (c)-3 Termination of existence of other beneficiaries.
1.662 (c)-4 Illustration of the provisions of sections 661 and 662.
1.663 (a) Statutory provisions; estates and complex trusts; special rules applicable to sections 661 and 662; exclusions.
1.663 (a)-1 Special rules applicable to sections 661 and 662; exclusions, gifts, bequests, etc.
1.663 (a)-2 Charitable, etc., distributions.
1.663 (a)-3 Denial of double deduction.
1.663 (b) Statutory provisions; estates and complex trusts; special rules applicable to sections 661 and 662; distributions in first sixty-five days of taxable year.
1.663 (b)-1 Distributions in first sixty-five days of taxable year; scope.
1.663 (b)-2 Elections.
1.663 (c) Statutory provisions; estates and complex trusts; special rules applicable to sections 661 and 662; separate shares treated as separate trusts.
1.663 (c)-1 Separate shares treated as separate trusts; in general.
1.663 (c)-2 Computation of distributable net income.
1.663 (c)-3 Applicability of separate share rule.
1.663 (c)-4 Example.

Treatment of Excess Distributions by Trusts

1.665-1 Excess distributions by trusts; scope of subpart D.
1.665 (a) Statutory provisions; excess distributions by trusts; definition of undistributed net income.
1.665 (a)-1 Undistributed net income.
1.665 (b) Statutory provisions; excess distributions by trusts; definition of accumulation distribution.
1.665 (b)-1 Accumulation distribution; in general.
1.665 (b)-2 Exclusions from accumulation distributions.
1.665 (b)-3 Exclusions under section 663 (a) (1).
1.665 (c) Statutory provisions; excess distributions by trusts; definition of taxes imposed on the trust.
1.665 (c)-1 Taxes imposed on the trust.
1.665 (d) Statutory provisions; excess distributions by trusts; definition of preceding taxable year.
1.665 (d)-1 Preceding taxable year.
1.665 (d)-2 Application of separate share rule.
1.666 (a) Statutory provisions; excess distributions by trusts; allocation of accumulation distribution.
1.666 (a)-1 Amount allocated.
1.666 (b) Statutory provisions; excess distributions by trusts; total taxes deemed distributed.
1.666 (b)-1 Total taxes deemed distributed.
1.666 (c) Statutory provisions; excess distributions by trusts; pro rata portion of taxes deemed distributed.
1.666 (c)-1 Pro rata portion of taxes deemed distributed.
1.666 (c)-2 Illustration of the provisions of section 666.
1.667 Statutory provisions; excess distributions by trusts; denial of refund to trusts.
1.667-1 Denial of refund to trusts.
1.668 (a) Statutory provisions; excess distributions by trusts; treatment of amounts deemed distributed in preceding taxable years; amounts treated as received in prior taxable years.
1.668 (a)-1 Amounts treated as received in prior taxable years; inclusion in gross income.
1.668 (a)-2 Allocation among beneficiaries; in general.
1.668 (a)-3 Excluded amounts.
1.668 (a)-4 Tax attributable to throwback.
1.668 (b) Statutory provisions; excess distributions by trusts; treatment of amounts deemed distributed in preceding taxable years; credit for taxes paid by trust.
1.668 (b)-1 Credit for taxes paid by the trust.
1.668 (b)-2 Illustration of the provisions of sections 665 through 668.

Grantors and Others Treated as Substantial Owners

1.671 Statutory provisions; estates and trusts; grantors and others treated as substantial owners; income, deductions, and credits attributable to grantors and others as substantial owners.
1.671-1 Grantors and others treated as substantial owners; scope.
1.671-2 Applicable principles.
1.671-3 Attribution or inclusion of income, deductions, and credits against tax.
1.671-4 Method of reporting.
1.672 (a) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; definition of adverse party.
1.672 (a)-1 Definition of adverse party.
1.672 (b) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; definition of nonadverse party.
1.672 (b)-1 Nonadverse party.
1.672 (c) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; definition of related or subordinate party.
1.672 (c)-1 Related or subordinate party.
1.672 (d) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; rule where power is subject to condition precedent.
1.672 (d)-1 Power subject to condition precedent.
1.673 (a) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; reversionary interests.
1.673 (a)-1 Reversionary interests; income payable to beneficiaries other than certain charitable organizations; general rule.
1.673 (b) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; charitable beneficiaries.
1.673 (b)-1 Income payable to charitable beneficiaries.
1.673 (c) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; reversionary interest taking effect at death of income beneficiary.
1.673 (c)-1 Reversionary interest after income beneficiary's death.
1.673 (d) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; postponement of date specified for reacquisition.
1.673 (d)-1 Postponement of date specified for reacquisition.
1.674 (a) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to control beneficial enjoyment.
1.674 (a)-1 Power to control beneficial enjoyment; scope of section 674.
1.674 (b) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; exceptions for certain powers to control beneficial enjoyment.
1.674 (b)-1 Excepted powers exercisable by any person.

Sec.
1.674 (c) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; exception for certain powers of independent trustees.
1.674 (c)-1 Excepted powers exercisable only by independent trustees.
1.674 (d) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to allocate income if limited by a standard.
1.674 (d)-1 Excepted powers exercisable by any trustee other than grantor or spouse.
1.674 (d)-2 Limitations on exceptions in section 674 (b), (c), and (d).
1.675 Statutory provisions; estates and trusts; grantors and others treated as substantial owners; administrative powers.
1.675-1 Administrative powers.
1.676 (a) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to revoke; general rule.
1.676 (a)-1 Power to revest title to portion of trust property in grantor; general rule.
1.676 (b) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to revoke exercisable only after a period of time.
1.676 (b)-1 Powers exercisable only after a period of time.
1.677 (a) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; income for benefit of grantor; general rule.
1.677 (a)-1 Income for benefit of grantor; general rule.
1.677 (b) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; trusts for support of grantor's dependents.
1.677 (b)-1 Trusts for support.
1.678 (a) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; person other than grantor treated as substantial owner; general rule.
1.678 (a)-1 Person other than grantor treated as substantial owner; general rule.
1.678 (b) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; exception where grantor is taxable.
1.678 (b)-1 If grantor is treated as the owner.
1.678 (c) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; trusts for support.
1.678 (c)-1 Trusts for support.
1.678 (d) Statutory provisions; estates and trusts; grantors and others treated as substantial owners; effect of renunciation or disclaimer.
1.678 (d)-1 Renunciation of power.

Miscellaneous

1.683 Statutory provisions; estates and trusts; applicability of provisions.
1.683-1 Applicability of provisions; general rule.
1.683-2 Exceptions.
1.683-3 Application of the 65-day rule of the Internal Revenue Code of 1939.

AUTHORITY: §§ 1.641-1 to 1.683-3 issued under sec. 7805, 68A Stat. 917; 26 U. S. C. 7805.

ESTATES, TRUSTS, BENEFICIARIES, AND DECEDENTS

§ 1.641-1 *Scope of subchapter J.* Subchapter J (sections 641 through 692) of chapter 1 of the Internal Revenue Code of 1954 deals with the taxation of income of estates and trusts and their beneficiaries, and of income in respect of decedents. Part I of subchapter J contains general rules for taxation of estates and trusts (subpart A) and specific rules relating to trusts which distribute current income only (subpart B), estates and trusts which may accumulate income or which distribute corpus (subpart C), treatment of excess distributions by trusts (subpart D), grantors and other persons treated as substantial owners (subpart E), and miscellaneous provisions relating to limitations on charitable deductions, income of an estate or trust in case of divorce, and taxable years to which the provisions of subchapter J are applicable (subpart F). Part II of subchapter J relates to the treatment of income in respect of decedents. However, the provisions of subchapter J do not apply to employees' trusts subject to subchapters D and F and common trust funds subject to subchapter H.

ESTATES, TRUSTS, AND BENEFICIARIES

§ 1.641-2 *Scope of subparts A, B, C, and D.* Subparts A, B, C, and D (sections 641 to 668, inclusive) relate to the taxation of estates and trusts and their beneficiaries. These subparts have no application to any portion of the corpus or income of a trust which is to be regarded, within the meaning of the Internal Revenue Code, as that of the grantor or others treated as its substantial owners. See subpart E (sections 671 to 678, inclusive) of subchapter J and regulations thereunder for rules for the treatment of any portion of a trust where the grantor (or another person) is treated as the substantial owner. So-called alimony trusts are treated under subparts A, B, C, and D except to the extent otherwise provided in section 71 or section 682. These subparts have no application to beneficiaries of nonexempt employees' trusts. See section 402 (b) and the regulations thereunder.

General Rules for Taxation of Estates and Trusts

§ 1.641 (a) *Statutory provisions; estates and trusts; imposition of tax; application of tax.*

SEC. 641. *Imposition of tax*—(a) *Application of tax.* The taxes imposed by this chapter on individuals shall apply to the taxable income of estates or of any kind of property held in trust, including—

(1) Income accumulated in trust for the benefit of unborn or unascertained persons or persons with contingent interests, and income accumulated or held for future distribution under the terms of the will or trust;

(2) Income which is to be distributed currently by the fiduciary to the beneficiaries, and income collected by a guardian of an infant which is to be held or distributed as the court may direct;

(3) Income received by estates of deceased persons during the period of administration or settlement of the estate; and

(4) Income which, in the discretion of the fiduciary, may be either distributed to the beneficiaries or accumulated.

§ 1.641 (a)-1 *Imposition of tax; application of tax.* Section 641 prescribes that the taxes imposed upon individuals by chapter 1 apply to the income of estates or of any kind of property held in trust. The rates of tax, the statutory provisions respecting gross income, and, with certain exceptions, the deductions and credits allowed to individuals apply also to estates and trusts.

§ 1.641 (a)-2 *Gross income of estates and trusts.* The gross income of an estate or trust is determined in the same manner as that of an individual. Thus, the gross income of an estate or trust consists of all items of gross income received during the taxable year, including—

(a) Income accumulated in trust for the benefit of unborn or unascertained persons or persons with contingent interests;

(b) Income accumulated or held for future distribution under the terms of the will or trust;

(c) Income which is to be distributed currently by the fiduciary to the beneficiaries, and income collected by a guardian of an infant which is to be held or distributed as the court may direct;

(d) Income received by estates of deceased persons during the period of administration or settlement of the estate; and

(e) Income which, in the discretion of the fiduciary, may be either distributed to the beneficiaries or accumulated.

The several classes of income enumerated in this section do not exclude others which also may come within the general purposes of section 641.

§ 1.641 (b) *Statutory provisions; estates and trusts; computation and payment of tax.*

SEC. 641. *Imposition of tax.* * * *

(b) *Computation and payment.* The taxable income of an estate or trust shall be computed in the same manner as in the case of an individual, except as otherwise provided in this part. The tax shall be computed on such taxable income and shall be paid by the fiduciary.

§ 1.641 (b)-1 *Computation and payment of tax; deductions and credits of estates and trusts.* Generally, the deductions and credits allowed to individuals are also allowed to estates and trusts. However, there are special rules for the computation of certain deductions and for the allocation between the estate or trust and the beneficiaries of certain credits and deductions. See section 642 and the regulations thereunder. In addition, an estate or trust is allowed to deduct, in computing its taxable income, the deductions provided by sections 651 and 661 and regulations thereunder, relating to distributions to beneficiaries.

§ 1.641 (b)-2 *Filing of returns and payment of the tax.* (a) The fiduciary is required to make and file the return and pay the tax on the taxable income of an estate or of a trust. Liability for the payment of the tax on the taxable income of an estate attaches to the person of the executor or administrator up to and after his discharge if, prior to distribution and discharge, he had notice of his tax obligations or failed to exercise due diligence in ascertaining whether or not such obligations existed. For the extent of such liability, see section 3467 of the Revised Statutes, as amended by section 518 of the Revenue Act of 1934 (31 U. S. C. 192). Liability for the tax

also follows the assets of the estate distributed to heirs, devisees, legatees, and distributees, who may be required to discharge the amount of the tax due and unpaid to the extent of the distributive shares received by them. See section 6901. The same considerations apply to trusts.

(b) The estate of an infant, incompetent, or other person under a disability, or, in general, of an individual or corporation in receivership or bankruptcy is not a taxable entity separate from the person for whom the fiduciary is acting, in that respect differing from the estate of a deceased person or of a trust. See section 6012 (b) (2) and (3) for provisions relating to the obligation of the fiduciary with respect to returns of such persons.

§ 1.641 (b)–3 *Termination of estates and trusts.* (a) The income of an estate of a deceased person is that which is received by the estate during the period of administration or settlement. The period of administration or settlement is the period actually required by the administrator or executor to perform the ordinary duties of administration, such as the collection of assets and the payment of debts, taxes, legacies, and bequests, whether the period required is longer or shorter than the period specified under the applicable local law for the settlement of estates. For example, where an executor who is also named as trustee under a will fails to obtain his discharge as executor, the period of administration continues only until the duties of administration are complete and he actually assumes his duties as trustee, whether or not pursuant to a court order. However, the period of administration of an estate cannot be unduly prolonged. If the administration of an estate is unreasonably prolonged, the estate is considered terminated for Federal income tax purposes after the expiration of a reasonable period for the performance by the executor of all the duties of administration. Further, an estate will be considered as terminated when all the assets have been distributed except for a reasonable amount which is set aside in good faith for the payment of unascertained or contingent liabilities and expenses (not including a claim by a beneficiary in the capacity of beneficiary).

(b) Generally, the determination of whether a trust has terminated depends upon whether the property held in trust has been distributed to the persons entitled to succeed to the property upon termination of the trust rather than upon the technicality of whether or not the trustee has rendered his final accounting. A trust does not automatically terminate upon the happening of the event by which the duration of the trust is measured. A reasonable time is permitted after such event for the trustee to perform the duties necessary to complete the administration of the trust. Thus, if under the terms of the governing instrument, the trust is to terminate upon the death of the life beneficiary and the corpus is to be distributed to the remainderman, the trust continues after the death of the life beneficiary for a period reasonably necessary to a proper winding up of the affairs of the trust. However, the winding up of a trust cannot be unduly postponed and if the distribution of the trust corpus is unreasonably delayed, the trust is considered terminated for Federal income tax purposes after the expiration of a reasonable period for the trustee to complete the administration of the trust. Further, a trust will be considered as terminated when all the assets have been distributed except for a reasonable amount which is set aside in good faith for the payment of unascertained or contingent liabilities and expenses (not including a claim by a beneficiary in the capacity of beneficiary).

(c) During the period between the occurrence of an event which causes a trust to terminate and the time when a trust is considered as terminated under this section, the income and the excess of capital gains over capital losses of the trust are in general considered as amounts required to be distributed for the year in which they are received. For example, a trust instrument provides for the payment of income to A during her life, and upon her death for the payment of the corpus to B. The trust reports on the basis of the calendar year. A dies on November 1, 1955, but no distribution is made to B until January 15, 1956. The income of the trust and the excess of capital gains over capital losses for the entire year 1955, to the extent not paid, credited, or required to be distributed to A or A's estate, are treated under sections 661 and 662 as amounts required to be distributed to B for the year 1955.

(d) If a trust or the administration or settlement of an estate is considered terminated under this section for Federal income tax purposes (as for instance, because administration has been unduly prolonged), the gross income, deductions, and credits of the estate or trust are, subsequent to the termination, considered the gross income, deductions, and credits of the person or persons succeeding to the property of the estate or trust.

§ 1.642 (a) (1) *Statutory provisions; estates and trusts; special rules for credits and deductions; partially tax-exempt interest.*

SEC. 642. *Special rules for credits and deductions*—(a) *Credits against tax*—(1) *Partially tax-exempt interest.* An estate or trust shall be allowed the credit against tax for partially tax-exempt interest provided by section 35 only in respect of so much of such interest as is not properly allocable to any beneficiary under section 652 or 662. If the estate or trust elects under section 171 to treat as amortizable the premium on bonds with respect to the interest on which the credit is allowable under section 35, such credit (whether allowable to the estate or trust or to the beneficiary) shall be reduced under section 171 (a) (3).

§ 1.642 (a) (1)–1 *Partially tax-exempt interest.* An estate or trust is allowed the credit against tax for partially tax-exempt interest provided by section 35 only to the extent that the credit does not relate to interest properly allocable to a beneficiary under section 652 or 662 and the regulations thereunder. A beneficiary of an estate or trust is allowed the credit against tax for partially tax-exempt interest provided by section 35 only to the extent that the credit relates to interest properly allocable to him under section 652 or 662 and the regulations thereunder. If an estate or trust holds partially tax-exempt bonds and elects under section 171 to treat the premium on the bonds as amortizable, the credit allowable under section 35, with respect to the bond interest (whether allowable to the estate or trust or to the beneficiary), is reduced under section 171 (a) (3) by reducing the shares of the interest allocable, respectively, to the estate or trust and its beneficiary by the portion of the amortization deduction attributable to the shares.

§ 1.642 (a) (2) *Statutory provisions; estates and trusts; special rules for credits and deductions; foreign taxes.*

SEC. 642. *Special rules for credits and deductions*—(a) *Credits against tax.* * * *

(2) *Foreign taxes.* An estate or trust shall be allowed the credit against tax for taxes imposed by foreign countries and possessions of the United States, to the extent allowed by section 901, only in respect of so much of the taxes described in such section as is not properly allocable under such section to the beneficiaries.

§ 1.642 (a) (2)–1 *Foreign taxes.* An estate or trust is allowed the credit against tax for taxes imposed by foreign countries and possessions of the United States to the extent allowed by section 901 only for so much of those taxes as are not properly allocable under that section to the beneficiaries. See section 901 (b) (4). For purposes of section 901 (b) (4), the term "beneficiaries" includes charitable beneficiaries.

§ 1.642 (a) (3) *Statutory provisions; estates and trusts; special rules for credits and deductions; dividends.*

SEC. 642. *Special rules for credits and deductions*—(a) *Credits against tax.* * * *

(3) *Dividends received by individuals.* An estate or trust shall be allowed the credit against tax for dividends received provided by section 34 only in respect of so much of such dividends as is not properly allocable to any beneficiary under section 652 or 662. For purposes of determining the time of receipt of dividends under section 34 and section 116, the amount of dividends properly allocable to a beneficiary under section 652 or 662 shall be deemed to have been received by the beneficiary ratably on the same dates that the dividends were received by the estate or trust.

§ 1.642 (a) (3)–1 *Dividends received by an estate or trust.* An estate or trust is allowed a credit against tax for dividends received (see section 34) only for so much of the dividends as are not properly allocable to any beneficiary under section 652 or 662. For treatment of the credit in the hands of the beneficiary see § 1.652 (b)–1.

§ 1.642 (a) (3)–2 *Time of receipt of dividends by beneficiary.* In general, dividends are deemed received by a beneficiary in the taxable year in which they are includible in his gross income under section 652 or 662. For example, a simple trust, reporting on the basis of a fiscal year ending October 30, receives quarterly dividends on November 3, 1954, and February 3, May 3, and August 3, 1955.

These dividends are all allocable to beneficiary A, reporting on a calendar year basis, under section 652 and are deemed received by A in 1955. See section 652 (c). Accordingly, A may take all these dividends into account in determining his credit for dividends received under section 34, and his dividends exclusion under section 116. However, solely for purposes of determining whether dividends deemed received by individuals from trusts or estates qualify under the time limitations of section 34 (a) or section 116 (a), section 642 (a) (3) provides that the time of receipt of the dividends by the trust or estate is also considered the time of receipt by the beneficiary. For example, a simple trust reporting on the basis of a fiscal year ending October 30 receives quarterly dividends on December 3, 1953, and March 3, June 3, and September 3, 1954. These dividends are all allocable to beneficiary A, reporting on the calendar year basis, under section 652 and are includible in his income for 1954. However, for purposes of section 34 (a) or section 116 (a), these dividends are deemed received by A on the same dates that the trust received them. Accordingly, A may take into account in determining the credit under section 34 only those dividends received by the trust on September 3, 1954, since the dividend received credit is not allowed under section 34 for dividends received before August 1, 1954.

§ 1.642 (a) (3)–3 *Cross reference.* See § 1.683–2 (c) for examples relating to the treatment of dividends received by an estate or trust during a fiscal year beginning in 1953 and ending in 1954.

§ 1.642 (b) *Statutory provisions; estates and trusts; special rules for credits and deductions; personal exemption.*

SEC. 642. *Special rules for credits and deductions.* * * *

(b) *Deduction for personal exemption.* An estate shall be allowed a deduction of $600. A trust which, under its governing instrument, is required to distribute all of its income currently shall be allowed a deduction of $300. All other trusts shall be allowed a deduction of $100. The deductions allowed by this subsection shall be in lieu of the deductions allowed under section 151 (relating to deduction for personal exemption).

§ 1.642 (b)–1 *Deduction for personal exemption.* In lieu of the deduction for personal exemptions provided by section 151—

(a) An estate is allowed a deduction of $600,

(b) A trust which, under its governing instrument, is required to distribute currently all of its income for the taxable year is allowed a deduction of $300, and

(c) All other trusts are allowed a deduction of $100.

A trust which, under its governing instrument, is required to distribute all of its income currently is allowed a deduction of $300, even though it also distributes amounts other than income in the taxable year and even though it may be required to make distributions which would qualify for the charitable contributions deduction under section 642 (c) (and therefore does not qualify as a "simple trust" under sections 651–652). A trust for the payment of an annuity is allowed a deduction of $300 in a taxable year in which the amount of the annuity required to be paid equals or exceeds all the income of the trust for the taxable year. For the meaning of the term "income required to be distributed currently", see § 1.651 (a)–2.

§ 1.642 (c) *Statutory provisions; estates and trusts; special rules for credits and deductions; charitable contributions deduction.*

SEC. 642. *Special rules for credits and deductions.* * * *

(c) *Deduction for amounts paid or permanently set aside for a charitable purpose.* In the case of an estate or trust (other than a trust meeting the specifications of subpart B) there shall be allowed as a deduction in computing its taxable income (in lieu of the deductions allowed by section 170 (a), relating to deduction for charitable, etc., contributions and gifts) any amount of the gross income, without limitation, which pursuant to the terms of the governing instrument is, during the taxable year, paid or permanently set aside for a purpose specified in section 170 (c), or is to be used exclusively for religious, charitable, scientific, literary, or educational purposes, or for the prevention of cruelty to children or animals, or for the establishment, acquisition, maintenance or operation of a public cemetery not operated for profit. For this purpose, to the extent that such amount consists of gain from the sale or exchange of capital assets held for more than 6 months, proper adjustment of the deduction otherwise allowable under this subsection shall be made for any deduction allowable to the estate or trust under section 1202 (relating to deduction for excess of capital gains over capital losses). In the case of a trust, the deduction allowed by this subsection shall be subject to section 681 (relating to unrelated business income and prohibited transactions).

§ 1.642 (c)–1 *Charitable contributions deduction.* Any part of the gross income of an estate or trust which, by the terms of the will or of the instrument creating the trust—

(a) Is, during the taxable year, paid or permanently set aside for a purpose specified in section 170 (c), relating to charitable contributions, or

(b) Is to be used exclusively for religious, charitable, scientific, literary, or educational purposes, or for the prevention of cruelty to children or animals, or for the establishment, acquisition, maintenance or operation of a public cemetery not operated for profit,

is allowed as a deduction to the estate or trust in lieu of the deduction authorized by section 170 (a). For this purpose, an amount received by an estate or trust which is includible in its gross income as income in respect of a decedent under section 691 (a) (1) is deemed "gross income" of the estate or trust. In the case of a trust, the deduction otherwise allowable under section 642 (c) and this section is subject to the limitations of section 681 (relating to unrelated business income and prohibited transactions). See section 681 and the regulations thereunder.

§ 1.642 (c)–2 *Reduction of charitable contributions deductions by exempt income.* If an estate or trust pays, permanently sets aside, or uses any amount of its income for the purposes specified in section 642 (c) and that amount includes any items of estate or trust income not entering into the gross income of the estate or trust, the deduction under this section is limited to the gross income so paid, permanently set aside, or used. In determining whether such amounts include particular items of income of an estate or trust, if the governing instrument specifically provides as to the source out of which amounts shall be paid, permanently set aside, or used for such purposes, the specific provision controls. In the absence of specific provisions in the governing instrument, an amount to which section 642 (c) applies is deemed to consist of the same proportion of each class of the items of income of the estate or trust as the total of each class bears to the total of all classes. See § 1.643 (a)–5 (b) for the method of determining the allocable portion of exempt income and foreign income. For the purpose of this section, the provisions of section 116 (relating to exclusion of dividends) are not taken into account. For examples showing the determination of the character of an amount deductible under section 642 (c), see examples (1) and (2) of § 1.662 (b)–2 and paragraph (e) of § 1.662 (c)–4.

§ 1.642 (c)–3 *Capital gains included in charitable contribution.* Where any amount of the income paid, permanently set aside, or used for the purposes specified in section 642 (c) is attributable to gain from the sale or exchange of capital assets held for more than six months, the amount of the deduction allowable under section 642 (c) must be adjusted for any deduction provided in section 1202 of 50 percent of the excess, if any, of the net long-term capital gain over the net short-term capital loss. For determination of the extent to which the charitable, etc., contribution referred to in section 642 (c) is deemed to consist of long-term capital gains, see § 1.642 (c)–2 above. For example: Under the terms of the trust instrument, the income of the trust is currently distributable to A during his life and capital gains are allocable to corpus. No provision is made in the trust instrument for the invasion of corpus for the benefit of A. Upon A's death the corpus of the trust is to be distributed to M University, an organization described in section 501 (c) (3) which is exempt from taxation under section 501 (a). During the taxable year 1954, the trust has long-term capital gains of $100,000 which, although allocable to corpus, are permanently set aside for charitable purposes. The trust includes $100,000 in gross income but is allowed a deduction of $50,000 under section 1202 for the long-term capital gains and a charitable contributions deduction of $50,000 under section 642 (c) ($100,000 permanently set aside for charitable purposes less $50,000 allowed as a deduction under section 1202 with respect to such $100,000).

§ 1.642 (c)–4 *Cross reference.* For rules applicable to the annual information return that must be filed by certain trusts claiming charitable, etc., deductions under section 642 (c) for the taxable year, see section 6034 and the regulations thereunder.

§ 1.642 (d) *Statutory provisions; estates and trusts; special rules for credits and deductions; net operating loss deduction.*

SEC. 642. *Special rules for credits and deductions.* * * *

(d) *Net operating loss deduction.* The benefit of the deduction for net operating losses provided by section 172 shall be allowed to estates and trusts under regulations prescribed by the Secretary or his delegate.

§ 1.642 (d)–1 *Net operating loss deduction.* The net operating loss deduction allowed by section 172 is available to estates and trusts generally, with the following exceptions and limitations:

(a) In computing gross income and deductions for the purposes of section 172, a trust shall exclude that portion of the income and deductions attributable to the grantor or another person under sections 671 through 678 (relating to grantors and others treated as substantial owners).

(b) An estate or trust shall not, for the purposes of section 172, avail itself of the deductions allowed by section 642 (c) (relating to charitable contributions deductions) and sections 651 and 661 (relating to deductions for distributions).

§ 1.642 (e) *Statutory provisions; estates and trusts; special rules for credits and deductions; deduction for depreciation and depletion.*

SEC. 642. *Special rules for credits and deductions.* * * *

(e) *Deduction for depreciation and depletion.* An estate or trust shall be allowed the deduction for depreciation and depletion only to the extent not allowable to beneficiaries under sections 167 (g) and 611 (b).

§ 1.642 (e)–1 *Depreciation and depletion.* An estate or trust is allowed the deductions for depreciation and depletion but only to the extent the deductions are not apportioned to beneficiaries under sections 167 (g) and 611 (b). For purposes of sections 167 (g) and 611 (b), the term "beneficiaries" includes charitable beneficiaries. See the regulations under those sections.

§ 1.642 (f) *Statutory provisions; estates and trusts; special rules for credits and deductions; amortization of emergency or grain storage facilities.*

SEC. 642. *Special rules for credits and deductions.* * * *

(f) *Amortization of emergency or grain storage facilities.* The benefit of the deductions for amortization of emergency and grain storage facilities provided by sections 168 and 169 shall be allowed to estates and trusts in the same manner as in the case of an individual. The allowable deduction shall be apportioned between the income beneficiaries and the fiduciary under regulations prescribed by the Secretary or his delegate.

§ 1.642 (f)–1 *Amortization of emergency or grain storage facilities.* An estate or trust is allowed amortization deductions with respect to an emergency facility as defined in section 168 (d) and with respect to a grain storage facility as defined in section 169 (d) in the same manner and to the same extent as in the case of an individual. However, the principles governing the apportionment of the deductions for depreciation and depletion between the fiduciaries and the beneficiaries of an estate or trust (see sections 167 (g) and 611 (b) and the regulations thereunder) shall be applicable with respect to such amortization deductions.

§ 1.642 (g) *Statutory provisions; estates and trusts; special rules for credits and deductions; disallowance of double deductions.*

SEC. 642. *Special rules for credits and deductions.* * * *

(g) *Disallowance of double deductions.* Amounts allowable under section 2053 or 2054 as a deduction in computing the taxable estate of a decedent shall not be allowed as a deduction in computing the taxable income of the estate, unless there is filed, within the time and in the manner and form prescribed by the Secretary or his delegate, a statement that the amounts have not been allowed as deductions under section 2053 or 2054 and a waiver of the right to have such amounts allowed at any time as deductions under section 2053 or 2054. This subsection shall not apply with respect to deductions allowed under part II (relating to income in respect of decedents).

§ 1.642 (g)–1 *Disallowance of double deductions; in general.* Amounts allowable under section 2053 (a) (2) (relating to administration expenses) or under section 2054 (relating to losses during administration) as deductions in computing the taxable estate of a decedent are not allowed as deductions in computing the taxable income of the estate unless there is filed a statement, in duplicate, to the effect that the items have not been allowed as deductions from the gross estate of the decedent under section 2053 or 2054 and that all rights to have such items allowed at any time as deductions under section 2053 or 2054 are waived. The statement should be filed with the return for the year for which the items are claimed as deductions or with the district director of internal revenue for the internal revenue district in which the return was filed, for association with the return. The statement may be filed at any time before the expiration of the statutory period of limitation applicable to the taxable year for which the deduction is sought. Allowance of a deduction in computing an estate's taxable income is not precluded by claiming a deduction in the estate tax return, so long as the estate tax deduction is not finally allowed and the statement is filed. However, after a statement is filed under section 642 (g) with respect to a particular item or portion of an item, the item cannot thereafter be allowed as a deduction for estate tax purposes since the waiver operates as a relinquishment of the right to have the deduction allowed at any time under section 2053 or 2054.

§ 1.642 (g)–2 *Deductions included.* It is not required that the total deductions, or the total amount of any deduction, to which section 642 (g) is applicable be treated in the same way. One deduction or portion of a deduction may be allowed for income tax purposes if the appropriate statement is filed, while another deduction or portion is allowed for estate tax purposes. Section 642 (g) has no application to deductions for taxes, interest, business expenses, and other items accrued at the date of a decedent's death so that they are allowable as a deduction under section 2053 (a) (3) for estate tax purposes as claims against the estate, and are also allowable under section 691 (b) as deductions in respect of a decedent for income tax purposes. However, section 642 (g) is applicable to deductions for interest, business expenses, and other items not accrued at the date of the decedent's death so that they are allowable as deductions for estate tax purposes only as administration expenses under section 2053 (a) (2). Although deductible under section 2053 (a) (3) in determining the value of the taxable estate of a decedent, medical, dental, etc., expenses of a decedent which are paid by the estate of the decedent are not deductible in computing the taxable income of the estate. See section 213 (d) and the regulations thereunder for rules relating to the deductibility of such expenses in computing the taxable income of the decedent.

§ 1.642 (h) *Statutory provisions; estates and trusts; special rules for credits and deductions; unused loss carryovers and excess deductions.*

SEC. 642. *Special rules for credits and deductions.* * * *

(h) *Unused loss carryovers and excess deductions on termination available to beneficiaries.* If on the termination of an estate or trust, the estate or trust has—

(1) A net operating loss carryover under section 172 or a capital loss carryover under section 1212, or

(2) For the last taxable year of the estate or trust deductions (other than the deductions allowed under subsections (b) or (c)) in excess of gross income for such year,

then such carryover or such excess shall be allowed as a deduction, in accordance with regulations prescribed by the Secretary or his delegate, to the beneficiaries succeeding to the property of the estate or trust.

§ 1.642 (h)–1 *Unused loss carryovers on termination of an estate or trust.* (a) If, on the final termination of an estate or trust, a net operating loss carryover under section 172 or a capital loss carryover under section 1212 would be allowable to the estate or trust in a taxable year subsequent to the taxable year of termination but for the termination, the carryover or carryovers are allowed under section 642 (h) (1) to the beneficiaries succeeding to the property of the estate or trust. See § 1.641 (b)–3 for the determination of when an estate or trust terminates.

(b) The net operating loss carryover and the capital loss carryover are the same in the hands of a beneficiary as in the estate or trust and are taken into account in computing both taxable income and adjusted gross income. The first taxable year of the beneficiary to which the loss shall be carried over is the taxable year of the beneficiary in which or with which the estate or trust terminates. However, the last taxable year of the estate or trust (whether or not a short taxable year) and the first taxable year of the beneficiary to which a loss is carried over each constitute a taxable year for purposes of determining the number of years to which a loss may be carried over. For example: A trust distributes all of its assets to A,

the sole remainderman, and terminates on December 31, 1954, when it has a capital loss carryover of $10,000 attributable to transactions during the taxable year 1952. A, who reports on the calendar year basis, otherwise has ordinary income of $10,000 and capital gains of $4,000 for the taxable year 1954. A would offset his capital gains of $4,000 against the capital loss of the trust and, in addition, deduct under section 1211 (b) $1,000 on his return for the taxable year 1954. The balance of the capital loss carryover of $5,000 may be carried over only to the years 1955 and 1956. For the treatment of the net operating loss carryover when the last taxable year of the estate or trust is the last taxable year to which such loss can be carried over, see § 1.642 (h)–2.

§ 1.642 (h)–2 *Excess deductions on termination of an estate or trust.* (a) If, on the termination of an estate or trust, the estate or trust has for its last taxable year deductions (other than the deductions allowed under section 642 (b) (relating to personal exemption) or section 642 (c) (relating to charitable contributions)) in excess of gross income, the excess is allowed under section 642 (h) (2) as a deduction to the beneficiaries succeeding to the property of the estate or trust. The deduction is allowed only in computing taxable income; it is not allowed in computing adjusted gross income. The deduction is allowable only in the taxable year of the beneficiary in which or with which the estate or trust terminates, whether the year of termination of the estate or trust is of normal duration or is a short taxable year. For example: Assume that a trust distributes all of its assets to B and terminates on December 31, 1954. As of that date it had excess deductions, for example, because of corpus commissions on termination, of $18,000. B, who reported on the calendar year basis, could claim the $18,000 as a deduction for the taxable year 1954. However, if the deduction (when added to his other deductions) exceeds his gross income, the excess may not be carried over to the year 1955 or subsequent years.

(b) A deduction based upon a net operating loss carryover will never be allowed to beneficiaries under both paragraphs (1) and (2) of section 642 (h). Accordingly, a net operating loss deduction which is allowable to beneficiaries succeeding to the property of the estate or trust under the provisions of paragraph (1) of section 642 (h) cannot also be considered a deduction for purposes of paragraph (2) of section 642 (h) and paragraph (a) of this section. However, if the last taxable year of the estate or trust is the last year in which a deduction on account of a net operating loss may be taken, the deduction, to the extent not absorbed in that taxable year by the estate or trust, is considered an "excess deduction" under section 642 (h) (2) and paragraph (a) of this section.

(c) Any item of income or deduction, or any part thereof, which is taken into account in determining the net operating loss or capital loss carryover of the estate or trust for its last taxable year shall not be taken into account again in determining excess deductions on termination of the trust or estate within the meaning of section 642 (h) (2) and paragraph (a) of this section (see example in § 1.642 (h)–5).

§ 1.642 (h)–3 *Meaning of "beneficiaries succeeding to the property of the estate or trust".* (a) The phrase "beneficiaries succeeding to the property of the estate or trust" means those beneficiaries upon termination of the estate or trust who bear the burden of any loss for which a carryover is allowed, or of any excess of deductions over gross income for which a deduction is allowed, under section 642 (h).

(b) With reference to an intestate estate, the phrase means the heirs and next of kin to whom the estate is distributed, or if the estate is insolvent, to whom it would have been distributed if it had not been insolvent. If a decedent's spouse is entitled to a specified dollar amount of property before any distribution to other heirs and next of kin, and if the estate is less than that amount, the spouse is the beneficiary succeeding to the property of the estate or trust to the extent of the deficiency in amount.

(c) In the case of a testate estate, the phrase normally means the residuary beneficiaries (including a residuary trust), and not specific legatees or devisees, pecuniary legatees, or other nonresiduary beneficiaries. However, the phrase does not include the recipient of a specific sum of money even though it is payable out of the residue, except to the extent that it is not payable in full. On the other hand, the phrase includes a beneficiary (including a trust) who is not strictly a residuary beneficiary but whose devise or bequest is determined by the value of the decedent's estate as reduced by the loss or deductions in question. Thus the phrase includes:

(1) A beneficiary of a fraction of a decedent's net estate after payment of debts, expenses, etc.;

(2) A nonresiduary legatee or devisee, to the extent of any deficiency in his legacy or devise resulting from the insufficiency of the estate to satisfy it in full;

(3) A surviving spouse receiving a fractional share of an estate in fee under a statutory right of election, to the extent that the loss or deductions are taken into account in determining the share. However, the phrase does not include a recipient of dower or curtesy, or any income beneficiary of the estate or trust from which the loss or excess deduction is carried over.

(d) The principles discussed in paragraph (c) of this section are equally applicable to trust beneficiaries. A remainderman who receives all or a fractional share of the property of a trust as a result of the final termination of the trust is a beneficiary succeeding to the property of the trust. For example, if property is transferred to pay the income to A for life and then to pay $10,000 to B and distribute the balance of the trust corpus to C, C and not B is considered to be the succeeding beneficiary except to the extent that the trust corpus is insufficient to pay B $10,000.

§ 1.642 (h)–4 *Allocation.* The carryovers and excess deductions to which section 642 (h) applies are allocated among the beneficiaries succeeding to the property of an estate or trust (see § 1.642 (h)–3) proportionately according to the share of each in the burden of the loss or deductions. A person who qualified as a beneficiary succeeding to the property of an estate or trust with respect to one amount and does not qualify with respect to another amount is a beneficiary succeeding to the property of the estate or trust as to the amount with respect to which he qualifies. The application of this section may be illustrated by the following example:

Example. A decedent's will leaves $100,000 to A, and the residue of his estate equally to B and C. His estate is sufficient to pay only $90,000 to A, and nothing to B and C. There is an excess of deductions over gross income for the last taxable year of the estate or trust of $5,000, and a capital loss carryover of $15,000, to both of which section 642 (h) applies. A is a beneficiary succeeding to the property of the estate to the extent of $10,000, and since the total of the excess of deductions and the loss carryover is $20,000, A is entitled to the benefit of one half of each item, and the remaining half is divided equally between B and C.

§ 1.642 (h)–5 *Example.* The application of section 642 (h) may be illustrated by the following example:

Example. (a) A decedent dies January 31, 1954, leaving a will which provides for distributing all her estate equally to A and an existing trust for B. The period of administration of the estate terminates on December 31, 1954, at which time all the property of the estate is distributed to A and the trust. A reports his income for tax purposes on a calendar year basis, and the trust reports its income on the basis of a fiscal year ending August 31. During the period of the administration, the estate has the following items of income and deductions:

Taxable interest	$2,500
Business income	3,000
Total	5,500
Business expenses (including administrative expense allocable to business income)	5,000
Administrative expenses and corpus commissions not allocable to business income	9,800
Total deductions	14,800

It also has a capital loss of $5,000.

(b) Under section 642 (h) (1), an unused net operating loss carryover of the estate on termination of $2,000 will be allowable to: A to the extent of $1,000 for his taxable year 1954 and the next four taxable years in accordance with section 172; and to the trust to the extent of $1,000 for its taxable year ending August 31, 1955, and its next four taxable years. The amount of the net operating loss carryover is computed as follows:

Deductions of estate for 1954	$14,800
Less adjustment under section 172 (d) (4) (deductions not attributable to a trade or business ($9,800) allowable only to extent of gross income not derived from such trade or business ($2,500))	7,300
Deductions as adjusted	7,500
Gross income of estate for 1954	5,500
Net operating loss of estate for 1954	2,000

(No deduction for capital loss of $5,000 under section 172 (d) (2).)

Neither A nor the trust will be allowed to carry back any part of the net operating loss made available to them under section 642 (h) (1).

(c) Under section 642 (h) (2), excess deductions of the estate of $7,300 will be allowed as a deduction to A to the extent of $3,650 for the calendar year 1954 and to the trust to the extent of $3,650 for the taxable year ending August 31, 1955. The deduction of $7,300 for administrative expenses and corpus commissions is the only amount which was not taken into account in determining the net operating loss of the estate ($9,800 of such expenses less $2,500 taken into account).

(d) Under section 642 (h) (1), there will be allowable to A a capital loss carryover of $2,500 for his taxable year 1954 and for his next four taxable years in accordance with section 1212. There will be allowable to the trust a similar capital loss carryover of $2,500 for its taxable year ending August 31, 1955, and its next four taxable years (but see § 1.643 (a)–3 (b)).

(e) The carryovers and excess deductions are not allowable directly to B, the trust beneficiary, but to the extent the distributable net income of the trust is reduced by the carryovers and excess deductions B may receive indirect benefit.

§ 1.642 (i) *Statutory provisions; estates and trusts; special rules for credits and deductions; disallowance of standard deduction.*

SEC. 642. *Special rules for credits and deductions.* * * *

(i) *Cross reference.* For disallowance of standard deduction in case of estates and trusts see section 142 (b) (4).

§ 1.642 (i)–1 *Disallowance of standard deduction (cross reference).* The standard deduction is not allowed to estates and trusts (see section 142 (b) (4)).

§ 1.643–1 *Distributable net income; deduction for distributions; in general.* The term "distributable net income" has no application except in the taxation of estates and trusts and their beneficiaries. It limits the deductions allowable to estates and trusts for amounts paid, credited, or required to be distributed to beneficiaries and is used to determine how much of an amount paid, credited, or required to be distributed to a beneficiary will be includible in his gross income. It is also used to determine the character of distributions to the beneficiaries. Distributable net income means for any taxable year, the taxable income (as defined in section 63) of the estate or trust, computed with the modifications set forth in §§ 1.643 (a)–1 through 1.643 (a)–7.

§ 1.643 (a) *Statutory provisions; estates and trusts; definition of distributable net income.*

SEC. 643. *Definitions applicable to subparts A, B, C, and D*—(a) *Distributable net income.* For purposes of this part, the term "distributable net income" means, with respect to any taxable year, the taxable income of the estate or trust computed with the following modifications—

(1) *Deduction for distributions.* No deduction shall be taken under sections 651 and 661 (relating to additional deductions).

(2) *Deduction for personal exemption.* No deduction shall be taken under section 642 (b) (relating to deduction for personal exemptions).

(3) *Capital gains and losses.* Gains from the sale or exchange of capital assets shall be excluded to the extent that such gains are allocated to corpus and are not (A) paid, credited, or required to be distributed to any beneficiary during the taxable year, or (B) paid, permanently set aside, or to be used for the purposes specified in section 642 (c). Losses from the sale or exchange of capital assets shall be excluded, except to the extent such losses are taken into account in determining the amount of gains from the sale or exchange of capital assets which are paid, credited, or required to be distributed to any beneficiary during the taxable year. The deduction under section 1202 (relating to deduction for excess of capital gains over capital losses) shall not be taken into account.

(4) *Extraordinary dividends and taxable stock dividends.* For purposes only of subpart B (relating to trusts which distribute current income only), there shall be excluded those items of gross income constituting extraordinary dividends or taxable stock dividends which the fiduciary, acting in good faith, does not pay or credit to any beneficiary by reason of his determination that such dividends are allocable to corpus under the terms of the governing instrument and applicable local law.

(5) *Tax-exempt interest.* There shall be included any tax-exempt interest to which section 103 applies, reduced by any amounts which would be deductible in respect of disbursements allocable to such interest but for the provisions of section 265 (relating to disallowance of certain deductions).

(6) *Foreign income.* In the case of a foreign trust, there shall be included the amounts of gross income from sources without the United States, reduced by any amounts which would be deductible in respect of disbursements allocable to such income but for the provisions of section 265 (1) (relating to disallowance of certain deductions).

(7) *Dividends.* There shall be included the amount of any dividends excluded from gross income pursuant to section 116 (relating to partial exclusion of dividends received).

If the estate or trust is allowed a deduction under section 642 (c), the amount of the modifications specified in paragraphs (5) and (6) shall be reduced to the extent that the amount of income which is paid, permanently set aside, or to be used for the purposes specified in section 642 (c) is deemed to consist of items specified in those paragraphs. For this purpose, such amount shall (in the absence of specific provisions in the governing instrument) be deemed to consist of the same proportion of each class of items of income of the estate or trust as the total of each class bears to the total of all classes.

§ 1.643 (a)–1 *Deduction for distributions.* The deduction allowable to a trust under section 651 and to an estate or trust under section 661 for amounts paid, credited, or required to be distributed to beneficiaries is not allowed in the computation of distributable net income.

§ 1.643 (a)–2 *Deduction for personal exemption.* The deduction for personal exemption under section 642 (b) is not allowed in the computation of distributable net income.

§ 1.643 (a)–3 *Capital gains and losses.* (a) Gains from the sale or exchange of capital assets are ordinarily excluded from distributable net income, and are not ordinarily considered as paid, credited, or required to be distributed to any beneficiary unless they are—

(1) Allocated to income under the terms of the governing instrument or local law by the fiduciary on its books or by notice to the beneficiary,

(2) Allocated to corpus and actually distributed to beneficiaries during the taxable year, or

(3) Utilized (pursuant to the terms of the governing instrument or the practice followed by the fiduciary) in determining the amount which is distributed or required to be distributed.

However, if capital gains are paid, permanently set aside, or to be used for the purposes specified in section 642 (c), so that a charitable deduction is allowed under that section in respect of the gains, they must be included in the computation of distributable net income.

(b) Losses from the sale or exchange of capital assets are excluded in computing distributable net income except to the extent that they enter into the determination of any capital gains that are paid, credited, or required to be distributed to any beneficiary during the taxable year (but see § 1.642 (h)–1 with respect to capital loss carryovers in the year of final termination of an estate or trust).

(c) The deduction under section 1202 (relating to capital gains) is taken into account in computing distributable net income to the extent that it is allocable to capital gains which are paid, permanently set aside, or to be used for the purposes specified in section 642 (c). See § 1.642 (c)–2 to determine the extent to which the amount so paid, permanently set aside, or to be used consists of capital gains. The deduction for capital gains provided in section 1202 insofar as it is allocable to the remainder of the capital gains is not taken into account.

(d) The application of this section may be illustrated by the following examples:

Example (1). A trust is created to pay the income to A for life, with a discretionary power in the trustee to invade principal for A's benefit. In the taxable year, $10,000 is realized from the sale of securities at a profit, and $10,000 in excess of income is distributed to A. The capital gain is not allocated to A by the trustee. During the taxable year the trustee received and paid out $5,000 of dividends. No other cash was received or on hand during the taxable year. The capital gain will not ordinarily be included in distributable net income. However, if the trustee follows a regular practice of distributing the exact net proceeds of the sale of trust property, capital gains will be included in distributable net income.

Example (2). The result in example (1) would have been the same if the trustee had been directed to pay an annuity of $15,000 a year to A (instead of being directed to pay the income to A with a discretionary power to distribute principal).

Example (3). The trustee of a trust containing Blackacre and other property is directed to hold Blackacre for ten years, and then sell it and distribute its proceeds to A. Any capital gain realized from the sale of Blackacre will be included in distributable net income.

Example (4). A trust instrument directs that the income shall be paid to A, and that the principal shall be distributed to A when he reaches age 35. All capital gains realized in the year of termination will be included

in distributable net income. (See § 1.641 (b)-3 for the determination of the year of final termination and the taxability of capital gains realized after the terminating event and before final distribution).

Example (5). If in example (4) the trustee had been directed to distribute half of the principal to A when he reached 35, the capital gain would be included in distributable net income (and in the distribution to A) to the extent the capital gain is allocable to A under the governing instrument and local law. Thus, if the trust assets consisted entirely of 100 shares of corporation M stock and the trustee sold half the shares and distributed the proceeds to A, the entire capital gain would normally be considered as allocated to A. On the other hand, if the trustee sold all the shares and distributed half the proceeds to A, half the capital gain would be considered as allocable to A.

Example (6). If in example (4) the trustee had been directed to pay $10,000 to B before making distribution to A, no portion of the capital gains would be allocable to B since the distribution to B is a gift of a specific sum of money within the meaning of section 663 (a) (1).

§ 1.643 (a)-4 *Extraordinary dividends and taxable stock dividends.* In the case solely of a trust which qualifies under subpart B (sections 651-652) as a "simple trust", there are excluded from distributable net income extraordinary dividends (whether paid in cash or in kind) or taxable stock dividends which are not distributed or credited to a beneficiary because the fiduciary in good faith determines that under the terms of the governing instrument and applicable local law such dividends are allocable to corpus. See section 665 (d) and § 1.665 (d)-1 (b) for the treatment of such dividends upon subsequent distribution.

§ 1.643 (a)-5 *Tax-exempt interest.* (a) There is included in distributable net income any tax-exempt interest excluded from gross income under section 103, reduced by disbursements allocable to such interest which would have been deductible under section 212 but for the provisions of section 265 (relating to disallowance of deductions allocable to tax-exempt income).

(b) If the estate or trust is allowed a charitable contributions deduction under section 642 (c), the amounts specified in paragraph (a) of this section and § 1.643 (a)-6 are reduced by the portion deemed to be included in income paid, permanently set aside, or to be used for the purposes specified in section 642 (c). If the governing instrument specifically provides as to the source out of which amounts are paid, permanently set aside, or to be used for such charitable purposes, the specific provisions control. In the absence of specific provisions in the governing instrument, an amount to which section 642 (c) applies is deemed to consist of the same proportion of each class of the items of income of the estate or trust as the total of each class bears to the total of all classes. For illustrations showing the determination of the character of an amount deductible under section 642 (c), see examples (1) and (2) of § 1.662 (b)-2 and paragraph (e) of § 1.662 (c)-4.

§ 1.643 (a)-6 *Foreign income.* In the case of a foreign trust, there is included in distributable net income gross income from sources without the United States, reduced by disbursements allocable to such foreign income which would have been deductible but for the provisions of section 265 (relating to disallowance of deductions allocable to tax-exempt income). See § 1.643 (a)-5 (b) for rules applicable when an estate or trust is allowed a charitable contributions deduction under section 642 (c).

§ 1.643 (a)-7 *Dividends.* Dividends excluded from gross income under section 116 (relating to partial exclusion of dividends received) are included in distributable net income. For this purpose, adjustments similar to those required by § 1.643 (a)-5 with respect to expenses allocable to tax-exempt income and to income included in amounts paid or set aside for charitable purposes are not made. See § 1.642 (c)-2.

§ 1.643 (b) *Statutory provisions; estates and trusts; definition of income.*

SEC. 643. *Definitions applicable to subparts A, B, C, and D.* * * *

(b) *Income.* For purposes of this subpart and subparts B, C, and D, the term "income", when not preceded by the words "taxable", "distributable net", "undistributed net", or "gross", means the amount of income of the estate or trust for the taxable year determined under the terms of the governing instrument and applicable local law. Items of gross income constituting extraordinary dividends or taxable stock dividends which the fiduciary, acting in good faith, determines to be allocable to corpus under the terms of the governing instrument and applicable local law shall not be considered income.

§ 1.643 (b)-1 *Definition of "income".* For purposes of subparts A through D of part I, subchapter J, chapter 1 of the Internal Revenue Code of 1954, the term "income", when not preceded by the words "taxable", "distributable net", "undistributed net", or "gross", means the amount of income of an estate or trust for the taxable year determined under the terms of its governing instrument and applicable local law. Trust provisions which depart fundamentally from concepts of local law in the determination of what constitutes income are not recognized for this purpose. For example, if a trust instrument directs that all the trust income shall be paid to A, but defines ordinary dividends and interest as corpus, the trust will not be considered one which under its governing instrument is required to distribute all its income currently for purposes of section 642 (b) (relating to the personal exemption) and section 651 (relating to "simple" trusts).

§ 1.643 (b)-2 *Dividends allocated to corpus.* Extraordinary dividends or taxable stock dividends which the fiduciary, acting in good faith, determines to be allocable to corpus under the terms of the governing instrument and applicable local law are not considered "income" for purposes of subparts A, B, C, or D. See section 643 (a) (4), § 1.643 (a)-4, § 1.643 (c)-2, section 665 (d) and § 1.665 (d)-1 (b) for the treatment of such items in the computation of distributable net income.

§ 1.643 (c) *Statutory provisions; estates and trusts; definition of beneficiary.*

SEC. 643. *Definitions applicable to subparts A, B, C, and D.* * * *

(c) *Beneficiary.* For purposes of this part, the term "beneficiary" includes heir, legatee, devisee.

§ 1.643 (c)-1 *Definition of "beneficiary".* An heir, legatee, or devisee (including an estate or trust) is a beneficiary. A trust created under a decedent's will is a beneficiary of the decedent's estate. The following persons are treated as beneficiaries:

(a) Any person with respect to an amount used to discharge or satisfy that person's legal obligation as that term is used in § 1.662 (a)-4.

(b) The grantor of a trust with respect to an amount applied or distributed for the support of a dependent under the circumstances specified in section 677 (b) out of corpus or out of other than income for the taxable year of the trust.

(c) The trustee or cotrustee of a trust with respect to an amount applied or distributed for the support of a dependent under the circumstances specified in section 678 (c) out of corpus or out of other than income for the taxable year of the trust.

§ 1.643 (c)-2 *Illustration of the provisions of section 643.* (a) The provisions of section 643 may be illustrated by the following example:

Example. (1) Under the terms of the trust instrument, the income of a trust is required to be currently distributed to W during her life. Capital gains are allocable to corpus and all expenses are charges against corpus. During the taxable year the trust has the following items of income and expenses:

Dividends from domestic corporations	$30,000
Extraordinary dividends allocated to corpus by the trustee in good faith	20,000
Taxable interest	10,000
Tax-exempt interest	10,000
Long-term capital gains	10,000
Trustee's commissions and miscellaneous expenses allocable to corpus	5,000

(2) The "income" of the trust determined under section 643 (b) which is currently distributable to W is $50,000, consisting of dividends of $30,000, taxable interest of $10,000 and tax-exempt interest of $10,000. The trustee's commissions and miscellaneous expenses allocable to tax-exempt interest amount to $1,000 (10,000/50,000 × $5,000).

(3) The "distributable net income" determined under section 643 (a) amounts to $45,000, computed as follows:

Dividends from domestic corporations		$30,000
Taxable interest		10,000
Nontaxable interest	$10,000	
Less: Expenses allocable thereto	1,000	
		9,000
Total		49,000
Less: Expenses ($5,000 less $1,000 allocable to tax-exempt interest)		4,000
Distributable net income		45,000

In determining the distributable net income of $45,000, the taxable income of the trust is

computed with the following modifications: No deductions are allowed for distributions to W and for personal exemption of the trust (section 643 (a) (1) and (2)); capital gains allocable to corpus are excluded and the deduction allowable under section 1202 is not taken into account (section 643 (a) (3)); the extraordinary dividends allocated to corpus by the trustee in good faith are excluded (sections 643 (a) (4)); and the tax-exempt interest (as adjusted for expenses) and the dividend exclusion of $50 are included (section 643 (a) (5) and (7)).

(b) See paragraph (c) of § 1.661 (c)-2 for the computation of distributable net income where there is a charitable contributions deduction.

Trusts Which Distribute Current Income Only

§ 1.651 (a) *Statutory provisions; trusts which distribute current income only; deduction for amounts required to be distributed currently.*

SEC. 651. *Deduction for trusts distributing current income only*—(a) *Deduction.* In the case of any trust the terms of which—

(1) Provide that all of its income is required to be distributed currently, and

(2) Do not provide that any amounts are to be paid, permanently set aside, or used for the purposes specified in section 642 (c) (relating to deduction for charitable, etc., purposes),

there shall be allowed as a deduction in computing the taxable income of the trust the amount of the income for the taxable year which is required to be distributed currently. This section shall not apply in any taxable year in which the trust distributes amounts other than amounts of income described in paragraph (1).

§ 1.651 (a)-1 *Simple trusts; deduction for distributions; in general.* Section 651 is applicable only to a trust the governing instrument of which—

(a) Requires that the trust distribute all of its income currently for the taxable year, and

(b) Does not provide that any amounts may be paid, permanently set aside, or used in the taxable year for the charitable, etc., purposes specified in section 642 (c),

and does not make any distribution other than of current income. A trust to which section 651 applies is referred to in this part as a "simple" trust. Trusts subject to section 661 are referred to as "complex" trusts. A trust may be a simple trust for one year and a complex trust for another year. It should be noted that under section 651 a trust qualifies as a simple trust in a taxable year in which it is required to distribute all its income currently and makes no other distributions, whether or not distributions of current income are in fact made. On the other hand a trust is not a complex trust by reason of distributions of amounts other than income unless such distributions are in fact made during the taxable year, whether or not they are required in that year.

§ 1.651 (a)-2 *Income required to be distributed currently.* (a) The determination of whether trust income is required to be distributed currently depends upon the terms of the trust instrument and the applicable local law. For this purpose, if the trust instrument provides that the trustee in determining the distributable income shall first retain a reserve for depreciation or otherwise make due allowance for keeping the trust corpus intact by retaining a reasonable amount of the current income for that purpose, the retention of current income for that purpose will not disqualify the trust from being a "simple" trust. The fiduciary must be under a duty to distribute the income currently even if, as a matter of practical necessity, the income is not distributed until after the close of the trust's taxable year. For example: Under the terms of the trust instrument, all of the income is currently distributable to A. The trust reports on the calendar year basis and as a matter of practical necessity makes distribution to A of each quarter's income on the fifteenth day of the month following the close of the quarter. The distribution made by the trust on January 15, 1955, of the income for the fourth quarter of 1954 does not disqualify the trust for treatment in 1955 under section 651, since the income is required to be distributed currently. However, if the terms of a trust require that none of the income be distributed until after the year of its receipt by the trust, the income of the trust is not required to be distributed currently and the trust is not a simple trust. For definition of the term "income" see section 643 (b) and § 1.643 (b)-1.

(b) It is immaterial, for purposes of determining whether all the income is required to be distributed currently, that the amount of income allocated to a particular beneficiary is not specified in the instrument. For example, if the fiduciary is required to distribute all the income currently, but has discretion to "sprinkle" the income among a class of beneficiaries, or among named beneficiaries in such amount as he may see fit, all the income is required to be distributed currently, even though the amount distributable to a particular beneficiary is unknown until the fiduciary has exercised his discretion.

(c) If in one taxable year of a trust its income for that year is required or permitted to be accumulated, and in another taxable year its income for the year is required to be distributed currently (and no other amounts are distributed), the trust is a simple trust for the latter year. For example, a trust under which income may be accumulated until a beneficiary is 21 years old, and thereafter must be distributed currently, is a simple trust for taxable years beginning after the beneficiary reaches the age of 21 years in which no other amounts are distributed.

§ 1.651 (a)-3 *Distribution of amounts other than income.* (a) A trust does not qualify for treatment under section 651 for any taxable year in which it actually distributes corpus. For example, a trust which is required to distribute all of its income currently would not qualify as a simple trust under section 651 in the year of its termination since in that year actual distributions of corpus would be made.

(b) A trust, otherwise qualifying under section 651, which may make a distribution of corpus in the discretion of the trustee, or which is required under the terms of its governing instrument to make a distribution of corpus upon the happening of a specified event, will be disqualified for treatment under section 651 only for the taxable year in which an actual distribution of corpus is made. For example: Under the terms of a trust, which is required to distribute all of its income currently, half of the corpus is to be distributed to beneficiary A when he becomes 30 years of age. The trust reports on the calendar year basis. On December 28, 1954, A becomes 30 years of age and the trustee distributes half of the corpus of the trust to him on January 3, 1955. The trust will be disqualified for treatment under section 651 only for the taxable year 1955, the year in which an actual distribution of corpus is made.

(c) See section 661 and the regulations thereunder for the treatment of trusts which distribute corpus or claim the charitable contributions deduction provided by section 642 (c).

§ 1.651 (a)-4 *Charitable purposes.* A trust is not considered to be a trust which may pay, permanently set aside, or use any amount for charitable, etc., purposes for any taxable year for which it is not allowed a charitable, etc., deduction under section 642 (c). Therefore, a trust with a remainder to a charitable organization is not disqualified for treatment as a simple trust if either (a) the remainder is subject to a contingency, so that no deduction would be allowed for capital gains or other amounts added to corpus as amounts permanently set aside for a charitable, etc., purpose under section 642 (c), or (b) the trust receives no capital gains or other income added to corpus for the taxable year for which such a deduction would be allowed.

§ 1.651 (a)-5 *Estates.* Subpart B has no application to an estate.

§ 1.651 (b) *Statutory provisions; trusts which distribute current income only; limitation on deduction for amounts required to be distributed currently.*

SEC. 651. *Deduction for trusts distributing current income only.* * * *

(b) *Limitation on deduction.* If the amount of income required to be distributed currently exceeds the distributable net income of the trust for the taxable year, the deduction shall be limited to the amount of the distributable net income. For this purpose, the computation of distributable net income shall not include items of income which are not included in the gross income of the trust and the deductions allocable thereto.

§ 1.651 (b)-1 *Deduction for distributions to beneficiaries.* In computing its taxable income, a simple trust is allowed a deduction for the amount of income which is required under the terms of the trust instrument to be distributed currently to beneficiaries. If the amount of income required to be distributed currently exceeds the distributable net income, the deduction allowable to the trust is limited to the amount of the distributable net income. For this purpose the amount of income required to be distributed currently, or distributable

net income, whichever is applicable, does not include items of trust income (adjusted for deductions allocable thereto) which are not included in the gross income of the trust. For determination of the character of the income required to be distributed currently, see § 1.652 (b)–2. Accordingly, for the purposes of determining the deduction allowable to the trust under section 651, distributable net income is computed without the modifications specified in paragraphs (5), (6), and (7) of section 643 (a), relating to tax-exempt interest, foreign income, and excluded dividends. For example: Assume that the distributable net income of a trust as computed under section 643 (a) amounts to $99,000 but includes nontaxable income of $9,000. Then distributable net income for the purpose of determining the deduction allowable under section 651 is $90,000 ($99,000 less $9,000 nontaxable income).

§ 1.652 (a) *Statutory provisions; trusts which distribute current income only; inclusion of amounts in gross income of beneficiaries.*

SEC. 652. *Inclusion of amounts in gross income of beneficiaries of trusts distributing current income only*—(a) *Inclusion.* Subject to subsection (b), the amount of income for the taxable year required to be distributed currently by a trust described in section 651 shall be included in the gross income of the beneficiaries to whom the income is required to be distributed, whether distributed or not. If such amount exceeds the distributable net income, there shall be included in the gross income of each beneficiary an amount which bears the same ratio to distributable net income as the amount of income required to be distributed to such beneficiary bears to the amount of income required to be distributed to all beneficiaries.

§ 1.652 (a)–1 *Simple trusts; inclusion of amounts in income of beneficiaries.* Subject to the rules in §§ 1.652 (a)–2 and 1.652 (b)–1, a beneficiary of a simple trust includes in his gross income for the taxable year the amounts of income required to be distributed to him for such year, whether or not distributed. Thus, the income of a simple trust is includible in the beneficiary's gross income for the taxable year in which the income is required to be distributed currently even though, as a matter of practical necessity, the income is not distributed until after the close of the taxable year of the trust. See § 1.642 (a)–2 with respect to time of receipt of dividends. See § 1.652 (c)–1 for treatment of amounts required to be distributed where a beneficiary and the trust have different taxable years. The term "income required to be distributed currently" includes income required to be distributed currently which is in fact used to discharge or satisfy any person's legal obligation as that term is used in § 1.662 (a)–4.

§ 1.652 (a)–2 *Distributions in excess of distributable net income.* If the amount of income required to be distributed currently to beneficiaries exceeds the distributable net income of the trust (as defined in section 643 (a)), each beneficiary includes in his gross income an amount equivalent to his proportionate share of such distributable net income. Thus, if beneficiary A is to receive two-thirds of the trust income and B is to receive one-third, and the income required to be distributed currently is $99,000, A will receive $66,000 and B, $33,000. However, if the distributable net income, as determined under section 643 (a) is only $90,000, A will include two-thirds ($60,000) of that sum in his gross income, and B will include one-third ($30,000) in his gross income. See §§ 1.652 (b)–1 and 1.652 (b)–2, however, for amounts which are not includible in the gross income of a beneficiary because of their tax-exempt character.

§ 1.652 (b) *Statutory provisions; trusts which distribute current income only; character of amounts in the hands of beneficiaries.*

SEC. 652. *Inclusion of amounts in gross income of beneficiaries of trusts distributing current income only.* * * *

(b) *Character of amounts.* The amounts specified in subsection (a) shall have the same character in the hands of the beneficiary as in the hands of the trust. For this purpose, the amounts shall be treated as consisting of the same proportion of each class of items entering into the computation of distributable net income of the trust as the total of each class bears to the total distributable net income of the trust, unless the terms of the trust specifically allocate different classes of income to different beneficiaries. In the application of the preceding sentence, the items of deduction entering into the computation of distributable net income shall be allocated among the items of distributable net income in accordance with regulations prescribed by the Secretary or his delegate.

§ 1.652 (b)–1 *Character of amounts.* In determining the gross income of a beneficiary, the amounts includible under § 1.652 (a)–1 have the same character in the hands of the beneficiary as in the hands of the trust. For example, to the extent that the amounts specified in § 1.652 (a)–1 consist of income exempt from tax under section 103, such amounts are not included in the beneficiary's gross income. Similarly, dividends distributed to a beneficiary retain their original character in the beneficiary's hands for purposes of determining the availability to the beneficiary of the dividends received credit under section 34 and the dividend exclusion under section 116. The tax treatment of amounts determined under § 1.652 (a)–1 depends upon the beneficiary's status with respect to them, not upon the status of the trust. Thus, if a beneficiary is deemed to have received foreign income of a foreign trust, the includibility of such income in his gross income depends upon his taxable status with respect to that income.

§ 1.652 (b)–2 *Allocation of income items.* (a) The amounts specified in § 1.652 (a)–1 which are required to be included in the gross income of a beneficiary are treated as consisting of the same proportion of each class of items entering into distributable net income of the trust (as defined in section 643 (a)) as the total of each class bears to such distributable net income, unless the terms of the trust specifically allocate different classes of income to different beneficiaries, or unless local law requires such an allocation. For example: Assume that under the terms of the governing instrument, beneficiary A is to receive currently one-half of the trust income and beneficiaries B and C are each to receive currently one-quarter, and the distributable net income of the trust (after allocation of expenses) consists of dividends of $10,000, taxable interest of $10,000, and tax-exempt interest of $4,000. A will be deemed to have received $5,000 of dividends, $5,000 of taxable interest, and $2,000 of tax-exempt interest; B and C will each be deemed to have received $2,500 of dividends, $2,500 of taxable interest, and $1,000 of tax-exempt interest. However, if the terms of the trust specifically allocate different classes of income to different beneficiaries, entirely or in part, or if local law requires such an allocation, each beneficiary will be deemed to have received those items of income specifically allocated to him.

(b) The terms of the trust are considered specifically to allocate different classes of income to different beneficiaries only to the extent that the allocation is required in the trust instrument, and only to the extent that it has an economic effect independent of the income tax consequences of the allocation. For example—

(1) Allocation pursuant to a provision in a trust instrument granting the trustee discretion to allocate different classes of income to different beneficiaries is not a specific allocation by the terms of the trust.

(2) Allocation pursuant to a provision directing the trustee to pay half the income to A, or $10,000 out of the income to A, and the balance of the income to B, but directing the trustee first to allocate a specific class of income to A's share (to the extent there is income of that class and to the extent it does not exceed A's share) is not a specific allocation by the terms of the trust.

(3) Allocation pursuant to a provision directing the trustee to pay all of one class of income (whatever it may be) to A, and the balance of the income to B, is a specific allocation by the terms of the trust.

§ 1.652 (b)–3 *Allocation of deductions.* Items of deduction of a trust that enter into the computation of distributable net income are to be allocated among the items of income in accordance with the following principles:

(a) All deductible items directly attributable to one class of income (except dividends excluded under section 116) are allocated thereto. For example, repairs to, taxes on, and other expenses directly attributable to the maintenance of rental property or the collection of rental income are allocated to rental income. See § 1.642 (e)–1 for treatment of depreciation of rental property. Similarly, all expenditures directly attributable to a business carried on by a trust are allocated to the income from such business. If the deductions directly attributable to a particular class of income exceed that income, the excess is applied against other classes of income in the manner provided in paragraph (d) of this section.

(b) The deductions which are not directly attributable to a specific class of income may be allocated to any item of income (including capital gains) included in computing distributable net income, but a portion must be allocated to nontaxable income (except dividends excluded under section 116) pursuant to section 265 and the regulations thereunder. For example, if the income of a trust is $30,000 (after direct expenses), consisting equally of $10,000 of dividends, tax-exempt interest, and rents, and income commissions amount to $3,000, one-third ($1,000) of such commissions should be allocated to tax-exempt interest, but the balance of $2,000 may be allocated to the rents or dividends in such proportions as the trustee may elect. The fact that the governing instrument or applicable local law treats certain items of deduction as attributable to corpus or to income not included in distributable net income does not affect allocation under this paragraph. For instance, if in the example set forth in this paragraph the trust also had capital gains which are allocable to corpus under the terms of the trust instrument, no part of the deductions would be allocable thereto since the capital gains are excluded from the computation of distributable net income under section 643 (a) (3).

(c) Examples of expenses which are considered as not directly attributable to a specific class of income are trustee's commissions, the rental of safe deposit boxes, and State income and personal property taxes.

(d) To the extent that any items of deduction which are directly attributable to a class of income exceed that class of income, they may be allocated to any other class of income (including capital gains) included in distributable net income in the manner provided in paragraph (b) of this section, except that any excess deductions attributable to tax-exempt income (other than dividends excluded under section 116) may not be offset against any other class of income. See section 265 and the regulations thereunder. Thus, if the trust has rents, taxable interest, dividends, and tax-exempt interest, and the deductions directly attributable to the rents exceed the rental income, the excess may be allocated to the taxable interest or dividends in such proportions as the fiduciary may elect. However, if the excess deductions are attributable to the tax-exempt interest, they may not be allocated to either the rents, taxable interest, or dividends.

§ 1.652 (c) *Statutory provisions; trusts which distribute current income only; inclusion of amounts in gross income of beneficiaries; different taxable years.*

SEC. 652. *Inclusion of amounts in gross income of beneficiaries of trusts distributing current income only.* * * *

(c) *Different taxable years.* If the taxable year of a beneficiary is different from that of the trust, the amount which the beneficiary is required to include in gross income in accordance with the provisions of this section shall be based upon the amount of income of the trust for any taxable year or years of the trust ending within or with his taxable year.

§ 1.652 (c)–1 *Different taxable years.* If a beneficiary has a different taxable year (as defined in section 441 or 442) from the taxable year of the trust, the amount he is required to include in gross income in accordance with section 652 (a) and (b) is based on the income of the trust for any taxable year or years ending with or within his taxable year. This rule applies to taxable years of normal duration as well as to so-called short taxable years. Income of the trust for its taxable year or years is determined in accordance with its method of accounting and without regard to that of the beneficiary.

§ 1.652 (c)–2 *Death of individual beneficiaries.* If income is required to be distributed currently to a beneficiary, by a trust for a taxable year which does not end with or within the last taxable year of a beneficiary (because of the beneficiary's death), the extent to which the income is included in the gross income of the beneficiary for his last taxable year or in the gross income of his estate is determined by the computations under section 652 for the taxable year of the trust in which his last taxable year ends. Thus, the distributable net income of the taxable year of the trust determines the extent to which the income required to be distributed currently to the beneficiary is included in his gross income for his last taxable year or in the gross income of his estate. (Section 652 (c) does not apply to such amounts.) The gross income for the last taxable year of a beneficiary on the cash basis includes only income actually distributed to the beneficiary before his death. Income required to be distributed, but in fact distributed to his estate, is included in the gross income of the estate as income in respect of a decedent under section 691. See § 1.663 (c)–3 (e) with respect to separate share treatment for the periods before and after the decedent's death. If the trust does not qualify as a simple trust for the taxable year of the trust in which the last taxable year of the beneficiary ends, see section 662 (c) and § 1.662 (c)–2.

§ 1.652 (c)–3 *Termination of existence of other beneficiaries.* If the existence of a beneficiary which is not an individual terminates, the amount to be included under section 652 (a) in its gross income for its last taxable year is computed with reference to §§ 1.652 (c)–1 and 1.652 (c)–2 as if the beneficiary were a deceased individual, except that the income required to be distributed prior to the termination but actually distributed to the beneficiary's successor in interest is included in the beneficiary's income for its last taxable year.

§ 1.652 (c)–4 *Illustration of the provisions of sections 651 and 652.* The rules applicable to a trust required to distribute all of its income currently and to its beneficiaries may be illustrated by the following example:

Example. (a) Under the terms of a simple trust all of the income is to be distributed equally to beneficiaries A and B and capital gains are to be allocated to corpus. The trust and both beneficiaries file returns on the calendar year basis. No provision is made in the governing instrument with respect to depreciation. During the taxable year 1955, the trust had the following items of income and expense:

Rents	$25,000
Dividends of domestic corporations	50,000
Tax-exempt interest on municipal bonds	25,000
Long-term capital gains	15,000
Taxes and expenses directly attributable to rents	5,000
Trustee's commissions allocable to income account	2,600
Trustee's commissions allocable to principal account	1,300
Depreciation	5,000

(b) The income of the trust for fiduciary accounting purposes is $92,400, computed as follows:

Rents		$25,000
Dividends		50,000
Tax-exempt interest		25,000
Total		100,000
Deductions:		
Expenses directly attributable to rental income	$5,000	
Trustee's commissions allocable to income account	2,600	
		7,600
Income computed under section 643 (b)		92,400

One-half ($46,200) of the income of $92,400 is currently distributable to each beneficiary.

(c) The distributable net income of the trust computed under section 643 (a) is $91,100, determined as follows (cents are disregarded in the computation):

Rents		$25,000
Dividends		50,000
Tax-exempt interest	$25,000	
Less: Expenses allocable thereto (25,000/100,000 × $3,900)	975	
		24,025
Total		99,025
Deductions:		
Expenses directly attributable to rental income	$5,000	
Trustee's commissions ($3,900 less $975 allocable to tax-exempt interest)	2,925	
		7,925
Distributable net income		91,100

In computing the distributable net income of $91,100, the taxable income of the trust was computed with the following modifications: No deductions were allowed for distributions to the beneficiaries and for personal exemption of the trust (section 643 (a) (1) and (2)); capital gains were excluded and no deduction under section 1202 (relating to the 50 percent deduction for long-term capital gains) was taken into account (section 643 (a) (3)); the tax-exempt interest (as adjusted for expenses) and the dividend exclusion of $50 were included (section 643 (a) (5) and (7)). Since all of the income of the trust is required to be currently distributed, no deduction is allowable for depreciation in the absence of specific provisions in the governing instrument providing for the keeping of the trust corpus intact. See section 167 (g) and the regulations thereunder.

(d) The deduction allowable to the trust under section 651 (a) for distributions to

the beneficiaries is $67,025, computed as follows:

Distributable net income computed under section 643 (a) (see paragraph (c))		$91,100
Less:		
Tax-exempt interest as adjusted	$24,025	
Dividend exclusion	50	
		24,075
Distributable net income as determined under section 651 (b)		67,025

Since the amount of the income ($92,400) required to be distributed currently by the trust exceeds the distributable net income ($67,025) as computed under section 651 (b), the deduction allowable under section 651 (a) is limited to the distributable net income of $67,025.

(e) The taxable income of the trust is $7,200 computed as follows:

Rents		$25,000
Dividends ($50,000 less $50 exclusion)		49,950
Long-term capital gains		15,000
Gross income		89,950
Deductions:		
Rental expenses	$5,000	
Trustee's commissions	2,925	
Capital gain deduction	7,500	
Distributions to beneficiaries	67,025	
Personal exemption	300	
		82,750
Taxable income		7,200

The trust is not allowed a deduction for the portion ($975) of the trustee's commissions allocable to tax-exempt interest in computing its taxable income.

(f) In determining the character of the amounts includible in the gross income of A and B, it is assumed that the trustee elects to allocate to rents the expenses not directly attributable to a specific item of income other than the portion ($975) of such expenses allocated to tax-exempt interest. The allocation of expenses among the items of income is shown below:

	Rents	Dividends	Tax-exempt interest	Total
Income for trust accounting purposes	$25,000	$50,000	$25,000	$100,000
Less:				
Rental expenses	5,000	-------	-------	5,000
Trustee's commissions	2,925	-------	975	3,900
Total deductions	7,925	0	975	8,900
Character of amounts in the hands of the beneficiaries	17,075	50,000	24,025	[1] 91,100

[1] Distributable net income.

Inasmuch as the income of the trust is to be distributed equally to A and B, each is deemed to have received one-half of each item of income; that is, rents of $8,537.50, dividends of $25,000, and tax-exempt interest of $12,012.50. The dividends of $25,000 allocated to each beneficiary are to be aggregated with his other dividends (if any) for purposes of the dividend exclusion provided by section 116 and the dividend received credit allowed under section 34. Also, each beneficiary is allowed a deduction of $2,500 for depreciation of rental property attributable to the portion (one-half) of the income of the trust distributed to him.

Estates and Trusts Which May Accumulate Income or Which Distribute Corpus

§ 1.661 (a) *Statutory provisions; estates and trusts accumulating income or distributing corpus; deduction for amounts required to be distributed currently and other amounts distributed.*

SEC. 661. *Deduction for estates and trusts accumulating income or distributing corpus*—(a) *Deduction.* In any taxable year there shall be allowed as a deduction in computing the taxable income of an estate or trust (other than a trust to which subpart B applies), the sum of—

(1) Any amount of income for such taxable year required to be distributed currently (including any amount required to be distributed which may be paid out of income or corpus to the extent such amount is paid out of income for such taxable year); and

(2) Any other amounts properly paid or credited or required to be distributed for such taxable year;

but such deduction shall not exceed the distributable net income of the estate or trust.

§ 1.661 (a)–1 *Estates and trusts accumulating income or distributing corpus; general.* Subpart C of part I, subchapter J, chapter 1, of the Internal Revenue Code of 1954 is applicable to all decedents' estates and their beneficiaries, and to trusts and their beneficiaries other than trusts subject to the provisions of subpart B of part I (relating to trusts which distribute current income only, or "simple" trusts). A trust which is required to distribute amounts other than income during the taxable year may be subject to subpart B, and not subpart C, in the absence of an actual distribution of amounts other than income during the taxable year. See §§ 1.651 (a)–1 and 1.651 (a)–3. A trust to which subpart C is applicable is referred to as a "complex" trust in this part. Section 661 has no application to amounts excluded under section 663 (a).

§ 1.661 (a)–2 *Deduction for distributions to beneficiaries.* (a) In computing the taxable income of an estate or trust there is allowed under section 661 (a) as a deduction for distributions to beneficiaries the sum of—

(1) The amount of income for the taxable year which is required to be distributed currently, and

(2) Any other amounts properly paid or credited or required to be distributed for such taxable year.

However, the total amount deductible under section 661 (a) cannot exceed the distributable net income as computed under section 643 (a) and as modified by section 661 (c). See § 1.661 (c)–1.

(b) The term "income required to be distributed currently" includes any amount required to be distributed which may be paid out of income or corpus (such as an annuity), to the extent it is paid out of income for the taxable year. See § 1.651 (a)–2 which sets forth additional rules which are applicable in determining whether income of an estate or trust is required to be distributed currently.

(c) The term "any other amounts properly paid or credited or required to be distributed" includes all amounts properly paid, credited, or required to be distributed by an estate or trust during the taxable year other than income required to be distributed currently. Thus, the term includes the payment of an annuity to the extent it is not paid out of income for the taxable year, and a distribution of property in kind (see paragraph (f) of this section below). However, see section 663 (a) and regulations thereunder for distributions which are not included. Where the income of an estate or trust may be accumulated or distributed in the discretion of the fiduciary, or where the fiduciary has a power to distribute corpus to a beneficiary, any such discretionary distribution would qualify under section 661 (a) (2). The term also includes an amount applied or distributed for the support of a dependent of a grantor or of a trustee or cotrustee under the circumstances described in section 677 (b) or section 678 (c) out of corpus or out of other than income for the taxable year.

(d) The terms "income required to be distributed currently" and "any other amounts properly paid or credited or required to be distributed" also include any amount used to discharge or satisfy any person's legal obligation as that term is used in § 1.662 (a)–4.

(e) The terms "income required to be distributed currently" and "any other amounts properly paid or credited or required to be distributed" do not include amounts required to be paid by a decedent's estate pursuant to a court order or decree as an allowance or award under local law for the support of the decedent's widow or other dependent for a limited period during the administration of the estate, except to the extent such amounts are payable out of and chargeable to income under the order or decree or local law. The term "any other amounts properly paid or credited or required to be distributed" does not include the value of any interest in real estate owned by a decedent, title to which under local law passes directly from the decedent to his heirs or devisees.

(f) If property is paid, credited, or required to be distributed in kind—

(1) No gain or loss is realized by the trust or estate (or the other beneficiaries) by reason of the distribution, unless the distribution is in satisfaction of a right to receive a distribution in a specific dollar amount or in specific property other than that distributed.

(2) In determining the amount deductible by the trust or estate and includible in the gross income of the beneficiary the property distributed in kind is taken into account at its fair market value at the time it was distributed, credited, or required to be distributed.

(3) The basis of the property in the hands of the beneficiary is its fair market value at the time it was paid, credited, or required to be distributed, to the extent such value is included in the gross income

of the beneficiary. To the extent that the value of property distributed in kind is not included in the gross income of the beneficiary, its basis in the hands of the beneficiary is governed by the rules in sections 1014 and 1015 and the regulations thereunder. For this purpose, if the total value of cash and property distributed, credited, or required to be distributed in kind to a beneficiary in any taxable year exceeds the amount includible in his gross income for that year, the value of the property other than cash is normally considered as includible in his gross income only to the extent that the amount includible exceeds the cash paid, credited, or required to be distributed to the beneficiary in that year. Further, to the extent that the value of different items of property other than cash is includible in the gross income of a beneficiary in accordance with the preceding sentence, a pro rata portion of the total value of each item of property distributed, credited, or required to be distributed is normally considered as includible in the beneficiary's gross income.

§ 1.661 (b) *Statutory provisions; estates and trusts accumulating income or distributing corpus; character of amounts distributed to beneficiaries.*

SEC. 661. *Deduction for estates and trusts accumulating income or distributing corpus.* * * *

(b) *Character of amounts distributed.* The amount determined under subsection (a) shall be treated as consisting of the same proportion of each class of items entering into the computation of distributable net income of the estate or trust as the total of each class bears to the total distributable net income of the estate or trust in the absence of the allocation of different classes of income under the specific terms of the governing instrument. In the application of the preceding sentence, the items of deduction entering into the computation of distributable net income (including the deduction allowed under section 642 (c)) shall be allocated among the items of distributable net income in accordance with the regulations prescribed by the Secretary or his delegate.

§ 1.661 (b)–1 *Character of amounts distributed; in general.* In the absence of specific provisions in the governing instrument for the allocation of different classes of income, or unless local law requires such an allocation, the amount deductible for distributions to beneficiaries under section 661 (a) is treated as consisting of the same proportion of each class of items entering into the computation of distributable net income as the total of each class bears to the total distributable net income. For example, if a trust has distributable net income of $20,000, consisting of $10,000 each of taxable interest and royalties and distributes $10,000 to beneficiary A, the deduction of $10,000 allowable under section 661 (a) is deemed to consist of $5,000 each of taxable interest and royalties, unless the trust instrument specifically provides for the distribution or accumulation of different classes of income or unless local law requires such an allocation. See also § 1.661 (c)–1.

§ 1.661 (b)–2 *Character of amounts distributed when charitable contributions are made.* In the application of the rule stated in § 1.661 (b)–1 above, the items of deduction which enter into the computation of distributable net income are allocated among the items of income which enter into the computation of distributable net income in accordance with the rules set forth in § 1.652 (b)–3, except that, in the absence of specific provisions in the governing instrument, or unless local law requires a different apportionment, amounts paid, permanently set aside, or to be used for the charitable, etc., purposes specified in section 642 (c) are first ratably apportioned among each class of items of income entering into the computation of the distributable net income of the estate or trust, in accordance with the rules set out in § 1.643 (a)–5 (b).

§ 1.661 (c) *Statutory provisions; estates and trusts accumulating income or distributing corpus; limitation on deduction for amounts distributed to beneficiaries.*

SEC. 661. *Deduction for estates and trusts accumulating income or distributing corpus.* * * *

(c) *Limitation on deduction.* No deduction shall be allowed under subsection (a) in respect of any portion of the amount allowed as a deduction under that subsection (without regard to this subsection) which is treated under subsection (b) as consisting of any item of distributable net income which is not included in the gross income of the estate or trust.

§ 1.661 (c)–1 *Limitation on deduction.* An estate or trust is not allowed a deduction under section 661 (a) for any amount which is treated under section 661 (b) as consisting of any item of distributable net income which is not included in the gross income of the estate or trust. For example, if a trust has distributable net income of $20,000, which is deemed to consist of $10,000 of dividends and $10,000 of tax-exempt interest, and distributes $10,000 to beneficiary A, the deduction allowable under section 661 (a) (computed without regard to section 661 (c)) would amount to $10,000 consisting of $5,000 of dividends and $5,000 of tax-exempt interest. The deduction actually allowable under section 661 (a) as limited by section 661 (c) is $4,975, since no deduction is allowable for the $5,000 of tax-exempt interest and the $25 deemed distributed out of the $50 of dividends excluded under section 116, items of distributable net income which are not included in the gross income of the estate or trust.

§ 1.661 (c)–2 *Illustration of the provisions of section 661.* The provisions of section 661 may be illustrated by the following example:

Example. (a) Under the terms of a trust, which reports on the calendar year basis, $10,000 a year is required to be paid out of income to a designated charity. The balance of the income may, in the trustee's discretion, be accumulated or distributed to beneficiary A. Expenses are allocable against income and the trust instrument requires a reserve for depreciation. During the taxable year 1955 the trustee contributes $10,000 to charity and in his discretion distributes $15,000 of income to A. The trust has the following items of income and expense for the taxable year 1955:

Dividends	$10,000
Partially tax-exempt interest	10,000
Fully tax-exempt interest	10,000
Rents	20,000
Rental expenses	2,000
Depreciation of rental property	3,000
Trustee's commissions	5,000

(b) The income of the trust for fiduciary accounting purposes is $40,000, computed as follows:

Dividends		$10,000
Partially tax-exempt interest		10,000
Fully tax-exempt interest		10,000
Rents		20,000
Total		50,000
Less:		
Rental expenses	$2,000	
Depreciation	3,000	
Trustee's commissions	5,000	
		10,000
Income as computed under section 643 (b)		40,000

(c) The distributable net income of the trust as computed under section 643 (a) is $30,000, determined as follows:

Rents			$20,000
Dividends			10,000
Partially tax-exempt interest			10,000
Fully tax-exempt interest		$10,000	
Less:			
Expenses allocable thereto (10,000/50,000×$5,000)	$1,000		
Charitable contributions allocable thereto (10,000/50,000×$10,000)	2,000		
		3,000	
			7,000
Total			47,000
Deductions:			
Rental expenses		$2,000	
Depreciation of rental property		3,000	
Trustee's commissions ($5,000 less $1,000 allocated to tax-exempt interest)		4,000	
Charitable contributions ($10,000 less $2,000 allocated to tax-exempt interest)		8,000	
			17,000
Distributable net income (section 643 (a))			30,000

(d) The character of the amounts distributed under section 661 (a), determined in accordance with the rules prescribed in §§ 1.661 (b)–1 and 1.661 (b)–2 is shown by the following table (for the purpose of this allocation, it is assumed that the trustee elected to allocate the trustee's commissions to rental income except for the amount required to be allocated to tax-exempt interest):

	Rental income	Taxable dividends	Excluded dividends	Partially tax-exempt interest	Tax-exempt interest	Total
Trust income	$20,000	$9,950	$50	$10,000	$10,000	$50,000
Less:						
Charitable contributions	4,000	2,000	----------	2,000	2,000	10,000
Rental expenses	2,000	----------	----------	----------	----------	2,000
Depreciation	3,000	----------	----------	----------	----------	3,000
Trustee's commissions	4,000	----------	----------	----------	1,000	5,000
Total deductions	13,000	2,000	0	2,000	3,000	20,000
Distributable net income	7,000	7,950	50	8,000	7,000	30,000
Amounts deemed distributed under section 661 (a) before applying the limitation of section 661 (c)	3,500	3,975	25	4,000	3,500	15,000

In the absence of specific provisions in the trust instrument for the allocation of different classes of income, the charitable contribution is deemed to consist of a pro rata portion of the gross amount of each item of income of the trust (except the dividends excluded under section 116) and the trust is deemed to have distributed to A a pro rata portion (one-half) of each item of income included in distributable net income.

(e) The taxable income of the trust is $11,375 computed as follows:

Rental income		$20,000
Dividends ($10,000 less $50 exclusion)		9,950
Partially tax-exempt interest		10,000
Gross income		39,950
Deductions:		
Rental expenses	$2,000	
Depreciation of rental property	3,000	
Trustee's commissions	4,000	
Charitable contributions	8,000	
Distributions to A	11,475	
Personal exemption	100	
		28,575
Taxable income		11,375

In computing the taxable income of the trust no deduction is allowable for the portions of the charitable contributions deduction ($2,000) and trustee's commissions ($1,000) which are treated under section 661 (b) as attributable to the tax-exempt interest excludable from gross income. Also, of the dividends of $4,000 deemed to have been distributed to A under section 661 (a), $25 (25/50ths of $50) is deemed to have been distributed from the excluded dividends and is not an allowable deduction to the trust. Accordingly, the deduction allowable under section 661 is deemed to be composed of $3,500 rental income, $3,975 of dividends, and $4,000 partially tax-exempt interest. No deduction is allowable for the portion of tax-exempt interest or for the portion of the excluded dividends deemed to have been distributed to the beneficiary.

(f) The trust is entitled to the credit allowed by section 34 with respect to dividends of $5,975 ($9,950 less $3,975 distributed to A) included in gross income. Also, the trust is allowed the credit provided by section 35 with respect to partially tax-exempt interest of $6,000 ($10,000 less $4,000 deemed distributed to A) included in gross income.

(g) Dividends of $4,000 allocable to A are to be aggregated with his other dividends (if any) for purposes of the dividend exclusion under section 116 and the dividend received credit under section 34.

§ 1.662 (a) *Statutory provisions; estates and trusts which may accumulate income or which distribute corpus; inclusion of amounts in gross income of beneficiaries.*

SEC. 662. *Inclusion of amounts in gross income of beneficiaries of estates and trusts accumulating income or distributing corpus*—(a) *Inclusion.* Subject to subsection (b), there shall be included in the gross income of a beneficiary to whom an amount specified in section 661 (a) is paid, credited, or required to be distributed (by an estate or trust described in section 661), the sum of the following amounts:

(1) *Amounts required to be distributed currently.* The amount of income for the taxable year required to be distributed currently to such beneficiary, whether distributed or not. If the amount of income required to be distributed currently to all beneficiaries exceeds the distributable net income (computed without the deduction allowed by section 642 (c), relating to deduction for charitable, etc., purposes) of the estate or trust, then, in lieu of the amount provided in the preceding sentence, there shall be included in the gross income of the beneficiary an amount which bears the same ratio to distributable net income (as so computed) as the amount of income required to be distributed currently to such beneficiary bears to the amount required to be distributed currently to all beneficiaries. For purposes of this section, the phrase "the amount of income for the taxable year required to be distributed currently" includes any amount required to be paid out of income or corpus to the extent such amount is paid out of income for such taxable year.

(2) *Other amounts distributed.* All other amounts properly paid, credited, or required to be distributed to such beneficiary for the taxable year. If the sum of—

(A) The amount of income for the taxable year required to be distributed currently to all beneficiaries, and

(B) All other amounts properly paid, credited, or required to be distributed to all beneficiaries

exceeds the distributable net income of the estate or trust, then, in lieu of the amount provided in the preceding sentence, there shall be included in the gross income of the beneficiary an amount which bears the same ratio to distributable net income (reduced by the amounts specified in (A)) as the other amounts properly paid, credited or required to be distributed to the beneficiary bear to the other amounts properly paid, credited, or required to be distributed to all beneficiaries.

§ 1.662 (a)–1 *Inclusion of amounts in gross income of beneficiaries of estates and complex trusts; general.* There is included in the gross income of a beneficiary of an estate or complex trust the sum of—

(1) Amounts of income required to be distributed currently to him, and

(2) All other amounts properly paid, credited, or required to be distributed to him

by the estate or trust. The preceding sentence is subject to the rules contained in § 1.662 (a)–2 (relating to currently distributable income), § 1.662 (a)–3 (relating to other amounts distributed), and §§ 1.662 (b)–1 and 1.662 (b)–2 (relating to character of amounts). Section 662 has no application to amounts excluded under section 663 (a).

§ 1.662 (a)–2 *Currently distributable income.* (a) There is first included in the gross income of each beneficiary under section 662 (a) (1) the amount of income for the taxable year of the estate or trust required to be distributed currently to him, subject to the provisions of paragraph (b) of this section. Such amount is included in the beneficiary's gross income whether or not it is actually distributed.

(b) If the amount of income required to be distributed currently to all beneficiaries exceeds the distributable net income (as defined in section 643 (a) but computed without taking into account the payment, crediting, or setting aside of an amount for which a charitable contributions deduction is allowable under section 642 (c)) of the estate or trust, then there is included in the gross income of each beneficiary an amount which bears the same ratio to distributable net income (as so computed) as the amount of income required to be distributed currently to the beneficiary bears to the amount required to be distributed currently to all beneficiaries.

(c) The phrase "the amount of income for the taxable year required to be distributed currently" includes any amount required to be paid out of income or corpus to the extent the amount is satisfied out of income for the taxable year. Thus, an annuity required to be paid in all events (either out of income or corpus) would qualify as income required to be distributed currently to the extent there is income (as defined in section 643 (b)) not paid, credited, or required to be distributed to other beneficiaries for the taxable year. If an annuity or a portion of an annuity is deemed under this paragraph to be income required to be distributed currently, it is treated in all respects in the same manner as an amount of income actually required to be distributed currently.

(d) If an annuity is paid, credited, or required to be distributed tax free, that is, under a provision whereby the executor or trustee will pay the income tax of the annuitant resulting from the receipt of the annuity, the payment of or for the tax by the executor or trustee will be treated as income paid, credited, or required to be distributed currently to the extent it is made out of income.

(e) The application of the rules stated in this section may be illustrated by the following examples:

Example (1). (1) Assume that under the terms of the trust instrument $5,000 is to be

paid to X charity out of income each year; that $20,000 of income is currently distributable to A; and that an annuity of $12,000 is to be paid to B out of income or corpus. All expenses are charges against income and capital gains are allocable to corpus. During the taxable year the trust had income of $30,000 (after the payment of expenses) derived from taxable interest and made the payments to X charity and distributions to A and B as required by the governing instrument.

(2) The amounts treated as distributed currently under section 662 (a) (1) total $25,000 ($20,000 to A and $5,000 to B). Since the charitable contribution is out of income, the amount of income available for B's annuity is only $5,000. The distributable net income of the trust computed under section 643 (a) without taking into consideration the charitable contributions deduction of $5,000 as provided by section 661 (a) (1), is $30,000. Since the amounts treated as distributed currently of $25,000 do not exceed the distributable net income (as modified) of $30,000, A is required to include $20,000 in his gross income and B is required to include $5,000 in his gross income under section 662 (a) (1).

Example (2). Assume the same facts as in paragraph (1) of example (1), above, except that the trust has, in addition, $10,000 of administration expenses, commissions, etc., chargeable to corpus. The amounts treated as distributed currently under section 662 (a) (1) total $25,000 ($20,000 to A and $5,000 to B), since trust income under section 643 (b) remains the same as in example (1). Distributable net income of the trust computed under section 643 (a) but without taking into account the charitable contributions deduction of $5,000 as provided by section 662 (a) (1) is only $20,000. Since the amounts treated as distributed currently of $25,000 exceed the distributable net income (as so computed) of $20,000, A is required to include $16,000 (20,000/25,000 of $20,000) in his gross income and B is required to include $4,000 (5,000/25,000 of $20,000) in his gross income under section 662 (a) (1). Because A and B are beneficiaries of amounts of income required to be distributed currently, they do not benefit from the reduction of distributable net income by the charitable contributions deduction.

§ 1.662 (a)–3 *Other amounts distributed.* (a) There is included in the gross income of a beneficiary under section 662 (a) (2) any amount properly paid, credited, or required to be distributed to the beneficiary for the taxable year, other than (1) income required to be distributed currently, as determined under § 1.662 (a)–2, (2) amounts excluded under section 663 (a) and the regulations thereunder, and (3) amounts in excess of distributable net income (see paragraph (c) of this section). An amount which is credited or required to be distributed is included in the gross income of a beneficiary whether or not it is actually distributed.

(b) Some of the payments to be included under paragraph (a) of this section are: (1) A distribution made to a beneficiary in the discretion of the fiduciary; (2) a distribution required by the terms of the governing instrument upon the happening of a specified event; (3) an annuity which is required to be paid in all events but which is payable only out of corpus; (4) a distribution of property in kind (see § 1.661 (a)–2 (f); and (5) an amount applied or distributed for the support of a dependent of a grantor or a trustee or cotrustee under the circumstances specified in section 677 (b) or section 678 (c) out of corpus or out of other than income for the taxable year.

(c) If the sum of the amounts of income required to be distributed currently (as determined under § 1.662 (a)–2) and other amounts properly paid, credited, or required to be distributed (as determined under paragraph (a) of this section) exceeds distributable net income (as defined in section 643 (a)), then such other amounts properly paid, credited, or required to be distributed are included in gross income of the beneficiary but only to the extent of the excess of such distributable net income over the amounts of income required to be distributed currently. If the other amounts are paid, credited, or required to be distributed to more than one beneficiary, each beneficiary includes in gross income his proportionate share of the amount includible in gross income pursuant to the preceding sentence. The proportionate share is an amount which bears the same ratio to distributable net income (reduced by amounts of income required to be distributed currently) as the other amounts (as determined under paragraphs (a) and (d) of this section) distributed to the beneficiary bear to the other amounts distributed to all beneficiaries. For treatment of excess distributions by trusts, see sections 665 to 668, inclusive, and the regulations thereunder.

(d) The application of the rules stated in this section may be illustrated by the following example:

Example. The terms of a trust require the distribution annually of $10,000 of income to A. If any income remains, it may be accumulated or distributed to B, C, and D in amounts in the trustee's discretion. He may also invade corpus for the benefit of A, B, C, or D. In the taxable year, the trust has $20,000 of income after the deduction of all expenses. Distributable net income is $20,000. The trustee distributes $10,000 of income to A. Of the remaining $10,000 of income, he distributes $3,000 each to B, C, and D, and also distributes an additional $5,000 to A. A includes $10,000 in income under section 662 (a) (1). The "other amounts distributed" amount to $14,000, includible in the income of the recipients to the extent of $10,000, distributable net income less the income currently distributable to A. A will include an additional $3,571 (5,000/14,000 × $10,000) in income under this section, and B, C, and D will each include $2,143 (3,000/14,000 × $10,000).

§ 1.662 (a)–4 *Amounts used in discharge of a legal obligation.* Any amount which, pursuant to the terms of a will or trust instrument, is used in full or partial discharge or satisfaction of a legal obligation of any person is included in the gross income of such person under section 662 (a) (1) or (2), whichever is applicable, as though directly distributed to him as a beneficiary, except in cases to which section 71 (relating to alimony payments) or section 682 (relating to income of a trust in case of divorce, etc.) applies. The term "legal obligation" includes a legal obligation to support another person if, and only if, the obligation is not affected by the adequacy of the dependent's own resources. For example, a parent has a "legal obligation" within the meaning of the preceding sentence to support his minor child if under local law property or income from property owned by the child cannot be used for his support so long as his parent is able to support him. On the other hand, if under local law a mother may use the resources of a child for the child's support in lieu of supporting him herself, no obligation of support exists within the meaning of this paragraph, whether or not income is actually used for support. Similarly, since under local law a child ordinarily is obligated to support his parent only if the parent's earnings and resources are insufficient for the purpose, no obligation exists whether or not the parent's earnings and resources are sufficient. In any event, the amount of trust income which is included in the gross income of a person obligated to support a dependent is limited by the extent of his legal obligation under local law. In the case of a parent's obligation to support his child, to the extent that the parent's legal obligation of support, including education, is determined under local law by the family's station in life and by the means of the parent, it is to be determined without consideration of the trust income in question.

§ 1.662 (b) *Statutory provisions; estates and trusts which may accumulate income or which distribute corpus; character of amounts in the hands of beneficiaries.*

SEC. 662. *Inclusion of amounts in gross income of beneficiaries of estates and trusts accumulating income or distributing corpus.* * * *

(b) *Character of amounts.* The amounts determined under subsection (a) shall have the same character in the hands of the beneficiary as in the hands of the estate or trust. For this purpose, the amounts shall be treated as consisting of the same proportion of each class of items entering into the computation of distributable net income as the total of each class bears to the total distributable net income of the estate or trust unless the terms of the governing instrument specifically allocate different classes of income to different beneficiaries. In the application of the preceding sentence, the items of deduction entering into the computation of distributable net income (including the deduction allowed under section 642 (c)) shall be allocated among the items of distributable net income in accordance with regulations prescribed by the Secretary or his delegate. In the application of this subsection to the amount determined under paragraph (1) of subsection (a), distributable net income shall be computed without regard to any portion of the deduction under section 642 (c) which is not attributable to income of the taxable year.

§ 1.662 (b)–1 *Character of amounts; when no charitable contributions are made.* In determining the amount includible in the gross income of a beneficiary, the amounts which are determined under section 662 (a) and §§ 1.662 (a)–1 through 1.662 (a)–4 shall have the same character in the hands of the beneficiary as in the hands of the estate or trust. The amounts are treated as consisting of the same proportion of each class of items entering into the computation of distributable net income as the total of each class bears to the total distributable net income of the estate or trust unless the terms of the governing instrument

specifically allocate different classes of income to different beneficiaries, or unless local law requires such an allocation. For this purpose the principles contained in § 1.652 (b)–1 shall apply.

§ 1.662 (b)–2 *Character of amounts; when charitable contributions are made.* When a charitable contribution is made, the principles contained in §§ 1.652 (b)–1 and 1.662 (b)–1 generally apply. However, before the allocation of other deductions among the items of distributable net income, the charitable contributions deduction allowed under section 642 (c) is (in the absence of specific allocation under the terms of the governing instrument or the requirement under local law of a different allocation) allocated among the classes of income entering into the computation of estate or trust income in accordance with the rules set forth in § 1.643 (a)–5 (b). In the application of the preceding sentence, for the purpose of allocating items of income and deductions to beneficiaries to whom income is required to be distributed currently, the amount of the charitable contributions deduction is disregarded to the extent that it exceeds the income of the trust for the taxable year reduced by amounts for the taxable year required to be distributed currently. The application of this section may be illustrated by the following examples (of which example (1) is illustrative of the preceding sentence):

Example (1). (a) A trust instrument provides that $30,000 of its income must be distributed currently to A, and the balance may either be distributed to B, distributed to a designated charity, or accumulated. Accumulated income may be distributed to B and to the charity. The trust for its taxable year has $40,000 of taxable interest and $10,000 of tax-exempt income, with no expenses. The trustee distributed $30,000 to A, $50,000 to charity X, and $10,000 to B.

(b) Distributable net income for the purpose of determining the character of the distribution to A is $30,000 (the charitable contributions deduction, for this purpose, being taken into account only to the extent of $20,000, the difference between the income of the trust for the taxable year, $50,000, and the amount required to be distributed currently, $30,000).

(c) The charitable contributions deduction taken into account, $20,000, is allocated proportionately to the items of income of the trust, $16,000 to taxable interest and $4,000 to tax-exempt income.

(d) Under section 662 (a) (1), the amount of income required to be distributed currently to A is $30,000, which consists of the balance of these items, $24,000 of taxable interest and $6,000 of tax-exempt income.

(e) In determining the amount to be included in the gross income of B under section 662 for the taxable year, however, the entire charitable contributions deduction is taken into account, with the result that there is no distributable net income and therefore no amount to be included in gross income.

(f) See sections 665 through 668 (subpart D) for application of the throwback provisions to the distribution made to B.

Example (2). The net income of a trust is payable to A for life, with the remainder to a charitable organization. Under the terms of the trust instrument and local law capital gains are added to corpus. During the taxable year the trust receives dividends of $10,000 and realized a long-term capital gain of $10,000, for which a long-term capital gain deduction of $5,000 is allowed under section 1202. Since under the trust instrument and local law the capital gains are allocated to the charitable organization, and since the capital gain deduction is directly attributable to the capital gain, the charitable contributions deduction and the capital gain deduction are both allocable to the capital gain, and dividends in the amount of $10,000 are allocable to A.

§ 1.662 (c) *Statutory provisions; estates and trusts which may accumulate income or which distribute corpus; different taxable years.*

SEC. 662. *Inclusion of amounts in gross income of beneficiaries of estates and trusts accumulating income or distributing corpus.* * * *

(c) *Different taxable years.* If the taxable year of a beneficiary is different from that of the estate or trust, the amount to be included in the gross income of the beneficiary shall be based on the distributable net income of the estate or trust and the amounts properly paid, credited, or required to be distributed to the beneficiary during any taxable year or years of the estate or trust ending within or with his taxable year.

§ 1.662 (c)–1 *Different taxable years.* If a beneficiary has a different taxable year (as defined in section 441 or 442) from the taxable year of an estate or trust, the amount he is required to include in gross income in accordance with section 662 (a) and (b) is based upon the distributable net income of the estate or trust and the amounts properly paid, credited, or required to be distributed to the beneficiary for any taxable year or years of the estate or trust ending with or within his taxable year. This rule applies as to so-called short taxable years as well as taxable years of normal duration. Income of an estate or trust for its taxable year or years is determined in accordance with its method of accounting and without regard to that of the beneficiary.

§ 1.662 (c)–2 *Death of individual beneficiary.* If an amount specified in section 662 (a) (1) or (2) is paid, credited, or required to be distributed by an estate or trust for a taxable year which does not end with or within the last taxable year of a beneficiary (because of the beneficiary's death), the extent to which the amount is included in the gross income of the beneficiary for his last taxable year or in the gross income of his estate is determined by the computations under section 662 for the taxable year of the estate or trust in which his last taxable year ends. Thus, the distributable net income and the amounts paid, credited, or required to be distributed for the taxable year of the estate or trust, determine the extent to which the amounts paid, credited, or required to be distributed to the beneficiary are included in his gross income for his last taxable year or in the gross income of his estate. (Section 662 (c) does not apply to such amounts.) The gross income for the last taxable year of a beneficiary on the cash basis includes only income actually distributed to the beneficiary before his death. Income required to be distributed, but in fact distributed to his estate, is included in the gross income of the estate as income in respect of a decedent under section 691. See § 1.663 (c)–3 (e) with respect to separate share treatment for the periods before and after the death of a trust's beneficiary.

§ 1.662 (c)–3 *Termination of existence of other beneficiaries.* If the existence of a beneficiary which is not an individual terminates, the amount to be included under section 662 (a) in its gross income for the last taxable year is computed with reference to §§ 1.662 (c)–1 and 1.662 (c)–2 as if the beneficiary were a deceased individual, except that income required to be distributed prior to the termination but actually distributed to the beneficiary's successor in interest is included in the beneficiary's income for its last taxable year.

§ 1.662 (c)–4 *Illustration of the provisions of sections 661 and 662.* The provisions of sections 661 and 662 may be illustrated in general by the following example:

Example. (a) Under the terms of a testamentary trust one-half of the trust income is to be distributed currently to W, the decedent's wife, for her life. The remaining trust income may, in the trustee's discretion, either be paid to D, the grantor's daughter, paid to designated charities, or accumulated. The trust is to terminate at the death of W and the principal will then be payable to D. No provision is made in the trust instrument with respect to depreciation of rental property. Capital gains are allocable to the principal account under the applicable local law. The trust and both beneficiaries file returns on the calendar year basis. The records of the fiduciary show the following items of income and deduction for the taxable year 1955:

Rents	$50,000
Dividends of domestic corporations	50,000
Tax-exempt interest	20,000
Partially tax-exempt interest	10,000
Capital gains (long term)	20,000
Depreciation of rental property	10,000
Expenses attributable to rental income	15,400
Trustee's commissions allocable to income account	2,800
Trustee's commissions allocable to principal account	1,100

(b) The income for trust accounting purposes is $111,800, and the trustee distributes one-half ($55,900) to W and in his discretion makes a contribution of one-quarter ($27,950) to charity X and distributes the remaining one-quarter ($27,950) to D. The total of the distributions to beneficiaries is $83,850, consisting of (1) income required to be distributed currently to W of $55,900 and (2) other amounts properly paid or credited to D of $27,950. The income for trust accounting purposes of $111,800 is determined as follows:

Rents		$50,000
Dividends		50,000
Tax-exempt interest		20,000
Partially tax-exempt interest		10,000
Total		130,000
Less:		
Rental expenses	$15,400	
Trustee's commissions allocable to income account	2,800	
		18,200
Income as computed under section 643 (b)		111,800

(c) The distributable net income of the trust as computed under section 643 (a) is $82,750, determined as follows:

Rents		$50,000
Dividends		50,000
Partially tax-exempt interest		10,000
Tax-exempt interest		$20,000
Less:		
Trustee's commissions allocable thereto (20,000/130,000 of $3,900)	$600	
Charitable contributions allocable thereto (20,000/130,000 of $27,950)	4,300	
	4,900	
		15,100
Total		125,100
Deductions:		
Rental expenses		$15,400
Trustee's commissions ($3,900 less $600 allocated to tax-exempt interest)		3,300
Charitable deduction ($27,950 less $4,300 attributable to tax-exempt interest)		23,650
		42,350
Distributable net income		82,750

In computing the distributable net income of $82,750, the taxable income of the trust was computed with the following modifications: No deductions were allowed for distributions to beneficiaries and for personal exemption of the trust (section 643 (a) (1) and (2)); capital gains were excluded and no deduction under section 1202 (relating to the 50 percent deduction for long-term capital gains) was taken into account (section 643 (a) (3)); and the tax-exempt interest (as adjusted for expenses and charitable contributions) and the dividend exclusion of $50 were included (section 643 (a) (5) and (7)).

(d) Inasmuch as the distributable net income of $82,750 as determined under section 643 (a) is less than the sum of the amounts distributed to W and D of $83,850, the deduction allowable to the trust under section 661 (a) is such distributable net income as modified under section 661 (c) to exclude therefrom the items of income not included in the gross income of the trust, as follows:

Distributable net income		$82,750
Less:		
Tax-exempt interest (as adjusted for expenses and the charitable contributions)	$15,100	
Dividend exclusion allowable under section 116	50	
		15,150
Deduction allowable under section 661 (a)		67,600

(e) For the purpose of determining the character of the amounts deductible under section 642 (c) and section 661 (a), the trustee elected to offset the trustee's commissions (other than the portion required to be allocated to tax-exempt interest) against the rental income. The following table shows the determination of the character of the amounts deemed distributed to beneficiaries and contributed to charity:

	Rents	Taxable dividends	Excluded dividends	Tax-exempt interest	Partially tax-exempt interest	Total
Trust income	$50,000	$49,950	$50	$20,000	$10,000	$130,000
Less:						
Charitable contribution	10,750	10,750		4,300	2,150	27,950
Rental expenses	15,400					15,400
Trustee's commissions	3,300			600		3,900
Total deductions	29,450	10,750	0	4,900	2,150	47,250
Amounts distributable to beneficiaries	20,550	39,200	50	15,100	7,850	82,750

The character of the charitable contribution is determined by multiplying the total charitable contribution ($27,950) by a fraction consisting of each item of trust income, respectively, over the total trust income, except that no part of the dividends excluded from gross income are deemed included in the charitable contribution. For example, the charitable contribution is deemed to consist of rents of $10,750 (50,000/130,000 × $27,950).

(f) The taxable income of the trust is $9,900 determined as follows:

Rental income		$50,000
Dividends ($50,000 less $50 exclusion)		49,950
Partially tax-exempt interest		10,000
Capital gains		20,000
Gross income		129,950
Deductions:		
Rental expenses	$15,400	
Trustee's commissions	3,300	
Charitable contributions	23,650	
Capital gain deduction	10,000	
Distributions to beneficiaries	67,600	
Personal exemption	100	
		120,050
Taxable income		9,900

(g) In computing the amount includible in W's gross income under section 662 (a) (1), the $55,900 distribution to her is deemed to be composed of the following proportions of the items of income deemed to have been distributed to the beneficiaries by the trust (see paragraph (e) of this example):

Rents (20,550/82,750 × $55,900)	$13,882
Dividends (39,250/82,750 × $55,900)	26,515
Partially tax-exempt interest (7,850/82,750 × $55,900)	5,303
Tax-exempt interest (15,100/82,750 × $55,900)	10,200
Total	55,900

Accordingly, W will exclude $10,200 of tax-exempt interest from gross income and will receive the credits and exclusion for dividends received and for partially tax-exempt interest provided in sections 34, 116, and 35, respectively, with respect to the dividends and partially tax-exempt interest deemed to have been distributed to her, her share of the dividends being aggregated with other dividends received by her for purposes of the dividend credit and exclusion. In addition, she may deduct a share of the depreciation deduction proportionate to the trust income allocable to her; that is, one-half of the total depreciation deduction, or $5,000.

(h) Inasmuch as the sum of the amount of income required to be distributed currently to W ($55,900) and the other amounts properly paid, credited, or required to be distributed to D ($27,950) exceeds the distributable net income ($82,750) of the trust as determined under section 643 (a), D is deemed to have received $26,850 ($82,750 less $55,900) for income tax purposes. The character of the amounts deemed distributed to her is determined as follows:

Rents (20,550/82,750 × $26,850)	$6,668
Dividends (39,250/82,750 × $26,850)	12,735
Partially tax-exempt interest (7,850/82,750 × $26,850)	2,547
Tax-exempt interest (15,100/82,750 × $26,850)	4,900
Total	26,850

Accordingly, D will exclude $4,900 of tax-exempt interest from gross income and will receive the credits and exclusion for dividends received and for partially tax-exempt interest provided in sections 34, 116, and 35, respectively, with respect to the dividends and partially tax-exempt interest deemed to have been distributed to her, her share of the dividends being aggregated with other dividends received by her for purposes of the dividend credit and exclusion. In addition, she may deduct a share of the depreciation deduction proportionate to the trust income allocable to her; that is, one-fourth of the total depreciation deduction, or $2,500.

(i) [Reserved.]

(j) The remaining $2,500 of the depreciation deduction is allocated to the amount distributed to charity X and is hence nondeductible by the trust, W, or D. (See § 1.642 (e)-1.)

§ 1.663 (a) *Statutory provisions; estates and complex trusts; special rules applicable to sections 661 and 662; exclusions.*

SEC. 663. *Special rules applicable to sections 661 and 662—(a) Exclusions.* There shall not be included as amounts falling within section 661 (a) or 662 (a)—

(1) *Gifts, bequests, etc.* Any amount which, under the terms of the governing instrument, is properly paid or credited as a gift or bequest of a specific sum of money or of specific property and which is paid or credited all at once or in not more than 3 installments. For this purpose an amount which can be paid or credited only from the income of the estate or trust shall not be considered as a gift or bequest of a specific sum of money.

(2) *Charitable, etc., distributions.* Any amount paid or permanently set aside or otherwise qualifying for the deduction pro-

vided in section 642 (c) (computed without regard to section 681).

(3) *Denial of double deduction.* Any amount paid, credited, or distributed in the taxable year, if section 651 or section 661 applied to such amount for a preceding taxable year of an estate or trust because credited or required to be distributed in such preceding taxable year.

§ 1.663 (a)–1 *Special rules applicable to sections 661 and 662; exclusions; gifts, bequests, etc.*—(a) *In general.* A gift or bequest of a specific sum of money or of specific property, which is required by the specific terms of the will or trust instrument and is properly paid or credited to a beneficiary, is not allowed as a deduction to an estate or trust under section 661 and is not included in the gross income of a beneficiary under section 662, unless under the terms of the will or trust instrument the gift or bequest is to be paid or credited to the recipient in more than three installments. Thus, in order for a gift or bequest to be excludable from the gross income of the recipient, (1) it must qualify as a gift or bequest of a specific sum of money or of specific property (see paragraph (b) of this section), and (2) the terms of the governing instrument must not provide for its payment in more than three installments (see paragraph (c) of this section). The date when the estate came into existence or the date when the trust was created is immaterial.

(b) *Definition of a gift or bequest of a specific sum of money or of specific property.* (1) In order to qualify as a gift or bequest of a specific sum of money or of specific property under section 663 (a), the amount of money or the identity of the specific property must be ascertainable under the terms of a testator's will as of the date of his death, or under the terms of an inter vivos trust instrument as of the date of the inception of the trust. For example, bequests to a decedent's son of the decedent's interest in a partnership and to his daughter of a sum of money equal to the value of the partnership interest are bequests of specific property and of a specific sum of money, respectively. On the other hand, a bequest to the decedent's spouse of money or property, to be selected by the decedent's executor, equal in value to a fraction of the decedent's "adjusted gross estate" is neither a bequest of a specific sum of money or of specific property. The identity of the property and the amount of money specified in the preceding sentence are dependent both on the exercise of the executor's discretion and on the payment of administration expenses and other charges, neither of which are facts existing on the date of the decedent's death. It is immaterial that the value of the bequest is determinable after the decedent's death before the bequest is satisfied (so that gain or loss may be realized by the estate in the transfer of property in satisfaction of it).

(2) The following amounts are not considered as gifts or bequests of a sum of money or of specific property within the meaning of this paragraph:

(i) An amount which can be paid or credited only from the income of an estate or trust, whether from the income for the year of payment or crediting, or from the income accumulated from a prior year;

(ii) An annuity, or periodic gifts of specific property in lieu of or having the effect of an annuity;

(iii) A residuary estate or the corpus of a trust; or

(iv) A gift or bequest paid in a lump sum or in not more than three installments, if the gift or bequest is required to be paid in more than three installments under the terms of the governing instrument.

(3) The provisions of subparagraphs (1) and (2) of this paragraph may be illustrated by the following examples, in which it is assumed that the gift or bequest is not required to be made in more than three installments (see paragraph (c)):

Example (1). Under the terms of a will, a legacy of $5,000 was left to A, 1,000 shares of X company stock was left to W, and the balance of the estate was to be divided equally between W and X. No provision was made in the will for the disposition of income of the estate during the period of administration. The estate had income of $25,000 during the taxable year 1954, which was accumulated and added to corpus for estate accounting purposes. During the taxable year, the executor paid the legacy of $5,000 in a lump sum to A and transferred the X company stock to W. No other distributions to beneficiaries were made during the taxable year. The distributions to A and W qualify as exclusions within the meaning of section 663 (a) (1).

Example (2). Under the terms of a will, the testator's estate was to be divided equally between A and B. No provision was made in the will for the disposition of income of the estate during the period of administration. The estate had income of $50,000 for the taxable year 1954. In accordance with an agreement among the beneficiaries that part of the assets of the estate would be distributed in kind to the beneficiaries, stock in corporation X was distributed to A during 1954. The fair market value of the stock was $40,000 on the date of distribution. No other distribution was made during the year. The distribution does not qualify as an exclusion within the meaning of section 663 (a) (1), since it is not a specific gift to A required by the terms of the will. Accordingly, the fair market value of the property ($40,000) represents a distribution within the meaning of section 661 (a) and section 662 (a) (see § 1.661 (a)–2 (c)).

Example (3). Under the terms of a trust instrument, income is to be accumulated during the minority of A. Upon A's reaching the age of 21, $10,000 is to be distributed to B out of income or corpus. Also at that time, $10,000 is to be distributed to C out of the accumulated income and the remainder of the accumulations are to be paid to A. A is then to receive all the income until he is 25, when the trust is to terminate. Only the distribution to B would qualify for exclusion under section 663 (a) (1).

(4) A gift or bequest of a specific sum of money or of specific property is not disqualified under this paragraph solely because its payment is subject to a condition. For example, provision for a payment by a trust to benficiary A of $10,000 when he reaches age 25, and $10,000 when he reaches age 30, with payment over to B of any amount not paid to A because of his death, is a gift to A of a specific sum of money payable in two installments, within the meaning of this paragraph, even though the exact amount payable to A cannot be ascertained with certainty under the terms of the trust instrument.

(c) *Installment payments.* (1) In determining whether a gift or bequest of a specific sum of money or of specific property, as defined in paragraph (b) of this section, is required to be paid or credited to a particular beneficiary in more than three installments—

(i) Gifts or bequests of articles for personal use (such as personal and household effects, automobiles, and the like) are disregarded.

(ii) Specifically devised real property, the title to which passes directly from the decedent to the devisee under local law, is not taken into account, since it would not constitute an amount paid, credited, or required to be distributed under section 661 (see § 1.661 (a)–2 (e)).

(iii) All gifts and bequests under a decedent's will (which are not disregarded pursuant to subdivisions (i) and (ii) of this subparagraph) for which no time of payment or crediting is specified, and which are to be paid or credited in the ordinary course of administration of the decedent's estate, are considered as required to be paid or credited in a single installment.

(iv) All gifts and bequests (which are not disregarded pursuant to subdivisions (i) and (ii) of this subparagraph) payable at any one specified time under the terms of the governing instrument are taken into account as a single installment.

For purposes of determining the number of installments paid or credited to a particular beneficiary, a decedent's estate and a testamentary trust shall each be treated as a separate entity.

(2) The application of the rules stated in subparagraph (1) of this paragraph may be illustrated by the following examples:

Example (1). (i) Under the terms of a decedent's will, $10,000 in cash, household furniture, a watch, an automobile, 100 shares of X company stock, 1,000 bushels of grain, 500 head of cattle, and a farm (title to which passed directly to A under local law) are bequeathed or devised outright to A. The will also provides for the creation of a trust for the benefit of A, under the terms of which there are required to be distributed to A, $10,000 in cash and 100 shares of Y company stock when he reaches 25 years of age, $25,000 in cash and 200 shares of Y company stock when he reaches 30 years of age, and $50,000 in cash and 300 shares of Y company stock when he reaches 35 years of age.

(ii) The furniture, watch, automobile, and the farm are excluded in determining whether any gift or bequest is required to be paid or credited to A in more than three installments. These items qualify for the exclusion under section 663 (a) (1) regardless of the treatment of the other items of property bequeathed to A.

(iii) The $10,000 in cash, the shares of X Company stock, the grain, the cattle and the assets required to create the trust, to be paid or credited by the estate to A and the trust are considered as required to be paid or credited in a single installment to each, regardless of the manner of payment or distribution by the executor, since no time of payment or crediting is specified in the will. The $10,000 in cash and shares of Y Company stock required to be distributed by the trust to A when he is 25 years old are

considered as required to be paid or distributed as one installment under the trust. Likewise, the distributions to be made by the trust to A when he is 30 and 35 years old are each considered as one installment under the trust. Since the total number of installments to be made by the estate does not exceed three, all of the items of money and property distributed to the estate qualify for the exclusion under section 663 (a) (1). Similarly, the three distributions by the trust qualify.

Example (2). Assume the same facts as in example (1), except that another distribution of a specified sum of money is required to be made by the trust to A when he becomes 40 years old. This distribution would also qualify as an installment, thus making four installments in all under the trust. None of the gifts to A under the trust would qualify for the exclusion under section 663 (a) (1). The situation as to the estate, however, would not be changed.

Example (3). A trust instrument provides that A and B are each to receive $75,000 in installments of $25,000, to be paid in alternate years. The trustee distributes $25,000 to A in 1954, 1956, and 1958, and to B in 1955, 1957, and 1959. The gifts to A and B qualify for exclusion under section 663 (a) (1), although a total of six payments is made. The gifts of $75,000 to each beneficiary are to be separately treated.

§ 1.663 (a)-2 *Charitable, etc., distributions.* Any amount paid, permanently set aside, or to be used for the charitable, etc., purposes specified in section 642 (c) and which is allowable as a deduction under that section is not allowed as a deduction to an estate or trust under section 661 or treated as an amount distributed for purposes of determining the amounts includible in gross income of beneficiaries under section 662. Amounts paid, permanently set aside, or to be used for charitable, etc., purposes are deductible by estates or trusts only as provided in section 642 (c). For purposes of this section the deduction provided in section 642 (c) is computed without regard to the limitation provided by section 681 (concerning unrelated business income and prohibited transactions).

§ 1.663 (a)-3 *Denial of double deduction.* No amount deemed to have been distributed to a beneficiary in a preceding year under section 651 or 661 is included in amounts falling within section 661 (a) or 662 (a). For example, assume that all of the income of a trust is required to be distributed currently to beneficiary A and both the trust and A report on the calendar year basis. For administrative convenience, the trustee distributes in January and February 1956 a portion of the income of the trust required to be distributed in 1955. The portion of the income for 1955 which was distributed by the trust in 1956 may not be claimed as a deduction by the trust for 1956 since it is deductible by the trust and includible in A's gross income for the taxable year 1955.

§ 1.663 (b) *Statutory provisions; estates and complex trusts; special rules applicable to sections 661 and 662; distributions in first sixty-five days of taxable year.*

SEC. 663. *Special rules applicable to sections 661 and 662.* * * *

(b) *Distributions in first sixty-five days of taxable year*—(1) *General rule.* If within the first 65 days of any taxable year of a trust, an amount is properly paid or credited, such amount shall be considered paid or credited on the last day of the preceding taxable year.

(2) *Limitation.* This subsection shall apply only to a trust—

(A) Which was in existence prior to January 1, 1954,

(B) Which under the terms of its governing instrument, may not distribute in any taxable year amounts in excess of the income of the preceding taxable year, and

(C) On behalf of which the fiduciary elects to have this subsection apply.

The election authorized by subparagraph (C) shall be made for the first taxable year to which this part is applicable in accordance with such regulations as the Secretary or his delegate shall prescribe and shall be made not later than the time prescribed by law for filing the return for such year (including extensions thereof). If such election is made with respect to a taxable year, this subsection shall apply to all amounts properly paid or credited within the first 65 days of all subsequent taxable years of such trust.

§ 1.663 (b)-1 *Distributions in first sixty-five days of taxable year; scope.* The fiduciary of a trust may elect under section 663 (b) to treat distributions within the first 65 days of the taxable year of the trust as amounts which were paid or credited on the last day of the preceding taxable year, if—

(a) The trust was in existence prior to January 1, 1954;

(b) An amount in excess of the income of the immediately preceding taxable year may not (under the terms of the governing instrument) be distributed in any taxable year; and

(c) The fiduciary elects (as provided in § 1.663 (b)-2) to have section 663 (b) apply.

§ 1.663 (b)-2 *Election.* (a) The election under section 663 (b) shall be made in a statement attached to the return for the first taxable year of the trust subject to the Internal Revenue Code of 1954. The election must be made not later than the time prescribed by law for filing the return for such taxable year (including extensions thereof).

(b) If an election is made by a fiduciary, the election is irrevocable for the taxable year for which the election is made and for all future taxable years.

(c) If an election is made with respect to a taxable year, this section applies to all amounts properly paid or credited within the first 65 days of such year and all subsequent taxable years of the trust.

§ 1.663 (c) *Statutory provisions; estates and complex trusts; special rules applicable to sections 661 and 662; separate shares treated as separate trusts.*

SEC. 663. *Special rules applicable to sections 661 and 662.* * * *

(c) *Separate shares treated as separate trusts.* For the sole purpose of determining the amount of distributable net income in the application of sections 661 and 662, in the case of a single trust having more than one beneficiary, substantially separate and independent shares of different beneficiaries in the trust shall be treated as separate trusts. The existence of such substantially separate and independent shares and the manner of treatment as separate trusts, including the application of subpart D, shall be determined in accordance with regulations prescribed by the Secretary or his delegate.

§ 1.663 (c)-1 *Separate shares treated as separate trusts; in general.* (a) If a single trust has more than one beneficiary, and if different beneficiaries have substantially separate and independent shares, their shares are treated as separate trusts for the sole purpose of determining the amount of distributable net income allocable to the respective beneficiaries under sections 661 and 662. Application of this rule will be significant in, for example, situations in which income is accumulated for beneficiary A but a distribution is made to beneficiary B of both income and corpus in an amount exceeding the share of income that would be distributable to B had there been separate trusts. In the absence of a separate share rule B would be taxed on income which is accumulated for A. The division of distributable net income into separate shares will limit the tax liability of B. Section 663 (c) does not affect the principles of applicable law in situations in which a single trust instrument creates not one but several separate trusts, as opposed to separate shares in the same trust within the meaning of this section.

(b) The separate share rule does not permit the treatment of separate shares as separate trusts for any purpose other than the application of distributable net income. It does not, for instance, permit the treatment of separate shares as separate trusts for purposes of—

(1) The filing of returns and payment of tax,

(2) The exclusion of dividends under section 116,

(3) The deduction of personal exemption under section 642 (b), and

(4) The allowance to beneficiaries succeeding to the trust property of excess deductions and unused net operating loss and capital loss carryovers on termination of the trust under section 642 (h).

(c) The separate share rule may be applicable even though separate and independent accounts are not maintained and are not required to be maintained for each share on the books of account of the trust, and even though no physical segregation of assets is made or required.

(d) Separate share treatment is not elective. Thus, if a trust is properly treated as having separate and independent shares, such treatment must prevail in all taxable years of the trust unless an event occurs as a result of which the terms of the trust instrument and the requirements of proper administration require different treatment.

§ 1.663 (c)-2 *Computation of distributable net income.* The amount of distributable net income for any share under section 663 (c) is computed for each share as if each share constituted a separate trust. Accordingly, any deduction or any loss which is applicable solely to one separate share of the trust is not available to any other share of the same trust.

§ 1.663 (c)-3 *Applicability of separate share rule.* (a) The applicability of the separate share rule provided by section 663 (c) will generally depend upon whether distributions of the trust are to be made in substantially the same man-

ner as if separate trusts had been created. Thus, if an instrument directs a trustee to divide the testator's residuary estate into separate shares (which under applicable law do not constitute separate trusts) for each of the testator's children and the trustee is given discretion, with respect to each share, to distribute or accumulate income or to distribute principal or accumulated income, or to do both, separate shares will exist under section 663 (c). In determining whether separate shares exist, it is immaterial whether the principal and any accumulated income of each share is ultimately distributable to the beneficiary of such share, to his descendants, to his appointees under a general or special power of appointment, or to any other beneficiaries (including a charitable organization) designated to receive his share of the trust and accumulated income upon termination of the beneficiary's interest in the share. Thus, a separate share may exist if the instrument provides that upon the death of the beneficiary of the share, the share will be added to the shares of the other beneficiaries of the trust.

(b) Separate share treatment will not be applied to a trust or portion of a trust subject to a power to—

(1) Distribute, apportion, or accummulate income, or

(2) Distribute corpus

to or for one or more beneficiaries within a group or class of beneficiaries, unless payment of income, accumulated income, or corpus of a share of one beneficiary cannot affect the proportionate share of income, accumulated income, or corpus of any shares of the other beneficiaries, or unless substantially proper adjustment must thereafter be made (under the governing instrument) so that substantially separate and independent shares exist.

(c) A share may be considered as separate even though more than one beneficiary has an interest in it. For example, two beneficiaries may have equal, disproportionate, or indeterminate interests in one share which is separate and independent from another share in which one or more beneficiaries have an interest. Likewise, the same person may be a beneficiary of more than one separate share.

(d) Separate share treatment may be given to a trust or portion of a trust otherwise qualifying under this section if the trust or portion of a trust is subject to a power to pay out to a beneficiary of a share (of such trust or portion) an amount of corpus in excess of his proportionate share of the corpus of the trust if the possibility of exercise of the power is remote. For example, if the trust is subject to a power to invade the entire corpus for the health, education, support, or maintenance of A, separate share treatment is applied if exercise of the power requires consideration of A's other income which is so substantial as to make the possibility of exercise of the power remote. If instead it appears that A and B have separate shares in a trust, subject to a power to invade the entire corpus for the comfort, pleasure, desire, or happiness of A, separate share treatment shall not be applied.

(e) The separate share rule may also be applicable to successive interests in point of time, as for instance in the case of a trust providing for a life estate to A and a second life estate or outright remainder to B. In such a case, in the taxable year of a trust in which a beneficiary dies items of income and deduction properly allocable under trust accounting principles to the period before a beneficiary's death are attributed to one share, and those allocable to the period after the beneficiary's death are attributed to the other share. Separate share treatment is not available to a succeeding interest, however, with respect to distributions which would otherwise be deemed distributed in a taxable year of the earlier interest under the throwback provisions of subpart D (sections 665 through 668). The application of this paragraph may be illustrated by the following example:

Example. A trust instrument directs that the income of a trust is to be paid to A for her life. After her death income may be distributed to B or accumulated. A dies on June 1, 1956. The trust keeps its books on the basis of the calendar year. The trust instrument permits invasions of corpus for the benefit of A and B, and an invasion of corpus was in fact made for A's benefit in 1956. In determining the distributable net income of the trust for the purpose of determining the amounts includible in A's income, income and deductions properly allocable to the period before A's death are treated as income and deductions of a separate share, and for that purpose no account is taken of income and deductions allocable to the period after A's death.

(f) Separate share treatment is not applicable to an estate.

§ 1.663 (c)–4 *Example.* Section 663 (c) may be illustrated by the following example:

Example. (a) A single trust was created in 1940 for the benefit of A, B, and C, who were aged 6, 4, and 2, respectively. Under the terms of the instrument, the trust income is required to be divided into three equal shares. Each beneficiary's share of the income is to be accumulated until he becomes 21 years of age. When a beneficiary reaches the age of 21, his share of the income may thereafter be either accumulated or distributed to him in the discretion of the trustee. The trustee also has discretion to invade corpus for the benefit of any beneficiary to the extent of his share of the trust estate, and the trust instrument requires that the beneficiary's right to future income and corpus will be proportionately reduced. When each beneficiary reaches 35 years of age, his share of the trust estate shall be paid over to him. The interest in the trust estate of any beneficiary dying without issue and before he has attained the age of 35 is to be equally divided between the other beneficiaries of the trust. All expenses of the trust are allocable to income under the terms of the trust instrument.

(b) No distributions of income or corpus were made by the trustee prior to 1955, although A became 21 years of age on June 30, 1954. During the taxable year 1955, the trust has income from royalties of $20,000 and expenses of $5,000. The trustee in his discretion distributes $12,000 to A. Both A and the trust report on the calendar year basis.

(c) The trust qualifies for the separate share treatment under section 663 (c) and the distributable net income must be divided into three parts for the purpose of determining the amount deductible by the trust under section 661 and the amount includible in A's gross income under section 662.

(d) The distributable net income of each share of the trust is $5,000 ($6,667 less $1,667). Since the amount ($12,000) distributed to A during 1955 exceeds the distributable net income of $5,000 allocated to his share, the trust is deemed to have distributed to him $5,000 of 1955 income and $7,000 of amounts other than 1955 income. Accordingly, the trust is allowed a deduction of $5,000 under section 661. The taxable income of the trust for 1955 is $9,900, computed as follows:

Royalties		$20,000
Deductions:		
Expenses	$5,000	
Distribution to A	5,000	
Personal exemption	100	
		10,100
Taxable income		9,900

(e) In accordance with section 662, A must include in his gross income for 1955 an amount equal to the portion ($5,000) of the distributable net income of the trust allocated to his share. Also, the excess distribution of $7,000 made by the trust is subject to the throwback provisions of sections 665 through 668 and the regulations thereunder.

Treatment of Excess Distributions by Trusts

§ 1.665–1 *Excess distributions by trusts; scope of subpart D.* Sections 665 through 668 (subpart D) are designed generally to prevent a shift of tax burden to a trust from a beneficiary or beneficiaries. To accomplish this, subpart D provides special rules for treatment of amounts paid, credited, or required to be distributed by a complex trust (subject to sections 661 through 663 (subpart C)) in any year in excess of distributable net income for that year. Such an excess distribution is defined as an accumulation distribution, subject to the limitations in section 665 (b). An accumulation distribution is "thrown back" to each of the five preceding years in inverse order. That is, it will be taxed to the beneficiaries of the trust in the year the distribution is made or required, but, in general, only to the extent of the distributable net income of those years which was not in fact distributed. However, the resulting tax will not be greater than the aggregate of the taxes that would have been attributable to the amounts thrown back to previous years had they been included in gross income of the beneficiaries in those years. To prevent double taxation, the beneficiaries receive a credit for any taxes previously paid by the trust which are attributable to the excess thrown back. Sections 665 through 668 (subpart D) do not apply to any estate.

§ 1.665 (a) *Statutory provisions; excess distributions by trust; definition of undistributed net income.*

SEC. 665. *Definitions applicable to subpart D*—(a) *Undistributed net income.* For purposes of this subpart, the term "undistributed net income" for any taxable year means the amount by which distributable net income of the trust for such taxable year exceeds the sum of—

(1) The amounts for such taxable year specified in paragraphs (1) and (2) of section 661 (a); and

(2) The amount of taxes imposed on the trust.

§ 1.665 (a)–1 *Undistributed net income.* (a) The term "undistributed net income" means for any taxable year the distributable net income of the trust for that year as determined under section 643 (a), less—

(1) The amount of income required to be distributed currently and any other amounts properly paid or credited or required to be distributed to beneficiaries in the taxable year as specified in paragraphs (1) and (2) of section 661 (a), and

(2) The amount of taxes imposed on the trust, as defined in § 1.665 (c)–1.

The application of the rule in this paragraph to the first year of a trust in which income is accumulated may be illustrated by the following example:

Example. Assume that under the terms of the trust, $10,000 of income is required to be distributed currently to A and the trustee has discretion to make additional distributions to A. During the taxable year 1954 the trust had distributable net income of $30,100 derived from royalties and the trustee made distributions of $20,000 to A. The taxable income of the trust is $10,000 on which a tax of $2,640 is paid. The undistributed net income of the trust as of the close of the taxable year 1954 is $7,460 computed as follows:

Distributable net income		$30,100
Less:		
Income currently distributable to A	$10,000	
Other amounts distributed to A	10,000	
Taxes imposed on the trust (see § 1.665 (c)–1)	2,640	
		22,640
Undistributed net income		7,460

See also paragraphs (e) (1) and (f) (1) of § 1.668 (b)–2 for additional illustrations of the application of the rule in this paragraph to the first year of a trust in which income is accumulated.

(b) However, the undistributed net income for any year to which an accumulation distribution for a later year may be thrown back may be reduced by accumulation distributions in intervening years and also by any taxes imposed on the trust which are deemed to be distributed under section 666 by reason of the accumulation distributions. On the other hand, undistributed net income for any year will not be reduced by any distributions in an intervening year which are excluded from the definition of an accumulation distribution under section 665 (b), or which are excluded under section 663 (a) (1), relating to gifts, bequests, etc. See paragraph (f) (5) of § 1.668 (b)–2 for an illustration of the reduction of undistributed net income for any year by a subsequent accumulation distribution.

§ 1.665 (b) *Statutory provisions; excess distributions by trust; definition of accumulation distribution.*

SEC. 665. *Definitions applicable to subpart D.* * * *

(b) *Accumulation distribution.* For purposes of this subpart, the term "accumulation distribution" for any taxable year of the trust means the amount (if in excess of $2,000) by which the amounts specified in paragraph (2) of section 661 (a) for such taxable year exceed distributable net income reduced by the amounts specified in paragraph (1) of section 661 (a). For purposes of this subsection, the amount specified in paragraph (2) of section 661 (a) shall be determined without regard to section 666 and shall not include—

(1) Amounts paid, credited, or required to be distributed to a beneficiary as income accumulated before the birth of such beneficiary or before such beneficiary attains the age of 21;

(2) Amounts properly paid or credited to a beneficiary to meet the emergency needs of such beneficiary;

(3) Amounts properly paid or credited to a beneficiary upon such beneficiary's attaining a specified age or ages if—

(A) The total number of such distributions cannot exceed 4 with respect to such beneficiary,

(B) The period between each such distribution to such beneficiary is 4 years or more, and

(C) As of January 1, 1954, such distributions are required by the specific terms of the governing instrument; and

(4) Amounts properly paid or credited to a beneficiary as a final distribution of the trust if such final distribution is made more than 9 years after the date of the last transfer to such trust.

§ 1.665 (b)–1 *Accumulation distribution; in general.* (a) Subject to the limitations set forth in § 1.665 (b)–2 the term "accumulation distribution" for any taxable year means an amount (if in excess of $2,000) by which the amounts properly paid, credited, or required to be distributed within the meaning of section 661 (a) (2) for that year exceed the distributable net income (determined under section 643 (a)) of the trust, reduced (but not below zero) by the amount of income required to be distributed currently. (In computing the amount of an accumulation distribution pursuant to the preceding sentence, there is taken into account amounts applied or distributed for the support of a dependent under the circumstances specified in section 677 (b) or section 678 (c) out of corpus or out of other than income for the taxable year and amounts used to discharge or satisfy any person's legal obligation as that term is used in § 1.662 (a)–4.) If the distribution as so computed is $2,000 or less, it is not an accumulation distribution within the meaning of sections 665 through 668 (subpart D). If the distribution exceeds $2,000, then the full amount is an accumulation distribution for the purposes of subpart D.

(b) Although amounts properly paid, credited, or required to be distributed under section 661 (a) (2) do not exceed the income of the trust during the taxable year, an accumulation distribution may result if such amounts exceed distributable net income reduced (but not below zero) by the amount required to be distributed currently. This may result from the fact that expenses allocable to corpus are taken into account in determining taxable income and hence distributable net income. However, the provisions of sections 665 through 668 (subpart D) will not apply unless there is undistributed net income in at least one of the five preceding taxable years. See section 666 and the regulations thereunder.

(c) The provisions of paragraphs (a) and (b) of this section may be illustrated by the following examples (it is assumed in each case that the exclusions provided in § 1.665 (b)–2 do not apply):

Example (1). A trustee properly makes a distribution to a beneficiary of $20,000 during the taxable year 1956, of which $10,000 is income required to be distributed currently to the beneficiary. The distributable net income of the trust is $15,000. There is an accumulation distribution of $5,000 computed as follows:

Total distribution		$20,000
Less: Income required to be distributed currently (section 661 (a) (1))		10,000
Other amounts distributed (section 661 (a) (2))		10,000
Distributable net income	$15,000	
Less: Income required to be distributed currently	10,000	
Balance of distributable net income		5,000
Accumulation distribution		5,000

Example (2). Under the terms of the trust instrument, an annuity of $15,000 is required to be paid to A out of income each year and the trustee may in his discretion make distributions out of income or corpus to B. During the taxable year the trust had income of $18,000, as defined in section 643 (b), and expenses allocable to corpus of $5,000. Distributable net income amounted to $13,000. The trustee distributed $15,000 of income to A and, in the exercise of his discretion, paid $5,000 to B. There is an accumulation distribution of $5,000 computed as follows:

Total distribution		$20,000
Less: Income required to be distributed currently to A (section 661 (a) (1))		15,000
Other amounts distributed (section 661 (a) (2))		5,000
Distributable net income	$13,000	
Less: Income required to be distributed currently to A	15,000	
Balance of distributable net income		0
Accumulation distribution to B		5,000

Example (3). Under the terms of a trust instrument, the trustee may either accumulate the trust income or make distributions to A and B. The trustee may also invade corpus for the benefit of A and B. During the taxable year, the trust had income as defined in section 643 (b) of $22,000 and expenses of $5,000 allocable to corpus. Distributable net income amounts to $17,000. The trustee distributed $10,000 each to A and B during the taxable year. There is an accumulation distribution of $3,000 computed as follows:

Total distribution		$20,000
Less: Income required to be distributed currently		0
Other amounts distributed (section 661 (a) (2))		20,000
Distributable net income		17,000
Accumulation distribution		3,000

(d) There are not taken into account, in computing the accumulation distribution for any taxable year, any amounts deemed distributed in that year because of an accumulation distribution in a later year.

§ 1.665 (b)–2 *Exclusions from accumulation distributions.* (a) Certain amounts paid, credited, or required to be distributed to a beneficiary are excluded under section 665 (b) in determining whether there is an accumulation distribution for the purposes of sections 665 through 668 (subpart D). These exclusions are solely for the purpose of determining the amount allocable to preceding years under section 666 and in no way affect the determination under sections 661 through 663 (subpart C) of the beneficiary's tax liability for the year of distribution. Further, amounts excluded from accumulation distributions do not reduce the amount of undistributed net income for the 5 years preceding the year of distribution.

(b) The amounts excluded from the computation of an accumulation distribution are discussed in the following subparagraphs:

(1) *Distributions from accumulations while a beneficiary is under 21.* (i) The first exception to the definition of an accumulation distribution is for amounts paid, credited, or required to be distributed to a beneficiary who was under 21 years of age or unborn when it was accumulated. A distribution is to be considered as so paid, credited, or required to be distributed to the extent, and only to the extent, that there is no undistributed net income for taxable years preceding the year of distribution other than undistributed net income accumulated while the beneficiary was under 21. If a distribution can be made from income accumulated either before or after a beneficiary reaches 21, it will be considered as made from the most recently accumulated income, and it will be so considered even though the governing instrument directs that distributions be charged first against the earliest accumulations.

(ii) As was indicated in paragraph (a) of this section, a distribution of an amount excepted from the definition of an accumulation distribution will not reduce undistributed net income for the purpose of determining the effect of a future accumulation distribution. Thus a distribution to a beneficiary of income accumulated before he reached 21 would not reduce the undistributed net income includible in a future accumulation distribution to another beneficiary. However, all future distributions to the same beneficiary, or to another beneficiary to whom a distribution would be excepted under the provisions of this subparagraph, would be excepted from the definition of an accumulation distribution to the extent that they could not be paid, credited, or required to be distributed from other accumulated income.

(iii) The following examples illustrate the application of the foregoing rules of this subparagraph (in each of these examples it is assumed that the exceptions in section 665 (b) (2), (3), and (4) do not apply):

(*a*) Income is to be accumulated until A reaches 21 when the corpus and accumulated income are to be distributed to him. The distribution is not an accumulation distribution.

(*b*) Income is to be accumulated until A is 21, when it is to be distributed to him but the corpus is to remain in trust. A distribution of the accumulated income to A when he reaches 21 is not an accumulation distribution.

(*c*) Income is to be accumulated and added to corpus until A reaches 21, when he is to receive one-third of the corpus (including accumulations). Thereafter all the income is to be paid to A until he is 23 when the remaining corpus (including accumulations) is to be paid to him. If A dies under that age any undistributed portion is to be paid to B. Distributions to A at 21 and 23 out of accumulations are not accumulation distributions even though they include accumulated income. However, if A died at the age of 22, when B was 23, a distribution to B would be an accumulation distribution to the extent of income accumulations since B reached 21, and the amount of undistributed net income includible in the distribution will not be reduced by the previous distribution to A.

(*d*) Income is to be accumulated and added to corpus until A is 21. After he is 21, he is entitled to all the income and, in addition, to distributions of corpus in the discretion of the trustee. When he reaches 25 he is entitled to the corpus. Distributions to A are not accumulation distributions, whether they are discretionary or upon termination of the trust.

(*e*) The facts are the same as in the preceding example, except that income is to be accumulated until A is 23. Distributions to A are accumulation distributions to the extent of income accumulated after A reached 21.

(*f*) Income may be distributed among a testator's children or accumulated and added to corpus until the youngest child is 21, when the corpus is to be distributed to the testator's then living descendants. Upon termination of the trust, the corpus is distributed to A, age 21; B, age 23; and C, the child of a deceased child, age 3. The distributions to A and C are not accumulation distributions. The distribution to B is an accumulation distribution to the extent of income accumulated after he reaches 21. (If the terms of the trust were such that it was subject to the separate share treatment under section 663 (c), the distribution to B would be an accumulation distribution only to the extent of income accumulated for B's separate share since he reached 21.)

(*g*) Income may be distributed to A or accumulated and added to corpus during A's life. Upon the death of A the corpus is to be distributed to B. B is 23 at A's death. The distribution is an accumulation distribution to the extent of income accumulated since B reached 21.

(2) *Emergency distributions.* The second exclusion from the definition of an accumulation distribution is for amounts properly paid or credited to a beneficiary to meet his emergency needs. Whether or not a distribution falls within this exclusion depends upon the facts and circumstances causing the distribution. A distribution based upon an unforeseen or unforeseeable combination of circumstances requiring immediate help to the beneficiary would qualify for the exclusion. However, the beneficiary must be in actual need of the distribution and the fact that he had other sufficient resources would tend to negate the conclusion that a distribution was to meet his emergency needs. Ordinary distributions for the support, maintenance, or education of the beneficiary would not qualify for the exclusion.

(3) *Certain distributions at specified ages.* The third exclusion from the definition of an accumulation distribution is for amounts properly paid or credited to a beneficiary upon the beneficiary's attaining a specified age or ages: *Provided,* (i) the total number of such distributions with respect to that beneficiary cannot exceed 4; (ii) the period between each such distribution is 4 years or more; and (iii) on January 1, 1954, such distributions were required by the specific terms of the governing instrument. Any discretionary invasion of corpus at other times is not excluded under this subparagraph, but does not affect the status of distributions that would otherwise be excluded. If more than four distributions are required to be made to a particular beneficiary at specified ages if he survives to receive them, none of the distributions will be excluded, even though the beneficiary dies before he receives more than four. On the other hand, a direction to make additional distributions to a remainderman will not affect the status of distributions required to be made to the primary beneficiary. For example, a trust agreement provided on January 1, 1954, that when A reached age 25 he would receive one-eighth of the corpus and accumulated income, as then constituted, and similar distributions at ages 30, 35, and 40. It also provided for similar distributions to B after A's death, and for additional discretionary distributions to both A and B. Required distributions to both A and B are excluded, regardless of whether discretionary distributions are made, but discretionary distributions are not excluded. On the other hand, if an additional distribution to A was directed when he reached 45, no distributions to him would be excluded, regardless of when he died.

(4) *Certain final distributions.* (i) The last exception to the definition of an accumulation distribution is for amounts properly paid or credited to a beneficiary as a final distribution of a trust if the final distribution is made more than 9 years after the date of the last transfer to such trust.

(ii) The term "last transfer to such trust" includes only transfers, whether by the original grantor or by a third person, made with a donative intent. A transfer arising out of a property right held by the trust is excluded, such as a transfer by a debtor in satisfaction of his indebtedness, or a distribution in liquidation or reorganization of a corporation. If the terms of two or more trusts include cross-remainders on the deaths of life beneficiaries, the donative transfers occurred at the time the trusts were created. The addition of the corpus of one trust to that of another when a remainder falls in is therefore not a new transfer within the meaning of section 665 (b) (4).

(iii) For example, under the terms of a trust created July 1, 1950, with an

original corpus of $100,000, by H for the benefit of his wife, W, the income of the trust is to be accumulated and added to corpus. Upon the expiration of a 10-year period, the trust is to terminate and its assets, including all accumulated income, are to be distributed to W. No transfers were made by H or other persons to the trust after it was created. Both the trust and W file returns on the calendar year basis. In accordance with its terms, the trust terminated on June 30, 1960, and on August 1, 1960, the trustee made a final distribution of the assets of the trust to W, consisting of investments derived from $100,000 of donated principal, accumulated income of $30,000 attributable to the period July 1, 1950, through December 31, 1959, and income of $3,000 attributable to the period the trust was in existence during 1960. Subpart D is inapplicable to the $3,000 of income of the trust for 1960 since that amount would be deductible by the trust and includible in W's gross income for that year to the extent provided in sections 661 through 663 (subpart C). However, the balance of the distribution will qualify as an exclusion from the provisions of sections 665 through 668 (subpart D).

§ 1.665 (b)–3 *Exclusions under section 663 (a) (1).* Sections 665 through 668 (subpart D) have no application to an amount which qualifies as an exclusion under section 663 (a) (1), relating to gifts, bequests, etc.

§ 1.665 (c) *Statutory provisions; excess distributions by trust; definition of taxes imposed on the trust.*

SEC. 665. *Definitions applicable to subpart D.* * * *

(c) *Taxes imposed on the trust.* For purposes of this subpart, the term "taxes imposed on the trust" means the amount of the taxes which are imposed for any taxable year on the trust under this chapter (without regard to this subpart) and which, under regulations prescribed by the Secretary or his delegate, are properly allocable to the undistributed portion of the distributable net income. The amount determined in the preceding sentence shall be reduced by any amount of such taxes allowed, under sections 667 and 668, as a credit to any beneficiary on account of any accumulation distribution determined for any taxable year.

§ 1.665 (c)–1 *Taxes imposed on the trust.* (a) For the purpose of sections 665 through 668 (subpart D), the term "taxes imposed on the trust" means (for any taxable year) the amount of Federal income taxes which are properly allocable to the undistributed portion of the distributable net income. This amount is the difference between the total taxes of the trust for the year and the amount which would have been paid by the trust had all of the distributable net income, as determined under section 643 (a), been distributed. Thus, in determining the amount of taxes imposed on the trust for the purposes of sections 665 through 668 (subpart D), there is excluded the portion of the taxes paid by the trust which is attributable to items of gross income which are not includible in distributable net income, such as capital gains allocable to corpus. The rule stated in this paragraph may be illustrated by the following example:

Example. (1) Under the terms of a trust, which reports on the calendar year basis, the income may be accumulated or distributed to A in the discretion of the trustee and capital gains are allocable to corpus. During the taxable year 1954, the trust had income of $20,000 from royalties, long-term capital gains of $10,000, and expenses of $2,000. The trustee in his discretion made a distribution of $10,000 to A. The taxes imposed on the trust for the purposes of this subpart are $2,713, determined as shown below.

(2) The distributable net income of the trust computed under section 643 (a) is $18,000 (royalties of $20,000 less expenses of $2,000). The total taxes paid by the trust are $3,787, computed as follows:

Royalties		$20,000
Capital gains		10,000
Gross income		30,000
Deductions:		
Expenses	$2,000	
Distributions to A	10,000	
Capital gain deduction	5,000	
Personal exemption	100	
		17,100
Taxable income		12,900
Total income taxes		3,787

(3) The amount of taxes which would have been paid by the trust, had all of the distributable net income ($18,000) of the trust been distributed to A, is $1,074 computed as follows:

Taxable income of the trust	$12,900
Less: Undistributed portion of distributable net income ($18,000 −$10,000)	8,000
Balance of taxable income	4,900
Income taxes on $4,900	1,074

(4) The amount of taxes imposed on the trust as defined in this paragraph is $2,713, computed as follows:

Total taxes	$3,787
Taxes which would have been paid by the trust had all of the distributable net income been distributed	1,074
Taxes imposed on the trust as defined in this paragraph	2,713

(b) If in any subsequent year an accumulation distribution is made by the trust which results in a throwback to the taxable year, the taxes of the taxable year allocable to the undistributed portion of distributable net income (the taxes imposed on the trust), after the close of the subsequent year, are the taxes prescribed in paragraph (a) of this section reduced by the taxes of the taxable year allowed as credits to beneficiaries on account of amounts deemed distributed on the last day of the taxable year under section 666. See paragraph (f) (4) of § 1.668 (b)–2 for an illustration of the application of this section.

§ 1.665 (d) *Statutory provisions; excess distributions by trusts; definition of preceding taxable year.*

SEC. 665. *Definitions applicable to subpart D.* * * *

(d) *Preceding taxable year.* For purposes of this subpart, the term "preceding taxable year" does not include any taxable year of the trust to which this part does not apply. In the case of a preceding taxable year with respect to which a trust qualifies (without regard to this subpart) under the provisions of subpart B, for purposes of the application of this subpart to such trust for such taxable year, such trust shall, in accordance with regulations prescribed by the Secretary or his delegate, be treated as a trust to which subpart C applies.

§ 1.665 (d)–1 *Preceding taxable years*—(a) *Definition.* For purposes of sections 665 through 668 (subpart D), the term "preceding taxable year" does not include any taxable year to which part I of subchapter J of chapter 1 of the Internal Revenue Code of 1954 does not apply. See section 683 and regulations thereunder. Accordingly, the provisions of sections 665 through 668 (subpart D) may not, in general, be applied to any taxable year which begins before 1954 or ends before August 17, 1954. For example, if a trust (reporting on the calendar year basis) makes a distribution during the calendar year 1955 of income accumulated during prior years and the distribution exceeds the distributable net income of 1955, the excess distribution may be allocated under sections 665 through 668 (subpart D) to 1954, but it may not be allocated to 1953 and preceding years, since the Internal Revenue Code of 1939 applies to those years.

(b) *Simple trusts subject to sections 665 through 668 (subpart D).* An accumulation distribution may be properly allocated to a preceding taxable year in which the trust qualified as a simple trust (that is, qualified for treatment under sections 651 and 652 (subpart B)). In such event, the trust is treated for such preceding taxable year in all respects as if it were a trust to which sections 661 through 663 (subpart C) apply. An example of such a circumstance would be in the case of a trust (required under the trust instrument to distribute all of its income currently) which received in the preceding taxable year extraordinary dividends or taxable stock dividends which the trustee in good faith allocated to corpus, but which are subsequently determined to be currently distributable to the beneficiary. See section 643 (a) (4) and § 1.643 (a)–4. The trust would qualify for treatment under sections 661 through 663 (subpart C) for the year of distribution of the extraordinary dividends or taxable stock dividends, because the distribution is not out of income of the current taxable year and would be treated as other amounts properly paid or credited or required to be distributed for such taxable year within the meaning of section 661 (a) (2). Also, the distribution would qualify as an accumulation distribution for the purposes of sections 665 through 668 (subpart D) if in excess of $2,000 and not excepted under section 665 (b) and the regulations thereunder. For the purposes only of sections 665 through 668 (subpart D), the trust would be treated as subject to the provisions of sections 661 through 663 (subpart C) for the preceding taxable year in which the extraordinary or taxable stock dividends were received, and, in computing undistributed net income for such preceding year, the extraordinary or taxable stock dividends would be included in distributable net income under section 643 (a). The rule stated in the preceding sentence would also apply if the distribution in the later year were made out of corpus

without regard to a determination that the extraordinary dividends or taxable stock dividends in question were currently distributable to the beneficiary.

§ 1.665 (d)–2 *Application of separate share rule.* In trusts to which the separate share rule of section 663 (c) is applicable for any taxable year, sections 665 through 668 (subpart D) are applied as if each share were a separate trust. Thus, "undistributed net income" and the amount of an "accumulation distribution" are computed separately for each share. The "taxes imposed on the trust" are allocated as follows:

(a) There is first allocated to each separate share that portion of the "taxes imposed on the trust", computed before the allowance of credits under section 642 (a), which bears the same relation to the total that the distributable net income of the separate share bears to the distributable net income of the trust, adjusted for this purpose as follows:

(1) There is excluded from distributable net income of the trust and of each separate share any tax-exempt interest, foreign income of a foreign trust, and excluded dividends, to the extent such amounts are included in distributable net income pursuant to section 643 (a) (5), (6) and (7); and

(2) The distributable net income of the trust is reduced by any deductions allowable under section 661 for amounts paid, credited, or required to be distributed during the taxable year, and the distributable net income of each separate share is reduced by any such deduction allocable to that share.

(b) The taxes so determined for each separate share are then reduced by that portion of the credits against tax allowable to the trust under section 642 (a) in computing the "taxes imposed on the trust" which bear the same relation to the total that the items of income (allocable to the separate share) with respect to which the credit is allowed bear to the total of such items of the trust. The amount of taxes imposed on the trust allocable to a separate share as so determined is then reduced by the amount of the taxes allowed under sections 667 and 668 as a credit to a beneficiary of the separate share on account of any accumulation distribution determined for any taxable year intervening between the year for which the determination is made and the year of an accumulation distribution with respect to which the determination is made. See § 1.665 (c)–1 (b).

§ 1.666 (a) *Statutory provisions; excess distributions by trusts; allocation of accumulation distribution.*

SEC. 666. *Accumulation distribution allocated to 5 preceding years*—(a) *Amount allocated.* In the case of a trust which for a taxable year beginning after December 31, 1953, is subject to subpart C, the amount of the accumulation distribution of such trust for such taxable year shall be deemed to be an amount within the meaning of paragraph (2) of section 661 (a) distributed on the last day of each of the 5 preceding taxable years to the extent that such amount exceeds the total of any undistributed net incomes for any taxable years intervening between the taxable year with respect to which the accumulation distribution is determined and such preceding taxable year. The amount deemed to be distributed in any such preceding taxable year under the preceding sentence shall not exceed the undistributed net income of such preceding taxable year. For purposes of this subsection, undistributed net income for each of such 5 preceding taxable years shall be computed without regard to such accumulation distribution and without regard to any accumulation distribution determined for any succeeding taxable year.

§ 1.666 (a)–1 *Amount allocated.* (a) If a trust makes an accumulation distribution in any taxable year, the distribution is included in the beneficiary's taxable income for that year to the extent of the undistributed net income of the trust for the preceding 5 years. It is therefore necessary to determine the extent to which there is undistributed net income for the preceding 5 years. For this purpose, an accumulation distribution made in any taxable year is allocated to each of the 5 preceding taxable years in turn, beginning with the most recent year, to the extent of the undistributed net income of each of those years. Thus, an accumulation distribution is deemed to have been made from the most recently accumulated income of the trust.

(b) If, before the application of the provisions of sections 665 through 668 (subpart D) to an accumulation distribution for the taxable year, there is no undistributed net income for a preceding taxable year, then no portion of the accumulation distribution is deemed distributed on the last day of such preceding taxable year. Thus, if an accumulation distribution is made during the taxable year 1960 and the trust had no undistributed net income for the taxable year 1959, then no portion of the 1960 accumulation distribution is deemed distributed on the last day of 1959. For purposes of subpart D, the term "5 preceding taxable years" includes only the 5 taxable years immediately preceding the taxable year in which the accumulation distribution is made and which are subject to part I of subchapter J of chapter 1 of the Internal Revenue Code of 1954, even though the trust has no undistributed net income during one or more of those years.

(c) Paragraphs (a) and (b) of this section may be illustrated by the following example:

Example. In 1959, a trust, reporting on the calendar year basis, makes an accumulation distribution of $25,000. In 1958, the trust had $7,000 of undistributed net income; in 1957, none; in 1956, $12,000; in 1955, $4,000; in 1954, $4,000. The accumulation distribution will be deemed distributed $7,000 in 1958, none in 1957, $12,000 in 1956, $4,000 in 1955, and $2,000 in 1954.

(d) For the purposes of allocating to any preceding taxable year an accumulation distribution of the taxable year, the undistributed net income of such preceding taxable year is computed without regard to the accumulation distribution of the taxable year or of taxable years following the taxable year. However, accumulation distributions of any taxable years intervening between such preceding taxable year and the taxable year are taken into account. Accordingly, if a trust has undistributed net income for the taxable year 1954 and makes an accumulation distribution during the taxable year 1955, the undistributed net income for 1954 is computed without regard to the accumulation distribution for 1955 or any subsequent year. If the trust makes a further accumulation distribution for 1956, the undistributed net income for 1954 is computed without regard to the accumulation distribution for 1956 or subsequent years; but in determining the undistributed net income for 1954 for purposes of the 1956 accumulation distribution the accumulation distribution for 1955 will be taken into account.

§ 1.666 (b) *Statutory provisions; excess distributions by trusts; total taxes deemed distributed.*

SEC. 666. *Accumulation distribution allocated to 5 preceding years.* * * *

(b) *Total taxes deemed distributed.* If any portion of an accumulation distribution for any taxable year is deemed under subsection (a) to be an amount within the meaning of paragraph (2) of section 661 (a) distributed on the last day of any preceding taxable year, and such portion of such accumulation distribution is not less than the undistributed net income for such preceding taxable year, the trust shall be deemed to have distributed on the last day of such preceding taxable year an additional amount within the meaning of paragraph (2) of section 661 (a). Such additional amount shall be equal to the taxes imposed on the trust for such preceding taxable year. For purposes of this subsection, the undistributed net income and the taxes imposed on the trust for such preceding taxable year shall be computed without regard to such accumulation distribution and without regard to any accumulation distribution determined for any succeeding taxable year.

§ 1.666 (b)–1 *Total taxes deemed distributed.* (a) If an accumulation distribution is deemed under § 1.666 (a)–1 to be distributed on the last day of a preceding taxable year and the amount is not less than the undistributed net income for such preceding taxable year, then an additional amount equal to the "taxes imposed on the trust" (as defined in § 1.665 (c)–1) for such preceding taxable year is likewise deemed distributed under section 661 (a) (2). For example, a trust has taxable income of $11,032 (not including any capital gains) and undistributed net income of $8,000 for the taxable year 1954. The taxes imposed on the trust are $3,032. During the taxable year 1955, an accumulation distribution of $8,000 is made to the beneficiary, which is deemed under § 1.666 (a)–1 to have been distributed on the last day of 1954. The taxes imposed on the trust for 1954 of $3,032 are also deemed to have been distributed on the last day of 1954 since the 1955 accumulation distribution is not less than the 1954 undistributed net income. Thus, a total of $11,032 will be deemed to have been distributed on the last day of 1954 because of the accumulation distribution of $8,000 made in 1955.

(b) For the purpose of paragraph (a) of this section, the undistributed net income of any preceding taxable year is computed without regard to the accumulation distribution of the taxable year or any taxable year following such taxable year. However, any accumulation

distribution of taxable years intervening between such preceding taxable year and the taxable year are taken into account. See § 1.666 (a)–1 (d) and paragraphs (f) (5) and (g) (1) of § 1.668 (b)–2.

§ 1.666 (c) *Statutory provisions; excess distributions by trusts; pro rata portion of taxes deemed distributed.*

SEC. 666. *Accumulation distribution allocated to 5 preceding years.* * * *

(c) *Pro rata portion of taxes deemed distributed.* If any portion of an accumulation distribution for any taxable year is deemed under subsection (a) to be an amount within the meaning of paragraph (2) of section 661 (a) distributed on the last day of any preceding taxable year and such portion of the accumulation distribution is less than the undistributed net income for such preceding taxable year, the trust shall be deemed to have distributed on the last day of such preceding taxable year an additional amount within the meaning of paragraph (2) of section 661 (a). Such additional amount shall be equal to the taxes imposed on the trust for such taxable year multiplied by the ratio of the portion of the accumulation distribution to the undistributed net income of the trust for such year. For purposes of this subsection, the undistributed net income and the taxes imposed on the trust for such preceding taxable year shall be computed without regard to the accumulation distribution and without regard to any accumulation distribution determined for any succeeding taxable year.

§ 1.666 (c)–1 *Pro rata portion of taxes deemed distributed.* (a) If an accumulation distribution is deemed under § 1.666 (a)–1 to be distributed on the last day of a preceding taxable year and the amount is less than the undistributed net income for such preceding taxable year, then an additional amount is likewise deemed distributed under section 661 (a) (2). The additional amount is equal to the taxes imposed on the trust, as defined in § 1.665 (c)–1, for such preceding taxable year, multiplied by the fraction of which the numerator is the amount of the accumulation distribution and the denominator is the undistributed net income for such preceding taxable year. See paragraph (b) of example (1) and paragraphs (c) and (f) of example (2) in § 1.666 (c)–2, and paragraph (f) (2) of § 1.668 (b)–2 for illustrations of this section.

(b) For the purpose of paragraph (a) of this section, the undistributed net income of any preceding taxable year is computed without regard to the accumulation distribution of the taxable year or any taxable year following the taxable year. However, accumulation distributions of any taxable years intervening between such preceding taxable year and the taxable year are taken into account. See § 1.666 (a)–1 (d), paragraph (c) of example (1) and paragraphs (e) and (h) of example (2) in § 1.666 (c)–2 and paragraph (f) (5) (iii) of § 1.668 (b)–2.

§ 1.666 (c)–2 *Illustration of the provisions of section 666.* The application of the provisions of §§ 1.666 (a)–1, 1.666 (b)–1, and 1.666 (c)–1 may be illustrated by the following examples:

Example (1). (a) A trust makes accumulation distributions as follows:

1959	$7,000
1960	25,000

For 1954 through 1958, the undistributed portion of distributable net income, taxes imposed on the trust, and undistributed net income are as follows:

Year	Undistributed portion of distributable net income	Taxes imposed on the trust	Undistributed net income
1958	$12,100	$3,400	$8,700
1957	16,100	5,200	10,900
1956	6,100	1,360	4,740
1955	None	None	None
1954	10,100	2,640	7,460

(b) Since the entire amount of the accumulation distribution for 1959 ($7,000), determined without regard to the accumulation distribution for 1960, is less than the undistributed net income for 1958 ($8,700), an additional amount of $2,736 (7,000/$8,700 × $3,400) is likewise deemed distributed under section 666 (c).

(c) In allocating the accumulation distribution for 1960, the undistributed net income for 1958 will take into account the accumulation distribution for 1959, and the additional amount of taxes imposed on the trust for 1958 deemed distributed. The undistributed net income for 1958 will then be $1,906; and the taxes imposed on the trust for 1958 will then be $458, determined as follows:

Undistributed portion of distributable net income as of the close of 1958		$12,100
Less:		
Accumulation distribution (1959)	$7,000	
Taxes deemed distributed under section 666 (c) (7,000/8,700 × $3,400)	2,736	
		9,736
Balance (undistributed portion of distributable net income as of the close of 1959)		2,364
Less: Personal exemption		100
Balance		2,264
Taxes imposed on the trust (income taxes on $2,264)		458
Undistributed portion of distributable net income as of the close of 1959		2,364
Less: Income taxes attributable thereto		458
Undistributed net income for 1958 as of the close of 1959		1,906

(d) The accumulation distribution of $25,000 for 1960 is deemed to have been made on the last day of the 5 preceding taxable years of the trust to the extent of $17,546, the total of the undistributed net income for such years, as shown in the tabulation below. In addition, $7,018, the total taxes imposed on the trust for such years is also deemed to have been distributed on the last day of such years, as shown below:

Year	Undistributed net income	Taxes imposed on the trust
1959	None	None
1958	$1,906	$458
1957	10,900	5,200
1956	4,740	1,360
1955	None	None

(e) No portion of the 1960 accumulation distribution is deemed made on the last day of 1954 because, as to 1960, 1954 is the sixth preceding taxable year.

Example (2). (a) Under the terms of a trust instrument, the trustee has discretion to accumulate or distribute the income to X and to invade corpus for the benefit of X. The entire income of the trust is from royalties. Both X and the trust report on the calendar year basis. All of the income for 1954 was accumulated. The distributable net income of the trust for the taxable year 1954 is $20,100 and the income taxes paid by the trust for 1954 with respect to its distributable net income are $7,260. All of the income for 1955 and 1956 was distributed and in addition the trustee made accumulation distributions within the meaning of section 665 (b) of $6,420 for each year.

(b) The undistributed net income of the trust determined under section 665 (a) as of the close of 1954, is $12,840, computed as follows:

Distributable net income	$20,100
Less: Taxes imposed on the trust	7,260
Undistributed net income as of the close of 1954	12,840

(c) The accumulation distribution of $6,420 made during the taxable year 1955 is deemed under section 666 (a) to have been made on December 31, 1954. Since this accumulation distribution is less than the 1954 undistributed net income of $12,840, a portion of the taxes imposed on the trust for 1954 is also deemed under section 666 (c) to have been distributed on December 31, 1954. The total amount deemed to have been distributed to X on December 31, 1954, is $10,050, computed as follows:

Accumulation distribution	$6,420
Taxes deemed distributed (6,420/12,840 × $7,260)	3,630
Total	10,050

(d) After the application of the provisions of sections 665 through 668 (subpart D) to the accumulation distribution of 1955, the undistributed portion of the distributable net income of the trust for 1954, is $10,050, and the taxes imposed with respect thereto are $2,623, computed as follows:

Distributable net income as of the close of 1954	$20,100
Less: 1955 accumulation distribution and taxes deemed distributed on December 31, 1954 (paragraph (c))	10,050
Undistributed portion of the 1954 distributable net income adjusted as of the close of 1955	10,050
Less: Personal exemption	100
Balance	9,950
Income taxes on $9,950	2,623

(e) The undistributed net income of the trust for the taxable year 1954, as adjusted to give effect to the 1955 accumulation distribution, is $7,427, computed as follows:

Undistributed portion of distributable net income as of the close of 1955	$10,050
Less: Income taxes applicable thereto	2,623
Undistributed net income determined as of the close of 1955	7,427

(f) Inasmuch as all of the income of the trust for the taxable year 1955 was distributed to X, the trust had no undistributed net income for that year. Accordingly, the accumulation distribution of $6,420 made during the taxable year 1956 is, under section 666 (a), deemed a distribution to X on December 31, 1954, within the meaning of section 661 (a) (2). Since this accumulation distribution is less than the 1954

adjusted undistributed net income of $7,427, the trust is deemed under section 666 (c) also to have distributed on December 31, 1954, a portion of the taxes imposed on the trust for 1954. The total amount deemed to be distributed on December 31, 1954, with respect to the accumulation distribution made in 1956, is $8,687, computed as follows:

Accumulation distribution	$6,420
Taxes deemed distributed (6,420/7,427×$2,623)	2,267
Total	8,687

(g) After the application of the provisions of sections 665 through 668 (subpart D) to the accumulation distribution of 1956, the undistributed portion of the distributable net income of the trust for 1954, is $1,363, and the taxes imposed on the trust with respect thereto are $253, computed as follows:

Undistributed portion of distributable net income as of the close of 1955	$10,050
Less: 1956 accumulation distribution and taxes deemed distributed on December 31, 1954 (paragraph (f))	8,687
Undistributed portion of distributable net income as of the close of 1956	1,363
Less: Personal exemption	100
Balance	1,263
Income taxes on $1,263	253

(h) The undistributed net income of the trust for the taxable year 1954, determined as of the close of the taxable year 1956, is $1,110 ($1,363 less $253).

§ 1.667 *Statutory provisions; excess distributions by trusts; denial of refund to trusts.*

SEC. 667. *Denial of refund to trusts.* The amount of taxes imposed on the trust under this chapter, which would not have been payable by the trust for any preceding taxable year had the trust in fact made distributions at the times and in the amounts deemed under section 666, shall not be refunded or credited to the trust, but shall be allowed as a credit under section 668 (b) against the tax of the beneficiaries who are treated as having received the distributions. For purposes of the preceding sentence, the amount of taxes which may not be refunded or credited to the trust shall be an amount equal to the excess of (1) the taxes imposed on the trust for any preceding taxable year (computed without regard to the accumulation distribution for the taxable year) over (2) the amount of taxes for such preceding taxable year imposed on the undistributed portion of distributable net income of the trust for such preceding taxable year after the application of this subpart on account of the accumulation distribution determined for such taxable year.

§ 1.667–1 *Denial of refund to trusts.* (a) If an amount is deemed under section 666 to be an amount paid, credited, or required to be distributed on the last day of a preceding taxable year, the trust is not allowed a refund or credit of the amount of "taxes imposed on the trust", as defined in § 1.665 (c)–1, which would not have been payable for the preceding taxable year had the trust in fact made such distribution on the last day of such year. However, such taxes are allowed as a credit under section 668 (b) against the tax of the beneficiaries who are treated as having received the distributions in the preceding taxable year. The amount of taxes which may not be refunded or credited to the trust under this paragraph and which are allowed as a credit under section 668 (b) against the tax of the beneficiaries, is an amount equal to the excess of—

(1) The taxes imposed on the trust (as defined in section 665 (c) and § 1.665 (c)–1) for any preceding taxable year (computed without regard to the accumulation distribution for the taxable year)

over

(2) The amount of taxes for such preceding taxable year which would be imposed on the undistributed portion of distributable net income of the trust for such preceding taxable year after the application of sections 665 through 668 (subpart D) on account of the accumulation distribution determined for the taxable year.

It should be noted that the credit under section 667 is computed by the use of a different ratio from that used for computing the amount of taxes deemed distributed under section 666 (c).

(b) Paragraph (a) of this section may be illustrated by the following examples:

Example (1). In 1954, a trust of which A is the sole beneficiary has taxable income of $20,000 (including capital gains of $5,100 allocable to corpus less a personal exemption of $100), on which a tax of $7,260 is paid. The undistributed portion of distributable net income is $15,000, to which $6,160 of the tax is allocable under section 665. The undistributed net income is therefore $8,840 ($15,000 minus $6,160). In 1955, the trust makes an accumulation distribution of $8,840. Under section 666 (b), the total taxes for 1954 attributable to the undistributed net income are deemed distributed, so $15,000 is deemed distributed. The amount of the tax which may not be refunded to the trust under section 667 and the credit to which A is entitled under section 668 (b) is the excess of $6,160 over zero, since after the distribution and the application of sections 665 through 668 (subpart D) there is no remaining undistributed portion of distributable net income for 1954.

Example (2). The same trust as in example (1) above distributes $5,000 in 1955, rather than $8,840. The amount of the tax which may not be refunded to the trust but which is available to A as a credit is $4,044, computed as follows:

Accumulation distribution in 1955	$5,000
Taxes deemed distributed under section 666 (c) (5,000/8,840×$6,160)	3,484
Total amount deemed distributed out of the undistributed portion of distributable net income	8,484
Tax attributable to the undistributed portion of distributable net income ($15,000) before 1955 distribution (see example (1))	6,160
Tax on $11,516 (taxable income of $20,000 minus $8,484, amount deemed distributed)	$3,216
Tax on $5,000 (capital gains of $5,100, less personal exemption of $100, allocable to corpus)	1,100
Tax attributable to undistributed portion of distributable net income after 1955 distribution	2,116
Refund disallowed to the trust and credit available to A in 1955	4,044

§ 1.668 (a) *Statutory provisions; excess distributions by trusts; treatment of amounts deemed distributed in preceding taxable years; amounts treated as received in prior taxable years.*

SEC. 668. *Treatment of amounts deemed distributed in preceding years*—(a) *Amounts treated as received in prior taxable years.* The total of the amounts which are treated under section 666 as having been distributed by the trust in a preceding taxable year shall be included in the income of a beneficiary or beneficiaries of the trust when paid, credited, or required to be distributed to the extent that such total would have been included in the income of such beneficiary or beneficiaries under section 662 (a) (2) and (b) if such total had been paid to such beneficiary or beneficiaries on the last day of such preceding taxable year. The portion of such total included under the preceding sentence in the income of any beneficiary shall be based upon the same ratio as determined under the second sentence of section 662 (a) (2) for the taxable year in respect of which the accumulation distribution is determined, except that proper adjustment of such ratio shall be made, in accordance with regulations prescribed by the Secretary or his delegate, for amounts which fall within paragraphs (1) through (4) of section 665 (b). The tax of the beneficiaries attributable to the amounts treated as having been received on the last day of such preceding taxable year of the trust shall not be greater than the aggregate of the taxes attributable to those amounts had they been included in the gross income of the beneficiaries on such day in accordance with section 662 (a) (2) and (b).

§ 1.668 (a)–1 *Amounts treated as received in prior taxable years; inclusion in gross income.* (a) Section 668 (a) provides that the total of the amounts treated under section 666 as having been distributed by the trust on the last day of a preceding taxable year of the trust shall be included in the gross income of the beneficiary or beneficiaries receiving them. The total of such amounts is includible in the gross income of each beneficiary to the extent the amounts would have been included under section 662 (a) (2) and (b) if the total had actually been paid by the trust on the last day of such preceding taxable year. The total is included in the gross income of the beneficiary for the taxable year of the beneficiary in which such amounts are in fact paid, credited, or required to be distributed unless the taxable year of the beneficiary differs from the taxable year of the trust (see section 662 (c) and the regulations thereunder). The character of the amounts treated as received by a beneficiary in prior taxable years, including taxes deemed distributed, in the hands of the beneficiary is determined by the rules set forth in section 662 (b) and the regulations thereunder. See paragraphs (h) (1) (ii) and (j) (1) (ii) of § 1.668 (b)–2.

(b) The total of the amounts treated under section 666 as having been distributed by the trust on the last day of a preceding taxable year of the trust are included as prescribed in paragraph (a) of this section in the gross income of the beneficiary even though as of that day the beneficiary would not have been entitled to receive them had they actually been distributed on that day.

(c) Any deduction allowed to the trust in computing distributable net income

for a preceding taxable year (such as depreciation, depletion, etc.) is not deemed allocable to a beneficiary because of amounts included in a beneficiary's gross income under this section since the deduction has already been utilized in reducing the amount included in the beneficiary's income.

§ 1.668 (a)–2 *Allocation among beneficiaries; in general.* The portion of the total amount includible in gross income under § 1.668 (a)–1 which is includible in the gross income of a particular beneficiary is based upon the ratio determined under the second sentence of section 662 (a) (2) for the taxable year (and not for the preceding taxable year). This section may be illustrated by the following example:

Example. (a) Under the terms of a trust instrument, the trustee may accumulate the income or make distributions to A and B. The trustee may also invade corpus for the benefit of A and B. The distributable net income of the trust for the taxable year 1955 is $10,000. The trust had undistributed net income for the taxable year 1954 of $5,000, to which a tax of $1,100 was allocable. During the taxable year 1955, the trustee distributes $10,000 to A and $5,000 to B. Thus, of the total distribution of $15,000, A received two-thirds and B received one-third.

(b) For the purposes of determining the amounts includible in the beneficiaries' gross income for 1955, the trust is deemed to have made the following distributions:

Amount distributed out of 1955 income (distributable net income)	$10,000
Accumulation distribution deemed distributed by the trust on the last day of 1954 under section 666 (a)	5,000
Taxes imposed on the trust deemed distributed under section 666 (b)	1,100

(c) A will include in his gross income for 1955 two-thirds of each item shown in paragraph (b). Thus, he will include in gross income $6,666.67 (10,000/15,000×$10,000) of the 1955 distributable net income of the trust as provided in section 662 (a) (2), and $3,333.33 (10,000/15,000×$5,000) of the accumulation distribution and $733.33 (10,000/15,000×$1,100) of the taxes imposed on the trust as provided in section 668 (a).

(d) B will include in his gross income for 1955 one-third of each item shown in paragraph (b), computed in the manner shown in paragraph (c).

§ 1.668 (a)–3 *Excluded amounts.* When a trust pays, credits, or is required to distribute to a beneficiary amounts which are excluded under section 665 (b) (1), (2), (3), or (4) from the computation of an accumulation distribution, the amount includible under sections 665 through 668 (subpart D) in the gross income of the beneficiaries pursuant to § 1.668 (a)–1 is first allocated to the beneficiaries as provided in § 1.668 (a)–2 and, second, the amount allocable to the beneficiary receiving amounts which are excluded under section 665 (b) (1), (2), (3), or (4) is reduced by the excluded amounts. This section may be illustrated by the following examples, in which it is assumed the trusts and beneficiaries report on the calendar year basis and the income of the trusts was derived entirely from taxable interest:

Example (1). (a) A trust in 1957 has income as defined in section 643 (b) of $35,000 and expenses allocable to corpus of $5,000. Its distributable net income is, therefore, $30,000 ($35,000—$5,000). The undistributed net income of the trust and the taxes imposed on the trust were $12,840 and $7,260, respectively, for each of the years 1956, 1955, and 1954. The terms of the trust instrument provide for the accumulation of income during the minority of beneficiaries A and B. However, the trustee may make discretionary distributions to either beneficiary after he becomes 21 years of age. Also, the trustee may invade corpus for the benefit of A and B. B became 21 years of age on January 1, 1957, and, as of that date, A was 25 years old. The trustee distributed $50,000 each to A and B during 1957.

(b) Since each beneficiary received one-half of the total amount distributed by the trust, each must include in gross income under section 662 (a) (2) one-half ($15,000) of the distributable net income ($30,000) of the trust for 1957.

(c) The excess distribution of $35,000 ($50,000—$15,000) received by B is excluded from the determination of an accumulation distribution under section 665 (b) (1) and accordingly is not includible in B's gross income under section 668 (a). Nor is such amount treated as an accumulation distribution for the purpose of determining the amount includible in A's gross income under section 668 (a).

(d) The accumulation distribution of the trust is $35,000, computed as follows:

Total distribution by the trust		$100,000
Less:		
Distributable net income for 1957	$30,000	
Excess distribution to B	35,000	
		65,000
Accumulation distribution to A		35,000

(e) The accumulation distribution of $35,000 will be allocated to the preceding taxable years 1956, 1955, and 1954, and the trust will be deemed to have made the following distributions to A on the last day of those years:

	1956	1955	1954	Total
Undistributed net income	$12,840	$12,840	$9,320	$35,000
Taxes imposed on the trust	7,260	7,260	5,270	19,790
Total	20,100	20,100	14,590	54,790

Thus, A will include $54,790 in his gross income for 1957 under section 668 (a). A will, however, receive credit against his tax under section 668 (b).

Example (2). (a) Under the terms of a trust the trustee may make discretionary distributions out of income to A during her life. The balance of the income is to be accumulated during the minority of her son, B, and is to be distributed to him when he becomes 21 years of age. Thereafter the trustee may also make discretionary payments of income to B. Also, the trustee may invade corpus for the benefit of A and B. B became 21 years of age on December 31, 1955. The distributable net income of the trust for 1955 is $30,000. It had undistributed net income of $12,840 for the preceding taxable year 1954 and the taxes imposed on the trust for such year were $7,260. The trustee distributed $15,000 to A during 1955 and on December 31, 1955, he distributed $60,000 to B, which represented income accumulated during his minority.

(b) Since B received four-fifths of the total amount ($75,000) distributed by the trust during 1955, he must include in his gross income under section 662 (a) (2) four-fifths ($24,000) of the distributable net income ($30,000) of the trust for 1955. A will include in her gross income under section 662 (a) (2) one-fifth ($6,000) of the distributable net income ($30,000) of the trust for 1955.

(c) The excess distribution of $36,000 ($60,000—$24,000) received by B is excluded from the determination of an accumulation distribution under section 665 (b) (1) and accordingly is not includible in his gross income under section 668 (a).

(d) The amount treated as an accumulation distribution for the purpose of determining the amount includible in A's gross income for 1955 under section 668 (a) is $9,000, computed as follows:

Total distribution by the trust		$75,000
Less:		
Distributable net income for 1955	$30,000	
Excess distribution to B	36,000	
		66,000
Amount treated as an accumulation distribution		9,000

(e) Inasmuch as the amount of $9,000 is less than the total undistributed net income of the trust ($12,840) for the preceding taxable year 1954, a pro rata portion of the taxes imposed on the trust for that year are also deemed distributed by the trust. Thus, A will include $14,089 in her gross income for 1955 under section 668 (a) computed as follows:

	1954
Accumulation distribution	$9,000
Taxes imposed on the trust (9,000/12,840×$7,260)	5,089
Total	14,089

A will, however, receive credit against her tax under section 668 (b).

§ 1.668 (a)–4 *Tax attributable to throwback.* (a) The tax attributable to amounts deemed distributed under section 666 is imposed on the beneficiary for the taxable year of the beneficiary in which the accumulation distribution is made unless the taxable year of the beneficiary is different from that of the trust (see section 662 (c) and the regulations thereunder). However, the tax cannot be greater than the aggregate of the taxes attributable to those amounts had they been included, in accordance with the provisions of section 662 (a) (2) and (b), in the gross income of the beneficiary for the preceding taxable year or years in which they were deemed distributed. The tax liability of the beneficiary for the taxable year is computed in the following manner:

(1) First, compute the amount of tax for the taxable year attributable to the section 666 amounts which are included in the gross income of the beneficiary for the year. The tax attributable to those amounts is the difference between the tax for the taxable year computed with the inclusion of the section 666 amounts in gross income and the tax computed without including them in gross income.

(2) Next, compute the tax attributable to the section 666 amounts for each of the preceding taxable years as if they had been included in gross income for those years. The tax attributable to such amounts in each such preceding taxable year is the difference between the tax for such preceding year computed with the inclusion of the section 666 amounts in gross income and the

tax for such year computed without including them in gross income. The tax computation for each preceding year shall reflect the taxpayer's marital and dependency status for that year.

(3) The total tax for the taxable year is the tax for that year computed without including the section 666 amounts, *plus*—

(i) The amount of the tax for the taxable year attributable to the section 666 amounts (computed in accordance with subparagraph (1) of this paragraph),

or

(ii) The sum of the taxes for the preceding taxable years attributable to the section 666 amounts (computed in accordance with subparagraph (2) of this paragraph),

whichever is the smaller.

(b) The provisions of paragraph (a) of this section may be illustrated by the following example:

Example. (1) During the taxable year 1956, $10,000 is deemed distributed under section 666 to a beneficiary, of which $6,000 is deemed distributed by the trust on the last day of 1955 and $4,000 on the last day of 1954. The beneficiary had taxable income (after deductions) from other sources of $5,000 for 1956, $10,000 for 1955, and $10,000 for 1954. The beneficiary's tax liability for 1956 is $4,730 determined as follows:

Year 1956

Tax on $15,000 (taxable income including section 666 amounts)	$4,730
Tax on $5,000 (taxable income excluding section 666 amounts)	1,100
Tax attributable to section 666 amounts	3,630

Year 1955

Tax on $16,000 (taxable income including section 666 amounts)	5,200
Tax on $10,000 (taxable income excluding section 666 amounts)	2,640
Tax attributable to section 666 amounts	2,560

Year 1954

Tax on $14,000 (taxable income including section 666 amounts)	4,260
Tax on $10,000 (taxable income excluding section 666 amounts)	2,640
Tax attributable to section 666 amounts	1,620

(2) Inasmuch as the tax of $3,630 attributable to the section 666 amounts as computed at 1956 rates is less than the aggregate of the taxes of $4,180 ($2,560 plus $1,620) determine for the preceding taxable years, the amount of $3,630 is added to the tax ($1,100) computed for 1956 without including the section 666 amounts.

§ 1.668 (b) *Statutory provisions; excess distributions by trusts; treatment of amounts deemed distributed in preceding taxable years; credit for taxes paid by trust.*

SEC. 668. *Treatment of amounts deemed distributed in preceding taxable years.* * * *

(b) *Credit for taxes paid by trust.* The tax imposed on beneficiaries under this chapter shall be credited with a pro rata portion of the taxes imposed on the trust under this chapter for such preceding taxable year which would not have been payable by the trust for such preceding taxable year had the trust in fact made distributions to such beneficiaries at the times and in the amounts specified in section 666.

§ 1.668 (b)–1 *Credit for taxes paid by the trust.* (a) The taxes imposed on a complex trust for a taxable year which would not have been payable by the trust if amounts deemed under section 666 to have been distributed in the year had in fact been distributed in the year are not allowable as a refund to the trust but are allowable as a credit against the tax of the beneficiaries to whom the amounts described in section 666 (a) are distributed.

(b) The credit to which a beneficiary is entitled under section 668 (b) is allowed for the taxable year in which the accumulation distribution (to which the credit relates) is required to be included in the gross income of the beneficiary. Any excess over the total tax liability of the beneficiary is treated as an overpayment of tax by the beneficiary.

(c) The beneficiary is entitled to a portion of the credit described in paragraph (a) of this section in the ratio which the amount of the accumulation distribution to him bears to the accumulation distributions to all the beneficiaries.

§ 1.668 (b)–2 *Illustration of the provisions of sections 665 through 668.* The provisions of sections 665 through 668 (subpart D) may be illustrated by the following example:

Example. (a) *Facts.* (1) Under the terms of a trust instrument, one-half of the trust income is required to be distributed currently to beneficiary A. The trustee may in his discretion accumulate the balance of the income of the trust or he may make distributions to B out of income or corpus. The trust is to terminate upon the death of A and the corpus is to be distributed to B. Capital gains are allocable to corpus. All of the expenses of the trust are charges against income. The trust instrument provides for a reserve for depreciation, so that depreciation is deductible in computing distributable net income. The trust and both beneficiaries report on the calendar year basis. The trust had long-term capital gains of $20,000 for 1954, and $10,000 for 1955, which were allocated to corpus. The distributable net income of the trust as determined under section 643 (a) for 1954, 1955, 1956, and 1957 is deemed to consist of the following items of income:

	Dividends	Rents	Interest (taxable)	Interest (exempt)	Total
1954	$15,000	$20,000	$10,000	$5,000	$50,000
1955	10,000	15,000	10,000	5,000	40,000
1956	10,000	20,000	15,000	5,000	50,000
1957	10,000	15,000	15,000	5,000	45,000

(2) One-half ($7,500) of the dividends for 1954 was received by the trust on or before July 31, 1954, and the balance was received after that date.

(3) The following distributions were made by the trustee to A and B during the taxable years 1954 through 1957:

	A	B
1954	$25,000	None
1955	20,000	None
1956	25,000	$45,000
1957	22,500	29,550

(b) *Distributions to A.* A is deemed to have received one-half of each item of income entering into the computation of distributable net income as shown in paragraph (a) (1) above. See § 1.662 (a)–2 for rules for the treatment of currently distributable income in the hands of the beneficiary.

(c) *Tax liability of the trust*—(1) *1954.* (i) The tax liability of the trust for the taxable year 1954 is $13,451, computed as follows:

Distributable net income under section 643 (a) (paragraph (a) (1))		$50,000
Less amounts not includible in gross income:		
Tax-exempt interest	$5,000	
Dividend exclusion	50	
		5,050
Distributable net income as adjusted		44,950
Add: Capital gains (long-term)		20,000
Total		64,950
Deductions:		
Distributions to A	$22,475	
Capital gain deduction	10,000	
Personal exemption	100	
		32,575
Taxable income		32,375
Alternative tax		13,601
Dividend received credit		150
Tax liability		13,451

(ii) See paragraph (b) above for character of income deemed distributed to A and section 661 for rules for computing the amount deductible by a trust for distributions to beneficiaries. Inasmuch as one-half of the dividends of the trust are deemed to be distributed to A, $25 of such distribution is deemed to be made from the dividend exclusion of $50, and the balance from dividends included in the gross income of the trust (that is, since the year 1954 is involved, $3,725 from dividends received on or before July 31, 1954, and $3,750 from dividends received after July 31, 1954). The trust is entitled to a dividend received credit attributable to the dividends of $3,750 received after July 31, 1954, which were not distributed to any beneficiary during the taxable year.

(2) *1955.* (i) The tax liability of the trust for the taxable year 1955 is $8,189, computed as follows:

Distributable net income under section 643 (a) (paragraph (a) (1))		$40,000
Less amounts not includible in gross income:		
Tax-exempt interest	$5,000	
Dividend exclusion	50	
		5,050
Distributable net income as adjusted		34,950
Add: Capital gains (long-term)		10,000
Total		44,950
Deductions:		
Distributions to A	$17,475	
Capital gain deduction	5,000	
Personal exemption	100	
		22,575
Taxable income		22,375
Alternative tax		8,388
Dividend received credit		199
Tax liability		8,189

(ii) See paragraph (b) above for character of income deemed distributed to A and section 661 for rules for computing the amount deductible by a trust for distributions to beneficiaries. Inasmuch as one-half ($4,975) of the dividends of $9,950 ($10,000 less dividend exclusion of $50) included in the gross income of the trust is deemed dis-

tributed to A, the trust is entitled to a dividend received credit with respect to the dividends of $4,975 which were not distributed to any beneficiary during the taxable year.

(3) *1956 and 1957.* The trust had no tax liability for the taxable years 1956 and 1957 since all of its income was distributed during such years.

(d) *Accumulation distributions.* (1) Accumulation distributions of $20,000 and $7,050, as defined in section 665 (b), were made to B during the years 1956 and 1957, respectively, computed as shown below:

	1956	1957
Distributable net income of the trust as computed under section 643 (a)	$50,000	$45,000
Less: Income currently distributable to A	25,000	22,500
Balance of income	25,000	22,500
Other amounts distributed to B	45,000	29,550
Accumulation distributions to B	20,000	7,050

(2) B is deemed to have received one-half of each item of income entering into the computation of distributable net income (shown in paragraph (a) (1)) for the years 1956 and 1957.

(3) The accumulation distribution for 1956 must first be allocated to the preceding taxable years as provided in section 666. After the application of the provisions of sections 665 through 668 (subpart D) to the 1956 accumulation distribution and to the undistributed net incomes of the preceding taxable years, a similar allocation must be made of the 1957 accumulation distribution.

(e) *Throwback of 1956 accumulation distribution to 1955.* The accumulation distribution of $20,000 for 1956 must be allocated to the first preceding taxable year 1955, before allocation is made to the second preceding taxable year 1954.

(1) *1955 Undistributed net income.* (i) The undistributed net income of the trust for 1955, determined as of the close of 1955, is $12,885, computed as follows:

Distributable net income as computed under section 643 (a) (paragraph (a) (1))		$40,000
Less:		
Distributions to A	$20,000	
Taxes imposed on the trust	7,115	
		27,115
Undistributed net income as of the close of 1955		12,885

(ii) The taxes imposed on the trust of $7,115 are that portion of the taxes paid by the trust for 1955 which is attributable to the undistributed portion of distributable net income included in the taxable income of the trust (the "balance" in the computation below) and is determined as follows:

Taxable income (paragraph (c) (2) (i))		$22,375
Capital gains allocable to corpus	$10,000	
Less:		
Capital gain deduction	$5,000	
Personal exemption	100	
	5,100	
Portion of taxable income allocable to corpus		4,900
Balance		17,475
Total taxes paid by the trust		8,189
Taxes on income ($4,900) allocable to corpus		1,074
Taxes imposed on the trust (section 665 (c))		7,115

(iii) The amount of $1,074 is the taxes which the trust would have paid for 1955 had all of the distributable net income been distributed during the year.

(2) *Allocation of 1956 accumulation distribution to the preceding taxable year 1955.* The portion of the 1956 accumulation distribution which is deemed under section 666 (a) to be distributed to B on the last day of 1955 (the first preceding taxable year) is $12,885, an amount equal to the undistributed net income for 1955. An additional amount equal to the taxes imposed on the trust ($7,115) is, under section 666 (b), also deemed to be distributed to B on the last day of 1955. Thus, a total of $20,000 ($12,885 plus $7,115) is deemed to be distributed to B on December 31, 1955, by reason of the allocation of the 1956 accumulation distribution to the first preceding taxable year. See paragraph (h) of this example for the treatment of the amount of $20,000 in the hands of B.

(3) *Character of amounts deemed distributed.* Inasmuch as one-half of the 1955 distributable net income of the trust as determined under section 643 (a) was currently distributable to A and the balance of such income is deemed under section 666 to be distributed to B on December 31, 1955, the distribution to B is deemed to consist of one-half of each item of income entering into the computation of the 1955 distributable net income; that is, dividends of $5,000, rents of $7,500, taxable interest of $5,000, and tax-exempt interest of $2,500.

(4) *Credit for taxes paid by the trust.* The amount of the taxes for the year 1955 which may not be refunded or credited to the trust under section 667 and which is allowed as a credit against the tax of B for 1956 under section 668 (b) is $7,115. See also paragraph (h) (3) of this example.

(5) *Effect of application of provisions of sections 665 through 668 (subpart D) to the year 1955.* After the allocation of the 1956 accumulation distribution to the preceding taxable year 1955, the undistributed portion of the distributable net income, the undistributed net income, and the taxes imposed on the trust for 1955 are zero. The portion of the 1956 accumulation distribution which is unabsorbed by the 1955 undistributed net income is $7,115, determined as follows:

1956 accumulation distribution (paragraph (d) (1))		$20,000
Less: Amount allocable to 1955		12,885
Balance allocable to second preceding taxable year 1954		7,115

(f) *Throwback of 1956 accumulation distribution to 1954.* The unabsorbed portion of the 1956 accumulation distribution of $7,115 is allocable to the second preceding taxable year 1954 and is treated under section 666 as a distribution to B on the last day of such year.

(1) *1954 Undistributed net income.* (i) The undistributed net income of the trust for 1954, determined as of the close of 1954, is $14,155, computed as follows:

Distributable net income as computed under section 643 (a) (paragraph (a) (1))		$50,000
Less:		
Distributions to A	$25,000	
Taxes imposed on the trust	10,845	
		35,845
Undistributed net income as of the close of 1954		14,155

(ii) The taxes imposed on the trust of $10,845 are that portion of the taxes paid by the trust for 1954 which is attributable to the undistributed portion of distributable net income included in the taxable income of the trust (the "balance" in the computation below) and is determined as follows:

Taxable income (paragraph (c) (1) (i))		$32,375
Capital gains allocable to corpus	$20,000	
Less:		
Capital gain deduction	$10,000	
Personal exemption	100	
	$10,100	
Portion of taxable income allocable to corpus		$9,900
Balance		22,475
Total taxes paid by the trust		13,451
Taxes on income ($9,900) allocable to corpus		2,606
Taxes imposed on the trust (section 665 (c))		10,845

(iii) The amount of $2,606 is the taxes which the trust would have paid for 1954 had all of the distributable net income been distributed during that year.

(2) *Allocation of 1956 accumulation distribution to the second preceding taxable year 1954.* Since the unabsorbed portion of the 1956 accumulation distribution of $7,115 is less than the 1954 undistributed net income of $14,155, the trust is deemed under section 666 (c) to have also distributed an additional amount ($5,451) equal to a pro rata portion (7,115/14,155×$10,845) of the taxes imposed on the trust for 1954. Thus, a total of $12,566 ($7,115 plus $5,451) is deemed to be distributed to B on December 31, 1954, by reason of the throwback of the 1956 accumulation distribution. See paragraph (h) of this example for the treatment of the amount of $12,566 in the hands of B.

(3) *Character of amounts deemed distributed to B.* The amount of $12,566 which, under section 666, is deemed to be distributed to B on December 31, 1954, is deemed to be composed of the following items of income of the trust: Dividends, $3,770 (15,000/50,000×$12,566); rents, $5,026 (20,000/50,000×$12,566); taxable interest, $2,513 (10,000/50,000×$12,566); and tax-exempt interest, $1,257 (5,000/50,000×$12,566). One-half of the dividends of $3,770 is considered as distributed from the dividends received by the trust on or before July 31, 1954, of which $13 (3,770/15,000×$50) is deemed distributed from the dividends excluded under section 116, and the other half as distributed from the dividends received after July 31, 1954. Thus, of the total of $12,566 deemed distributed to B, $11,296 is considered as made from income included in the gross income of the trust and $1,270 from nontaxable income of the trust.

(4) *Credit for taxes paid by the trust.* The amount of the taxes for the year 1954 which may not be refunded or credited to the trust under section 667 and which is allowed as a credit against the tax of B for 1956 under section 668 (b), because of the allocation of the 1956 accumulation distribution to 1954, is $5,401, computed as follows:

Taxable income of the trust as of the close of 1954 (paragraph (c) (1))		$32,375
Less: Amount deemed distributed to B under section 666 from the taxable income of the trust		11,296
Taxable income adjusted as of the close of 1956		21,079
Taxes on $21,079 (alternative tax)		8,050
Taxes on income allocable to corpus (subparagraph (1) (ii) of this paragraph)		2,606
Taxes imposed on the trust determined as of the close of 1956		5,444

Taxes imposed on the trust determined as of the close of 1954	10,845
Taxes imposed on the trust determined as of the close of 1956	5,444
Amount of taxes allowed as a credit to B under section 668 (b)	5,401

(5) *Effect of application of provisions of sections 665 through 668 (subpart D) to the year 1954.* (i) The undistributed portion of the distributable net income of the trust for the year 1954, determined as of the close of 1956, is $12,434, computed as follows:

Distributable net income (section 643 (a))		$50,000
Less:		
Amount currently distributable to A	$25,000	
Amount deemed distributed to B under section 666	12,566	
		37,566
Undistributed portion of distributable net income as of the close of 1956		12,434

(ii) The amount of $12,434 is deemed to consist of dividends of $3,730, rents of $4,974, taxable interest of $2,487, and tax-exempt interest of $1,243, determined as follows:

	Dividends	Rents	Interest (taxable)	Interest (exempt)	Total
Trust income	$15,000	$20,000	$10,000	$5,000	[1] $50,000
Distributions:					
To A	7,500	10,000	5,000	2,500	[2] 25,000
To B	3,770	5,026	2,513	1,257	[3] 12,566
Total	11,270	15,026	7,513	3,757	37,566
Balance	3,730	4,974	2,487	1,243	12,434

[1] See paragraph (a) (1).
[2] See paragraph (b).
[3] See paragraph (f) (3).

(iii) The undistributed net income of the trust for 1954, determined as of the close of 1956, is $6,990, computed as follows:

Undistributed portion of distributable net income as of the close of 1956	$12,434
Less: Taxes imposed on the trust determined as of the close of 1956 (subparagraph (4) of this paragraph)	5,444
Undistributed net income as of the close of 1956	6,990

(g) *Throwback of 1957 accumulation distribution.* Inasmuch as all of the income of the trust for the first preceding taxable year 1956 was distributed during such year and the trust had no undistributed net income for the second preceding taxable year 1955 after the application of sections 665 through 668 (subpart D) to the accumulation distribution made during 1956, the 1957 accumulation distribution of $7,050 is allocable to the third preceding taxable year 1954. See paragraph (d) (1) for computation of the accumulation distribution.

(1) *Allocation of 1957 accumulation distribution to the preceding taxable year 1954.* The portion of the 1957 accumulation distribution which is deemed under section 666 (a) to be distributed to B on the last day of 1954 is $6,990, an amount equal to the undistributed net income of the trust for 1954, determined as of the close of 1956. An additional amount equal to the taxes imposed on the trust ($5,444), determined as of the close of 1956, is under section 666 (b) also deemed to be distributed to B on the last day of 1954. See paragraph (f) (4) and (5) of this example. Thus, a total of $12,434 ($6,990 plus $5,444) is deemed to be distributed to B on December 31, 1954, by reason of the allocation of the 1957 accumulation distribution to the taxable year 1954. See paragraph (j) of this example for the treatment of the amount of $12,434 in the hands of B.

(2) *Character of amounts deemed distributed.* Inasmuch as the balance of the 1954 distributable net income of the trust is deemed under section 666 to be distributed to B on December 31, 1954, the distribution is deemed to consist of dividends of $3,730, rents of $4,974, taxable interest of $2,487, and tax-exempt interest of $1,243. See paragraph (f) (5) (ii) of this example.

(3) *Credit for taxes paid by the trust.* The amount of taxes for the year 1954 which may not be refunded or credited to the trust under section 667 and which is allowed as a credit against the tax of B under section 668 (b) is $5,444, the amount of taxes imposed on the trust determined as of the close of 1956. See paragraph (f) (4) of this example.

(4) *Effect of application of provisions of sections 665 through 668 (subpart D) to the year 1954.* After the allocation of the 1957 accumulation distribution to the preceding taxable year 1954, the undistributed portion of the distributable net income, the undistributed net income, and the taxes imposed on the trust for 1954 are zero. The balance of $60 ($7,050 less $6,990) of the 1957 accumulation distribution remaining after the allocation of the accumulation distribution to the year 1954, may not be allocated to the year 1953 since that year is not subject to the provisions of the Internal Revenue Code of 1954.

(h) *Determination of B's tax liability; taxable year 1956*—(1) *Amount of trust income includible in gross income.* (i) Of the amount of $45,000 distributed by the trust to B during the taxable year 1956, $25,000 is treated as a distribution out of trust income for that year within the meaning of section 662 (a) (2), and $20,000 as an accumulation distribution within the meaning of section 665 (b) (see paragraph (d) of this example). However, $12,885 plus taxes of $7,115 is deemed distributed to B on December 31, 1955, and $7,115 plus taxes of $5,451 on December 31, 1954, under section 666 by reason of the accumulation distribution made during 1956, and these amounts are includible in B's gross income for 1956 to the extent that they would have been includible in his gross income under section 662 (a) (2) and (b) for 1955 and 1954, respectively, had they been distributed on the last day of those years.

(ii) The amounts distributed to B out of trust income for the year 1956, and the amounts deemed distributed out of income for the preceding taxable years 1955 and 1954 have the following character for the purpose of determining the amount includible in B's gross income for 1956:

Year	Dividends	Rents (taxable)	Interest (taxable)	Interest (exempt)	Total
1956	$5,000	$10,000	$7,500	$2,500	[1] $25,000
1955	5,000	7,500	5,000	2,500	[2] 20,000
1954	3,770	5,026	2,513	1,257	[3] 12,566
Total	13,770	22,526	15,013	6,257	57,566

[1] See paragraph (d) (2).
[2] See paragraph (e) (3).
[3] See paragraph (f) (3).

Thus, B will include in gross income for 1956 dividends of $13,770 (subject to the dividend exclusion), rents of $22,526, and taxable interest of $15,013, and will exclude the tax-exempt interest of $6,257.

(2) *Computation of tax.* (i) For the purpose of computing B's tax liability, it is assumed that he was single during the taxable years 1954, 1955, and 1956, and that his taxable income (derived from salary) for each of the years 1954 and 1955 amounted to $13,400 on which a tax of $4,002 was paid for each year. It is also assumed that his income (other than distributions from the trust) for 1956 was $15,000 derived from salary, and he had allowable deductions of $10,600, which included the deduction for personal exemption.

(ii) The computation of the tax for the taxable year 1956 attributable to the section 666 amounts which are included in B's gross income for such year, as provided in § 1.668 (a)–4 (a) (1), is as follows:

	(1) Section 666 amounts excluded	(2) Section 666 amounts included
Salary	$15,000	$15,000
Income from trust:		
Dividends ($50 excluded)	4,950	13,720
Rents	10,000	22,526
Taxable interest	7,500	15,013
Total	37,450	66,259
Less: Allowable deductions	10,600	10,600
Taxable income	26,850	55,659
Total tax	11,267	31,064
Less: Dividend received credit	198	475
Tax liability	11,069	30,589
Tax on income from which section 666 amounts are excluded		11,069
1956 tax attributable to section 666 amounts		19,520

Only that portion of the dividends received by the trust after July 31, 1954, and deemed distributed to B under section 666, on the last day of such year is included in computing the dividend received credit shown in column (2) above. See paragraph (f) (3).

(iii) The computation of the taxes for the preceding taxable years attributable to the section 666 amounts which are deemed attributed by the trust on the last day of these years, as provided in § 1.668 (a)–4 (a) (2), is as follows:

	Preceding taxable years	
	First, 1955	Second, 1954
Taxable income previously reported	$13,400	$13,400
Section 666 amounts:		
Dividends ($50 excluded)	4,950	3,720
Rents	7,500	5,026
Taxable interest	5,000	2,513
Taxable income as adjusted	30,850	24,659
Total tax	13,747	9,949
Less: Dividend received credit	198	75
Balance of tax	13,549	9,874
Tax liability	4,002	4,002
Tax attributable to section 666 amounts	9,547	5,872

Only that portion ($1,885) of the dividends received by the trust after July 31, 1954, and deemed distributed under section 666 on the last day of that year, is included in computing the dividend received credit of $75 for the year 1954. See paragraph (f) (3).

(iv) Inasmuch as the aggregate of the taxes of $15,419 ($9,547 plus $5,872) attributable to the section 666 amounts as determined for the preceding taxable years is less than the tax of $19,520 determined for the

taxable year 1956, the amount of $15,419 shall be added to the tax computed for 1956 without including the section 666 amounts. Thus, B's tax liability for 1956 is $26,488 ($11,069 plus $15,419).

(3) *Credits against the tax.* B is allowed under section 668 (b) a credit of $12,516 ($5,401 for 1954 and $7,115 for 1955) against his 1956 tax liability for the taxes paid by the trust for the preceding taxable years and which may not be refunded or credited to the trust under section 667. See paragraphs (e) (4) and (f) (4).

(i) [Reserved.]

(j) *Taxable year 1957—(1) Amount of trust income includible in gross income.* (i) Of the amount of $29,550 distributed by the trust to B during the taxable year 1957, $22,500 is treated as a distribution out of trust income for that year within the meaning of section 662 (a) (2), and $7,050 as an accumulation distribution within the meaning of section 665 (b) (see paragraph (d)). However, $6,990 plus taxes of $5,444 is deemed distributed to B on December 31, 1954, under section 666 by reason of the accumulation distribution made during 1957, and that amount is includible in B's gross income for 1957, to the extent that it would have been includible in his gross income under section 662 (a) (2) and (b) for 1954, had it been distributed on the last day of that year.

(ii) The amounts deemed distributed to B out of trust income for the year 1957 and the preceding taxable year 1954 are deemed to have the following character for the purpose of determining the amount includible in B's gross income for 1957:

Year	Dividends	Rents	Interest (taxable)	Interest (exempt)	Total
1957	$5,000	$7,500	$7,500	$2,500	[1] $22,500
1954	3,730	4,974	2,487	1,243	[2] 12,434
Total	8,730	12,474	9,987	3,743	34,934

[1] See paragraph (d) (2).
[2] See paragraph (g) (2).

Thus, B will include in gross income for the year 1957 dividends of $8,730 (subject to the dividend exclusion), rents of $12,474, and taxable interest of $9,987 and will exclude the tax-exempt interest of $3,743.

(2) *Computation of tax.* (i) For the purpose of computing B's tax liability for 1957, it is assumed that he was single for the entire year and had income (other than distributions from the trust) of $15,000 from salary. Also, he had allowable deductions of $8,100, which included the deductions for personal exemption.

(ii) The computation of the tax for the taxable year 1957 attributable to the section 666 amounts which are included in B's gross income for that year, as provided in § 1.668 (a)-4 (a)-1, is as follows:

	Section 666 amounts excluded	Section 666 amounts included
Salary	$15,000	$15,000
Trust income:		
Dividends ($50 excluded)	4,950	8,680
Rents	7,500	12,474
Taxable interest	7,500	9,987
Total	34,950	46,141
Less: Allowable deductions	8,100	8,100
Taxable income	26,850	38,041
Total tax	11,267	18,388
Less: Dividends received credit	198	275
Tax liability	11,069	18,113
Tax on income from which section 666 amounts are excluded		11,069
1957 tax attributable to section 666 amounts		7,044

See explanation following computation in paragraph (h) (2) (ii) with respect to the computation of the dividend received credit on dividends received by the trust in 1954.

(iii) The amount of tax, computed at 1954 rates, attributable to the section 666 amounts which are deemed to have been distributed by the trust on the last day of 1954, is $6,939, computed as follows:

1954 taxable income as adjusted (paragraph (h) (2) (iii))		$24,659
Section 666 amounts:		
Dividends		3,730
Rents		4,974
Taxable interest		2,487
Taxable income as adjusted		35,850
Total tax		16,963
Less: Dividends received credit		150
Balance of tax		16,813
Tax liability for 1954	$4,002	
Tax attributable to 1956 accumulation distribution (paragraph (h) (2) (iii))	5,872	
		9,874
Tax attributable to the section 666 amounts distributed in 1957		6,939

Only that portion ($3,750) of the dividends received by the trust after July 31, 1954, and deemed distributed under section 666 on the last day of that year, is included in computing the dividend received credit of $150. See paragraphs (f) (3) and (g) (2).

(iv) Inasmuch as the tax of $6,939 attributable to the section 666 amounts as determined for the preceding taxable year 1954 is less than the tax of $7,044 attributable to these amounts for the year 1957, the amount of $6,939 shall be added to the tax computed for 1957 without including in gross income the section 666 amounts. Thus, B's tax liability for 1957 is $18,008 ($11,069 plus $6,939).

(3) *Credit against the tax.* B is allowed under section 668 (b) a credit of $5,444 against his 1957 tax liability for the balance of the taxes paid by the trust for 1954 and which may not be refunded or credited to the trust under section 667. See paragraph (g) (3) of this example.

Grantors and Others Treated as Substantial Owners

§ 1.671 *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; income, deductions, and credits attributable to grantors and others as substantial owners.*

SEC. 671. *Trust income, deductions, and credits attributable to grantors and others as substantial owners.* Where it is specified in this subpart that the grantor or another person shall be treated as the owner of any portion of a trust, there shall then be included in computing the taxable income and credits of the grantor or the other person those items of income, deductions, and credits against tax of the trust which are attributable to that portion of the trust to the extent that such items would be taken into account under this chapter in computing taxable income or credits against the tax of an individual. Any remaining portion of the trust shall be subject to subparts A through D. No items of a trust shall be included in computing the taxable income and credits of the grantor or of any other person solely on the grounds of his dominion and control over the trust under section 61 (relating to definition of gross income) or any other provision of this title, except as specified in this subpart.

§ 1.671-1 *Grantors and others treated as substantial owners; scope.* (a) Sections 671-678 (subpart E of subchapter J) contain provisions taxing income of a trust to the grantor or another person under certain circumstances even though he is not treated as a beneficiary under sections 641-668 (subparts A through D). Sections 671 and 672 contain general provisions relating to the entire subpart. Sections 673-677 define the circumstances under which income of a trust is taxed to a grantor. These circumstances are in general as follows:

(1) If the grantor has retained a reversionary interest in the trust, within specified time limits (section 673);

(2) If the grantor or a nonadverse party has certain powers over the beneficial interests under the trust (section 674);

(3) If certain administrative powers over the trust exist under which the grantor can or does benefit (section 675);

(4) If the grantor or a nonadverse party has a power to revoke the trust or return the corpus to the grantor (section 676); or

(5) If the grantor or a nonadverse party has the power to distribute income to or for the benefit of the grantor (section 677).

Under section 678, income of a trust is taxed to a person other than the grantor to the extent that he has the sole power to vest corpus or income in himself.

(b) Sections 671-677 do not apply if the income of a trust is taxable to a grantor's spouse under section 71 or 682 (relating respectively to alimony and separate maintenance payments, and the income of an estate or trust in the case of divorce, etc.).

(c) Except as provided in sections 671-678 (subpart E), income of a trust is not included in computing the taxable income and credits of a grantor or another person solely on the grounds of his dominion and control over the trust. However, the provisions of sections 671-678 do not apply in situations involving an assignment of future income, whether or not the assignment is to a trust. Thus, for example, a person who assigns his right to future income under an employment contract may be taxed on that income even though the assignment is to a trust over which the assignor has retained none of the controls specified in sections 671-677. Similarly, a bondholder who assigns his right to interest may be taxed on interest payments even though the assignment is to an uncontrolled trust. Nor are the rules as to family partnerships affected by the provisions of sections 671-678 even though a partnership interest is held in trust. Likewise, these sections have no application in determining the right of a grantor to deductions for payments to a trust under a transfer and leaseback arrangement. In addition, the limitation of the last sentence of section 671 does not prevent any person from being taxed on the income of a trust when it is used to discharge his legal obligation. See § 1.662 (a)-4. He is then treated as a beneficiary under sections 641-668 (subparts A through D) or treated as an owner under section 677 because the income is distributed for his benefit, and

not because of his dominion or control over the trust.

(d) For the effective date of sections 671–678 (subpart E) see section 683 and the regulations thereunder.

§ 1.671–2 *Applicable principles.* (a) Under section 671 a grantor or another person includes in computing his taxable income and credits those items of income, deduction, and credit against tax which are attributable to or included in any portion of a trust of which he is treated as the owner. Sections 673–678 set forth the rules for determining when the grantor or another person is treated as the owner of any portion of a trust. The rules for determining the items of income, deduction, and credit against tax that are attributable to or included in a portion of the trust are set forth in § 1.671–3.

(b) Since the principle underlying sections 671–678 (subpart E) is in general that income of a trust over which the grantor or another person has retained substantial dominion or control should be taxed to the grantor or other person rather than to the trust which receives the income or to the beneficiary to whom the income may be distributed it is ordinarily immaterial whether the income involved constitutes income or corpus for trust accounting purposes. Accordingly, when it is stated in the regulations under subpart E that "income" is attributed to the grantor or another person, the reference, unless specifically limited, is to income determined for tax purposes and not to income for trust accounting purposes. When it is intended to emphasize that income for trust accounting purposes (determined in accordance with the provisions set forth in § 1.643 (b)–1), is meant, the phrase "ordinary income" is used.

(c) An item of income, deduction, or credit included in computing the taxable income and credits of a grantor or another person under section 671 is treated as if it had been received or paid directly by the grantor or other person (whether or not an individual). For example, a charitable contribution made by a trust which is attributed to the grantor (an individual) under sections 671–677 will be aggregated with his other charitable contributions to determine their deductibility under the limitations of section 170 (b) (1). Likewise, dividends received by a trust from sources in a particular foreign country which are attributed to a grantor or another person under sections 671–678 (subpart E) will be aggregated with his other income from sources within that country to determine whether the taxpayer is subject to the limitations of section 904 with respect to credit for the tax paid to that country.

(d) Items of income, deduction, and credit not attributed to or included in any portion of a trust of which the grantor or another person is treated as the owner under sections 671–678 (subpart E) are subject to the provisions of sections 641–668 (subparts A through D of subchapter J).

(e) The term "grantor" as used in the regulations under subpart E includes a corporation.

§ 1.671–3 *Attribution or inclusion of income, deductions, and credits against tax.* (a) When a grantor or another person is treated under sections 671–678 (subpart E) as the owner of any portion of a trust, there are included in computing his tax liability those items of income, deduction, and credit against tax attributable to or included in that portion. For example—

(1) If a grantor or another person is treated as the owner of an entire trust (corpus as well as ordinary income), he takes into account in computing his income tax liability all items of income, deduction, and credit (including capital gains and losses) to which he would have been entitled had the trust not been in existence during the period he is treated as owner.

(2) If the portion treated as owned consists of specific trust property and its income, all items directly related to that property are attributable to the portion. Items directly related to trust property not included in the portion treated as owned by the grantor or other person are governed by the provisions of sections 641–668 (subparts A through D). Items that relate both to the portion treated as owned by the grantor and to the balance of the trust must be apportioned in a manner that is reasonable in the light of all the circumstances of each case, including the terms of the governing instrument, local law, and the practice of the trustee if it is reasonable and consistent.

(3) If the portion of a trust treated as owned by a grantor or another person consists of an undivided fractional interest in the trust, or of an interest represented by a dollar amount, a pro rata share of each item of income, deduction, and credit is normally allocated to the portion. Thus, where the portion owned consists of an interest in or a right to an amount of corpus only, a fraction of each item (including items allocated to corpus, such as capital gains) is attributed to the portion. The numerator of this fraction is the amount which is subject to the control of the grantor or other person and the denominator is normally the fair market value of the trust corpus at the beginning of the taxable year in question. The share not treated as owned by the grantor or other person is governed by the provisions of sections 641–668 (subparts A through D). See the last three sentences of paragraph (c) of this section for the principles applicable if the portion treated as owned consists of an interest in part of the ordinary income in contrast to an interest in corpus alone.

(b) If a grantor or another person is treated as the owner of a portion of a trust, that portion may or may not include both ordinary income and other income allocable to corpus. For example—

(1) Only ordinary income is included by reason of an interest in or a power over ordinary income alone. Thus, if a grantor is treated under section 673 as an owner by reason of a reversionary interest in ordinary income only, items of income allocable to corpus will not be included in the portion he is treated as owning. Similarly, if a grantor or another person is treated under sections 674–678 as an owner of a portion by reason of a power over ordinary income only, items of income allocable to corpus are not included in that portion. (See paragraph (c) of this section to determine the treatment of deductions and credits when only ordinary income is included in the portion.)

(2) Only income allocable to corpus is included by reason of an interest in or a power over corpus alone, if satisfaction of the interest or an exercise of the power will not result in an interest in or the exercise of a power over ordinary income which would itself cause that income to be included. For example, if a grantor has a reversionary interest in a trust which is not such as to require that he be treated as an owner under section 673, he may nevertheless be treated as an owner under section 677 (a) (2) since any income allocable to corpus is accumulated for future distribution to him, but items of income included in determining ordinary income are not included in the portion he is treated as owning. Similarly, he may have a power over corpus which is such that he is treated as an owner under section 674 or 676 (a), but ordinary income will not be included in the portion he owns, if his power can only affect income received after a period of time such that he would not be treated as an owner of the income if the power were a reversionary interest. (See paragraph (c) of this section to determine the treatment of deductions and credits when only income allocated to corpus is included in the portion.)

(3) Both ordinary income and other income allocable to corpus are included by reason of an interest in or a power over both ordinary income and corpus, or an interest in or a power over corpus alone which does not come within the provisions of subparagraph (2) of this paragraph. For example, if a grantor is treated under section 673 as the owner of a portion of a trust by reason of a reversionary interest in corpus, both ordinary income and other income allocable to corpus are included in the portion. Further, a grantor includes both ordinary income and other income allocable to corpus in the portion he is treated as owning if he is treated under section 674 or 676 as an owner because of a power over corpus which can affect income received within a period such that he would be treated as an owner under section 673 if the power were a reversionary interest. Similarly, a grantor or another person includes both ordinary income and other income allocable to corpus in the portion he is treated as owning if he is treated as an owner under section 675 or 678 because of a power over corpus.

(c) If only income allocable to corpus is included in computing a grantor's tax liability, he will take into account in that computation only those items of income, deduction, and credit which would not be included under sections 641–663 (subparts A through D) in the computation of the tax liability of the current income beneficiaries if all distributable net income had actually been distributed to

those beneficiaries. On the other hand, if the grantor or another person is treated as an owner solely because of his interest in or power over ordinary income alone, he will take into account in computing his tax liability those items which would be included in computing the tax liability of a current income beneficiary, including expenses allocable to corpus which enter into the computation of distributable net income. If the grantor or other person is treated as an owner because of his power over or right to a dollar amount of ordinary income, he will first take into account a portion of those items of income and expense entering into the computation of ordinary income under the trust instrument or local law sufficient to produce income of the dollar amount required. There will then be attributable to him a pro rata portion of other items entering into the computation of distributable net income under sections 641–668 (subparts A through D), such as expenses allocable to corpus, and a pro rata portion of credits of the trust. For examples of computations under this paragraph see § 1.677 (a)–1 (g).

§ 1.671–4 *Method of reporting.* Items of income, deduction, and credit attributable to any portion of a trust which, under the provisions of sections 671–678 (subpart E) are treated as owned by the grantor or another person should not be reported by the trust on Form 1041, but should be shown on a separate statement to be attached to that form.

§ 1.672 (a) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; definition of adverse party.*

SEC. 672. *Definitions and rules*—(a) *Adverse party.* For purposes of this subpart, the term "adverse party" means any person having a substantial beneficial interest in the trust which would be adversely affected by the exercise or nonexercise of the power which he possesses respecting the trust. A person having a general power of appointment over the trust property shall be deemed to have a beneficial interest in the trust.

§ 1.672 (a)–1 *Definition of adverse party.* (a) Under section 672 (a) an adverse party is defined as any person having a substantial beneficial interest in a trust which would be adversely affected by the exercise or nonexercise of a power which he possesses respecting the trust. A trustee is not an adverse party merely because of his interest as trustee. A person having a general power of appointment over the trust property is deemed to have a beneficial interest in the trust. An interest is a substantial interest if its value in relation to the total value of the property subject to the power is not insignificant.

(b) Ordinarily, a beneficiary will be an adverse party, but if his right to share in the income or corpus of a trust is limited to only a part, he may be an adverse party only as to that part. Thus, if A, B, C, and D are equal income beneficiaries of a trust and the grantor can revoke with A's consent, the grantor is treated as the owner of a portion which represents three-fourths of the trust; and items of income, deduction, and credit attributable to that portion are included in determining the tax of the grantor.

(c) The interest of an ordinary income beneficiary of a trust may or may not be adverse with respect to the exercise of a power over corpus. Thus, if the income of a trust is payable to A for life, with a power (which is not a general power of appointment) in A to appoint the corpus to the grantor either during his life or by will, A's interest is adverse to the return of the corpus to the grantor during A's life, but is not adverse to a return of the corpus after A's death. In other words, A's interest is adverse as to ordinary income but is not adverse as to income allocable to corpus. Therefore, assuming no other relevant facts exist, the grantor would not be taxable on the ordinary income of the trust under sections 674, 676, or 677, but would be taxable under section 677 on income allocable to corpus (such as capital gains), since it may in the discretion of a nonadverse party be accumulated for future distribution to the grantor. Similarly, the interest of a contingent income beneficiary is adverse to a return of corpus to the grantor before the termination of his interest but not to a return of corpus after the termination of his interest.

(d) The interest of a remainderman is adverse to the exercise of any power over the corpus of a trust, but not to the exercise of a power over any income interest preceding his remainder. For example, if the grantor creates a trust which provides for income to be distributed to A for 10 years and then for the corpus to go to X if he is then living, a power exercisable by X to revest corpus in the grantor is a power exercisable by an adverse party; however, a power exercisable by X to distribute part or all of the ordinary income to the grantor may be a power exercisable by a nonadverse party (which would cause the ordinary income to be taxed to the grantor).

§ 1.672 (b) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; definition of nonadverse party.*

SEC. 672. *Definitions and rules.* * * *

(b) *Nonadverse party.* For purposes of this subpart, the term "nonadverse party" means any person who is not an adverse party.

§ 1.672 (b)–1 *Nonadverse party.* A "nonadverse party" is any person who is not an adverse party.

§ 1.672 (c) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; definition of related or subordinate party.*

SEC. 672. *Definitions and rules.* * * *

(c) *Related or subordinate party.* For purposes of this subpart, the term "related or subordinate party" means any nonadverse party who is—

(1) The grantor's spouse if living with the grantor;

(2) Any one of the following: The grantor's father, mother, issue, brother or sister; an employee of the grantor; a corporation or any employee of a corporation in which the stock holdings of the grantor and the trust are significant from the viewpoint of voting control; a subordinate employee of a corporation in which the grantor is an executive.

For purposes of sections 674 and 675, a related or subordinate party shall be presumed to be subservient to the grantor in respect of the exercise or nonexercise of the powers conferred on him unless such party is shown not to be subservient by a preponderance of the evidence.

§ 1.672 (c)–1 *Related or subordinate party.* Section 672 (c) defines the term "related or subordinate party". The term, as used in sections 674 (c) and 675 (3), means any nonadverse party who is the grantor's spouse if living with the grantor; the grantor's father, mother, issue, brother or sister; an employee of the grantor; a corporation or any employee of a corporation in which the stock holdings of the grantor and the trust are significant from the viewpoint of voting control; or a subordinate employee of a corporation in which the grantor is an executive. For purposes of sections 674 (c) and 675 (3), these persons are presumed to be subservient to the grantor in respect of the exercise or nonexercise of the powers conferred on them unless shown not to be subservient by a preponderance of the evidence.

§ 1.672 (d) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; rule where power is subject to condition precedent.*

SEC. 672. *Definitions and rules.* * * *

(d) *Rule where power is subject to condition precedent.* A person shall be considered to have a power described in this subpart even though the exercise of the power is subject to a precedent giving of notice or takes effect only on the expiration of a certain period after the exercise of the power.

§ 1.672 (d)–1 *Power subject to condition precedent.* Section 672 (d) provides that a person is considered to have a power described in sections 671–678 even though the exercise of the power is subject to a precedent giving of notice or takes effect only after the expiration of a certain period of time. However, although a person may be considered to have such a power, the grantor will nevertheless not be treated as an owner by reason of the power if its exercise can only affect beneficial enjoyment of income received after the expiration of a period of time such that, if the power were a reversionary interest, he would not be treated as an owner under section 673. See sections 674 (b) (2), 676 (b), and the last sentence of section 677 (a). Thus, for example, if a grantor creates a trust for the benefit of his son and retains a power to revoke which takes effect only after the expiration of 2 years from the date of exercise, he is treated as an owner from the inception of the trust. However, if the grantor retains a power to revoke, exercisable at any time, which can only affect the beneficial enjoyment of the ordinary income of a trust received after the expiration of 10 years commencing with the date of the transfer in trust, or after the death of the income beneficiary, the power does not cause him to be treated as an owner with respect to ordinary income during the first 10 years of the trust or during

the income beneficiary's life, as the case may be. See section 676 (b).

§ 1.673 (a) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; reversionary interests.*

SEC. 673. *Reversionary interests*—(a) *General rule.* The grantor shall be treated as the owner of any portion of a trust in which he has a reversionary interest in either the corpus or the income therefrom if, as of the inception of that portion of the trust, the interest will or may reasonably be expected to take effect in possession or enjoyment within 10 years commencing with the date of the transfer of that portion of the trust.

§ 1.673 (a)–1 *Reversionary interests; income payable to beneficiaries other than certain charitable organizations; general rule.* (a) Under section 673 (a), a grantor, in general, is treated as the owner of any portion of a trust in which he has a reversionary interest in either the corpus or income if, as of the inception of that portion of the trust, the grantor's interest will or may reasonably be expected to take effect in possession or enjoyment within 10 years commencing with the date of transfer of that portion of the trust. However, the following types of reversionary interests are excepted from the general rule of the preceding sentence:

(1) A reversionary interest after the death of the income beneficiary of a trust (see paragraph (b) of this section); and

(2) A reversionary interest in a charitable trust meeting the requirements of section 673 (b) (see § 1.673 (b)–1).

Even though the duration of the trust may be such that the grantor is not treated as its owner under section 673, and therefore is not taxed on the ordinary income, he may nevertheless be treated as an owner under section 677 (a) (2) if he has a reversionary interest in the corpus. In the latter case, items of income, deduction, and credit allocable to corpus, such as capital gains and losses, will be included in the portion he owns. See § 1.671–3 and the regulations under section 677. See § 1.673 (d)–1 with respect to a postponement of the date specified for reacquisition of a reversionary interest.

(b) Section 673 (c) provides that a grantor is not treated as the owner of any portion of a trust by reason of section 673 if his reversionary interest in the portion is not to take effect in possession or enjoyment until the death of the person or persons to whom the income of the portion is payable, regardless of the life expectancies of the income beneficiaries. If his reversionary interest is to take effect on or after the death of an income beneficiary or upon the expiration of a specific term of years, whichever is earlier, the grantor is treated as the owner if the specific term of years is less than 10 years (but not if the term is 10 years or longer).

(c) Where the grantor's reversionary interest in a portion of a trust is to take effect in possession or enjoyment by reason of some event other than the expiration of a specific term of years or the death of the income beneficiary, the grantor is treated as the owner of the portion if the event may reasonably be expected to occur within 10 years from the date of transfer of that portion, but he is not treated as the owner under section 673 if the event may not reasonably be expected to occur within 10 years from that date. For example, if the reversionary interest in any portion of a trust is to take effect on or after the death of the grantor (or any person other than the person to whom the income is payable) the grantor is treated under section 673 as the owner of the portion if the life expectancy of the grantor (or other person) is less than 10 years on the date of transfer of the portion, but not if the life expectancy is 10 years or longer. If the reversionary interest in any portion is to take effect on or after the death of the grantor (or any person other than the person to whom the income is payable) or upon the expiration of a specific term of years, whichever is earlier, the grantor is treated as the owner of the portion if on the date of transfer of the portion either the life expectancy of the grantor (or other person) or the specific term is less than 10 years; however, if both the life expectancy and the specific term are 10 years or longer the grantor grantor, whichever is earlier, the grantor is not treated as the owner of the portion under section 673. Similarly, if the grantor has a reversionary interest in any portion which will take effect at the death of the income beneficiary or the is not treated as an owner of the portion unless his life expectancy is less than 10 years.

(d) It is immaterial that a reversionary interest in corpus or income is subject to a contingency if the reversionary interest may, taking the contingency into consideration, reasonably be expected to take effect in possession or enjoyment within 10 years. For example, the grantor is taxable where the trust income is to be paid to the grantor's son for 3 years, and the corpus is then to be returned to the grantor if he survives that period, or to be paid to the grantor's son if he is already deceased.

(e) See section 671 and §§ 1.671–2 and 1.671–3 for rules for treatment of items of income, deduction, and credit when a person is treated as the owner of all or only a portion of a trust.

§ 1.673 (b) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; charitable beneficiaries.*

SEC. 673. *Reversionary interests.* • • •

(b) *Exception where income is payable to charitable beneficiaries.* Subsection (a) shall not apply to the extent that the income of a portion of a trust in which the grantor has a reversionary interest is, under the terms of the trust, irrevocably payable for a period of at least 2 years (commencing with the date of the transfer) to a designated beneficiary, which beneficiary is of a type described in section 170 (b) (1) (A) (i), (ii), or (iii).

§ 1.673 (b)–1 *Income payable to charitable beneficiaries.* (a) Pursuant to section 673 (b) a grantor is not treated as an owner of any portion of a trust under section 673, even though he has a reversionary interest which will take effect within 10 years, to the extent that, under the terms of the trust, the income of the portion is irrevocably payable for a period of at least 2 years (commencing with the date of the transfer) to a designated beneficiary of the type described in section 170 (b) (1) (A) (i), (ii), or (iii); that is, to a church or a convention or association of churches, or to certain educational organizations or hospitals. For definitions of these terms see the regulations under section 170.

(b) Income must be irrevocably payable to a designated beneficiary for at least 2 years commencing with the date of the transfer before the benefit of section 673 (b) will apply. Thus, section 673 (b) will not apply if income of a trust is irrevocably payable to University A for 1 year and then to University B for the next year; or if income of a trust may be allocated among two or more charitable beneficiaries in the discretion of the trustee or any other person. On the other hand, section 673 (b) will apply if half the income of a trust is irrevocably payable to University A and the other half is irrevocably payable to University B for two years.

(c) Section 673 (b) applies to the period of 2 years or longer during which income is paid to a designated beneficiary of the type described in section 170 (b) (1) (A) (i), (ii), or (iii), even though the trust term is to extend beyond that period. However, the other provisions of section 673 apply to the part of the trust term, if any, that extends beyond that period. This paragraph may be illustrated by the following example:

Example. G transfers property in trust with the ordinary income payable to University C (which qualifies under section 170 (b) (1) (A) (ii) for 3 years, and then to his son, B, for 5 years. At the expiration of the term the trust reverts to G. G is not taxed under section 673 on the trust income payable to University C for the first 3 years because of the application of section 673 (b). However, he is taxed on income for the next 5 years because he has a reversionary interest which will take effect within 10 years commencing with the date of the transfer. On the other hand, if the income were payable to University C for 3 years and then to B for 7 years so that the trust corpus would not be returned to G within 10 years, G would not be taxable under section 673 on income payable to University C and to B during any part of the term.

§ 1.673 (c) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; reversionary interest taking effect at death of income beneficiary.*

SEC. 673. *Reversionary interests.* • • •

(c) *Reversionary interest taking effect at death of income beneficiary.* The grantor shall not be treated under subsection (a) as the owner of any portion of a trust where his reversionary interest in such portion is not to take effect in possession or enjoyment until the death of the person or persons to whom the income therefrom is payable.

§ 1.673 (c)–1 *Reversionary interest after income beneficiary's death.* The subject matter of section 673 (c) is covered in § 1.673 (a)–1 (b).

§ 1.673 (d) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; postponement of date specified for reacquisition.*

SEC. 673. *Reversionary interests.* • • •

(d) *Postponement of date specified for reacquisition.* Any postponement of the date

specified for the reacquisition of possession or enjoyment of the reversionary interest shall be treated as a new transfer in trust commencing with the date on which the postponement is effected and terminating with the date prescribed by the postponement. However, income for any period shall not be included in the income of the grantor by reason of the preceding sentence if such income would not be so includible in the absence of such postponement.

§ 1.673 (d)–1 *Postponement of date specified for reacquisition.* Any postponement of the date specified for the reacquisition of possession or enjoyment of any reversionary interest is considered a new transfer in trust commencing with the date on which the postponement is effected and terminating with the date prescribed by the postponement. However, the grantor will not be treated as the owner of any portion of a trust for any taxable year by reason of the foregoing sentence if he would not be so treated in the absence of any postponement. The rules contained in this section may be illustrated by the folowing example:

Example. G places property in trust for the benefit of his son B. Upon the expiration of 12 years or the earlier death of B the property is to be paid over to G or his estate. After the expiration of 9 years G extends the term of the trust for an additional 2 years. G is considered to have made a new transfer in trust for a term of 5 years (the remaining 3 years of the original transfer plus the 2-year extension). However, he is not treated as the owner of the trust under section 673 for the first 3 years of the new term because he would not be so treated if the term of the trust had not been extended. G is treated as the owner of the trust, however, for the remaining 2 years.

§ 1.674 (a) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to control beneficial enjoyment.*

Sec. 674. *Power to control beneficial enjoyment*—(a) *General rule.* The grantor shall be treated as the owner of any portion of a trust in respect of which the beneficial enjoyment of the corpus or the income therefrom is subject to a power of disposition, exercisable by the grantor or a nonadverse party, or both, without the approval or consent of any adverse party.

§ 1.674 (a)–1 *Power to control beneficial enjoyment; scope of section 674.* (a) Under section 674, the grantor is treated as the owner of a portion of trust if the grantor or a nonadverse party has a power, beyond specified limits, to dispose of the beneficial enjoyment of the income or corpus, whether the power is a fiduciary power, a power of appointment, or any other power. Section 674 (a) states in general terms that the grantor is treated as the owner in every case in which he or a nonadverse party can affect the beneficial enjoyment of a portion of a trust, the limitations being set forth as exceptions in subsections (b), (c), and (d) of section 674. These exceptions are discussed in detail in §§ 1.674 (b)–1 through 1.674 (d)–1. Certain limitations applicable to sections 674 (b), (c), and (d) are set forth in § 1.674 (d)–2. Section 674 (b) describes powers which are excepted regardless of who holds them. Section 674 (c) describes additional powers of trustees which are excepted if at least half the trustees are independent, and if the grantor is not a trustee. Section 674 (d) describes a further power which is excepted if it is held by trustees other than the grantor or his spouse (if living with the grantor).

(b) In general terms the grantor is treated as the owner of a portion of a trust if he or a nonadverse party or both has a power to dispose of the beneficial enjoyment of the corpus or income unless the power is one of the following:

(1) *Miscellaneous powers over either ordinary income or corpus.* (i) A power that can only affect the beneficial enjoyment of income (including capital gains) received after a period of time such that the grantor would not be treated as an owner under section 673 if the power were a reversionary interest (section 674 (b) (2));

(ii) A testamentary power held by anyone (other than a testamentary power held by the grantor over accumulated income) (section 674 (b) (3));

(iii) A power to choose between charitable beneficiaries or to affect the manner of their enjoyment of a beneficial interest (section 674 (b) (4));

(iv) A power to allocate receipts and disbursements between income and corpus (section 674 (b) (8)).

(2) *Powers of distribution primarily affecting only one beneficiary.* (i) *A power to distribute corpus* to or for a current income beneficiary, if the distribution must be charged against the share of corpus from which the beneficiary may receive income (section 674 (b) (5) (B));

(ii) *A power to distribute income* to or for a current income beneficiary or to accumulate it either (*a*) if accumulated income must either be payable to the beneficiary from whom it was withheld or as described in § 1.674 (b)–1 (b) (6) (section 674 (b) (6)); (*b*) if the power is to apply income to the support of a dependent of the grantor, and the income is not so applied (section 674 (b) (1)); or (*c*) if the beneficiary is under 21 or under a legal disability and accumulated income is added to corpus (section 674 (b) (7)).

(3) *Powers of distribution affecting more than one beneficiary.* A power to distribute corpus or income to or among one or more beneficiaries or to accumulate income, either (i) if the power is held by a trustee or trustees other than the grantor, at least half of whom are independent (section 674 (c)), or (ii) if the power is limited by a reasonably definite standard in the trust instrument, and in the case of a power over income, if in addition the power is held by a trustee or trustees other than the grantor and the grantor's spouse living with the grantor (sections 674 (b) (5) (A) and 674 (d)). (These powers include both powers to "sprinkle" income or corpus among current beneficiaries, and powers to shift income or corpus between current beneficiaries and remaindermen; however, certain of the powers described under subparagraph (2) of this paragraph can have the latter effect incidentally.)

(c) See section 671 and §§ 1.671–2 and 1.671–3 for rules for the treatment of income, deductions, and credits when a person is treated as the owner of all or only a portion of a trust.

§ 1.674 (b) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; exceptions for certain powers to control beneficial enjoyment.*

Sec. 674. *Power to control beneficial enjoyment.* * * *

(b) *Exceptions for certain powers.* Subsection (a) shall not apply to the following powers regardless of by whom held:

(1) *Power to apply income to support of a dependent.* A power described in section 677 (b) to the extent that the grantor would not be subject to tax under that section.

(2) *Power affecting beneficial enjoyment only after expiration of 10-year period.* A power, the exercise of which can only affect the beneficial enjoyment of the income for a period commencing after the expiration of a period such that a grantor would not be treated as the owner under section 673 if the power were a reversionary interest; but the grantor may be treated as the owner after the expiration of the period unless the power is relinquished.

(3) *Power exercisable only by will.* A power exercisable only by will, other than a power in the grantor to appoint by will the income of the trust where the income is accumulated for such disposition by the grantor or may be so accumulated in the discretion of the grantor or a nonadverse party, or both, without the approval or consent of any adverse party.

(4) *Power to allocate among charitable beneficiaries.* A power to determine the beneficial enjoyment of the corpus or the income therefrom if the corpus or income is irrevocably payable for a purpose specified in section 170 (c) (relating to definition of charitable contributions).

(5) *Power to distribute corpus.* A power to distribute corpus either—

(A) To or for a beneficiary or beneficiaries or to or for a class of beneficiaries (whether or not income beneficiaries) provided that the power is limited by a reasonably definite standard which is set forth in the trust instrument; or

(B) To or for any current income beneficiary, provided that the distribution of corpus must be chargeable against the proportionate share of corpus held in trust for the payment of income to the beneficiary as if the corpus constituted a separate trust.

A power does not fall within the powers described in this paragraph if any person has a power to add to the beneficiary or beneficiaries or to a class of beneficiaries designated to receive the income or corpus, except where such action is to provide for after-born or after-adopted children.

(6) *Power to withhold income temporarily.* A power to distribute or apply income to or for any current income beneficiary or to accumulate the income for him, provided that any accumulated income must ultimately be payable—

(A) To the beneficiary from whom distribution or application is withheld, to his estate, or to his appointees (or persons named as alternate takers in default of appointment) provided that such beneficiary possesses a power of appointment which does not exclude from the class of possible appointees any person other than the beneficiary, his estate, his creditors, or the creditors of his estate, or

(B) On termination of the trust, or in conjunction with a distribution of corpus which is augmented by such accumulated income, to the current income beneficiaries in shares which have been irrevocably specified in the trust instrument.

Accumulated income shall be considered so payable although it is provided that if any beneficiary does not survive a date of distribution which could reasonably have been expected to occur within the beneficiary's lifetime, the share of the deceased beneficiary is to be paid to his appointees or to one or more designated alternate takers (other than the grantor or the grantor's estate) whose shares have been irrevocably specified. A power does not fall within the powers described in this paragraph if any person has a power to add to the beneficiary or beneficiaries or to a class of beneficiaries designated to receive the income or corpus except where such action is to provide for after-born or after-adopted children.

(7) *Power to withhold income during disability of a beneficiary.* A power exercisable only during—

(A) The existence of a legal disability of any current income beneficiary, or

(B) The period during which any income beneficiary shall be under the age of 21 years,

to distribute or apply income to or for such beneficiary or to accumulate and add the income to corpus. A power does not fall within the powers described in this paragraph if any person has a power to add to the beneficiary or beneficiaries or to a class of beneficiaries designated to receive the income or corpus, except where such action is to provide for after-born or after-adopted children.

(8) *Power to allocate between corpus and income.* A power to allocate receipts and disbursements as between corpus and income, even though expressed in broad language.

§ 1.674 (b)–1 *Excepted powers exercisable by any person.* (a) Subparagraphs (1) through (8) of paragraph (b) of this section set forth a number of powers which may be exercisable by any person without causing the grantor to be treated as an owner of a trust under section 674 (a). Further, with the exception of powers described in subparagraph (1) of paragraph (b) of this section, it is immaterial whether these powers are held in the capacity of trustee. It makes no difference under section 674 (b) that the person holding the power is the grantor, or a related or subordinate party (with the qualifications noted in subparagraphs (1) and (3) of paragraph (b) of this section).

(b) The exceptions referred to in paragraph (a) of this section are as follows (see, however, the limitations set forth in § 1.674 (d)–2):

(1) *Powers to apply income to support of a dependent.* Section 674 (b) (1) provides, in effect, that regardless of the general rule of section 674 (a), the income of a trust will not be considered as taxable to the grantor merely because in the discretion of any person (other than a grantor who is not acting as a trustee or cotrustee) it may be used for the support of a beneficiary whom the grantor is legally obligated to support, except to the extent that it is in fact used for that purpose. See section 677 (b) and the regulations thereunder.

(2) *Powers affecting beneficial enjoyment only after a period.* Section 674 (b) (2) provides an exception to section 674 (a) if the exercise of a power can only affect the beneficial enjoyment of the income of a trust received after a period of time which is such that a grantor would not be treated as an owner under section 673 if the power were a reversionary interest. See §§ 1.673 (a)–1 and 1.673 (b)–1. For example, if a trust created on January 1, 1955, provides for the payment of income to the grantor's son, and the grantor reserves the power to substitute other beneficiaries of income or corpus in lieu of his son on or after January 1, 1965, the grantor is not treated under section 674 as the owner of the trust with respect to ordinary income received before January 1, 1965. But the grantor will be treated as an owner on and after that date unless the power is relinquished. If the beginning of the period during which the grantor may substitute beneficiaries is postponed, the rules set forth in § 1.673 (d)–1 are applicable in order to determine whether the grantor should be treated as an owner during the period following the postponement.

(3) *Testamentary powers.* Under paragraph (3) of section 674 (b) a power in any person to control beneficial enjoyment exercisable only by will does not cause a grantor to be treated as an owner under section 674 (a). However, this exception does not apply to income accumulated for testamentary disposition by the grantor or to income which may be accumulated for such distribution in the discretion of the grantor or a nonadverse party, or both, without the approval or consent of any adverse party. For example, if a trust instrument provides that the income is to be accumulated during the grantor's life and that the grantor may appoint the accumulated income by will, the grantor is treated as the owner of the trust. Moreover, if a trust instrument provides that the income is payable to another person for his life, but the grantor has a testamentary power of appointment over the remainder, and under the trust instrument and local law capital gains are added to corpus, the grantor is treated as the owner of a portion of the trust and capital gains and losses are included in that portion. (See § 1.671–3.)

(4) *Powers to determine beneficial enjoyment of charitable beneficiaries.* Under paragraph (4) of section 674 (b) a power in any person to determine the beneficial enjoyment of corpus or income which is irrevocably payable (currently or in the future) for purposes specified in section 170 (c) (relating to definition of charitable contributions) will not cause the grantor to be treated as an owner under section 674 (a). For example, if a grantor creates a trust, the income of which is irrevocably payable solely to educational or other organizations that qualify under section 170 (c), he is not treated as an owner under section 674 although he retains the power to allocate the income among such organizations.

(5) *Powers to distribute corpus.* Paragraph (5) of section 674 (b) provides an exception to section 674 (a) for powers to distribute corpus, subject to certain limitations, as follows:

(i) If the power is limited by a reasonably definite standard which is set forth in the trust instrument, it may extend to corpus distributions to any beneficiary or beneficiaries or class of beneficiaries (whether income beneficiaries or remaindermen) without causing the grantor to be treated as an owner under section 674. See section 674 (b) (5) (A). It is not required that the standard consist of the needs and circumstances of the beneficiary. A clearly measurable standard under which the holder of a power is legally accountable is deemed a reasonably definite standard for this purpose. For instance, a power to distribute corpus for the education, support, maintenance, or health of the beneficiary; for his reasonable support and comfort; or to enable him to maintain his accustomed standard of living; or to meet an emergency, would be limited by a reasonably definite standard. However, a power to distribute corpus for the pleasure, desire, or happiness of a beneficiary is not limited by a reasonably definite standard. The entire context of a provision of a trust instrument granting a power must be considered in determining whether the power is limited by a reasonably definite standard. For example, if a trust instrument provides that the determination of the trustee shall be conclusive with respect to the exercise or nonexercise of a power, the power is not limited by a reasonably definite standard. However, the fact that the governing instrument is phrased in discretionary terms is not in itself an indication that no reasonably definite standard exists.

(ii) If the power is not limited by a reasonably definite standard set forth in the trust instrument, the exception applies only if distributions of corpus may be made solely in favor of current income beneficiaries, and any corpus distribution to the current income beneficiary must be chargeable against the proportionate part of corpus held in trust for payment of income to that beneficiary as if it constituted a separate trust (whether or not physically segregated). See section 674 (b) (5) (B).

(iii) This subparagraph may be illustrated by the following examples:

Example (1). A trust instrument provides for payment of the income to the grantor's two brothers for life, and for payment of the corpus to the grantor's nephews in equal shares. The grantor reserves the power to distribute corpus to pay medical expenses that may be incurred by his brothers or nephews. The grantor is not treated as an owner by reason of this power because section 674 (b) (5) (A) excepts a power, exercisable by any person, to invade corpus for any beneficiary, including a remainderman, if the power is limited by a reasonably definite standard which is set forth in the trust instrument. However, if the power were also exercisable in favor of a person (for example, a sister) who was not otherwise a beneficiary of the trust, section 674 (b) (5) (A) would not be applicable.

Example (2). The facts are the same as in example (1) except that the grantor reserves the power to distribute any part of the corpus to his brothers or to his nephews for their happiness. The grantor is treated as the owner of the trust. Paragraph (5) (A) of section 674 (b) is inapplicable because the power is not limited by a reasonably definite standard. Paragraph (5) (B) is inapplicable because the power to distribute corpus permits a distribution of corpus to persons other than current income beneficiaries.

Example (3). A trust instrument provides for payment of the income to the grantor's two adult sons in equal shares for 10 years, after which the corpus is to be distributed to

his grandchildren in equal shares. The grantor reserves the power to pay over to each son up to one-half of the corpus during the 10-year period, but any such payment shall proportionately reduce subsequent income and corpus payments made to the son receiving the corpus. Thus, if one-half of the corpus is paid to one son, all the income from the remaining half is thereafter payable to the other son. The grantor is not treated as an owner under section 674 (a) by reason of this power because it qualifies under the exception of section 674 (b) (5) (B).

(6) *Powers to withhold income temporarily.* (i) Section 674 (b) (6) excepts a power which, in general, enables the holder merely to effect a postponement in the time when the ordinary income is enjoyed by a current income beneficiary. Specifically, there is excepted a power to distribute or apply ordinary income to or for a current income beneficiary or to accumulate the income, if the accumulated income must ultimately be payable either—

(*a*) To the beneficiary from whom it was withheld, his estate, or his appointees (or persons designated by name, as a class, or otherwise as alternate takers in default of appointment) under a power of appointment held by the beneficiary which does not exclude from the class of possible appointees any person other than the beneficiary, his estate, his creditors, or the creditors of his estate (section 674 (b) (6) (A));

(*b*) To the beneficiary from whom it was withheld, or if he does not survive a date of distribution which could reasonably be expected to occur within his lifetime, to his appointees (or alternate takers in default of appointment) under any power of appointment, general or special, or if he has no power of appointment to one or more designated alternate takers (other than the grantor or the grantor's estate) whose shares have been irrevocably specified in the trust instrument (section 674 (b) (6) (A) and the flush material following); or

(*c*) On termination of the trust, or in conjunction with a distribution of corpus which is augmented by the accumulated income, to the current income beneficiaries in shares which have been irrevocably specified in the trust instrument, or if any beneficiary does not survive a date of distribution which would reasonably be expected to occur within his lifetime, to his appointees (or alternate takers in default of appointment) under any power of appointment, general or special, or if he has no power of appointment to one or more designated alternate takers (other than the grantor or the grantor's estate) whose shares have been irrevocably specified in the trust instrument (section 674 (b) (6) (B) and the flush material following).

(In the application of (*a*) above of this subdivision, if the accumulated income of a trust is ultimately payable to the estate of the current income beneficiary, or is ultimately payable to his appointees, or takers in default of appointment, under a power of the type described in (*a*) of this subdivision, it need not be payable to the beneficiary from whom it was withheld under any circumstances. Furthermore, if a trust otherwise qualifies for the exception in (*a*) of this subdivision the trust income will not be considered to be taxable to the grantor under section 677 by reason of the existence of the power of appointment referred to in (*a*) of this subdivision.) In general, the exception in section 674 (b) (6) is not applicable if the power is in substance one to shift ordinary income from one beneficiary to another. Thus, a power will not qualify for this exception if ordinary income may be distributed to beneficiary A, or may be added to corpus which is ultimately payable to beneficiary B, a remainderman who is not a current income beneficiary. However, section 674 (b) (6) (B), and (*c*) of this subdivision, permit a limited power to shift ordinary income among current income beneficiaries, as illustrated in example (1) below of this subparagraph.

(ii) The application of section 674 (b) (6) may be illustrated by the following examples:

Example (1). A trust instrument provides that the income shall be paid in equal shares to the grantor's two adult daughters but the grantor reserves the power to withhold from either beneficiary any part of that beneficiary's share of income and to add it to the corpus of the trust until the younger daughter reaches the age of 30 years. When the younger daughter reaches the age of 30, the trust is to terminate and the corpus is to be divided equally between the two daughters or their estates. Although exercise of this power may permit the shifting of accumulated income from one beneficiary to the other (since the corpus with the accumulations is to be divided equally) the power is excepted under section 674 (b) (6) (B) and subdivision (i) (*c*) above of this subparagraph.

Example (2). The facts are the same as in example (1), except that the grantor of the trust reserves the power to distribute accumulated income to the beneficiaries in such shares as he chooses. The combined powers are not excepted by section 674 (b) (6) (B) since income accumulated pursuant to the first power is neither required to be payable only in conjunction with a corpus distribution nor required to be payable in shares specified in the trust instrument. See, however, section 674 (c) and § 1.674 (c)-1 for the effect of such a power if it is exercisable only by independent trustees.

Example (3). A trust provides for payment of income to the grantor's adult son with the grantor retaining the power to accumulate the income until the grantor's death, when all accumulations are to be paid to the son. If the son predeceases the grantor, all accumulations are, at the death of the grantor, to be paid to his daughter, or if she is not living, to alternate takers (which do not include the grantor's estate) in specified shares. The power is excepted under section 674 (b) (6) (A) since the date of distribution (the date of the grantor's death) may, in the usual case, reasonably be expected to occur during the beneficiary's (the son's) lifetime. It is not necessary that the accumulations be payable to the son's estate or his appointees if he should predecease the grantor for this exception to apply.

(7) *Power to withhold income during disability.* Section 674 (b) (7) provides an exception for a power which, in general, will permit ordinary income to be withheld during the legal disability of an income beneficiary or while he is under 21. Specifically, there is excepted a power, exercisable only during the existence of a legal disability of any current income beneficiary or the period during which any income beneficiary is under the age of 21 years, to distribute or apply ordinary income to or for that beneficiary or to accumulate the income and add it to corpus. To qualify under this exception it is not necessary that the income ultimately be payable to the income beneficiary from whom it was withheld, his estate, or his appointees; that is, the accumulated income may be added to corpus and ultimately distributed to others. For example, the grantor is not treated as an owner under section 674 if the income of a trust is payable to his son for life, remainder to his grandchildren, although he reserves the power to accumulate income and add it to corpus while his son is under 21.

(8) *Powers to allocate between corpus and income.* Paragraph (8) of section 674 (b) provides that a power to allocate receipts and disbursements between corpus and income, even though expressed in broad language, will not cause the grantor to be treated as an owner under the general rule of section 674 (a).

§ 1.674 (c) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; exception for certain powers of independent trustees.*

SEC. 674. *Power to control beneficial enjoyment.* * * *

(c) *Exception for certain powers of independent trustees.* Subsection (a) shall not apply to a power solely exercisable (without the approval or consent of any other person) by a trustee or trustees, none of whom is the grantor, and no more than half of whom are related or subordinate parties who are subservient to the wishes of the grantor—

(1) To distribute, apportion, or accumulate income to or for a beneficiary or beneficiaries, or to, for, or within a class of beneficiaries; or

(2) To pay out corpus to or for a beneficiary or beneficiaries or to or for a class of beneficiaries (whether or not income beneficiaries).

A power does not fall within the powers described in this subsection if any person has a power to add to the beneficiary or beneficiaries or to a class of beneficiaries designated to receive the income or corpus, except where such action is to provide for after-born or after-adopted children.

§ 1.674 (c)-1 *Excepted powers exercisable only by independent trustees.* Section 674 (c) provides an exception to the general rule of section 674 (a) for certain powers that are exercisable by independent trustees. This exception is in addition to those provided for under section 674 (b) which may be held by any person including an independent trustee. The powers to which section 674 (c) apply are powers (a) to distribute, apportion, or accumulate income to or for a beneficiary or beneficiaries, or to, for, or within a class of beneficiaries, or (b) to pay out corpus to or for a beneficiary or beneficiaries or to or for a class of beneficiaries (whether or not income beneficiaries). In order for such a power to fall within the exception of section 674 (c) it must be exercisable solely (without the approval or consent of any other person) by a trustee or trustees none of whom is the grantor and no more

than half of whom are related or subordinate parties who are subservient to the wishes of the grantor. (See section 672 (c) for definitions of these terms.) An example of the application of section 674 (c) is a trust whose income is payable to the grantor's three adult sons with power in an independent trustee to allocate without restriction the amounts of income to be paid to each son each year. Such a power does not cause the grantor to be treated as the owner of the trust. See, however, the limitations set forth in § 1.674 (d)–2.

§ 1.674 (d) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to allocate income if limited by a standard.*

SEC. 674. *Power to control beneficial enjoyment.* * * *

(d) *Power to allocate income if limited by a standard.* Subsection (a) shall not apply to a power solely exercisable (without the approval or consent of any other person) by a trustee or trustees, none of whom is the grantor or spouse living with the grantor, to distribute, apportion, or accumulate income to or for a beneficiary or beneficiaries, or to, for, or within a class of beneficiaries, whether or not the conditions of paragraph (6) or (7) of subsection (b) are satisfied, if such power is limited by a reasonably definite external standard which is set forth in the trust instrument. A power does not fall within the powers described in this subsection if any person has a power to add to the beneficiary or beneficiaries or to a class of beneficiaries designated to receive the income or corpus except where such action is to provide for after-born or after-adopted children.

§ 1.674 (d)–1 *Excepted powers exercisable by any trustees other than grantor or spouse.* Section 674 (d) provides an additional exception to the general rule of section 674 (a) for a power to distribute, apportion, or accumulate income to or for a beneficiary or beneficiaries or to, for, or within a class of beneficiaries, whether or not the conditions of section 674 (b) (6) or (7) are satisfied, if the power is solely exercisable (without the approval or consent of any other person) by a trustee or trustees none of whom is the grantor or spouse living with the grantor, and if the power is limited by a reasonably definite external standard set forth in the trust instrument (see § 1.674 (b)–1 (b) (5) with respect to what constitutes a reasonably definite standard). See, however, the limitations set forth in § 1.674 (d)–2.

§ 1.674 (d)–2 *Limitations on exceptions in section 674 (b), (c), and (d)—*(a) *Power to remove trustee.* A power in the grantor to remove, substitute, or add trustees (other than a power exercisable only upon limited conditions which do not exist during the taxable year, such as the death or resignation of, or breach of fiduciary duty by, an existing trustee) may prevent a trust from qualifying under section 674 (c) or (d). For example, if a grantor has an unrestricted power to remove an independent trustee and substitute any person including himself as trustee, the trust will not qualify under section 674 (c) or (d). On the other hand if the grantor's power to remove, substitute, or add trustees is limited so that its exercise could not alter the trust in a manner that would disqualify it under section 674 (c) or (d), as the case may be, the power itself does not disqualify the trust. Thus, for example, a power in the grantor to remove or discharge an independent trustee on the condition that he substitute another independent trustee will not prevent a trust from qualifying under section 674 (c).

(b) *Power to add beneficiaries.* The exceptions described in sections 674 (b) (5), (6), and (7), and 674 (c) and (d) are not applicable if any person has a power to add to the beneficiary or beneficiaries or to a class of beneficiaries designated to receive the income or corpus, except where the action is to provide for after-born or after-adopted children. This limitation does not apply to a power held by a beneficiary to substitute other beneficiaries to succeed to his interest in the trust (so that he would be an adverse party as to the exercise or nonexercise of that power). For example, the limitation does not apply to a power in a beneficiary of a nonspendthrift trust to assign his interest. Nor does the limitation apply to a power held by any person which would qualify as an exception under section 674 (b) (3) (relating to testamentary powers).

§ 1.675 *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; administrative powers.*

SEC. 675. *Administrative powers.* The grantor shall be treated as the owner of any portion of a trust in respect of which—

(1) *Power to deal for less than adequate and full consideration.* A power exercisable by the grantor or a nonadverse party, or both, without the approval or consent of any adverse party enables the grantor or any person to purchase, exchange, or otherwise deal with or dispose of the corpus or the income therefrom for less than an adequate consideration in money or money's worth.

(2) *Power to borrow without adequate interest or security.* A power exercisable by the grantor or a nonadverse party, or both, enables the grantor to borrow the corpus or income, directly or indirectly, without adequate interest or without adequate security except where a trustee (other than the grantor) is authorized under a general lending power to make loans to any person without regard to interest or security.

(3) *Borrowing of the trust funds.* The grantor has directly or indirectly borrowed the corpus or income and has not completely repaid the loan, including any interest, before the beginning of the taxable year. The preceding sentence shall not apply to a loan which provides for adequate interest and adequate security, if such loan is made by a trustee other than the grantor and other than a related or subordinate trustee subservient to the grantor.

(4) *General powers of administration.* A power of administration is exercisable in a nonfiduciary capacity by any person without the approval or consent of any person in a fiduciary capacity. For purposes of this paragraph, the term "power of administration" means any one or more of the following powers: (A) a power to vote or direct the voting of stock or other securities of a corporation in which the holdings of the grantor and the trust are significant from the viewpoint of voting control; (B) a power to control the investment of the trust funds either by directing investments or reinvestments, or by vetoing proposed investments or reinvestments, to the extent that the trust funds consist of stocks or securities of corporations in which the holdings of the grantor and the trust are significant from the viewpoint of voting control; or (C) a power to reacquire the trust corpus by substituting other property of an equivalent value.

§ 1.675–1 *Administrative powers—*(a) *General rule.* Section 675 provides in effect that the grantor is treated as the owner of any portion of a trust if under the terms of the trust instrument or circumstances attendant on its operation administrative control is exercisable primarily for the benefit of the grantor rather than the beneficiaries of the trust. If a grantor retains a power to amend the administrative provisions of a trust instrument which is broad enough to permit an amendment causing the grantor to be treated as the owner of a portion of the trust under section 675, he will be treated as the owner of the portion from its inception. See section 671 and §§ 1.671–2 and 1.671–3 for rules for treatment of items of income, deduction, and credit when a person is treated as the owner of all or only a portion of a trust.

(b) *Prohibited controls.* The circumstances which cause administrative controls to be considered exercisable primarily for the benefit of the grantor are specifically described in paragraphs (1) through (4) of section 675 as follows:

(1) The existence of a power, exercisable by the grantor or a nonadverse party, or both, without the approval or consent of any adverse party, which enables the grantor or any other person to purchase, exchange, or otherwise deal with or dispose of the corpus or the income of the trust for less than adequate consideration in money or money's worth. Whether the existence of the power itself will constitute the holder an adverse party will depend on the particular circumstances.

(2) The existence of a power exercisable by the grantor or a nonadverse party, or both, which enables the grantor to borrow the corpus or income of the trust, directly or indirectly, without adequate interest or adequate security. However, this paragraph does not apply where a trustee (other than the grantor acting alone) is authorized under a general lending power to make loans to any person without regard to interest or security. A general lending power in the grantor, acting alone as trustee, under which he has power to determine interest rates and the adequacy of security is not in itself an indication that the grantor has power to borrow the corpus or income without adequate interest or security.

(3) The circumstance that the grantor has directly or indirectly borrowed the corpus or income of the trust and has not completely repaid the loan, including any interest, before the beginning of the taxable year. The preceding sentence does not apply to a loan which provides for adequate interest and adequate security, if it is made by a trustee other than the grantor or a related or subordinate trustee subservient to the grantor. See section 672 (c) for definition of "a related or subordinate party".

(4) The existence of certain powers of administration exercisable in a nonfiduciary capacity by any nonadverse party without the approval or consent of any person in a fiduciary capacity. The term "powers of administration" means one or more of the following powers:

(i) A power to vote or direct the voting of stock or other securities of a corporation in which the holdings of the grantor and the trust are significant from the viewpoint of voting control;

(ii) A power to control the investment of the trust funds either by directing investments or reinvestments, or by vetoing proposed investments or reinvestments, to the extent that the trust funds consist of stocks or securities of corporations in which the holdings of the grantor and the trust are significant from the viewpoint of voting control; or

(iii) A power to reacquire the trust corpus by substituting other property of an equivalent value.

If a power is exercisable by a person as trustee, it is presumed that the power is exercisable in a fiduciary capacity primarily in the interests of the beneficiaries. This presumption may be rebutted only by clear and convincing proof that the power is not exercisable primarily in the interests of the beneficiaries. If a power is not exercisable by a person as trustee, the determination of whether the power is exercisable in a fiduciary or a nonfiduciary capacity depends on all the terms of the trust and the circumstances surrounding its creation and administration.

(c) *Authority of trustee.* The mere fact that a power exercisable by a trustee is described in broad language does not indicate that the trustee is authorized to purchase, exchange, or otherwise deal with or dispose of the trust property or income for less than an adequate and full consideration in money or money's worth, or is authorized to lend the trust property or income to the grantor without adequate interest. On the other hand, such authority may be indicated by the actual administration of the trust.

§ 1.676 (a) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to revoke; general rule.*

SEC. 676. *Power to revoke*—(a) *General rule.* The grantor shall be treated as the owner of any portion of a trust, whether or not he is treated as such owner under any other provision of this part, where at any time the power to revest in the grantor title to such portion is exercisable by the grantor or a non-adverse party, or both.

§ 1.676 (a)–1 *Power to revest title to portion of trust property in grantor; general rule.* If a power to revest in the grantor title to any portion of a trust is exercisable by the grantor or a nonadverse party, or both, without the approval or consent of an adverse party, the grantor is treated as the owner of that portion, except as provided in section 676 (b) (relating to powers affecting beneficial enjoyment of income only after the expiration of certain periods of time). If the title to a portion of the trust will revest in the grantor upon the exercise of a power by the grantor or a nonadverse party, or both, the grantor is treated as the owner of that portion regardless of whether the power is a power to revoke, to terminate, to alter or amend, or to appoint. See section 671 and §§ 1.671–2 and 1.671–3 for rules for treatment of items of income, deduction, and credit when a person is treated as the owner of all or only a portion of a trust.

§ 1.676 (b) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; power to revoke exercisable only after a period of time.*

SEC. 676. *Power to revoke.* * * *

(b) *Power affecting beneficial enjoyment only after expiration of 10-year period.* Subsection (a) shall not apply to a power the exercise of which can only affect the beneficial enjoyment of the income for a period commencing after the expiration of a period such that a grantor would not be treated as the owner under section 673 if the power were a reversionary interest. But the grantor may be treated as the owner after the expiration of such period unless the power is relinquished.

§ 1.676 (b)–1 *Powers exercisable only after a period of time.* Section 676 (b) provides an exception to the general rule of section 676 (a) when the exercise of a power can only affect the beneficial enjoyment of the income of a trust received after the expiration of a period of time which is such that a grantor would not be treated as an owner under section 673 if the power were a reversionary interest. See §§ 1.673 (a)–1 and 1.673 (b)–1. Thus, for example, a grantor is excepted from the general rule of section 676 (a) with respect to ordinary income if exercise of a power to revest corpus in him cannot affect the beneficial enjoyment of the income received within 10 years after the date of transfer of that portion of the trust. It is immaterial for this purpose that the power is vested at the time of the transfer. However, the grantor is subject to the general rule of section 676 (a) after the expiration of the period unless the power is relinquished. Thus, in the above example, the grantor may be treated as the owner and be taxed on all income in the eleventh and succeeding years if exercise of the power can affect beneficial enjoyment of income received in those years. If the beginning of the period during which the grantor may revest is postponed, the rules set forth in § 1.673 (d)–1 are applicable to determine whether the grantor should be treated as an owner during the period following the postponement.

§ 1.677 (a) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; income for benefit of grantor; general rule.*

SEC. 677. *Income for benefit of grantor*—(a) *General rule.* The grantor shall be treated as the owner of any portion of a trust, whether or not he is treated as such owner under section 674, whose income without the approval or consent of any adverse party is, or, in the discretion of the grantor or a nonadverse party, or both, may be—

(1) Distributed to the grantor;

(2) Held or accumulated for future distribution to the grantor; or

(3) Applied to the payment of premiums on policies of insurance on the life of the grantor (except policies of insurance irrevocably payable for a purpose specified in section 170 (c) (relating to definition of charitable contributions)).

This subsection shall not apply to a power the exercise of which can only affect the beneficial enjoyment of the income for a period commencing after the expiration of a period such that the grantor would not be treated as the owner under section 673 if the power were a reversionary interest; but the grantor may be treated as the owner after the expiration of the period unless the power is relinquished.

§ 1.677 (a)–1 *Income for benefit of grantor; general rule.* (a) Section 677 deals with situations in which a grantor of a trust is treated as the owner of a portion of the trust because he has retained an interest in the income from that portion. See section 671 and §§ 1.671–2 and 1.671–3 for rules for treatment of items of income, deduction, and credit when a person is treated as the owner of all or only a portion of a trust.

(b) Under section 677, the grantor is treated in any taxable year as the owner of a portion of a trust (whether or not he is treated as an owner under section 674) of which the income for the taxable year or for a period not coming within the exception described in paragraph (e) of this section is, or in the discretion of the grantor or a nonadverse party, or both (without the approval or consent of any adverse party) may be—

(1) Distributed to the grantor;

(2) Held or accumulated for future distribution to the grantor; or

(3) Applied to the payment of premiums on policies of insurance on the life of the grantor, except policies of insurance irrevocably payable for a charitable purpose specified in section 170 (c).

(c) Therefore, under the general rule of section 677 the grantor is treated as the owner of a portion of a trust if he has retained any interest which might, without the approval or consent of an adverse party, enable him to have the income from the portion, at some time, distributed to him either actually or constructively (subject to the exception described in paragraph (e) of this section). Constructive distribution to the grantor includes payment to another in obedience to his direction and payment of premiums upon policies of insurance on the grantor's life (other than policies of insurance irrevocably payable for charitable purposes). If the grantor strips himself permanently and definitively of every interest described in the first sentence of this paragraph, he is not treated as an owner under section 677 after that divesting. The word "interest" as used in the first sentence of this paragraph does not include the possibility that the grantor might receive back from a beneficiary an interest in a trust by inheritance, or as a surviving spouse under a statutory right of election or a similar right.

(d) Under section 677 a grantor is, in general, treated as owner of a portion of a trust whose income is, or in the discretion of the grantor or a nonadverse party, or both, may be applied in discharge of a legal obligation of the grantor. However, see § 1.677 (b)–1 for special rules for trusts whose income

may not be applied for the discharge of any legal obligation of the grantor other than the support or maintenance of a beneficiary whom the grantor is legally obligated to support.

(e) The last sentence of section 677 (a) provides an exception to the general rule when a discretionary right can only affect the beneficial enjoyment of the income of a trust received after a period of time which is such that a grantor would not be treated as an owner under section 673 if the power were a reversionary interest. See §§ 1.673 (a)-1 and 1.673 (b)-1. For example, if the ordinary income of a trust is payable to B for 10 years and then in the grantor's discretion income or corpus may be paid to B or to the grantor, the grantor is not treated as an owner with respect to ordinary income under section 677 during the first 10 years. He will be treated as an owner under section 677 after the expiration of the 10-year period unless the power is relinquished. If the beginning of the period during which the grantor may substitute beneficiaries is postponed, the rules set forth in § 1.673 (d)-1 are applicable in order to determine whether the grantor should be treated as an owner during the period following the postponement.

(f) However, if income is accumulated in any taxable year for future distribution to the grantor, section 677 (a) (2) treats the grantor as an owner for that taxable year. The exception set forth in the last sentence of section 677 (a) does not apply merely because the grantor must await the expiration of a period of time before he can receive or exercise discretion over previously accumulated income of the trust, even though the period is such that the grantor would not be treated as an owner under section 673 if a reversionary interest were involved. Thus, if income (including capital gains) of a trust is to be accumulated for 10 years and then will be, or at the discretion of the grantor may be, distributed to the grantor, the grantor is treated as the owner of the trust from its inception.

(g) The application of section 677 (a) may be illustrated by the following examples:

Example (1). G creates an irrevocable trust which provides that the ordinary income is to be payable to himself for life and that on his death the corpus shall be distributed to a designated charity. Except for the right to receive income, G retains no right or power which would cause him to be treated as an owner under sections 671-677. Under the applicable local law caiptal gains must be applied to corpus. During the taxable year 1955 the trust has the following items of gross income and deductions:

Dividends	$5,000
Capital gain	1,000
Expenses allocable to income	200
Expenses allocable to corpus	100

Since G has a right to receive income he is treated as an owner of a portion of the trust under section 677. Accordingly, he should include the $5,000 of dividends, $200 income expense, and $100 corpus expense in the computation of his taxable income for 1955. He should not include the $1,000 capital gain since that is not attributable to the portion of the trust that he owns. See § 1.671-3. The tax consequences of the capital gain are governed by the provisions of sections 641-668 (subparts A, B, C and D). Had the trust sustained a capital loss in any amount the loss would likewise not be included in the computation of G's taxable income, but would also be governed by the provisions of sections 641-668.

Example (2). G creates a trust whose ordinary income is payable to his adult son. Ten years from the date of transfer or on the death of his son, whichever is earlier, corpus is to revert to G. In addition, G retains a discretionary right to receive $5,000 of ordinary income each year. (Absent the exercise of this right all the ordinary income is to be distributed to his son.) G retains no other right or power which would cause him to be treated as an owner under subpart E. Under the terms of the trust instrument and applicable local law capital gains must be applied to corpus. During the taxable year 1955 the trust had the following items of income and deductions:

Dividends	$10,000
Capital gain	2,000
Expenses allocable to income	400
Expenses allocable to corpus	200

Since the capital gain is held or accumulated for future distributions to G, he is treated under section 677 (a) (2) as an owner of a portion of the trust to which the gain is attributable. Therefore, he must include the capital gain in the computation of his taxable income. (Had the trust sustained a capital loss in any amount, G would likewise include that loss in the computation of his taxable income.) In addition, because of G's discretionary right (whether exercised or not) he is treated as the owner of a portion of the trust which will permit a distribution of income to him of $5,000. Accordingly, G includes dividends of $5,208.33 and income expenses of $208.33 in computing his taxable income, determined in the following manner:

Total dividends		$10,000.00
Less: Expenses allocable to income		400.00
Distributable income of the trust		9,600.00
Portion of dividends attributable to G (5,000/9,600×$10,000)	5,208.33	
Portion of income expenses attributable to G (5,000/9,600×$400)	208.33	
Amount of income subject to discretionary right		5,000.00

In accordance with § 1.671-3 (c), G also takes into account $104.17 (5,000/9,600×$200) of corpus expenses in computing his tax liability. The portion of the dividends and expenses of the trust not attributable to G are governed by the provisions of sections 641-668 (subparts A through D).

§ 1.677 (b) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; trusts for support of grantor's dependents.*

SEC. 677. *Income for benefit of grantor.*
* * *

(b) *Obligations of support.* Income of a trust shall not be considered taxable to the grantor under subsection (a) or any other provision of this chapter merely because such income in the discretion of another person, the trustee, or the grantor acting as trustee or co-trustee, may be applied or distributed for the support or maintenance of a beneficiary whom the grantor is legally obligated to support or maintain, except to the extent that such income is so applied or distributed. In cases where the amounts so applied or distributed are paid out of corpus or out of other than income for the taxable year, such amounts shall be considered to be an amount paid or credited within the meaning of paragraph (2) of section 661 (a) and shall be taxed to the grantor under section 662.

§ 1.677 (b)-1 *Trusts for support.* (a) Section 677 (b) provides in effect that a grantor is not treated as the owner of a trust merely because its income may in the discretion of any person except the grantor not acting as trustee or cotrustee be applied or distributed for the support or maintenance of a beneficiary, such as the wife or child of the grantor, whom the grantor is legally obligated to support. If income of the current year of the trust is actually so applied or distributed the grantor may be treated as the owner of any portion of the trust under section 677 to that extent, even though it might have been applied or distributed for other purposes.

(b) If any amount applied or distributed for the support of a beneficiary whom the grantor is legally obligated to support is paid out of corpus or out of other than income of the current year, the grantor is treated as a beneficiary of the trust, and the amount applied or distributed is considered to be an amount paid within the meaning of section 661 (a) (2), taxable to the grantor under section 662. Thus, he is subject to the other relevant portions of sections 641-668 (subparts A through D). Accordingly, the grantor may be taxed on an accumulation distribution under sections 665 through 668 (subpart D). The provisions of those sections, including the exceptions in section 665, are applied on the basis that the grantor is the beneficiary.

(c) For the purpose of determining the items of income, deduction, and credit of a trust to be included under this section in computing the grantor's tax liability, the income of the trust for the taxable year of distribution will be deemed to have been first distributed. For example, in the case of a trust reporting on the calendar year basis, a distribution made on January 1, 1956, will be deemed to have been made out of ordinary income of the trust for the calendar year 1956 to the extent of the income for that year even though the trust had received no income as of January 1, 1956. Thus, if a distribution of $10,000 is made on January 1, 1956, for the support of the grantor's dependent, the grantor will be treated as the owner of the trust for 1956 to that extent. If the trust received dividends of $5,000 and incurred expenses of $1,000 during that year but subsequent to January 1, he will take into account dividends of $5,000 and expenses of $1,000 in computing his tax liability for 1956. In addition, the grantor will be treated as a beneficiary of the trust with respect to the $6,000 ($10,000 less distributable income of $4,000 (dividends of $5,000 less expenses of $1,000)) paid out of corpus or out of other than income of the current year. See paragraph (b) of this section.

(d) The exception provided in section 677 (b) relates solely to the satisfaction of the grantor's legal obligation to support or maintain a beneficiary. Consequently, the general rule of section 677 (a) is applicable when in the discretion of the grantor or nonadverse parties income of a trust may be applied in dis-

charge of a grantor's obligations other than his obligation of support or maintenance falling within section 677 (b). Thus, if the grantor creates a trust, the income of which may in the discretion of a nonadverse party be applied in the payment of the grantor's debts, such as the payment of his rent or other household expenses, he is treated as an owner of the trust regardless of whether the income is actually so applied.

(e) The general rule of section 677 (a), and not section 677 (b), is applicable if discretion to apply or distribute income of a trust rests solely in the grantor, or in the grantor in conjunction with other persons, unless in either case the grantor has such discretion as trustee or cotrustee.

(f) The general rule of section 677 (a), and not section 677 (b), is applicable to the extent that income is required, without any discretionary determination, to be applied to the support of a beneficiary whom the grantor is legally obligated to support.

§ 1.678 (a) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; person other than grantor treated as substantial owner; general rule.*

SEC. 678. *Person other than grantor treated as substantial owner*—(a) *General rule.* A person other than the grantor shall be treated as the owner of any portion of a trust with respect to which:

(1) Such person has a power exercisable solely by himself to vest the corpus or the income therefrom in himself, or

(2) Such person has previously partially released or otherwise modified such a power and after the release or modification retains such control as would, within the principles of sections 671 to 677, inclusive, subject a grantor of a trust to treatment as the owner thereof.

§ 1.678 (a)–1 *Person other than grantor treated as substantial owner; general rule.* (a) Where a person other than the grantor of a trust has a power exercisable solely by himself to vest the corpus or the income of any portion of a testamentary or inter vivos trust in himself, he is treated under section 678 (a) as the owner of that portion, except as provided in section 678 (b) (involving taxation of the grantor) and section 678 (c) (involving an obligation of support). The holder of such a power also is treated as an owner of the trust even though he has partially released or otherwise modified the power so that he can no longer vest the corpus or income in himself, if he has retained such control of the trust as would, if retained by a grantor, subject the grantor to treatment as the owner under sections 671 to 677, inclusive. See section 671 and §§ 1.671–2 and 1.671–3 for rules for treatment of items of income, deduction, and credit where a person is treated as the owner of all or only a portion of a trust.

(b) Section 678 (a) treats a person as an owner of a trust if he has a power exercisable solely by himself to apply the income or corpus for the satisfaction of his legal obligations, other than an obligation to support a dependent (see § 1.678 (c)–1) subject to the limitation of section 678 (b). Section 678 does not apply if the power is not exercisable solely by himself. However, see § 1.662 (a)–4 for principles applicable to income of a trust which, pursuant to the terms of the trust instrument, is used to satisfy the obligations of a person other than the grantor.

§ 1.678 (b) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; exception where grantor is taxable.*

SEC. 678. *Person other than grantor treated as substantial owner.* * * *

(b) *Exception where grantor is taxable.* Subsection (a) shall not apply with respect to a power over income, as originally granted or thereafter modified, if the grantor of the trust is otherwise treated as the owner under sections 671 to 677, inclusive.

§ 1.678 (b)–1 *If grantor is treated as the owner.* Section 678 (a) does not apply with respect to a power over income, as originally granted or thereafter modified, if the grantor of the trust is treated as the owner under sections 671 to 677, inclusive.

§ 1.678 (c) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; trusts for support.*

SEC. 678. *Person other than grantor treated as substantial owner.* * * *

(c) *Obligations of support.* Subsection (a) shall not apply to a power which enables such person, in the capacity of trustee or cotrustee, merely to apply the income of the trust to the support or maintenance of a person whom the holder of the power is obligated to support or maintain except to the extent that such income is so applied. In cases where the amounts so applied or distributed are paid out of corpus or out of other than income of the taxable year, such amounts shall be considered to be an amount paid or credited within the meaning of paragraph (2) of section 661 (a) and shall be taxed to the holder of the power under section 662.

§ 1.678 (c)–1 *Trusts for support.* (a) Section 678 (a) does not apply to a power which enables the holder, in the capacity of trustee or cotrustee, to apply the income of the trust to the support or maintenance of a person whom the holder is obligated to support, except to the extent the income is so applied. See § 1.677 (b)–1 (a), (b), and (c) for applicable principles where any amount is applied for the support or maintenance of a person whom the holder is obligated to support.

(b) The general rule in section 678 (a) (and not the exception in section 678 (c)) is applicable in any case in which the holder of a power exercisable solely by himself is able, in any capacity other than that of trustee or cotrustee, to apply the income in discharge of his obligation of support or maintenance.

(c) Section 678 (c) is concerned with the taxability of income subject to a power described in section 678 (a). It has no application to the taxability of income which is either required to be applied pursuant to the terms of the trust instrument or is applied pursuant to a power which is not described in section 678 (a), the taxability of such income being governed by other provisions of the Internal Revenue Code of 1954. See § 1.1662 (a)–4.

§ 1.678 (d) *Statutory provisions; estates and trusts; grantors and others treated as substantial owners; effect of renunciation or disclaimer.*

SEC. 678. *Person other than grantor treated as substantial owner.* * * *

(d) *Effect of renunciation or disclaimer.* Subsection (a) shall not apply with respect to a power which has been renounced or disclaimed within a reasonable time after the holder of the power first became aware of its existence.

§ 1.678 (d)–1 *Renunciation of power.* Section 678 (a) does not apply to a power which has been renounced or disclaimed within a reasonable time after the holder of the power first became aware of its existence.

Miscellaneous

§ 1.683 *Statutory provisions; estates and trusts; applicability of provisions.*

SEC. 683. *Applicability of provisions*—(a) *General rule.* This part shall apply only to taxable years beginning after December 31, 1953, and ending after the date of the enactment of this title.

(b) *Exceptions.* In the case of any beneficiary of an estate or trust—

(1) This part shall not apply to any amount paid, credited, or to be distributed by the estate or trust in any taxable year of such estate or trust to which this part does not apply, and

(2) The Internal Revenue Code of 1939 shall apply for purposes of determining the amount includible in the gross income of the beneficiary.

To the extent that any amount paid, credited, or to be distributed by an estate or trust in the first taxable year of such estate or trust to which this part applies would be treated, if the Internal Revenue Code of 1939 were applicable, as paid, credited, or to be distributed on the last day of the preceding taxable year, such amount shall not be taken into account for purposes of this part but shall be taken into account as provided in the Internal Revenue Code of 1939.

§ 1.683–1 *Applicability of provisions; general rule.* Sections 641 through 683 apply to estates and trusts and to beneficiaries only with respect to taxable years which begin after December 31, 1953, and end after August 16, 1954, the date of enactment of the Internal Revenue Code of 1954. In the case of an estate or trust, the date on which a trust is created or amended or on which an estate commences, and the taxable years of beneficiaries, grantors, or decedents concerned are immaterial. This provision applies equally to taxable years of normal and of abbreviated length.

§ 1.683–2 *Exceptions.* (a) In the case of any beneficiary of an estate or trust, sections 641 through 682 do not apply to any amount paid, credited, or to be distributed by an estate or trust in any taxable year of the estate or trust which begins before January 1, 1954, or which ends before August 17, 1954. Whether an amount so paid, credited, or to be distributed is to be included in the gross income of a beneficiary is determined with reference to the Internal Revenue Code of 1939. Thus, if a trust in its fiscal year ending June 30, 1954, distributed its current income to a beneficiary on June 30, 1954, the extent to which the distribution is includible in the beneficiary's gross income for his taxable year (the calendar year 1954) and the

character of such income will be determined under the Internal Revenue Code of 1939. The Internal Revenue Code of 1954, however, determines the beneficiary's tax liability for a taxable year of the beneficiary to which such Code applies, with respect even to gross income of the beneficiary determined under the Internal Revenue Code of 1939 in accordance with this paragraph. Accordingly, the beneficiary is allowed credits and deductions pursuant to the Internal Revenue Code of 1954 for a taxable year governed by the Internal Revenue Code of 1954. See subparagraph (2) of example (1) in paragraph (c) of this section.

(b) For purposes of determining the time of receipt of dividends under sections 34 and 116, the dividends paid, credited, or to be distributed to a beneficiary are deemed to have been received by the beneficiary ratably on the same dates that the dividends were received by the estate or trust.

(c) The application of this section may be illustrated by the following examples:

Example (1). (i) A trust, reporting on the fiscal year basis, receives in its taxable year ending November 30, 1954, dividends on December 3, 1953, and April 3, July 5, and October 4, 1954. It distributes the dividends to A, its sole beneficiary (who reports on the calendar year basis) on November 30, 1954. Since the trust has received dividends in a taxable year ending after July 31, 1954, it will receive a dividend credit under section 34 with respect to dividends received which otherwise qualify under that section, in this case dividends received on October 4, 1954 (i. e., received after July 31, 1954). See section 7851 (a) (1) (C). This credit, however, is reduced to the extent the dividends are allocable to the beneficiary as a result of income being paid, credited, or required to be distributed to him. The trust will also be permitted the dividend exclusion under section 116, since it received its dividends in a taxable year ending after July 31, 1954.

(ii) A is entitled to the section 34 credit with respect to the portion of the October 4, 1954, dividends which is distributed to him even though the determination of whether the amount distributed to him is includible in his gross income is made under the 1939 Code. The credit allowable to the trust is reduced proportionately to the extent A is deemed to have received the October 4 dividends. A is not entitled to a credit with respect to the dividends received by the trust on December 3, 1953, and April 3, and July 5, 1954, because, although he receives after July 31, 1954, the distribution resulting from the trust's receipt of dividends, he is deemed to have received the dividends ratably with the trust on dates prior to July 31, 1954. In determining the exclusion under section 116 to which he is entitled, all the dividends received by the trust in 1954 and distributed to him are aggregated with any other dividends received by him in 1954, since he is deemed to have received such dividends in 1954 and therefore within a taxable year ending after July 31, 1954. He is not, however, entitled to the exclusion for the dividends received by the trust in December 1953.

Example (2). (i) A simple trust reports on the basis of a fiscal year ending July 31. It receives dividends on October 3, 1953, and January 4, April 3, and July 5, 1954. It distributes the dividends to A, its sole beneficiary, on September 1, 1954. The trust, receiving dividends in a taxable year ending prior to August 17, 1954, is entitled neither to the dividend received credit under section 34 nor the dividend exclusion under section 116.

(ii) A (reporting on the calendar year basis) is not entitled to the section 34 credit, because, although he receives after July 31, 1954, the distribution resulting from the trusts' receipt of dividends, he is deemed to have received the dividends ratably with the trust, that is, on October 3, 1953, and January 4, April 3, and July 5, 1954. He is, however, entitled to the section 116 exclusion with respect to the dividends received by the trust in 1954 (along with other dividends received by him in 1954) and distributed to him, since he is deemed to have received such dividends on January 4, April 3, and July 5, 1954, each a date in his taxable year ending after July 31, 1954. He is entitled to no exclusion for the dividends received by the trust on October 3, 1953, since he is deemed to receive the resulting distribution on the same date, which falls within a taxable year of his which ends before August 1, 1954, although he is required to include the October 1953 dividends in his 1954 income. See section 164 of the Internal Revenue Code of 1939.

Example (3). A simple trust on a fiscal year ending July 31, 1954, receives dividends August 5 and November 4, 1953. It distributes the dividends to A, its sole beneficiary (who is on a calendar year basis), on September 1, 1954. Neither the trust nor A is entitled to a credit under section 34 or an exclusion under section 116.

§ 1.683–3 *Application of the 65-day rule of the Internal Revenue Code of 1939.* If an amount is paid, credited, or to be distributed in the first 65 days of the first taxable year of an estate or trust (heretofore subject to the provisions of the Internal Revenue Code of 1939) to which the Internal Revenue Code of 1954 applies and the amount would be treated, if the Internal Revenue Code of 1939 were applicable, as if paid, credited, or to be distributed on the last day of the preceding taxable year, sections 641 through 682 do not apply to the amount. The amount so paid, credited, or to be distributed is taken into account as provided in the Internal Revenue Code of 1939. See § 39.162–2 (c) and (d) of Regulations 118 (26 CFR (1939) 39.162–2 (c) and (d)).

[SEAL] O. GORDON DELK,
Acting Commissioner of Internal Revenue.

Approved: December 7, 1956.

W. RANDOLPH BURGESS,
Acting Secretary of the Treasury.

[F. R. Doc. 56–10203; Filed, Dec. 19, 1956; 8:45 a. m.]

TITLE 32A—NATIONAL DEFENSE, APPENDIX

Chapter VI—Business and Defense Services Administration, Department of Commerce

[BDSA Reg. 2 (Formerly NPA Reg. 2), Amdt. 3 of December 18, 1956]

REG. 2—BASIC RULES OF THE PRIORITIES SYSTEM

CHANGE IN LIST A

This amendment is found necessary and appropriate to promote the national defense and is issued pursuant to the Defense Production Act of 1950, as amended. In the formulation of this amendment, there was consultation with industry representatives, including trade association representatives, and consideration was given to their recommendations.

This amendment affects BDSA Reg. 2 (formerly NPA Reg. 2), as amended, by amending item 1 of List A to refer to copper raw materials as defined in BDSA Order M–11A, as amended, and by removing copper-base alloy ingot containing 3 percent or more nickel (by weight) from the category of copper raw materials not subject to ratings.

Item 1 of List A of BDSA Reg. 2 (formerly NPA Reg. 2), as amended March 23, 1953, is amended to read as follows:

1. The following items are not presently subject to any ratings issued by or under the authority of BDSA and therefore no rating shall be effective to obtain any of them:

Communications services.
Copper raw materials as that term is defined in BDSA Order M–11A (as the same may be amended from time to time), except copper-base alloy ingot (as defined in that order) containing 3 percent or more of nickel (by weight).
Crushed stone.
Gravel.
Sand.
Scrap.
Slag.
Steam heat, central.
Waste paper.
Water.
Wood pulp.

(Sec. 704, 64 Stat. 816, as amended; sec. 1, Pub. Law 632, 84th Cong., 70 Stat. 408; 50 U. S. C. App. 2154)

This amendment shall take effect December 18, 1956.

BUSINESS AND DEFENSE SERVICES ADMINISTRATION,
H. B. MCCOY,
Administrator.

[F. R. Doc. 56–10367; Filed, Dec. 19, 1956; 8:50 a. m.]

[BDSA Order M–11A, as Amended December 18, 1956]

M–11A—COPPER AND COPPER-BASE ALLOYS

This order as amended is found necessary and appropriate to promote the national defense and is issued pursuant to the Defense Production Act of 1950, as amended. In the formulation of this amended order there was consultation with industry representatives, including trade association representatives, and consideration was given to their recommendations.

BDSA Order M–11A (formerly NPA Order M–11A) of May 6, 1953, has been amended to include definitions of "copper raw materials" and to prescribe certain statistical reports which are required in connection with the administration of the order. At the same time the order has been generally revised both for purposes of clarification and to conform its provisions to comparable provisions in more recent BDSA orders and regulations. Section 2 has been eliminated and the succeeding sections have been renumbered.

Sec.
1. What this order does.
2. Definitions.
3. Applicability of other BDSA orders and regulations.
4. Opening of order books.
5. Acceptance of orders.

Sec
6. Rejection of authorized controlled material orders.
7. Priority status of delivery orders.
8. Reserved portion of production.
9. Certified orders for intermediate shapes.
10. Rules applicable to distributors.
11. Directives.
12. Records and reports.
13. Request for adjustment or exception.
14. Communications.
15. False statements.
16. Violations.

AUTHORITY: Sections 1 to 16 issued under sec. 704, 64 Stat. 816, as amended, sec. 1, Pub. Law 632, 84th Cong., 70 Stat. 408; 50 U. S. C. App. 2154. Interpret or apply sec. 101, 705, 64 Stat. 799, as amended, 816, as amended; 50 U. S. C. App. 2071, 2155. E. O. 10480, 18 F. R. 4939; 3 CFR, 1953 Supp.

SECTION 1. *What this order does.* This order supplements DMS regulations and applies particularly to producers and sellers of intermediate shapes and to producers and distributors of brass mill products, copper wire mill products, copper powder mill products, and copper foundry products. It requires acceptance of authorized controlled material orders, and places limitations thereon, in order to provide for an equitable distribution of such orders among all brass mills, copper wire mills, copper foundries, and copper powder mills. It also provides limitations on the required acceptance of authorized controlled material orders by distributors. It provides a method whereby copper controlled material producers requiring intermediate shapes to fill certain orders may obtain those shapes from their customary suppliers.

SEC. 2. *Definitions.* As used in this order:

(a) "Person" means any individual, corporation, partnership, association, or other organized group of persons, and includes any agency of the United States Government or any other government.

(b) "BDSA" means the Business and Defense Services Administration of the United States Department of Commerce.

(c) "Copper" means unalloyed copper, including electrolytic copper, fire-refined copper, and all unalloyed copper in any form.

(d) "Copper-base alloy" means any alloy in the composition of which the percentage of copper metal equals or exceeds 40 percent by weight of the metallic content of the alloy. It does not include alloyed gold produced in accordance with U. S. Commercial Standard CS67–38.

(e) "Brass mill products" means copper and copper-base alloys in the following forms: sheet, plate, and strip in flat lengths or coils; rod, bar, shapes, and wire (except copper wire mill products); anodes, rolled, forged, or sheared from cathodes; and seamless tube and pipe. Straightening, threading, chamfering, and cutting to width or length, and reduction in gage, do not constitute changes in form of brass mill products except as determined by BDSA. The following related products which have been produced by a change in form of brass mill products are not included in the definition of brass mill products:

Circles.
Discs (except brass military ammunition discs).
Cups (except brass military ammunition cups).
Blanks and segments.
Forgings (except anodes).
Welding rod, 3 feet or less in length.
Rotating bands.
Tube and nipples—welded, brazed, or mechanically seamed.
Formed flashings.
Engravers' copper.

Allotments for the purpose of producing such related products shall be in terms of the estimated weight of the brass mill product from which such related product is made.

(f) "Copper wire mill products" means uninsulated or insulated wire and cable, whatever the outer protective coverings may be, made from copper or copper-base alloy, and also copper-clad steel wire containing over 20 percent copper by weight regardless of end use. All copper wire mill products should be measured in terms of pounds of copper content.

(g) "Copper powder mill products" means copper or copper-base alloy in the form of granular or flake powder.

(h) "Copper foundry products" means cast copper and copper-base alloy shapes or forms suitable for ultimate use without remelting, rolling, drawing, extruding, or forging. (The process of casting includes the removal of gates, risers, and sprues, and sandblasting, tumbling, and dipping, but does not include any machining or further processing. For centrifugal casting the process includes the removal of the rough cut in the inner or outer diameter, or both, before delivery to a customer. Castings include anodes cast in a foundry or by an ingot maker.)

(i) "Copper controlled materials" means brass mill products, copper wire mill products, copper powder mill products, or copper foundry products, as defined in this order.

(j) "Copper controlled material producer" means any person who produces a copper controlled material.

(k) "Intermediate shape producer" means any person who produces an intermediate shape.

(l) "Authorized controlled material order" means any delivery order for any controlled material (as distinct from a product containing controlled material) which is placed pursuant to an allotment, or pursuant to self-authorization, as provided in section 20 of DMS Regulation No. 1, or which is specifically designated to be such an order by any regulation or order of BDSA.

(m) "Copper raw materials" as used in this order includes the following materials as defined below:

(1) "Refined copper"—Copper metal which has been refined by any process of electrolysis or fire-refining to a grade and in a form suitable for fabrication, such as cathodes, wire bars, ingot bars, ingots, cakes, billets, or other refined shapes. This does not include copper-base alloy ingot, brass mill castings, intermediate shapes, anodes, powder mill products, copper wire mill products, brass mill products, or foundry copper or copper-base alloy products.

(2) "Blister copper"—High-grade crude copper in any form produced from converter operations and from which nearly all the oxidizable impurities have been removed by slagging and volatilization.

(3) "Brass mill scrap"—Uncontaminated scrap which is the waste or by-product of the production or industry fabrication of brass mill products or copper wire mill products. It includes fired and demilitarized cartridge and artillery cases as defined below.

(4) "Other copper-base alloy scrap"—Alloyed copper scrap other than brass mill scrap. It includes contaminated fired and demilitarized cartridge and artillery cases.

(5) "Other unalloyed copper scrap"—Unalloyed copper scrap other than brass mill scrap.

(6) "Fired and demilitarized cartridge and artillery cases"—Fired and demilitarized brass cartridge and artillery cases which have been manufactured from brass mill products and are not contaminated.

(7) "Brass mill casting"—A copper-base alloy casting, from which brass mill or intermediate shapes may be rolled, drawn, or extruded, without remelting.

(8) "Copper-brass alloy ingot"—A copper-base alloy used in remelting, alloying, or deoxidizing operations.

(9) "Copper or copper-base alloy shot and waffle"—Shot or waffle produced from copper or copper-base alloy, and to be used in remelting, alloying, deoxidizing, or chemical operations.

(10) "Copper precipitates (or cement copper)"—Copper metal precipitated from mine water by contact with iron scrap, tin cans, or iron in other forms.

(11) "Intermediate shape" means any product which has been rolled, drawn, or extruded from refined copper or brass mill castings, and which will be re-rolled, redrawn, insulated, or further processed into finished brass mill or copper wire mill products by other producers of intermediate shapes or copper controlled materials. (This definition includes intermediate shapes produced from other intermediate shapes.)

(n) "Distributor" means any person (including a warehouseman or jobber, but not a retailer) engaged in the business of stocking copper controlled materials received from a controlled material producer or another distributor at a location regularly maintained by him for such purpose for sale or resale in the form or shape as received, who in connection therewith maintains facilities and equipment necessary to conduct such business. For the purposes of this definition, the operations of straightening, threading, chamfering, cutting to width and length, and edging do not constitute changes in form or shape.

(o) "Average shipment" means the average monthly quantity (by weight) of each copper controlled material shipped by a producer or distributor during the base period designated in Schedule A of this order. (Wire mill products shall be calculated on the basis of copper content.)

SEC. 3. *Applicability of other BDSA orders and regulations.* All provisions of any BDSA regulation or order, including DMS regulations, are superseded to the extent that such provisions are inconsistent with this order, but in all other respects the provisions of such regulations and orders shall remain in full force and effect.

SEC. 4. *Opening of order books.* Each copper controlled material producer shall open his order books for the purpose of accepting authorized controlled material orders no later than 90 days

prior to the first day of each calendar quarter for which such orders are valid pursuant to DMS Regulation No. 1. A copper controlled material producer may open his order books for the purpose of accepting authorized controlled material orders for any calendar quarter as long in advance of such 90-day period as he may choose, but after his order books are open, he shall accept such orders as provided in section 5 of this order and applicable DMS regulations: *Provided, however,* That the acceptance by a copper controlled materials producer of an authorized controlled material order or orders directly from the Department of Defense or the Atomic Energy Commission prior to the date such producer opens his order books shall not effect an opening of his books so as to require acceptance of other orders for controlled materials.

SEC. 5. *Acceptance of orders.* Each producer of copper controlled materials shall, after receipt of any authorized controlled material order tendered to him, promptly accept or reject such order. Receipt of an order shall not be deemed to have occurred until the order is received at the place where the producer usually processes such order. Upon such acceptance or rejection, he shall immediately notify, by letter or by telegram, the person who tendered the order, of such acceptance or rejection. For the purpose of this paragraph, the word "promptly" shall mean as soon as possible, but in no event later than 10 consecutive calendar days after receipt.

SEC. 6. *Rejection of authorized controlled material orders.* Unless otherwise specifically directed by BDSA, a copper controlled materials producer may reject an authorized controlled material order in any of the following cases:

(a) If the order is one for less than the minimum mill quantity specified in Schedule IV of DMS Regulation No. 1 and has not been combined with another order pursuant to section 20 (e) of that regulation.

(b) If the person seeking to place the order is unwilling or unable to meet such producer's regularly established prices and terms of sale or payment.

(c) If the order for a product calls for delivery in a particular month and is received after the commencement of lead time for that product, for the month involved, as set forth in Schedule III of DMS Regulation No. 1.

(d) If the order is received from another copper controlled materials producer who produces in his own plant the type of product ordered.

(e) If the order is received from a distributor who has not purchased the general type of copper controlled material ordered from such producer during the calendar year 1955.

(f) If the order calls for delivery of a quantity of any product listed in Schedule A of this order which, together with the quantity of that product for which he has previously accepted authorized controlled material orders for delivery during the same month, would exceed the quantity of that product computed as provided in section 8 (b).

SEC. 7. *Priority status of delivery orders.* (a) Except as provided in paragraph (b) of this section, authorized controlled material orders for copper controlled materials shall take precedence over all other delivery orders for copper controlled materials. All authorized controlled material orders shall have equal preferential status except that authorized controlled material orders carried over from any previous month shall take precedence over authorized controlled material orders calling for delivery during the then current month involved. Such carry-over orders shall not be applied against the capacity to be reserved in accordance with section 8 (b) of this order for the month in which such carry-over orders are rescheduled but shall be in addition thereto.

(b) A delivery order for copper controlled materials pursuant to a directive issued by BDSA shall take precedence over any other delivery order (including authorized controlled material orders) previously or subsequently received unless a contrary instruction appears in the directive.

SEC. 8. *Reserved portion of production.* (a) From the date of the opening of his books for the acceptance of orders for shipment in any month for each product produced by him, each producer of copper controlled materials shall reserve an amount of production capacity computed as provided in paragraph (b) of this section for the acceptance of authorized controlled material orders until such reserve capacity is filled, or until the commencement of lead time for the particular product involved (as set forth in Schedule III of DMS Regulation No. 1), whichever occurs first.

(b) The production capacity to be reserved by a copper controlled materials producer for the production of each copper controlled material product to be delivered pursuant to authorized controlled material orders for any such product for a particular month shall be that capacity required to produce a quantity by weight of such product, computed by multiplying the average shipment of such product by the percentage set opposite such product in Schedule A of this order.

(c) A copper controlled materials producer who did not ship a particular product listed in Schedule A of this order during the base period designated therein but who hereafter produces and ships such product shall, in computing the production capacity to be reserved by him pursuant to paragraph (a) of this section for any future month for which production is being scheduled, consider his average shipment of such product to be the quantity of that product which he has scheduled for shipment during the then current month.

SEC. 9. *Certified orders for intermediate shapes.* (a) Any copper controlled materials producer requiring intermediate shapes in his production of controlled materials to fill authorized controlled material orders may certify delivery orders for such shapes, and any intermediate shape producer requiring other forms of intermediate shapes in his production, for which production he has accepted certified orders, may certify delivery orders for intermediate shapes. Orders may be certified by endorsing thereon a certification as follows, which shall be signed as provided in BDSA Reg. 2 (formerly NPA Reg. 2):

Certified for national defense use under BDSA Order M-11A

This certification constitutes a representation to the supplier of the intermediate shapes and to BDSA that the intermediate shapes ordered are required by the purchaser to be used in his production to fill authorized controlled material orders, or certified orders for intermediate shapes.

(b) Each producer of intermediate shapes shall accept all certified orders for intermediate shapes offered to him and shall make delivery pursuant to such orders in preference to any other delivery order for intermediate shapes received by him: *Provided, however,* That a producer of intermediate shapes shall not be required to accept a certified order from any person who did not purchase from him during the calendar year 1955 the general types of intermediate shapes so ordered.

SEC. 10. *Rules applicable to distributors.* (a) Subject to the limitations set forth in this order and in applicable DMS regulations, every distributor shall accept all authorized controlled material orders.

(b) During each calendar month any copper controlled materials distributor who has delivered copper controlled materials from his inventory to fill authorized controlled material orders may, in obtaining products to replace in inventory the copper controlled materials delivered pursuant to such orders, affix the allotment number D-8 to the delivery order he places with his supplier of such products. Such delivery orders are hereby designated as authorized controlled material orders and shall be certified by the copper controlled materials distributor as provided in section 20 of DMS Regulation No. 1: *Provided, however,* That authorized controlled material orders placed by copper controlled materials distributors pursuant to this section shall call only for delivery of an equal weight (copper wire mill products shall be computed on the basis of copper content) of copper controlled materials which he has delivered pursuant to authorized controlled material orders, and that the orders placed with his suppliers shall call for delivery only during the calendar quarter in which the materials were taken from inventory of the distributor, or in the immediately succeeding calendar quarter.

(c) No copper controlled materials distributor shall be required to make delivery from inventory of copper controlled materials on authorized controlled material orders in any calendar month of a total combined weight of such materials in excess of 25 percent of his average shipments of copper controlled materials sold by him; and no copper controlled materials distributor shall be required to accept an authorized controlled material order for more than 500 pounds of any item of brass mill products or 50 percent of his inventory of such item, whichever is less, or 500 pounds copper content, of any item of wire mill products smaller than size 4/0 or any item of wire mill products 4/0 and larger in excess of standard mill single-reel lengths.

(d) No copper controlled materials distributor shall be required to make delivery on an authorized controlled material order bearing the allotment number D–8 placed with him by another distributor of copper controlled materials unless the distributor placing such an order has purchased the types of materials so ordered from him during the calendar year 1955.

SEC. 11. *Directives.* BDSA may issue directives from time to time with respect to the production and delivery of copper controlled materials and intermediate shapes.

SEC. 12. *Records and reports.* (a) Producers and distributors of copper controlled materials, producers of intermediate shapes, and users of copper raw materials shall make, and preserve for at least 3 years thereafter, accurate and complete records of purchases, receipts, inventories, production, use, sales and deliveries of copper controlled materials, intermediate shapes and copper raw materials. Such records shall include, but shall not be limited to, all authorized controlled material orders, certified orders and directives received by such persons and copies of all authorized controlled material orders, rated orders, and certified orders placed by such persons. Records shall be maintained in sufficient detail to permit the determination, after audit, whether each transaction complies with the provisions of this order. This order does not specify any particular accounting method and does not require alteration of the system of records customarily used, provided the records required herein are maintained. Records may be retained in the form of microfilm or other photographic copies instead of the originals by those persons who, at the time such microfilm or other photographic copies are made, maintain such copies of records in the regular and usual course of business.

(b) All records required by this order shall be made available for inspection and audit by duly authorized representatives of the Business and Defense Services Administration, at the usual place of business where maintained.

(c) Any person who produces copper controlled materials or who uses copper raw materials (as defined herein) shall complete the following forms in accordance with the instructions applicable to such forms:

Respondent	*Form*
Brass Mills, Copper Wire Mills	BDSAF–84 — Producers Program Report — Brass Mills and Copper Wire Mills 6–1115 MS and Supplement[1] Consumption of Copper Materials and Supplementary Report on Ownership of Refined Copper
Brass or Bronze Foundries, Copper-base Powder Mills, Miscellaneous Users of Copper Raw Materials	BDSAF–83 — Copper Forms and Products: Report of Operations and Shipments

[1] U. S. Department of the Interior, Bureau of Mines

(d) Persons subject to this order shall make such records and submit such reports to BDSA as it shall require, subject to the terms of the Federal Reports Act of 1942 (5 U. S. C. 139–139F).

SEC. 13. *Request for adjustment or exception.* Any person subject to any provision of this order may file a request for adjustment or exception upon the ground that such provision works an undue or exceptional hardship upon him not suffered generally by others in the same trade or industry, or that its enforcement against him would not be in the interest of the national defense or in the public interest. The filing of a request for adjustment or exception shall not relieve any person of his obligation to comply with any such provision. In examining requests for adjustment or exception claiming that the public interest is prejudiced by the application of any provision of this order, consideration will be given to the requirements of public health and safety, civilian defense, and dislocation of labor and resulting unemployment that would impair the defense program. Each request shall be in writing, by letter in triplicate, shall set forth all pertinent facts and the nature of the relief sought, and shall state the justification therefor.

SEC. 14. *Communications.* All communications concerning this order shall be addressed to the Business and Defense Services Administration, Washington 25, D. C., Ref: BDSA Order M–11A.

SEC. 15. *False statements.* The furnishing of false information or the concealment of any material fact in the course of operation under this order constitutes a violation of this order.

SEC. 16. *Violations.* Violation of any provision of this order may subject any person committing or participating in such violation to administrative action to require compliance with this order and correction of such violation. In addition to such administrative action, an injunction and order may be obtained prohibiting any such violation and enforcing compliance with the provisions hereof. Any person who wilfully violates any provision of this order, or who wilfully furnishes false information or conceals any material fact in the course of operation under this order, is guilty of a crime and upon conviction may be punished by fine or imprisonment or both.

Note: All reporting and record-keeping requirements of this order have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

This order shall take effect December 18, 1956.

BUSINESS AND DEFENSE SERVICES ADMINISTRATION,
H. B. MCCOY,
Administrator.

Schedule A to BDSA Order M–11A—Set-aside Percentages

(See sec. 6 (f) of BDSA Order M–11A)

Base period—January–June (both inclusive) 1952

(See sec. 2 (o) of BDSA Order M–11A)

Product	Percentage
Brass mill products:	
Unalloyed:	
Plate, sheet, strip, and rolls	9
Rod, bar, shapes, and wire	11
Seamless tube and pipe	6
Alloyed:	
Plate, sheet, strip, and rolls	5
Rod, bar, shapes, and wire	4
Seamless tube and pipe	16
Military ammunition cups and discs	22
Copper wire mill products:	
Copper wire and cable:	
Bare and tinned	9
Weatherproof	9
Magnet wire	9
Insulated building wire	9
Paper and lead power cable	9
Paper and lead telephone cable	9
Asbestos cable	9
Portable and flexible cord and cable	9
Communications wire and cable	9
Shipboard cable	9
Automotive and aircraft wire and cable	9
Insulated power cable	9
Signal and control cable	9
Coaxial cable	9
Copper-clad steel wire containing over 20 percent copper by weight regardless of end use	9
Copper foundry products	9
Unalloyed copper powder mill products	[1]
Copper-base alloy powder mill products	[1]

[1] No reserve space provided. Producers of these products are nevertheless required to accept authorized controlled material orders for such products in accordance with the provisions of the DMS regulations and this order. However, section 6(f) of this order does not apply to such authorized controlled material orders.

[F. R. Doc. 56–10368; Filed, Dec. 19, 1956; 8:50 a. m.]

TITLE 33—NAVIGATION AND NAVIGABLE WATERS

Chapter I—Coast Guard, Department of the Treasury

PART 19—WAIVERS OF NAVIGATION AND VESSEL INSPECTION LAWS AND REGULATIONS

DEEPER LOADING OF COASTWISE TANK SHIPS

CROSS REFERENCE: For promulgation of § 19.40, see Title 46, Chapter I, Part 154, *infra.*

Chapter II—Corps of Engineers, Department of the Army

PART 202—ANCHORAGE REGULATIONS

PART 203—BRIDGE REGULATIONS

PART 207—NAVIGATION REGULATIONS

MISCELLANEOUS AMENDMENTS

1. Pursuant to the provisions of section 1 of an act of Congress approved April 22, 1940 (54 Stat. 150; 33 U. S. C. 180), the regulations designating and establishing special anchorage areas for the Port of New York and vicinity are

hereby amended to prescribe a special anchorage area in Island Channel, Jamaica Bay, New York, adding § 202.60 (s) as follows:

§ 202.60 *Port of New York and vicinity.* * * *

(s) *Jamaica Bay.* That portion of the waters on the westerly side of Jamaica Bay, westerly of a line ranging from Island Channel Buoy 17 through Island Channel Buoy 21, northward of a line ranging from Island Channel Buoy 17 to the north abutment of the Shore Parkway Bridge across Paerdegat Basin, and southward of a line ranging 310° from Island Channel Buoy 21.

[Regs., Dec. 3, 1956, 800.212 (Jamaica Bay, N. Y.)—ENGWO] (Sec. 1, 54 Stat. 150; 33 U. S. C. 180)

2. Pursuant to the provisions of section 7 of the River and Harbor act of March 4, 1915 (39 Stat. 1053; 33 U. S. C. 471), § 202.193 (a) is amended by adding a new subparagraph (3) and redesignating former subparagraph (3) as subparagraph (4) and amending paragraph (b) hereby establishing a temporary explosives anchorage in Old Tampa Bay adjacent to the channel to Port Tampa, as follows:

§ 202.193 *Tampa Bay, Fla.*—(a) *The anchorage grounds.* * * *

(3) *Temporary explosives anchorage off Port Tampa.* A circular area with a radius of 200 yards with the point at latitude 27°50'22", longitude 82°34'15".

(4) *Quarantine anchorage.* * * *

(b) *The regulations.* (1) The explosives anchorage east of Mullet Key shall be used by vessels awaiting loading or unloading at Port Tampa that have explosives actually on board and where the duration of anchorage will exceed 72 hours.

(2) The temporary explosives anchorages south of Interbay Peninsula and off Port Tampa shall be used for vessels engaged in loading explosives when the duration of the anchorage is less than 72 hours.

[Regs., Dec. 3 1956, 800.212 (Tampa Bay, Fla.)—ENGWO] (Sec. 7, 39 Stat. 1053; 33 U. S. C. 471)

3. Pursuant to the provisions of section 5 of the River and Harbor Act of August 18, 1894 (28 Stat. 362; 33 U. S. C. 499), § 203.227 is hereby amended prescribing special regulations for the city of Philadelphia bridge across Schuylkill River at South Street, revising paragraph (h), as follows:

§ 203.227 *Delaware and Schuylkill Rivers, N. J. and Pa., in vicinity of Philadelphia and Bristol; bridges.* * * *

(h) *City of Philadelphia bridge across Schuylkill River at South Street.* (1) The draw need not be opened for the passage of vessels and paragraphs (a) to (e), inclusive, of this section shall not apply to this bridge.

(2) The owner of or agency controlling this bridge shall keep conspicuously posted on both the upstream and downstream sides thereof, in such manner that it can be easily read at any time, a copy of the regulations of this section.

[Regs., Dec. 5, 1956, 823.01 (Schuylkill River, Pa.)—ENGWO] (Sec. 5, 28 Stat. 362; 33 U. S. C. 499)

4. Pursuant to the provisions of section 5 of the River and Harbor act of August 18, 1894 (28 Stat. 362; 33 U. S. C. 499), § 203.230 governing the operation of drawbridges across Brandywine River is hereby amended prescribing regulations to permit closure of the draw to navigation of the Delaware State Highway Department bridge at Sixteenth Street, Wilmington, Delaware, as follows:

§ 203.230 *Brandywine River, Del.; bridges*—(a) *Seventh Street bridge, Wilmington, Del.* * * *

(b) *Pennsylvania Railroad bridge above Seventh Street and Highway bridges at Church Street and Sixteenth Street, Wilmington, Del.* (1) The draws of these bridges need not be opened for the passage of vessels.

(2) The owners of or agencies controlling the bridges shall keep conspicuously posted on both the upstream and downstream sides of the respective bridges, in such manner that it can be easily read at any time, a copy of the regulations of this section.

[Regs., Dec. 5, 1956, 823.01 (Brandywine River, Del.)—ENGWO] (Sec. 5, 28 Stat. 362; 33 U. S. C. 499)

5. Pursuant to the provisions of section 7 of the River and Harbor act of August 8, 1917 (40 Stat. 266; 33 U. S. C. 1), § 207.186 establishing and governing the use and navigation of a seaplane restricted area in Galveston Bay, Texas, is hereby revoked, as follows:

§ 207.186 *Galveston Bay, Texas; seaplane restricted area.* [Revoked].

[Regs., Dec. 3, 1956, 800.2121 (Galveston Bay, Texas)—ENGWO] (Sec. 7, 40 Stat. 266; 33 U. S. C. 1)

6. Pursuant to the provisions of section 7 of the River and Harbor act of August 8, 1917 (40 Stat. 266; 33 U. S. C. 1), § 207.441 governing the security of St. Marys Falls Canal and Locks, Michigan, is hereby amended in respect to transit of vessels and the control of persons embarking and debarking from vessels and other minor changes, as follows:

§ 207.441 *St. Marys Falls Canal and Locks, Mich.; security*—(a) *Purpose and scope of the regulations.* The regulations in this section are prescribed as protective measures. They supplement the general regulations contained in § 207.440 the provisions of which shall remain in full force and effect except as modified by this section.

(b) *Restrictions on transit of vessels.* * * *

(2) All vessels commercially engaged in carrying passengers, including those of United States registry, except during daylight hours.

* * * * *

(c) *Personnel restrictions.* Masters of vessels are responsible for the conduct of crew and passengers while transiting St. Marys Falls Canal and Locks and for strict compliance with the regulations. The following procedures are established for the control of persons embarking or debarking from vessels while transiting the locks:

* * * * *

(2) *Personnel*—(i) *Embarking.* Personnel, including technicians, repairmen, and company officials will be permitted to embark at the locks if they are in possession of a letter addressed to the Area Engineer, St. Marys Falls Canal, Sault Ste. Marie, Michigan, from the vessel's master, the operators of the vessel, or the Lake Carriers' Association, requesting that the individual named therein be permitted to embark on a particular vessel. United States vessel personnel must also be in possession of a specially validated seaman's document issued by the United States Coast Guard. Their papers will be presented to the civilian guard on duty at the main gate on Portage Avenue who will arrange escort from the gate to the vessel. Luggage will be subject to inspection.

(ii) *Debarking.* The vessel master will furnish prior notification to the Chief Lockmaster at St. Marys Falls Canal Tower (Radio Call WUD–31) that he has vessel personnel, technicians, repairmen or company officials aboard for whom he requests authority to debark. If authority to debark is granted such personnel will be furnished a letter by the vessel master, addressed to the Area Engineer, St. Marys Falls Canal, Sault Ste. Marie, Michigan, giving the name and position of the individual concerned. Personnel will not debark until they have been properly identified by a licensed officer of the vessel and the letter furnished to the escort provided from the civilian guard detail who will escort personnel to the gate. In the event a person debarking for medical attention is a litter case, notification will be given sufficiently in advance to permit the Chief Lockmaster to route the vessel to the MacArthur Lock in order that the long carry over the lock gates may be avoided. The Area Engineer will make the necessary arrangements for clearance of ambulances and medical personnel into the lock area.

(3) No passengers or guest passengers will be permitted to embark or debark at St. Marys Falls Canal except in emergency when medical attention is required.

(4) Letters cited in subparagraph (2) of this paragraph are valid only for a single passage through the lock area. In the event frequent access to the area is required a request for extended access with reasons therefor will be submitted to the Area Engineer, St. Marys Falls Canal, Sault Ste. Marie, Michigan, who may arrange for the necessary clearance.

* * * * *

(d) *Inspection of vessels.* Immediately prior to arrival at the canal the master shall make or cause to be made by a licensed officer a special inspection of the ship. Such inspection shall include a check of the ship's officers on duty in accordance with paragraph (e) of § 207.440 and an examination of openings to all closed compartments, the

forepeak and afterpeak, blind hold, dunnage room, windlass room and chain lockers and examination of bolt fastenings for signs of any tampering. Masters of oil tankers shall, in addition to the preceding examinations, make or cause to be made by a licensed officer, a complete inspection of the tanker's fire fighting equipment to determine their being in proper operating condition, with particular emphasis on detection of any indication of sabotage or other tampering. Separate entry of such inspection shall be made in the ship's log.

(e) *Inspection flag.* (1) After making the inspection, a yellow flag three feet square showing a black ball in the center (International Signal Code "i") shall be displayed from the forward part of the ship to notify canal officials that all the above paragraphs (a) through (d) of this section have been complied with. The privileges of passing through the canal will be granted only when the flag is flown.

(2) Ships complying with the regulations and displaying the flag may be permitted to enter the canal at the discretion of the United States Coast Guard. The Coast Guard has authority to board vessels at any time for the purpose of making investigations or examination.

[Regs., Dec. 3, 1956, 800.93 (St. Marys River, Mich.)—ENGWO] (Sec. 7, 40 Stat. 266; 33 U. S. C. 1)

[SEAL] HERBERT M. JONES,
Major General, U. S. Army,
Acting The Adjutant General.

[F. R. Doc. 56-10336; Filed, Dec. 19, 1956; 8:45 a. m.]

TITLE 35—PANAMA CANAL

Chapter I—Canal Zone Regulations

PART 9—CUSTOMS SERVICE

IMPORTATIONS; CLASSES OF PERSONS TO WHOM APPROVAL MAY BE GRANTED

Pursuant to the authority vested in the Governor by section 61 of title 2 of the Canal Zone Code, § 9.14 as adopted by Governor's regulation of March 5, 1952, 17 F. R. 2389, is amended to read as follows:

§ 9.14 *Importations into Canal Zone; classes of persons to whom approval may be granted.* No article or merchandise of any kind shall be entered or imported into the Canal Zone, except from the Republic of Panama, by any person (including an individual, firm, association, partnership, or corporation) unless approval is obtained therefor from the Customs Service of the Canal Zone. Effective December 31, 1956, such approval shall not be granted (except with respect to items of baggage comprising personal effects of persons entering the Canal Zone) to any person other than those within one of the following classes:

(a) Persons who reside in the Canal Zone and have Canal Zone commissary purchase privileges, when the goods are intended for the use and benefit of themselves or members of their families;

(b) Members of the Armed Forces of the United States who reside or sojourn in the Republic of Panama during the performance of their service with the United States of America, and dependent members of their families actually residing with them, when the goods are intended for their own use and benefit;

(c) Citizens of the United States of America who are in the service or employ of an agency of the United States and who reside or sojourn in the Republic of Panama during the performance of their service with the United States of America, and dependent members of their families actually residing with them, when the goods are intended for their own use and benefit;

(d) Contractors in so far as concerns materials, supplies, and equipment necessary to the performance of contracts in the Canal Zone; and

(e) Private business enterprises conducting authorized operations from a seat in the Canal Zone, and religious, welfare, charitable, educational, recreational, and scientific organizations, in so far as concerns their activities exclusively in the Canal Zone.

(Sec. 1, 47 Stat. 813; 2 CZ Code 61, 48 U. S. C. 1325a)

Issued at Balboa Heights, Canal Zone, December 11, 1956.

[SEAL] W. E. POTTER,
Governor.

[F. R. Doc. 56-10344; Filed, Dec. 19, 1956; 8:46 a. m.]

TITLE 46—SHIPPING

Chapter I—Coast Guard, Department of the Treasury

Subchapter O—Regulations Applicable To Certain Vessels During Emergency

[CGFR 56-57]

PART 154—WAIVERS OF NAVIGATION AND VESSEL INSPECTION LAWS AND REGULATIONS [1]

DEEPER LOADING OF COASTWISE TANK SHIPS

The Deputy Secretary of Defense in a letter to the Secretary of the Treasury, dated December 12, 1956, requested a general waiver of navigation and vessel inspection laws of the United States, pursuant to the provisions of section 1 of the act of December 27, 1950 (64 Stat. 1120; 46 U. S. C. note prec. 1), to the extent necessary to permit the deeper loading of coastwise tank ships found suitable for such service.

The Secretary of Defense in an order dated August 5, 1955, and published in the FEDERAL REGISTER dated August 16, 1955 (20 F. R. 5953), gave to the Deputy Secretary of Defense a general delegation of authority to exercise powers of the Secretary of Defense upon any and all matters concerning which the Secretary of Defense is authorized to act pursuant to law. Accordingly, the request of the Deputy Secretary of Defense for a waiver order was granted.

The purpose for the following waiver order designated § 154.40, as well as 33 CFR 19.40, is to waive the navigation and vessel inspection laws and regulations issued pursuant thereto which are administered by the United States Coast Guard to the extent requested by the Deputy Secretary of Defense. It is hereby found that compliance with the Administrative Procedure Act respecting notice of proposed rule making, public rule making procedure thereof, and effective date requirements thereof, is impracticable and contrary to the public interest.

By virtue of the authority vested in me as Commandant, United States Coast Guard, by an order of the Acting Secretary of the Treasury, dated January 23, 1951, identified as CGFR 51-1, and published in the FEDERAL REGISTER dated January 26, 1951 (16 F. R. 731), the following waiver order is promulgated:

§ 154.40 *Deeper loading of coastwise tank ships.* (a) Pursuant to the request of the Deputy Secretary of Defense in a letter dated December 12, 1956, made under the provisions of section 1 of the act of December 27, 1950 (64 Stat. 1120; 46 U. S. C., note prec. 1), I hereby waive in the interest of national defense compliance with the provisions of the navigation and vessel inspection laws relating to the loading of coastwise tank ships, as well as the regulations issued thereunder and published in Part 43 of this chapter to the extent necessary to permit the operation of tank ships on coastwise voyages by permitting deeper loading of such tank ships when having been found suitable by the load line assigning authority and issued a special certificate authorizing operation at this increased draft.

(b) Tank ships subject to Part 43 of this chapter which are of sufficient strength and in suitable condition shall be permitted to load to the tropical load line in a summer zone or season on United States coastwise voyages. The seasonal freeboard of the loading port shall be taken as the freeboard for all zones covered by such coastwise voyage.

(c) The load line assigning authority shall be responsible for the determination as to the tank ship's strength, condition, and suitability for this increase in draft. A vessel which is not considered fully suitable for deeper loading shall not be granted authority to load deeper than permitted by law and regulations in Part 43 of this chapter. The load line assigning authority shall issue to each tank ship found to have the strength, condition, and suitability for deeper loading a special certificate authorizing such tank ship to engage in United States coastwide voyages at the increased draft indicated in the certificate.

(d) This waiver order shall remain in effect until terminated by proper authority and notice published in the FEDERAL REGISTER.

(64 Stat. 1120; 46 U. S. C., note prec. 1)

Dated: December 18, 1956.

[SEAL] A. C. RICHMOND,
Vice Admiral,
U. S. Coast Guard,
Commandant.

[F. R. Doc. 56-10388; Filed, Dec. 19, 1956; 8:52 a. m.]

[1] This is also codified in 33 CFR Part 19.

TITLE 47—TELECOMMUNICATION

Chapter I—Federal Communications Commission

[Docket No. 11843; FCC 56-1245]

[Rules Amdt. 16-10]

PART 16—LAND TRANSPORTATION RADIO SERVICES

FREQUENCIES AVAILABLE FOR BASE AND MOBILE STATIONS

In the matter of amendment of § 16.352 (a) of Part 16 of the Commission's rules governing land transportation radio services; Docket No. 11843.

At a session of the Federal Communications Commission held at its offices in Washington, D. C., on the 12th day of December 1956;

The Commission having under consideration amendment of its Railroad Radio Service Rules (Subpart H of Part 16) to provide for the utilization on a regular basis of frequencies in the band 159.51 to 161.79 Mc for transmission of tone signals for control purposes other than those for the establishment or maintenance of voice communications, on a basis secondary to other authorized transmissions; and

It appearing that the Commission on October 3, 1956, adopted a notice of proposed rule making in this matter which was published in the FEDERAL REGISTER on October 10, 1956 (21 F. R. 7741) in accordance with section 4 (a) of the Administrative Procedure Act; and

It further appearing that the period in which interested persons were afforded an opportunity to submit comments with respect thereto has expired; and

It further appearing that comments in support of the Commission's proposal have been filed by the Western Pacific Railroad Company, the Duluth, Missabe and Iron Range Railway Company and the Association of American Railroads and that no objection or adverse comments with respect to the above-mentioned proposal have been received; and

It further appearing that the public interest, convenience, and necessity will be served by the amendment herein ordered and that authority therefor is contained in sections 4 (i), 303 (b), (c), (k), and (r) of the Communications Act of 1934, as amended;

It is ordered, That effective January 18, 1957, § 16.352 (a) of Part 16 of the Commission's rules is amended as set forth below.

(Sec. 4, 48 Stat. 1066, as amended; 47 U. S. C. 154)

Released: December 14, 1956.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

Amend § 16.352 (a) to read as follows:

§ 16.352 *Frequencies available for base and mobile stations.* (a) Base and mobile radio stations used primarily for end-to-end, fixed point-to-train, or train-to-train communications in connection with the operation of railroad trains over a track or tracks extending through yards and between stations upon which trains are operated by timetable, train order, or both, or the use of which is governed by block signals may use the following frequencies:

Mc.	*Mc.*	*Mc.*	*Mc.*
159.51	160.11	160.71	163.31
159.57	160.17	160.77	161.37
159.63	160.23	160.83	161.43 [2]
159.69	160.29	160.89	161.49 [2]
159.75	160.35	160.95	161.55 [2]
159.81	160.41	161.01	161.61 [2]
159.87	160.47	161.07	161.67 [2]
159.93	160.53	161.13	161.73 [2]
159.99	160.59	161.19	161.79 [2]
160.05	160.65	161.25	161.85 [1 2]

These frequencies may also be used on a secondary basis (1) for intercommunication between adjacent base stations, provided interference is not caused to communications involving radio stations aboard railroad rolling stock; and (2) for transmission of tone signals for signaling and control purposes where a satisfactory showing of need therefor has been made in compliance with § 16.103 (b), provided interference is not caused to other stations licensed under this subpart.

[F. R. Doc. 56-10355; Filed, Dec. 19, 1956; 8:48 a. m.]

PROPOSED RULE MAKING

CIVIL AERONAUTICS BOARD

[14 CFR Parts 40, 41, 42, 43]

[Draft Release 56-31]

LANDING FLARE REQUIREMENTS

NOTICE OF PROPOSED RULE MAKING

Pursuant to authority delegated by the Civil Aeronautics Board to the Bureau of Safety Regulation, notice is hereby given that the Bureau will propose to the Board the adoption of amendments to Parts 40, 41, 42, and 43 of the Civil Air Regulations as hereinafter set forth.

Interested persons may participate in the making of the proposed rules by submitting such written data, views, or arguments as they may desire. Communications should be submitted in duplicate to the Civil Aeronautics Board, attention Bureau of Safety Regulation, Washington 25, D. C. In order to insure their consideration by the Board before taking further action on the proposed rules, communications must be received by February 25, 1957. Copies of such communications will be available after February 27, 1957, for examination by interested persons at the Docket Section of the Board, Room 5412, Department of Commerce Building, Washington, D. C.

The flare requirements of the Civil Air Regulations have been under study by the Bureau of Safety Regulation for some time. At the 1955 Annual Airworthiness Review formal proposals were made to the Bureau for the elimination of present flare requirements. In support of these proposals, statistics were presented regarding the use of flares for emergency purposes over a period of years. In addition, statistics were given citing a number of incidents in which flares had been inadvertently dropped from air carrier aircraft both while on the ground and while in flight. The Board's accident investigation records show five instances from January 1938 up to the present time in which flares were used in scheduled air carrier operations for emergency purposes. Four of these instances involved twin-engine aircraft and one involved a four-engine aircraft. The records indicate further that since 1947 no multiengine aircraft has been involved in the dropping of flares for emergency purposes.

Interested persons have expressed the view that present requirements for flares on transport type aircraft are antiquated, since the stalling speed and large turning radius of high speed airplanes now in operation or being developed are such as to prevent the utilization of the light provided by flares of three-minute duration. With respect to pilot skill required to land by the light of a flare, tests recently conducted in aircraft of less than 3500 pounds by the University of Illinois establish that a pilot needs a thorough briefing in the necessary procedures and some actual practice before he can expect to make a landing with reasonable safety by use of the minute-and-a-half or the one-minute-type flare.

The Bureau is cognizant of the fact that the military has determined that there is no need for the carriage of parachute landing flares in military transport type aircraft. It is also noted that, with respect to international air carrier operations, there are no requirements by ICAO for the carriage of parachute flares aboard aircraft.

Civil Air Regulations Draft Release No. 55-24 (20 F. R. 8580) (Air Taxi Certification and Operation Rules) and Civil Air Regulations Draft Release No. 56-2 (21 F. R. 630) (Scheduled Air Carrier Helicopter Certification and Operation Rules), which were recently circulated for comment, did not contain requirements for the carriage of flares. It is noted that there was no adverse comment with respect to the omission of the flare requirement in these proposed regulations.

The Bureau has received several recommendations from interested persons with respect to the present requirements for the carriage of flares. It has been recommended that a complete re-evaluation be made of the flare requirements in Part 43 for non-air-carrier operations and in Part 42 for air taxi and large aircraft operations. Another recommendation received proposes specific amendments to the Civil Air Regulations which

[1] Available for assignment in Chicago area only.

[2] In Puerto Rico and the Virgin Islands only, these frequencies are not available to stations operating in the Railroad Radio Service.

would limit the applicability of flare requirements to only air carriers engaged in operations over water. On the other hand, certain interested persons have expressed the view that landing flares are an essential part of air carrier emergency equipment, from which it may be inferred that they would be opposed to any proposal to delete the present flare requirements from the Civil Air Regulations.

In view of the improvements in modern aircraft, engine reliability, and engine-out performance requirements for multiengine aircraft, and considering the existing record on the use of flares, it appears that the present flare requirements contained in the Civil Air Regulations might be deleted without jeopardizing safety in flight. Therefore, without prejudging the issue, but for the purpose of obtaining the views of all interested persons to assist the Board in making a complete re-evaluation of existing flare requirements, the following proposal is circulated for comment.

In view of the foregoing, notice is hereby given that it is proposed to recommend to the Board the adoption of amendments to Parts 40, 41, 42, and 43 of the Civil Air Regulations deleting the landing flare requirements contained therein.

These amendments are proposed under the authority of Title VI of the Civil Aeronautics Act of 1938, as amended. The proposal may be changed in the light of comment received in response to this notice of proposed rule making.

(Sec. 205, 52 Stat. 984; 49 U. S. C. 425. Interpret or apply secs. 601–610, 52 Stat. 1007–1012, as amended; 49 U. S. C. 551–560)

Dated at Washington, D. C., December 14, 1956.

By the Bureau of Safety Regulation.

[SEAL] OSCAR BAKKE,
Director.

[F. R. Doc. 56–10370; Filed, Dec. 19, 1956; 8:51 a. m.]

FEDERAL COMMUNICATIONS COMMISSION

[47 CFR Part 1]

[Docket No. 11846; FCC 56–1243]

PRACTICE AND PROCEDURE

NOTICE OF PROPOSED RULE MAKING

In the matter of revision of Part 1 of the Commission's rules and regulations; Docket No. 11846.

At a session of the Federal Communications Commission held at its offices in Washington, D. C., on the 12th day of December 1956;

The Commission having under consideration the petition to amend notice of proposed rule making, filed by FCBA on December 5, 1956, requesting (a) that the Commission designate members of its staff to meet with the FCBA Committee on revision of Commission's rules for the purpose of amending, in part, the proposed rules and (b) to postpone the date for filing comments from December 17, 1956, to 20 days after publication of an amended notice of proposed rule making to be adopted by the Commission.

It appearing that written comments filed by some members of the FCBA as well as a recent panel discussion, arranged by the FCBA, in which staff members of the Commission participated, disclosed that there is in some areas a full agreement between the FCBA and the staff on certain changes to be made;

It further appearing that informal arrangement can and should be made between the FCBA and the General Counsel for the purpose of discussing the further changes, as far as they are felt to be advisable;

It further appearing that the issuance of a Further Notice of Proposed Rule Making would be useful after said changes have been made.

It further appearing that it would not be good practice to invite comments on both the presently proposed text and the text to be revised.

It is ordered, That the petition is denied as far as it requests a formal designation by the Commission of its staff members for the purpose of arriving at agreements with the FCBA Committee on the revision of the Commission's rules with respect to certain amendments of the proposed rules.

It is further ordered, That the General Counsel in his discretion make appropriate arrangements for further informal consultations with said FCBA Committee and/or individual members of the FCBA or of the public.

It is further ordered, That a further notice of proposed rule making be issued upon appropriate amendments of the presently proposed rules.

It is further ordered, That the date for filing of comments ending December 17, 1956 be indefinitely postponed, and that said further notice of proposed rule making will set a new date for filing comments on the proposed rules, as amended.

Released: December 17, 1956.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56–10356; Filed, Dec. 19, 1956; 8:48 a. m.]

[47 CFR Part 3]

[Docket Nos. 11747 etc.; FCC 56–1247]

TELEVISION BROADCAST STATIONS; TABLE OF ASSIGNMENTS

ORDER EXTENDING TIME FOR REPLY COMMENTS

In the matter of amendment of § 3.606 *Table of assignments,* Television Broadcast Stations; (Springfield, Illinois-St. Louis, Missouri; Hartford, Connecticut-Providence, Rhode Island; Peoria, Illinois-Davenport, Iowa-Rock Island-Moline, Illinois; Norfolk-Portsmouth-Newport News, Virginia-New Bern, North Carolina; Albany-Schenectady-Troy, Vail Mills, New York; New Orleans, Louisiana-Mobile, Alabama; Charleston, South Carolina; Madison, Wisconsin; Duluth, Minnesota-Superior, Wisconsin; Miami, Florida; Evansville, Indiana; Elmira, New York; Fresno-Santa Barbara, California and Columbia, South Carolina); Docket Nos. 11747, 11748, 11749, 11750, 11751, 11752, 11753, 11754, 11755, 11756, 11757, 11758, 11759, 11799.

At a session of the Federal Communications Commission held at its Offices in Washington, D. C., on the 12th day of December 1956;

The Commission having before it for consideration a petition filed by nine law firms, counsel for parties in one or more of the above-entitled proceedings, requesting an extension of time to January 7, 1957 (20 days), or December 28, 1956 (10 days), within which to file Reply Comments in these proceedings;

In support of their request petitioners note that voluminous comments have been filed in these proceedings, many containing elaborate engineering showings; that many of the comments advance for the first time counterproposals suggesting channel changes not included in the notices of proposed rule making; that in a number of the proceedings the comments reveal conflicts as to engineering and other factual matters; that the reply comments in the 14 separate proceedings are due on the same date, thus placing an extraordinarily heavy burden on engineering and legal counsel; that in numerous instances, counsel desiring to file Replies were unable to obtain copies of the comments for several days after they were filed; and that in view of the foregoing, the present time for filing reply comments is inadequate. Petitioners request that the time for filing reply comments be extended for a period of 20 days but state that if the Commission considers that the urgency of this proceeding will not permit an extension for that period, a 10 day extension is suggested. Petitioners indicate that six additional law firms representing parties in a number of proceedings have indicated they would have no objection to a grant of the requested extension.

The Commission has concluded that the public interest would be served by extending the time for filing Reply Comments in the above entitled proceedings for a period of 10 days.

It is ordered, That the time for filing Reply Comments in the above-entitled proceedings is extended from December 18, 1956, to December 28, 1956.

Released: December 17, 1956.

FEDERAL COMMUNICATIONS COMMISSION,[1]
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56–10357; Filed, Dec. 19, 1956; 8:48 a. m.]

[47 CFR Part 5]

[Docket No. 11891; FCC 56–1238]

EXPERIMENTAL RADIO SERVICES

CONELRAD PLAN

In the matter of amendment to Part 5 of the Commission's rules and regula-

[1] Commissioners Bartley and Lee dissenting in opinion.

tions to effectuate the Commission's CONELRAD Plan for the Experimental Radio Services; Docket No. 11891.

1. The Commission has before it the approved CONELRAD Plan for the Experimental Radio Services. This plan was developed in cooperation with the Department of Defense, the Office of Defense Mobilization and other government agencies. In order to put this plan into effect it is necessary to amend Part 5 of the Commission's rules and regulations as set forth below.

2. This proposed amendment is promulgated by authority of sections 303 (r) and 606 (c) of the Communications Act of 1934 as amended, and Executive Order No. 10312 signed by the President December 10, 1951.

3. Any interested party who is of the opinion that the proposed amendment should not be adopted or should not be adopted in the form set forth herein may file on or before January 8, 1957, a written statement or brief setting forth his comments. Comments in support of the proposed amendment may also be filed on or before the same date. Comments or briefs in reply to original comments may be filed within one week from the last day for filing said original comments or briefs. No additional comments may be filed unless (1) specifically requested by the Commission, or (2) good cause for the filing of such additional comments is established. The Commission will consider all such comments that are submitted before taking action in this matter and, if any comments appear to warrant the holding of a hearing or oral argument, a notice of the time and place of such hearing or oral argument will be given.

4. In accordance with the provisions of section 1.764 of the Commission's rules and regulations, an original and 14 copies of all statements, briefs or comments shall be furnished the Commission.

Adopted: December 12, 1956.

Released: December 14, 1956.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

It is proposed to amend Part 5 of the Commission's rules by adding the following new subpart:

SUBPART G—CONELRAD

Sec.
5.301 Scope and objective.
5.302 Alerting.
5.303 Operation during a CONELRAD Radio Alert.
5.304 Special conditions.
5.305 Radio All Clear.
5.306 Tests.
5.307 Record entries.

§ 5.301 *Scope and objective.* (a) This subpart applies to all radio stations licensed by the Federal Communications Commission in the Experimental Radio Services located within the continental United States and is for the purpose of providing for the alerting and operation of radio stations in these services during periods of air attack or imminent threat thereof. (As used in this subpart, the term "licensed by" includes every form of authority issued by the Federal Communications Commission pursuant to which a radio station may be operated, including construction permits, station licenses, temporary authorizations, etc.)

(b) The objective of this subpart is to minimize the navigational aid that an enemy might obtain from the electromagnetic radiations from radio stations in the Experimental Radio Services, while simultaneously providing for a continued radio service under controlled conditions when such operation is essential to the public welfare.

§ 5.302 *Alerting.* (a) Licensees of radio stations in the Experimental Radio Services are responsible for making provisions to receive the CONELRAD Radio Alert and CONELRAD Radio All Clear.

(b) The CONELRAD Radio Alert will be initiated by the Commanding Officer of the Air Division (Defense) or higher military authority.

(c) Experimental Radio Service mobile radio systems, including fixed stations associated therewith and fixed service systems where applicable, may, if desired, be alerted at a single point, normally the control point or the control center. The control point thus receiving the CONELRAD Radio Alert will be responsible for the dissemination of the CONELRAD Radio Alert to all stations integrated into the radio system or systems, and for insuring that all associated stations execute CONELRAD requirements immediately.

(d) The CONELRAD Radio Alert for the Experimental Radio Services may be received by one or more of the methods outlined in this paragraph:

(1) By monitoring any standard, FM or TV broadcast station by aural or automatic means, to receive the CONELRAD Radio Alert.

(2) By monitoring the appropriate distress frequency (500 kc, A2 emissions or 2182 kc, A3 emissions).

(3) By notification of the CONELRAD Radio Alert from an Air Defense Warning Network or extension thereof. If no CONELRAD Radio Alert is transmitted Experimental Radio stations must comply with CONELRAD operating requirements upon receipt of Air Defense Warning Yellow. If neither a CONELRAD Radio Alert nor Air Defense Warning Yellow is received, Experimental radio stations must comply with CONELRAD operating requirements upon receipt of an Air Defense Warning Red.

(4) By notification of the CONELRAD Radio Alert (or Warning Yellow or Warning Red if no CONELRAD Radio Alert is transmitted) by telephone or other means from any point that has received the alert as in subparagraph (1), (2) or (3) of this paragraph.

(5) Radio station licensees desiring to receive the CONELRAD Radio Alert by a means not covered by subparagraph (1), (2), (3) or (4) of this paragraph, may request authority from the Secretary, Federal Communications Commission to receive the Alert in another manner. The request must explain why the methods described in subparagraph (1), (2), (3) or (4) of this paragraph are not suitable and must fully describe the proposed method for receiving the Alert.

NOTE: Every standard, FM and TV broadcast station will be notified of the CONELRAD Radio Alert by telephone calls or by radio broadcasts. Immediately upon receipt of the Radio Alert each standard, FM and TV broadcast station will proceed as follows on its normally assigned frequency:

(i) Discontinue the normal program.

(ii) Cut the transmitter carrier for approximately five seconds. (Sound carrier only for TV stations.)

(iii) Return carrier to the air for approximately five seconds.

(iv) Cut the transmitter carrier for approximately five seconds.

(v) Return carrier to the air.

(vi) Broadcast 1,000 cycle (approximately) steady state tone for fifteen seconds.

(vii) Broadcast the CONELRAD Radio Alert message as follows: "We interrupt our normal program to cooperate in security and Civil Defense measures as requested by the United States Government. This is a CONELRAD Radio Alert. Normal broadcasting will now be discontinued for an indefinite period. Civil Defense information will be broadcast in most areas at 640 and 1240 on your regular radio receiver."

(viii) The CONELRAD Radio Alert message will then be repeated.

NOTE: (i) Through (vi) above is for the purpose of attracting the listener's attention, or, if desired, to operate an automatic alert receiver or warning device. CAUTION: (i) through (vi) above is a warning that a Radio Alert may follow; the actual Radio Alert signal is the spoken word in the form of the CONELRAD Radio Alert message. The CONELRAD Radio Alert message as set forth in (vii) above is worded in a manner suitable for reception by the public; however, the message is also the CONELRAD Radio Alert. When this CONELRAD Radio Alert message is received, all licensees must immediately comply with the CONELRAD operating procedure. The precise CONELRAD Radio Alert message above, will be broadcast only in the event of an actual Alert. In the event of a CONELRAD test or drill, broadcast stations will make an announcement that a test or drill is taking place.

(e) Base, fixed and mobile stations in the Experimental Radio Services not directly receiving the CONELRAD Radio Alert must use caution in returning to the air after an "out of service" period, to insure that a CONELRAD Radio Alert is not in progress before making any transmissions.

§ 5.303 *Operation during a CONELRAD Radio Alert.* (a) Radio stations in the Experimental Radio Services, upon receipt of a CONELRAD Radio Alert, will interrupt any communications in progress, leave the air and maintain radio silence for the duration of the CONELRAD Radio Alert, except for transmissions handled in accordance with the following restrictions unless otherwise ordered by the Federal Communications Commission:

(1) No transmissions shall be made unless they are of an emergency nature affecting the national safety or the safety of people and property.

NOTE: Transmissions involving the relaying of the CONELRAD Radio Alert may be made under the authority of this section. Transmissions not immediately necessary must be withheld until the CONELRAD Radio All Clear is issued.

(2) All transmissions shall be as short as possible and the stations' carrier shall be removed from the air during periods of no message or intelligence transmission.

(3) No station identification shall be given either by announcement of regularly assigned call signals or by announcement of geographical location. If identification is necessary to carry on the service, the use of special identifiers will be authorized.

§ 5.304 *Special conditions.* (a) Licensees of radio stations or systems in the Experimental Radio Services, who for technical or operational reasons, believe that compliance with § 5.303 is not feasible or practicable, may request a waiver of § 5.303. Such requests must be made by letter to the Secretary, Federal Communications Commission stating why § 5.303 cannot be complied with. The Federal Communications Commission upon investigation may modify the CONELRAD operating requirements of the station or system if it is found to be essential to the defense of the nation or the public welfare.

(b) Stations licensed in the Experimental Radio Services which are an integral part of another service may be operated in accordance with the CONELRAD rules for the other service.

§ 5.305 *Radio All Clear.* The CONELRAD Radio All Clear will be initiated only by the Air Division (Defense) Commander or higher military authority and will be disseminated over the same channels as the CONELRAD Radio Alert. Radio stations and systems licensed in the Experimental Radio Services may resume normal operation when the CONELRAD Radio All Clear message is received unless otherwise restricted by order of the Federal Communications Commission.

§ 5.306 *Tests.* (a) Tests of the CONELRAD alerting and operating systems may be conducted at appropriate intervals. Stations not normally in operation during the period of a test will not be required to take part.

(b) Tests of the CONELRAD operating system will not require Experimental radio stations to close down and will be conducted in a manner that will not interfere with normal transmissions.

(c) Reports of the results of such tests may be required in a form to be prescribed by the Commission.

§ 5.307 *Record entries.* Appropriate entries of all CONELRAD tests and operations shall be made in the station records.

[F. R. Doc. 56-10358; Filed, Dec. 19, 1956; 8:49 a. m.]

FEDERAL RESERVE SYSTEM

[12 CFR Part 222]

BANK HOLDING COMPANIES

FORM F. R. Y-6; ANNUAL REPORT

The Board of Governors of the Federal Reserve System is considering the adoption of a form (Form F. R. Y-6) [1] to be used by bank holding companies in submitting their annual reports to the Board of Governors pursuant to section 5 (c) of the Bank Holding Company Act of 1956 and § 222.8 of this part.

This notice is published pursuant to section 4 of the Administrative Procedure Act and section 2 of the Rules of Procedure of the Board of Governors of the Federal Reserve System (12 CFR 262.2).

To aid in the consideration of this matter the Board will be glad to receive from interested persons any relevant data, views, or arguments. Although such material may be sent directly to the Board it is preferable that it be sent to the Federal Reserve Bank of the district which will forward it to the Board to be considered. All such material should be submitted in writing to be received not later than January 9, 1957.

BOARD OF GOVERNORS OF THE FEDERAL RESERVE SYSTEM,
[SEAL] S. R. CARPENTER,
Secretary.

[F. R. Doc. 56-10372; Filed, Dec. 19, 1956; 8:51 a. m.]

[1] Filed as part of the original document. Copies available upon request to the Board of Governors of the Federal Reserve System, Washington 25, D. C., or to any Federal Reserve Bank.

NOTICES

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

ALASKA

NOTICE OF PROPOSED WITHDRAWAL AND RESERVATION OF LANDS

The Department of Air Force has filed an application, Serial No. Fairbanks 013010, for the withdrawal of the lands described below, from all forms of appropriation under the public land laws including the mining and mineral leasing laws.

The applicant desires the land for construction of a Tactical Air-Navigational (TACAN) facility.

For a period of 60 days from the date of publication of this notice, persons having cause may present their objections in writing to the undersigned official of the Bureau of Land Management, Department of the Interior, Box 480, Anchorage, Alaska.

If circumstances warrant it, a public hearing will be held at a convenient time and place, which will be announced.

The determination of the Secretary on the application will be published in the FEDERAL REGISTER. A separate notice will be sent to each interested party of record.

The lands involved in the application are:

NORTHWAY, ALASKA

Commencing at Corner No. 5 of U. S. Survey No. 2630, Northway, Alaska, thence S. 30° 00' W. 1,569.19 feet to the point of beginning; thence S. 60° 00' E. 1,786.63 feet, thence S. 30° 00' W. 2,000 feet, thence N. 60° 00' W. 1,786.63 feet, thence N. 30° 00' E. 2,000 feet to the point of beginning, and containing 82.03 acres more or less.

VIRGIL O. SEISER,
Acting Operations Supervisor.

[F. R. Doc. 56-10339; Filed, Dec. 19, 1956; 8:45 a. m.]

ALASKA

NOTICE OF PROPOSED WITHDRAWAL AND RESERVATION OF LANDS

The Department of Army has filed an application, Serial No. Anchorage 032563, for the withdrawal of the lands described below, from all forms of appropriation under the public land laws, including the mining and mineral leasing laws.

The applicant desires the land for use as a communication repeater site.

For a period of 60 days from the date of publication of this notice, persons having cause may present their objections in writing to the undersigned official of the Bureau of Land Management, Department of the Interior, Box 480, Anchorage, Alaska.

If circumstances warrant it, a public hearing will be held at a convenient time and place, which will be announced.

The determination of the Secretary on the application will be published in the FEDERAL REGISTER. A separate notice will be sent to each interested party of record.

The lands involved in the application are:

GLENNALLEN AREA

Beginning at the intersection of the centerline of the Glenn Highway with the west line of the Alaska Fire Control Service Patrol Station Site, as established by Executive Order No. 9085, dated March 4, 1942; thence N. 0° 03' W. 750 feet; thence east 412.50 feet; thence S. 0° 03' E. 816.94 feet; thence N. 80° 47' W. along the centerline of the Glenn Highway for a distance of 417.95 feet to the Point of Beginning and containing 7.44 acres, more or less.

VIRGIL O. SEISER,
Acting Operations Supervisor.

[F. R. Doc. 56-10340; Filed, Dec. 19, 1956; 8:45 a. m.]

ALASKA

NOTICE OF PROPOSED WITHDRAWAL AND RESERVATION OF LANDS

The Bureau of Land Management has filed an application, Serial No. Anchorage 031644, for the withdrawal of the lands described below, from all forms of appropriation under the public land laws including the mining laws but not the mineral leasing laws nor the provisions of the Materials Act.

The applicant desires the land for public recreation purposes.

For a period of 60 days from the date of publication of this notice, persons having cause may present their objections in writing to the undersigned official of the Bureau of Land Management, Department of the Interior, Box 480, Anchorage, Alaska.

If circumstances warrant it, a public hearing will be held at a convenient time and place, which will be announced.

The determination of the Secretary on the application will be published in the FEDERAL REGISTER. A separate notice will be sent to each interested party of record.

The lands involved in the application are:

KENAI PENINSULA

SEWARD MERIDIAN

1. T. 6 N., R. 11 W.,
   Section 31: Lots 11, 12, 35, 51, 73, 74, 91, 92, 113, 114, 132; Lots 143–164 inclusive; Lots 175–189 inclusive.
   Containing 54.36 acres.
2. T. 5 N., R. 11 W.,
   Section 4: Lot 6 (excepting 3.42 acres included in a reserve created for the Department of the Army as a dock site by Public Land Order No. 1035 dated December 13, 1954);
   Section 15: Lots 6 and 8;
   Section 24; Lot 1.
   Containing 89.69 acres.
3. T. 5 N., R. 9 W.,
   Section 22: Lot 3.
   Containing 27.50 acres.
4. T. 4 N., R. 12 W.,
   Section 24: Lot 13.
   Containing 3.41 acres.
5. T. 2 N., R. 12 W.,
   Section 29: Lot 1.
   Containing 36.06 acres.
6. T. 1 S., R. 14 W.,
   Section 34: Lots 13, 14, 15, and 16; NW¼NW¼NE¼SW¼.
   Containing 11.37 acres.
7. T. 2 S., R. 14 W.,
   Section 4: Lot 5.
   Containing 44.38 acres.

BIG LAKE AREA

SEWARD MERIDIAN

8. T. 17 N., R. 4 W.,
   Section 27: Lot 25;
   Section 35: Lots 16 and 33;
   Section 25: Lot 11.
   Containing 6.71 acres.

SOUTHEASTERN ALASKA

PENNOCK ISLAND

9. U. S. Survey No. 3316: Lot 7.
   Containing 1.65 acres.
10. U. S. Survey No. 2990: Lot 17A.
    Containing 1.34 acres.

Total of 10 sites aggregating 276.47 acres.

VIRGIL O. SEISER,
Acting Operations Supervisor.

[F. R. Doc. 56–10341; Filed, Dec. 19, 1956; 8:45 a. m.]

UTAH

RESTORATION ORDER UNDER FEDERAL POWER ACT

DECEMBER 14, 1956.

Pursuant to determinations DA–111–Utah and DA–117–Utah, of the Federal Power Commission, and in accordance with Order No. 541, section 2.5, of the Director, Bureau of Land Management, approved April 21, 1954 (19 F. R. 2473–2476) it is ordered as follows:

The lands hereinafter described, so far as they are withdrawn and reserved for power purposes, are hereby restored from the power site reserves and classification to the extent necessary to permit the State Highway Commission of Utah to construct, improve, and realign proposed and existing highways, subject to the provisions of section 24 of the Federal Power Act of June 10, 1920 (41 Stat. 1075; 16 U. S. C. 818), as amended.

SALT LAKE MERIDIAN

T. 16 S., R. 7 E.,
  Sec. 26: SW¼NW¼, E½SW¼;
  Sec. 35: N½NE¼, NE¼NW¼.
T. 25 S., R. 21 E.,
  Sec. 18: Lot 4, SE¼SW¼, SW¼SE¼;
  Sec. 19: N½NE¼, SE¼NE¼, NE¼NW¼;
  Sec. 20: SE¼NE¼, S½NW¼, N½S½;
  Sec. 21: N½SW¼, SE¼SW¼, SW¼SE¼;
  Sec. 27: NW¼NW¼;
  Sec. 28: E½NE¼.

The lands in T. 16 S., R. 7 E., are in Utah grazing district No. 7 and are withdrawn in Power Site Reserve No. 363, approved May 27, 1913, and also pursuant to the filing on March 29, 1922, of an application for preliminary permit for proposed water-power Project No. 290.

The lands in T. 25 S., R. 21 E., are in Utah grazing district No. 9. The greater part is within Power Site Reserve No. 34 of July 30, 1909 (made permanent by Executive Order of July 2, 1910) as construed by Interpretation No. 95 dated April 9, 1927. The remainder is in Power Site Classification No. 377, approved April 10, 1946.

This restoration is limited to the purpose stated above and does not restore the land to disposition under the public land laws, and is, therefore, not subject to the provisions contained in the act of September 27, 1944 (58 Stat. 747; 43 U. S. C. 279–284), as amended, granting preference rights to veterans of World War II and others.

Inquiries concerning these lands shall be addressed to the Manager, Land Office, Post Office Box No. 777 or Room 312, Federal Building, Salt Lake City, Utah.

VAL B. RICHMAN,
Acting State Supervisor.

[F. R. Doc. 56–10342; Filed, Dec. 19, 1956; 8:45 a. m.]

DEPARTMENT OF COMMERCE

Federal Maritime Board

RAILWAY EXPRESS AGENCY, INC., AND NIPPON EXPRESS CO., LTD.

NOTICE OF AGREEMENTS FILED FOR APPROVAL

Notice is hereby given that the following described agreements have been filed with the Board for approval pursuant to section 15 of the Shipping Act, 1916, 39 Stat. 733, 46 U. S. C. 814.

(1) Agreement No. 8161, between Railway Express Agency, Incorporated, and Nippon Express Company, Limited, provides for the transportation of property from points in the United States to points in Japan under through bills of lading of Railway Express and from points in Japan to points in the United States under through bills of lading of Nippon Express.

(2) Agreement No. 8161–1 modifies Agreement No. 8161 (described above) to provide that Agreement No. 8161 shall not become effective until approved by the Board, and that there shall be filed with the Board all agreed rates and charges, notice of cancellation of the agreement, and any notice of any assignment of the agreement by either party and a copy of any assignment agreement.

Interested parties may inspect these agreements and obtain copies thereof at the Regulation Office, Federal Maritime Board, Washington, D. C., and may submit, within 20 days after publication of this notice in the FEDERAL REGISTER, written statements with reference to either of the agreements and their position as to approval, disapproval, or modification, together with request for hearing should such hearing be desired.

By order of the Federal Maritime Board.

Dated: December 14, 1956.

[SEAL] GEO. A. VIEHMANN,
Assistant Secretary.

[F. R. Doc. 56–10366; Filed, Dec. 19, 1956; 8:50 a. m.]

Office of the Secretary

ROGER H. MARTIN

STATEMENT OF CHANGES IN FINANCIAL INTERESTS

In accordance with the requirements of section 710 (b) (6) of the Defense Production Act of 1950, as amended, and Executive Order 10647 of November 28, 1955, the following changes have taken place in my financial interests as reported in the FEDERAL REGISTER of January 7, 1956, 21 F. R. 163 and June 30, 1956, 21 F. R. 4894.

A. Deletions: No change.
B. Additions: No change.

This statement is made as of December 12, 1956.

Dated: December 12, 1956.

ROGER H. MARTIN.

[F. R. Doc. 56–10352; Filed, Dec. 19, 1956; 8:47 a. m.]

JOHN ROBERT JONES

STATEMENT OF CHANGES IN FINANCIAL INTERESTS

In accordance with the requirements of section 710 (b) (6) of the Defense Production Act of 1950, as amended, and Executive Order 10647 of November 28, 1955, the following changes have taken place in my financial interests as reported in the FEDERAL REGISTER of July 13, 1956, 21 F. R. 5240.

A. Deletions: None.
B. Additions: None.

This statement is made as of December 14, 1956.

Dated: December 14, 1956.

JOHN ROBERT JONES.

[F. R. Doc. 56–10353; Filed, Dec. 19, 1956; 8:48 a. m.]

FEDERAL POWER COMMISSION

[Docket No. G–1148 etc.]

PHILLIPS PETROLEUM CO.

ORDER CONSOLIDATING PROCEEDINGS

In the matters of Phillips Petroleum Company, Docket No. G–1148; Phillips Petroleum Company, Docket Nos. G–3175, G–4333, G–6621, G–7773, G–8623, G–8695, G–8883, G–10359, G–10793, G–10883, G–11125 and G–11217.

By order issued in Docket No. G–11217 on October 10, 1956, the Commission suspended certain proposed changes in rates filed by Phillips Petroleum Company (Phillips) for sales of gas to El Paso Natural Gas Company (El Paso) under the following designated filings:

Rate Schedule Description and Effective Date

Supplement No. 19 to Applicant's FPC Gas Rate Schedule No. 32; October 11, 1956.
Supplement No. 8 to Applicant's FPC Gas Rate Schedule No. 64; October 11, 1956.
Supplement No. 6 to Applicant's FPC Gas Rate Schedule No. 243; October 11, 1956.
Supplement No. 5 to Applicant's FPC Gas Rate Schedule No. 7; October 11, 1956.

In its said order the Commission provided that a public hearing be held concerning the lawfulness of the proposed changes in rates thereby suspended. On November 26, 1956, Phillips filed a motion requesting that the proceedings in Docket No. G–11217 be consolidated for hearing with the proceedings in Docket No. G–1148, et al.[1]

On December 5, 1956, El Paso filed in Docket No. G–11217 a motion opposing consolidation of that proceeding with the proceedings in Docket Nos. G–1148, et al. In its said motion, El Paso avers, inter alia, that it is not a party to the proceeding in Docket No. G–1148; that such proceeding does not involve El Paso; and that if the proceeding in Docket No. G–11217 is consolidated with the proceedings in Docket Nos. G–1148, et al., it will require El Paso to participate in many hearings involving matters as to which it has no interest and will require much unnecessary time and expense on the part of El Paso.

The record in the consolidated proceedings in Docket Nos. G–1148, et al. shows that on October 31, 1956, El Paso filed a motion for leave to intervene therein based upon the representations, among others, that El Paso obtains a substantial part of its natural gas supply from Phillips; that El Paso has an interest in the proceedings in Docket Nos. G–1148, et al. which may be directly affected and which is not adequately represented by existing parties; and, that it is in the public interest for El Paso to intervene and participate in the proceedings in Docket Nos. G–1148, et al.

On November 29, 1956, the Commission issued its order permitting El Paso to intervene and participate in the consolidated proceedings in Docket Nos. G–1148, et al. as sought by its said petition for leave to intervene theretofore filed on October 31, 1956.

Upon consideration of all of the foregoing facts, it is concluded that the grounds relied upon by El Paso in its said motion opposing consolidation afford no legal basis for the granting of such motion.

It appears that those sales and deliveries of gas made by Phillips which are in issue in Docket No. G–11217 involve questions of law and fact interrelated with those inherent in the matters involved and the issues presented in Docket Nos. G–1148, et al.

The Commission finds:

(1) It is appropriate and in the public interest in carrying out the provisions of the Natural Gas Act and good cause exists to consolidate the proceedings in Docket No. G–11217 with the proceedings in Docket Nos. G–1148, et al. for the purpose of hearing.

(2) The motion opposing consolidation filed by El Paso in Docket No. G–11217 should be denied.

The Commission orders:

(A) The proceeding in Docket No. G–11217 be and it hereby is consolidated with the proceedings in Docket Nos. G–1148, G–3175, G–4333, G–6621, G–7773, G–8623, G–8695, G–10793, G–8883, G–10359, G–10883, and G–11125 for the purpose of hearing.

(B) A hearing in the above-designated proceedings, as previously consolidated, was held on June 26 and 27, on October 30, and on December 3, 1956. The said hearing is now scheduled to resume on December 17, 1956, at 10:00 a. m., e. s. t., in a hearing room of the Federal Power Commission, 441 G Street NW., Washington, D. C., and will concern the matters involved and the issues presented in each of the above-designated proceedings, including the proceeding hereby consolidated.

(C) The motion opposing consolidation filed in the proceeding in Docket No. G–11217 by El Paso Natural Gas Company on December 5, 1956, is denied.

Issued: December 14, 1956.

By the Commission.

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 56–10343; Filed, Dec. 19, 1956; 8:45 a. m.]

[1] By orders heretofore issued on May 28, 1956, July 25, 1956, and October 24, 1956, the following proceedings were consolidated for the purpose of hearing: Docket Nos. G–1148, G–3175, G–4333, G–6621, G–7773, G–8623, G–8695, G–8883, G–10359, G–10793, G–10883, and G–11125.

FEDERAL COMMUNICATIONS COMMISSION

[Docket No. 11786 etc.; FCC 56M–1145]

WEST SHORE BROADCASTING CO. ET AL.

ORDER CONTINUING CONFERENCE AND HEARING

In re applications of Samuel Babbit, Saul Dresner, Leonard Wechsler, Alfred Dresner, Fred Schottland and Robert Gessner, d/b as West Shore Broadcasting Company, Beacon, New York, Docket No. 11786, File No. BP–9821; The Westport Broadcasting Company, Westport, Connecticut, Docket No. 11787, File No. BP–9972; James W. Miller, Milford, Connecticut, Docket No. 11788, File No. BP–10500; for construction permits.

The Hearing Examiner having under consideration a "motion for continuance" filed by counsel James W. Miller on December 13, 1956;

It appearing that counsel for the other two applicants and the Broadcast Bureau have no objection to the relief requested in the motion;

It is ordered, This 14th day of December 1956, that the motion is granted, and that:

1. The date for the exchange of data among the engineers (Tr. 17) is extended from December 17, 1956, to January 14, 1957.

2. The date for the informal engineering conference (Tr. 17) is continued from January 3 to no later than January 31, 1957.

3. The date for the exchange of affirmative written cases is extended from January 10 to February 7, 1957.

4. The date for the further conference is continued from January 22 to February 19, 1957.

5. The date for the beginning of the evidentiary hearing is continued from February 13 to March 13, 1957.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56–10359; Filed, Dec. 19, 1956; 8:49 a. m.]

[Docket No. 11834; FCC 56M–1140]

SEACO, INC.

ORDER SCHEDULING PREHEARING CONFERENCE

In the matter of Seaco, Inc., Orlando, Florida, Docket No. 11834; order to show cause why the licenses for special industrial radio stations KIK 385 and KC 7607 should not be revoked, or, in the alternative, why a cease and desist order should not be issued against the licensee of said stations.

It is ordered, This 13th day of December 1956, that the pre-hearing conference previously scheduled for November 7, 1956, and thereafter continued without date will be held at the offices of the Commission in Washington, D. C., on January 3, 1957, at 10 a. m.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56–10360; Filed, Dec. 19, 1956; 8:49 a. m.]

[Docket No. 11852; FCC 56M–1137]

RICHARD F. LEWIS, JR., INC.

ORDER SCHEDULING PREHEARING CONFERENCE AND ADVANCING DATE OF HEARING

In re application of Richard F. Lewis, Jr., Incorporated, of Mount Jackson, Virginia (WSIG), Mount Jackson, Virginia, Docket No. 11852, File No. BP–10510; for construction permit to increase power and to make other changes.

The Hearing Examiner having under consideration the above-entitled proceeding;

It is ordered, This 12th day of December 1956, that all parties, or their attorneys, are directed to appear for a prehearing conference, pursuant to the provisions of § 1.813 of the Commission's rules, at the Commission's offices in Washington, D. C., at 10:00 o'clock a. m., January 4, 1957, and the hearing now scheduled to commence on January 16, 1957, is hereby set for January 14, 1957.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56-10361; Filed, Dec. 19, 1956; 8:49 a. m.]

[Docket Nos. 11854, 11855; FCC 56M-1138]

DONALD LEWIS HATHAWAY AND CASPER MOUNTAIN TELEVISION CORP.

ORDER CONTINUING HEARING CONFERENCE

In re applications of Donald Lewis Hathaway, Casper, Wyoming, Docket No. 11854, File No. BPCT-2105; The Casper Mountain Television Corporation, Casper, Wyoming, Docket No. 11855, File No. BPCT-2130; for construction permits for new television stations (Channel 6).

The Hearing Examiner having under consideration a joint petition filed December 12, 1956, wherein both applicants request that the further pre-hearing conference in the above-entitled proceeding be continued until January 8, 1957; and

It appearing that there are no objections to the granting of said petition or to immediate consideration thereof;

It is ordered, This the 12th day of December 1956, that the petition for continuance is granted and the pre-hearing conference now scheduled to begin December 12, 1956, is continued until January 8, 1957, beginning at 10:00 a. m., in the offices of the Commission, Washington, D. C.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56-10362; Filed, Dec. 19, 1956; 8:49 a. m.]

[Docket Nos. 11886, 11887; FCC 56-1232]

VOLUSIA COUNTY BROADCASTING CORP. AND C. H. PACKHAM

ORDER DESIGNATING APPLICATIONS FOR CONSOLIDATED HEARING ON STATED ISSUES

In re applications of Volusia County Broadcasting Corporation, Daytona Beach, Florida, Docket No. 11886, File No. BP-10,396; C. H. Packham, Ormond, Florida, Docket No. 11887, File No. BP-10,572; for construction permits.

At a session of the Federal Communications Commission held at its offices in Washington, D. C., on the 12th day of December 1956;

The Commission having under consideration the above-captioned applications of the Volusia County Broadcasting Corporation, File No. BP-10,396, and C. H. Packham, File No. BP-10,572, each for a construction permit for a new standard broadcast station to operate on 1380 kilocycles with a power of 1 kilowatt, daytime only, at Daytona Beach and Ormond, Florida, respectively; and

It appearing that both applicants are legally, technically, financially and otherwise qualified, except as may appear from the issues specified below, to construct and operate their proposed stations, but that operation of both stations as proposed would result in mutually destructive interference; and that it has not been determined whether the antenna structure proposed by Volusia County Broadcasting Corporation would create a hazard to air navigation; and

It appearing that pursuant to section 309 (b) of the Communications Act of 1934, as amended, the instant applicants were advised by letter dated July 13, 1956 of the aforementioned deficiencies and that the Commission was unable to conclude that a grant of either application would be in the public interest; and

It further appearing that both applicants filed timely replies; and

It further appearing that in a letter dated October 8, 1956, the Commission requested the Volusia County Broadcasting Corporation to submit additional engineering information relative to the effect of steel structures near its proposed antenna and whether, as a result, the antenna system would radiate essentially a non-directional pattern as proposed; that in a letter dated November 19, 1956, said applicant requested additional time to December 21, 1956, to answer the Commission's letter; but that the Commission is of the opinion that it would be expeditious to deny the request for extension, as leave to amend may be granted for good cause shown after designation for hearing; and

It further appearing that, in the event of a grant of the application of Volusia County Broadcasting Corporation, a complete non-directional proof-of-performance should be submitted to prove that reradiation from nearby metal structures has been essentially eliminated; and

It further appearing that, after consideration of the foregoing and the applicants' above-referenced replies, the Commission is of the opinion that a hearing on the instant applications is necessary;

It is ordered, That, pursuant to section 309 (b) of the Communications Act of 1934, as amended, the said applications are designated for hearing in a consolidated proceeding, at a time and place to be specified in a subsequent order, upon the following issues:

1. To determine the areas and populations which would receive primary service from each of the instant proposals, and the availability of other primary service to such areas and populations.

2. To determine whether the antenna system proposed by the Volusia County Broadcasting Corporation would create a hazard to air navigation.

3. To determine whether the antenna system proposed by the Volusia County Broadcasting Corporation would radiate essentially a non-directional pattern as proposed, in view of the proximity of existing metal structures.

4. To determine in light of section 307 (b) of the Communications Act of 1934, as amended, which of the operations proposed in the instant applications would better provide a fair, efficient and equitable distribution of radio service.

5. To determine, in light of the evidence adduced pursuant to the foregoing issues, which, if either, of the instant applications should be granted.

It is further ordered, That the above-referenced request of the Volusia County Broadcasting Corporation for an extension of time to December 21, 1956, to reply to the Commission's letter of October 8, 1956, is denied; and

It is further ordered, That, in the event of a grant of the application of Volusia County Broadcasting Corporation, the construction permit shall contain the condition that a complete non-directional proof of performance be submitted to prove that re-radiation from nearby metal structures has been essentially eliminated; and

It is further ordered, That, to avail themselves of the opportunity to be heard, Volusia County Broadcasting Corporation and C. H. Packham, pursuant to § 1.387 of the Commission's rules, in person or by attorney, shall within 20 days of the mailing of this order, file with the Commission, in triplicate, a written appearance stating an intention to appear on the date fixed for the hearing and present evidence on the issues specified in this order.

Released: December 17, 1956.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56-10363; Filed, Dec. 19, 1956; 8:49 a. m.]

[Docket Nos. 11888, 11889; FCC 56-1233]

JEFFERSON COUNTY BROADCASTING CO. AND KERMIT F. TRACY

ORDER DESIGNATING APPLICATIONS FOR CONSOLIDATED HEARING ON STATED ISSUES

In re applications of Louis Alford, Phillip D. Brady and Albert Mack Smith d/b as Jefferson County Broadcasting Company, Pine Bluff, Arkansas, Docket No. 11888, File No. BP-10528; Kermit F. Tracy, Fordyce, Arkansas, Docket No. 11889, File No. BP-10691; for construction permits.

At a session of the Federal Communications Commission held at its offices in Washington, D. C., on the 12th day of December 1956;

The Commission having under consideration the above-captioned applications of Louis Alford, Phillip D. Brady and Albert Mack Smith d/b as Jefferson County Broadcasting Company and Kermit F. Tracy, each for a construction permit for a new standard broadcast station to operate on 1270 kilocycles with powers of 5 kilowatts and one kilowatt, respectively, at Pine Bluff and Fordyce, Arkansas, respectively;

It appearing that both applicants are legally, technically, financially and otherwise qualified, except as may appear

from the issues specified below, to operate their stations as proposed, but that the operation of both stations as proposed would result in mutually destructive interference; and

It further appearing that, pursuant to section 309 (b) of the Communications Act of 1934, as amended, the subject applicants were advised by letter dated October 8, 1956, of the aforementioned interference and that the Commission was unable to conclude that a grant of either application would be in the public interest; and

It further appearing that a timely reply was filed by each applicant; and

It further appearing that the Commission, after consideration of the replies, is of the opinion that a hearing is necessary;

It is ordered, That, pursuant to section 309 (b) of the Communications Act of 1934, as amended, the said applications are designated for hearing in a consolidated proceeding, at a time and place to be specified in a subsequent order, upon the following issues:

1. To determine the areas and populations which would receive primary service from each of the proposed operations, and the availability of other primary service to such areas and populations.

2. To determine in the light of section 307 (b) of the Communications Act of 1934, as amended, which of the operations proposed in the above-captioned applications would better provide a fair, efficient and equitable distribution of radio service.

3. To determine, in the light of the evidence adduced pursuant to the foregoing issues, which of the two proposals, if either, would serve the public interest, convenience and necessity.

It is further ordered, That to avail themselves of the opportunity to be heard, the Jefferson County Broadcasting Company and Kermit F. Tracy, pursuant to § 1.387 of the Commission's rules, in person or by attorney, shall within 20 days of the mailing of this order, file with the Commission, in triplicate, a written appearance stating an intention to appear on the date fixed for the hearing and present evidence on the issues specified in this order.

Released: December 17, 1956.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56-10364; Filed, Dec. 19, 1956; 8:50 a. m.]

[Docket No. 11890; FCC 56-1235]

CLASS B FM BROADCAST STATIONS

NOTICE OF PROPOSED ALLOCATION

1. Notice is hereby given of further proposed rule making in the above-entitled matter.

2. It is proposed to amend the Revised Tentative Allocation Plan for Class B FM Broadcast Stations in the following manner:

General area	Channel	
	Delete	Add
Lubbock, Tex.	----------	229

3. The purpose of the proposed amendment is to make available Channel No. 229 in Lubbock, Texas, for assignment to FM broadcast station KSEL–FM.

4. Authority for the adoption of the proposed amendment is contained in sections 4 (i), 301, 303 (c), (d), (f), and (r), and 307 (b) of the Communications Act of 1934, as amended.

5. Any interested person who is of the opinion that the proposed amendment should not be adopted or should not be adopted in the form set forth herein, may file with the Commission on or before January 11, 1957, a written statement or brief setting forth his comments. Comments in support of the proposed amendment also may be filed on or before that same date. Comments or briefs in reply to the original comments may be filed within 10 days from the last day for filing said original comments or briefs. The Commission will consider all such comments that are submitted before taking action in this matter, and if any comments appear to warrant the holding of a hearing or oral argument, notice of the time and place of such hearing or oral argument will be given.

6. In accordance with the provisions of § 1.764 of the Commission's rules and regulations, an original and 14 copies of all statements, briefs, or comments shall be furnished the Commission.

Adopted: December 12, 1956.

Released: December 14, 1956.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 56-10365; Filed, Dec. 19, 1956; 8:50 a. m.]

OFFICE OF DEFENSE MOBILIZATION

[ODM (DPA) Request 53A—DPAV-56 (a)]

REQUEST TO PARTICIPATE IN AMENDED PLAN OF ACTION UNDER VOLUNTARY AGREEMENT RELATING TO FOREIGN PETROLEUM SUPPLY

Pursuant to section 708 of the Defense Production Act of 1950, as amended, the request set forth below to participate in the Plan of Action Under Voluntary Agreement Relating to Foreign Petroleum Supply, dated August 10, 1956, as amended December 3, 1956, was approved by the Attorney General after consultation with respect thereto between the Attorney General, the Chairman of the Federal Trade Commission and the Director of the Office of Defense Mobilization, and was accepted by the companies listed below.

The amendments to the Plan of Action authorize certain actions necessary to meet the particular problems caused by the existing petroleum transport situation, and have been approved by the Director of the Office of Defense Mobilization and found to be in the public interest as contributing to the national defense.

CONTENTS OF REQUEST

Reference is made to the Plan of Action Under the Voluntary Agreement Relating to Foreign Petroleum Supply, as amended, and to your participation in activities under that Plan. Present circumstances indicate the need for an amendment to the Plan designed to authorize certain actions by the Middle East Emergency Committee deemed necessary to meet the particular problems caused by the existing petroleum transport situation. You are requested to participate in the Plan of Action as modified by the attached amendment.

The Attorney General has approved this request after consultation with respect thereto between his representatives, representatives of the Chairman of the Federal Trade Commission and my representatives, pursuant to section 708 of the Defense Production Act of 1950, as amended.

I approve the Plan of Action Under the Voluntary Agreement Relating to Foreign Petroleum Supply, as amended, and find it to be in the public interest as contributing to the national defense. You will become a participant therein upon advising me in writing of your acceptance of this request. Will you kindly also send a copy of your acceptance to the Director, Office of Oil and Gas, Department of the Interior, Washington 25, D. C. Immunity from prosecution under the Federal antitrust laws and the Federal Trade Commission Act, as provided in the Defense Production Act of 1950, as amended, will be given upon such acceptance, provided that your acts relative to such participation are within the scope of this Plan, as amended.

Your cooperation in this matter will be appreciated.

Sincerely yours,

ARTHUR S. FLEMMING,
Director.

ACCEPTANCES

American Independent Oil Company, 111 Sutter Street, San Francisco, California.

Arabian American Oil Company, 505 Park Avenue, New York, New York.

Caltex Oil Products Company, 380 Madison Avenue, New York, New York.

Cities Service Company, Inc., 60 Wall Tower, New York, New York.

Creole Petroleum Corporation, 1230 Avenue of the Americas, New York, New York.

Getty Oil Company, Pennsylvania Building, Wilmington, Delaware.

Gulf Oil Corporation, Gulf Building, Pittsburgh, Pennsylvania.

Sinclair Oil Corporation, 600 Fifth Avenue, New York, New York.

Socony Mobil Oil Company, Inc., 150 East 42d Street, New York, New York.

Standard Oil Company of California, 225 Bush Street, San Francisco, California.

Standard Oil Company (New Jersey), 30 Rockefeller Plaza, New York, New York.

Standard-Vacuum Oil Company, 1000 Westchester Avenue, White Plains, New York.

The Texas Company, 135 East 42d Street, New York, New York.

Tidewater Oil Company, 79 New Montgomery Street, San Francisco 20, California.

Venezuelan Petroleum Company, 600 Fifth Avenue, New York, New York.

Dated: December 17, 1956.

ARTHUR S. FLEMMING,
Director.

[F. R. Doc. 56-10354; Filed, Dec. 19, 1956; 8:48 a. m.]

SECURITIES AND EXCHANGE COMMISSION

[File No. 1-3679]

KROY OILS LTD.

ORDER SUMMARILY SUSPENDING TRADING

DECEMBER 14, 1956.

In the matter of trading on the American Stock Exchange in the 20 cent par value Capital Stock of Kroy Oils Limited, File No. 1-3679.

I. The 20 cent par value Capital Stock of Kroy Oils Limited, an Alberta corporation (hereinafter called "registrant"), is listed and registered on the American Stock Exchange, a national securities exchange (hereinafter called "the exchange").

II. The Commission on November 2, 1956, issued its order and notice of hearing under section 19 (a) (2) of the Securities Exchange Act of 1934 (hereinafter called "the act") to determine at a hearing to be held on November 20, 1956, whether it is necessary or appropriate for the protection of investors to suspend for a period not exceeding twelve months, or to withdraw, the registration of the Capital Stock of registrant on the exchange for failure to comply with section 13 of the act and the rules and regulations adopted thereunder, in that the Commission has reason to believe that a current report for the month of May 1956, on Form 8-K, filed by registrant with the Commission was false and misleading in certain respects set forth in said order. On December 4, 1956, the Commission issued its order summarily suspending trading of said securities on the exchange pursuant to section 19 (a) (4) of the act for the reasons set forth in said order to prevent fraudulent, deceptive or manipulative acts or practices for a period of ten days from December 5, 1956, to December 14, 1956, inclusive.

III. On November 7, 1956, counsel representing registrant requested a postponement of the hearing under section 19 (a) (2) of the act in order to enable him to prepare for the hearing. Pursuant to this request, the Commission on November 7, 1956, issued its order postponing the date of said hearing to November 26, 1956. Said hearing has commenced but has not yet been concluded by Commission order or decision.

IV. The Commission has reason to believe that the false report filed by registrant as alleged in the order and notice of hearing referred to in paragraph II and the relationship between registrant and Great Sweet Grass Oils Limited, also subject to an order issued concurrently herewith under section 19 (a) (4) of the act, and also subject to an order and notice of hearing under section 19 (a) (2) of the act, which hearing has been consolidated with the hearing referred to in paragraph III, are such as to cause widespread confusion and uncertainty in the market for registrant's shares. Under the circumstances recited in this order, the Commission is of the opinion that it would be impossible for the investing public to reach an informed judgment at this time as to the value of registrant's securities or for trading in such securities to be conducted in an orderly and equitable manner.

V. The Commission being of the opinion that the public interest requires the summary suspension of trading in such security on the exchange and that such action is necessary and appropriate for the protection of investors; and

The Commission being of the opinion that such suspension is necessary in order to prevent fraudulent, deceptive, or manipulative acts or practices, with the result that it will be unlawful under section 15 (c) (2) of the act and the Commission's Rule X-15C2-2 thereunder for any broker or dealer to make use of the mails or of any means or instrumentality of interstate commerce to effect any transaction in, or to induce or attempt to induce the purchase or sale of, such security otherwise than on a national securities exchange.

It is ordered, Pursuant to section 19 (a) (4) of the act that trading in said securities on the American Stock Exchange be summarily suspended in order to prevent fraudulent, deceptive, or manipulative acts or practices for a period of ten days from December 15, 1956, to December 24, 1956, inclusive.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 56-10345; Filed, Dec. 19, 1956; 8:46 a. m.]

[File No. 1-3827]

GREAT SWEET GRASS OILS LTD.

ORDER SUMMARILY SUSPENDING TRADING

DECEMBER 14, 1956.

In the matter of trading on the American Stock Exchange in the $1.00 par value Capital Stock of Great Sweet Grass Oils Limited, File No. 1-3827.

I. The $1.00 par value Capital Stock of Great Sweet Grass Oils Limited (hereinafter called "registrant") is listed and registered on the American Stock Exchange, a national securities exchange (hereinafter called "the exchange").

II. The Commission on October 19, 1956, issued its order and notice of hearing under section 19 (a) (2) of the Securities Exchange Act of 1934 (hereinafter called "the act"), and on October 24, 1956, issued its amended order and notice of hearing under the act to determine at a hearing to be held November 13, 1956, whether it is necessary or appropriate for the protection of investors to suspend for a period not exceeding twelve months, or to withdraw, the registration of the Capital Stock of registrant on the exchange for failure to comply with section 13 of the act and the rules and regulations thereunder, in that the Commission had reason to believe that the reports filed by registrant on Form 8-K and Form 10-K were false and misleading in certain respects set forth in said orders. On October 31, 1956, the Commission issued its second amended order and notice of hearing under section 19 (a) (2) of the act restating the allegations in the original and amended orders and including allegations that the Commission had reason to believe that the registrant's current report on Form 8-K for the month of December, 1955, and amendments thereto, and that registrant's annual report on Form 10-K for its fiscal year ended December 31, 1955, and amendments thereto, were false and misleading in additional respects set forth in said order. On November 16, 1956, the Commission issued its third amended order and notice of hearing under section 19 (a) (2) of the act restating the allegations in the original and amended orders and including allegations that the Commission had reason to believe that the registrant's current report on Form 8-K for the month of August, 1955, was false and misleading in certain respects set forth in said order, and that the Form 8-K report for the month of December, 1955, and the Form 10-K report for the fiscal year ended December 31, 1955 were false and misleading in additional respects set forth in said order. On December 4, 1956, the Commission issued its order summarily suspending trading pursuant to section 19 (a) (4) of the act in said securities on the exchange for the reasons set forth in said order to prevent fraudulent, deceptive and manipulative acts or practices from December 5, 1956, to December 14, 1956, inclusive.

III. On November 7, 1956, counsel representing registrant requested a postponement of the hearing under section 19 (a) (2) of the act in order to enable him to prepare for the hearing. Pursuant to this request, the Commission on November 7, 1956, issued its order postponing the date of said hearing to November 26, 1956. Said hearing has commenced but has not yet been concluded by Commission order or decision.

IV. The Commission has reason to believe that the false reports filed by registrant as alleged in the orders and notices of hearing referred to in paragraph II and the relationship between registrant and Kroy Oils Limited, also subject to an order issued concurrently herewith under section 19 (a) (4) of the act, and also subject to an order and notice of hearing under section 19 (a) (2) of the act, which hearing has been consolidated with the hearing referred to in paragraph III, are such as to cause widespread confusion and uncertainty in the market for registrant's shares. Under the circumstances recited in this order, the Commission is of the opinion that it would be impossible for the investing public to reach an informed judgment at this time as to the value of registrant's securities or for trading in such securities to be conducted in an orderly and equitable manner.

V. The Commission being of the opinion that the public interest requires the summary suspension of trading in such security on the exchange and that such action is necessary and appropriate for the protection of investors; and

The Commission being of the opinion that such suspension is necessary in order to prevent fraudulent, deceptive, or manipulative acts or practices, with the result that it will be unlawful under sec-

tion 15 (c) (2) of the act and the Commission's Rule X-15C2-2 thereunder for any broker or dealer to make use of the mails or of any means or instrumentality of interstate commerce to effect any transaction in, or to induce or attempt to induce the purchase or sale of, such security otherwise than on a national securities exchange.

It is ordered, Pursuant to Section 19 (a) (4) of the act that trading in said securities on the American Stock Exchange be summarily suspended in order to prevent fraudulent, deceptive, or manipulative acts or practices for a period of ten days from December 15, 1956 to December 24, 1956, inclusive.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 56-10346; Filed, Dec. 19, 1956; 8:46 a. m.]

[File No. 70-3542]

OHIO EDISON CO.

NOTICE OF PROPOSED ACQUISITION OF UTILITY ASSETS

DECEMBER 14, 1956.

Notice is hereby given that Ohio Edison Company ("Company"), a registered holding company and a public utility company, has filed with this Commission an application pursuant to the Public Utility Holding Company Act of 1935 ("act"), designating sections 9 (a) (1) and 10 thereof as applicable to the proposed transaction, which is summarized as follows:

Pursuant to a Sale Agreement dated December 6, 1956, between the Company and the Village of Leroy, Ohio ("Village"), the Company proposes to acquire, for a cash consideration of $78,500, the Village electric distribution system, including approximately 5½ pole miles of overhead distribution facilities, 57 street lights, 70 line transformers of approximately 1,181 kva aggregate capacity, and a substation of 600 kva capacity situated on land owned by other than the Village.

It is stated that the Village is located in close proximity to communities and surrounding rural areas presently served by the Company at retail; that the Company presently supplies power to the Village for distribution over its system under a municipal resale power contract, which the parties will terminate upon the Company's acquisition of the property; that for the 12-month period ended October 31, 1956, the Company delivered to the Village under such contract 1,636,464 Kwh of electric energy, the revenue for which was $26,109.29.

Upon consummation of the transaction, the acquired property will be operated as a part of the Company's integrated system. It is stated that such integration should make it possible to improve the efficiency and economy of operations, to improve the service to the customers, and to increase the sales of electric energy over the acquired property; that the rates to be charged by the Company will be its regular rates for service in comparable communities, and that a comparison of such rates with those of the Village presently in effect indicates that the substitution of the Company's service will result in an overall reduction in the bills of the customers.

The Company proposes to record the property on its books on the basis of original cost, actual or estimated, and to dispose of the difference, if any, between the purchase price and such original cost in accordance with the accounting regulations and orders of The Public Utilities Commission of Ohio and the Federal Power Commission, which will have accounting jurisdiction with respect thereto. It is stated that no commission other than this Commission has jurisdiction over the proposed acquisition.

The Company estimates its fees and expenses in connection with the matter as follows:

Winthrop, Stimson, Putnam & Roberts, for legal services	$100
Miscellaneous	250
Total	350

Notice is further given that any interested person may, not later than December 28, 1956, at 5:30 p. m., request the Commission in writing that a hearing be held on such matter, stating the nature of his interest, the reasons for such request, and the issues of fact or law, if any, raised by said application which he desires to controvert; or he may request that he be notified if the Commission should order a hearing thereon. Any such request should be addressed: Secretary, Securities and Exchange Commission, Washington 25, D. C. At any time after said date, said application, as filed or as amended, may be granted as provided by Rule U-23 of the rules and regulations promulgated under the act, or the Commission may grant exemption from its rules as provided in Rules U-20 (a) and U-100, or take such other action as it may deem appropriate.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 56-10347; Filed, Dec. 19, 1956; 8:46 a. m.]

INTERSTATE COMMERCE COMMISSION

[No. MC-C-2065]

TEXAS AND PACIFIC MOTOR TRANSPORT CO. ET AL.

NOTICE OF INVESTIGATION WITH RESPECT TO CONTRACTS

At a session of the Interstate Commerce Commission, Division 2, held at its office in Washington, D. C., on the 7th day of December A. D. 1956.

Section 409 contracts between The Texas and Pacific Motor Transport Company and freight forwarders.

There being under consideration the matter of contracts between The Texas and Pacific Motor Transport Company, a motor common carrier, and the following forwarders, namely: Acme Fast Freight, Inc., National Carloading Corporation, Republic Carloading and Distributing Co., Inc., and Universal Carloading and Distributing Company, Inc., for the performance of transportation services at rates and charges other than those provided in the applicable tariffs of The Texas and Pacific Motor Transport Company; and

It appearing that upon consideration of the said contracts there is reason to institute an investigation to determine whether performance of the services specified in the contracts is prohibited by the restrictions contained in the carrier's certificate limiting its service to that which is auxiliary to or supplemental of The Texas and Pacific Railway Company, and whether the performance of the said services would be in violation of the Interstate Commerce Act; and good cause appearing therefor:

It is ordered, That an investigation be, and it is hereby, instituted upon the Commission's own motion into and concerning the lawfulness of the services and practices specified in the said contracts with a view to making such findings and orders in the premises as the facts and circumstances shall warrant;

It is further ordered, That The Texas and Pacific Motor Transport Company, Acme Fast Freight, Inc., National Carloading Corporation, Republic Carloading and Distributing Co., Inc., and Universal Carloading and Distributing Company, Inc., be, and they are hereby, made respondents to this proceeding, that a copy of this order be served upon each of the said respondents, and that notice be given to the general public by posting a copy of this order in the office of the Secretary of the Commission at Washington, D. C., and by filing a copy with the Director, Division of the Federal Register.

It is further ordered, That this proceeding be set for hearing under modified procedure; that the respondents or their representatives comply with the provisions of Rules 45 to 54, inclusive, of the general rules of practice before the Commission; and that respondents should serve their statements of facts and argument on or before February 5, 1957, other interested parties to serve their statements within 30 days thereafter, and within 10 days thereafter respondents to serve their statements in reply.

And it is further ordered, That a request for a change in any due date for the filing of any pleading under modified procedure need not be made formally by petition but may be made in writing and disposed of without an order in accordance with the provisions of rule 21 (b) of the general rules of practice.

Dated at Washington, D. C., this 7th day of December, A. D. 1956.

By the Commission, Division 2.

[SEAL] HAROLD D. MCCOY, *Secretary.*

[F. R. Doc. 56-10351; Filed, Dec. 19, 1956; 8:47 a. m.]